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Thematic Report

Recycling

Scrap to scale: Formalisation to drive the next leg of growth

Initiating Coverage on Gravita India, Jain Resource Recycling, Pondy Oxides & Chemicals and Ganesha Ecosphere

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Scrap to scale: Formalisation to drive the next leg of growth

Historically, India's recycling ecosystem was dominated by the unorganised sector, which accounted for nearly ~80% of non-ferrous metal recycling in FY16. However, the sector is now undergoing a structural formalisation cycle, driven by tighter environmental regulations such as EPR, BWMR and PWMR, alongside a decisive shift by large OEMs and global brands toward reliable, compliant and scalable recycling partners. As a result, the unorganised sector's share has declined to ~60% currently, with organised players gaining ground at ~40%.

Looking ahead, with PWMR expected to come into effect from FY26 (albeit with a short-term delay), continued regulatory tightening and a sustained capex cycle across metals and plastics recycling, we expect this transition to accelerate. We see the organised sector's market share rising to ~65% by FY30, supported by increasing preference for recyclers with backward integration, own scrap yards, last-mile sourcing, robust collection networks, higher value-added product portfolios and investments in next-generation recycling technologies (including Li-ion). Against this backdrop, scale, compliance, technology and supply-chain depth emerge as key differentiators, positioning large, organised recyclers as the primary beneficiaries of this multi-year formalisation cycle.

Considering these structural tailwinds across lead and copper recycling, we initiate coverage on Gravita India with a Buy rating, and on Pondy Oxides & Chemicals and Jain Resource Recycling with a Hold rating. In plastics recycling, we initiate coverage on Ganesha Ecosphere with a Buy rating.

The global lead recycling volume is expected to grow at a CAGR of 3.7%, while India's lead recycling volumes are projected to expand at a CAGR of 6.4% over FY25-28. In comparison, our coverage universe is positioned for materially stronger growth, with expected volume CAGRs of 19.8%/18.0%/13.0% for Gravita India/POCL/Jain Resource Recycling, respectively. This outperformance will be driven by the ongoing shift from the unorganised to the organised sector, supported by EPR/BWMR regulations, improved availability of domestic scrap and end-of-life batteries, and increasing customer preference for recyclers with scale, capacity reliability and value-added/customised product offerings.

In copper, India's demand is set to grow at 7.2%, while the copper recycling volume is expected to expand at 13.2% CAGR over FY25-30. Our coverage universe is similarly positioned for strong growth, with projected copper-recycling volume CAGRs of 14.5% for JAINREC and 170.2% for POCL over FY25-28, driven by increasing domestic copper consumption, product-portfolio upgrading (cathodes, wire rods, busbars), forward integration and the onboarding of new customers as organised recyclers scale.

In plastics, demand growth in India will be led by PET recycling, with PET demand expected to grow at 12.4% CAGR and PET recycling volumes at a CAGR of 22.7% over FY25-28. Within this, our coverage universe, GNPL's subsidiary is expected to grow faster, with a projected volume CAGR of 38.3% over FY25-28E. EPR in plastic waste management mandates 30% recycled content from FY26, and only FSSAI-approved recyclers are permitted to manufacture food-grade rPET granules, resulting in a highly selective and supply-constrained market. With GNPL being the largest approved rPET-granule manufacturer in India. With GNPL being the largest and oldest among all, we initiate coverage on Ganesha Ecosphere with a Buy rating.

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Key Investor Arguments

More headroom for growth in lead recycling: Across our coverage universe, Gravita India, POCL and JAINREC currently command 8.5%/2.6%/3.3% domestic market share in lead recycling (based on domestic lead sales volume) and 6.8%/4.8%/4.8% based on total lead capacity. Despite Exide Industries (through Chloride Metals) operating a large 300,000+ MTPA in-house recycling facility, market share for the organised sector has continued to expand—rising from 25% in FY23 to 40% in FY25. This expansion has been driven by the consistent shift of volumes from the unorganised to the organised segment following the implementation of EPR/BWMR norms in 2022.

Reflecting this structural tailwind, lead-recycling volumes for Gravita India/POCL/JAINREC have grown at CAGR of 19.2%/13.5%/53.6% over FY23-25. Their increasingly robust sourcing ecosystems 1,900+/270+/755+ suppliers, respectively, have further strengthened raw-material availability and supply reliability. At the same time, rising competitive intensity within the organised segment has led companies to deepen their value-added product portfolios, with value-added contributions rising to 46% for Gravita and 60%+ for POCL.

Given (1) the ongoing shift to the organised sector under evolving EPR/BWMR enforcement, (2) strong domestic scrap-collection improvements, (3) increasing international customer penetration, and (4) upcoming capacity additions across all three players, we believe meaningful headroom remains for further market-share gains over the next two years. We expect lead-recycling volumes to grow at a CAGR of 19.8%/18.0%/13.0% for Gravita India/POCL/JAINREC over FY25–28E.

Increasing demand for copper to shift toward recycled copper: Within our coverage universe, JAINREC and POCL currently hold 6.2% and 0.1% market share in copper recycling, respectively. A large portion of India's copper-recycling activity continues to remain within the unorganised sector, primarily because there is no direct EPR mandate applicable to copper-wire OEMs or electronics manufacturers.

However, rising copper demand driven by infrastructure, power distribution, renewables, EV charging networks and industrial capex is increasingly pushing OEMs and downstream manufacturers to adopt recycled copper as a viable, cost-efficient and sustainable alternative. This trend is already visible in operating metrics:

JAINREC's domestic copper volumes have grown at 14.9% CAGR over FY22–25, with its domestic mix rising from 63.0% to 70.9%, indicating steady penetration among local manufacturers.

POCL, which commenced copper recycling more recently, generated 100% of its FY25 copper revenue from domestic customers, reflecting strong demand from domestic client networks and OEMs.

As India's copper demand expands and recyclers scale up capacity, improve quality, and introduce value-added copper products, we expect a growing share of incremental domestic requirements to be met through recycled copper, benefiting organised recyclers meaningfully over the medium term.

Implementation of EPR in plastic waste management to propel growth: The Plastic Waste Management Rules (PWMR), introduced in 2016, mandate the use of recycled content in rigid plastics at 30% / 40% / 50% / 60% for FY26 / FY27 / FY28 / FY29+. However, a recent draft amendment allows Category-I (rigid plastics) to carry forward the FY26 shortfall for three years (up to FY29). Importantly, recycled-content targets for FY27 onward remain unchanged.

This temporary relaxation created uncertainty among FMCG and packaging companies, leading to order delays and cancellations for GNPL as brands anticipated a potential deferment in implementation. Despite this, we do not foresee a reversal of PWMR, given, recyclers have already made significant capex investments over the last 3–4 years, supply chains for food-grade rPET are being established, and the regulatory direction globally (EU, US, Japan) remains firmly pro-recycled plastics.

Even under a more conservative scenario, where recycled-content requirements are reduced to 20% / 30% / 40% for FY26–FY28E, the implied demand for rPET granules still stands at ~2,50,000 tons starting FY26, compared with the current ~2,00,000 TPA of total FSSAI-approved rPET capacity. This indicates a structural supply deficit, even under softened policy assumptions.

With the worst of the raw-material and regulatory disruptions now behind and incorporating a 10% reduction in recycled-content targets for our forecast period, we remain structurally positive on the outlook for plastic recycling in India, supported by tightening regulations, expanding brand participation and an under-supplied rPET ecosystem.

Improvement in EBITDA margins across the sector: The sector's EBITDA margins have historically remained under pressure due to limited raw-material sourcing locations, higher logistics/procurement overheads, sub-optimal capacity utilisation, import duty on scrap and intense competition from the informal sector. Over the past three years, however, these structural constraints have begun to ease across our coverage universe. Gravita India's EBITDA margin has improved from 9.7% in FY22 to 10.4% in FY25, POCL has seen its margins re-rate meaningfully from ~5% during FY22–25 to 7.6% in 1HFY26, and JAINREC has expanded margins from 4.1% in FY22 to 5.2% in FY25. These improvements have been driven by an expanded network of scrap-sourcing partners, strategically located plants that reduced total procurement costs, brownfield expansions enabling better operating leverage, a higher proportion of value-added products and increasing market share for organised players under EPR/BWMR. **As these factors continue to play out, we expect EBITDA/kg to improve from Rs 18/kg to Rs 21–22/kg for Gravita, from Rs 12/kg to Rs 18/kg for POCL and from Rs 12/kg to Rs 15/kg for JAINREC in the lead recycling segment. In copper recycling, EBITDA/kg is expected to rise from Rs 8/kg to Rs 35–40/kg for JAINREC (excluding the upcoming copper cathode contribution) and from Rs 34/kg to Rs 45–46/kg for POCL. Overall, we anticipate a sustained margin expansion cycle for the organised recycling industry over the next few years.**

Key Metrics at a glance

Company	CMP	Market cap (Rs bn)	Target price (Rs)	Upside (%)	Revenue CAGR (%) (FY25-28E)	PAT CAGR (%) (FY25-28E)
Gravita India	1,818	134	2,189	20.4	26.6	27.3
Pondy Oxides & Chemicals	1,474	45	1,538	4.4	33.7	52.0
Jain Resource Recycling	413	143	422	2.0	18.2	37.9
Ganesha Ecosphere	835	22	1,116	33.7	16.3	21.9

Gravita India: Gravita India is well-positioned to sustain its above-industry growth trajectory, supported by a strong capex pipeline, robust sourcing ecosystem and tailwinds from evolving EPR/BWMR, while new business vertical to add value. We expect Gravita to deliver robust growth in Revenue/EBITDA/PAT of 26.6%/27.1%/27.3% over FY25-28E. We initiate coverage with a Buy rating on the stock with a target price of Rs 2,189 valuing the stock at 25x on FY28E EPS. RoCE/RoE are expected to be at 22.3%/20.3%.

Pondy Oxides & Chemicals (POCL): POCL's strong growth outlook is underpinned by accelerated scale-up in copper recycling, steady volume momentum in lead alloys, expanding sourcing ecosystem while focusing on growing customer base for new/upcoming business verticals. We Initiate coverage on POCL with a Hold rating and a target price of Rs 1,538 (valued at 23x of FY28E EPS). We expect 34%/52% Revenue/PAT CAGR over FY25-28E with consolidated EBITDA margins expanding from 5.1% in FY25 to 6.8% in FY28 led by commissioning of new plant at TKD with large smelting units and automated refining units, operational efficiencies at existing plants, increasing value added products in lead recycling and copper recycling verticals. RoCE/RoE are expected to be at 23.2%/20.7%.

Jain Resource Recycling (JAINREC): JAINREC is positioned rightly to leverage on growing demand for copper in India. Driven primarily by capacity additions and volume growth in the copper recycling business, along with improved realisations as the company continues to forward integrate into value added products. We initiate coverage on JAINREC with a Hold rating and a target price of Rs 422, valuing the stock at 24x FY28E EPS. We forecast Revenue/PAT CAGR of 18.2%/37.9% over FY25-28E. The planned introduction of copper cathode, bus bars and wire rods is expected to further enhance the value-added product mix. Given that offtake for these products can be absorbed by JAINREC's existing customer relationships, the expansion into these categories is expected to provide incremental support to both margins and revenue. RoCE/RoE are expected to be at 29.9%/26.1%.

Ganesha Ecosphere (GNPL): GNPL being the largest plastic recycler in India with market share of ~17%, the company has been underperforming due to multiple headwinds from weakness in textile demand and uncertainty surrounding PWMR. With recycled plastic content remaining intact from FY27 onwards and GNPL being certified by FSSAI, GNPL is expected to be the key beneficiary with improvement in PWMR situation. We Initiate coverage on GNPL with a Buy rating and a target price of Rs 1,116 (valued at 16x of FY28E EPS). We expect 16.3%/21.9% Revenue/PAT CAGR over FY25-

28E with consolidated EBITDA margins expanding from 14.4% in FY25 to 16.5% in FY28 led by 3x increase in capacity of high margin rPET granules business. ROCE/ROE are expected to be at 13.5%/12.6%. We expect the EPR for plastic waste management to remain intact with short term headwinds.

Valuation matrix

Company	CMP	Mkt. cap (Rs bn)	Target price (Rs)	Upside (%)	P/E				EV/EBITDA			
					FY25	FY26E	FY27E	FY28E	FY25	FY26E	FY27E	FY28E
Gravita India	1,818	134	2,189	20.4	40.6	34.3	26.2	20.8	39.9	24.5	18.8	14.4
Pondy Oxides & Chemicals	1,474	45	1,538	4.4	29.1	35.1	27.6	22.0	17.9	21.7	17.3	14.0
Jain Resource Recycling	413	143	422	2.0	NA	46.7	32.2	23.5	NA	32.1	22.3	16.3
Ganesha Ecosphere	835	22	1,116	33.7	38.3	90.7	30.9	12.0	20.7	20.5	12.2	6.4

Source: Bloomberg, B&K Research

Return ratios matrix

Company	RoCE				RoE			
	FY25	FY26E	FY27E	FY28E	FY25	FY26E	FY27E	FY28E
Gravita India	21.5	19.3	21.0	22.3	21.5	17.4	19.3	20.3
Pondy Oxides & Chemicals	15.5	23.0	22.7	23.2	12.2	19.5	20.3	20.7
Jain Resource Recycling	25.6	23.6	27.0	29.9	41.0	26.3	24.7	26.1
Ganesha Ecosphere	10.6	4.1	7.3	13.5	9.5	2.0	5.2	12.7

Source: Bloomberg, B&K Research

Key Expense matrix

	Employee cost as % of revenue			Contract wages as % of revenue			Freight cost as % of revenue			Power and fuel cost as % of revenue		
Company	FY23	FY24	FY25	FY23	FY24	FY25	FY23	FY24	FY25	FY23	FY24	FY25
Gravita India	4.8	4.2	4.1	0.2	0.2	0.2	2.0	1.6	1.6	0.6	0.8	0.7
Pondy Oxides & Chemicals	1.5	1.6	1.3	0.3	0.3	0.3	0.8	0.6	0.6	2.1	2.3	1.7
Jain Resource Recycling	0.5	0.7	0.4	1.5	1.1	0.9	0.5	0.5	0.3	1.0	1.0	0.6
Ganesha Ecosphere	5.7	6.7	6.0	NA	NA	NA	3.8	3.7	3.6	8.5	10.0	8.4

Source: Bloomberg, B&K Research

International peer revenue comparison

Company	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Boliden AB (000's SEK)	40,316	49,531	52,454	49,936	56,321	68,636	86,437	78,554	89,207	91,471	1,03,314	1,08,215
Campline NV (mn Euro)	171	217	210	193	167	226	317	322	365	NA	NA	NA
Enersys (mn Euro)	2,367	2,582	2,808	3,088	2,978	3,357	3,709	3,582	3,618	3,750	3,853	3,943
Indorama ventures PCL (mn Euro)	2,54,620	2,86,332	3,47,171	3,52,692	3,31,513	4,68,108	6,56,266	5,41,458	5,41,583	4,52,682	4,96,328	5,03,606
Gravita India (mn Rs.)	6,548	10,174	12,417	13,478	14,098	22,159	28,006	31,608	38,688	44,342	60,099	78,557
Pondy Oxides & Chemicals (mn Rs)	8,173	9,556	10,489	12,199	10,043	14,548	14,762	15,406	20,569	29,921	37,638	49,130
Jain Resource Recycling (mn Rs)	NA	NA	NA	NA	NA	28,496	30,641	44,284	71,258	74,489	92,824	1,17,582
Ganesha Ecosphere (mn Rs)	6,862	7,573	10,205	8,888	7,511	10,214	11,796	11,229	14,655	13,405	16,226	23,035

Source: Bloomberg, B&K Research

International peers EBITDA margin comparison

(%)	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Boliden AB	24.5	27.5	26.6	25.0	25.8	24.0	24.6	18.1	22.5	21.1	23.6	24.3
Campline NV	2.9	7.2	5.3	6.8	4.4	10.4	8.2	8.0	10.7	NA	NA	NA
Enersys	12.2	12.6	9.8	9.9	11.4	9.8	10.5	13.2	16.4	15.1	16.8	NA
Indorama ventures PCL	13.3	12.8	13.6	8.3	9.0	13.6	11.3	5.3	4.2	8.2	9.5	10.1
Gravita India	8.5	8.7	4.7	7.2	8.3	9.7	10.2	10.5	10.4	10.8	10.5	10.5
Pondy Oxides & Chemicals	6.5	6.0	6.1	2.9	2.3	5.3	5.2	4.6	5.1	7.1	7.2	6.8
Jain Resource Recycling	NA	NA	NA	NA	NA	4.1	4.1	5.1	5.2	5.9	6.8	7.3
Ganesha Ecosphere	11.6	11.4	12.5	12.6	11.2	11.2	10.8	12.3	14.4	8.7	13.6	16.5

Source: Bloomberg, B&K Research

International Peers PAT comparison

Company	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Boliden AB (000's SEK)	4,237	6,854	7,198	5,786	6,799	8,701	12,410	6,073	10,022	7,413	10,687	12,125
Campline NV (mn Euro)	-4	7	6	8	3	14	16	14	22	NA	NA	NA
Enersys (mn Euro)	160	120	160	137	143	144	176	269	364	391	446	424
Indorama ventures PCL (mn Euro)	16,197	20,883	26,465	5,252	2,414	26,288	31,006	-10,798	-19,262	-3,156	5,509	8,921
Gravita India (Rs mn)	327	441	155	332	525	1,394	2,011	2,392	3,124	3,912	5,113	6,462
Pondy Oxides & Chemicals (Rs mn)	283	292	337	163	108	482	751	319	581	1,282	1,632	2,040
Jain Resource Recycling (Rs mn)	NA	NA	NA	NA	NA	868	918	1,638	2,233	2,951	4,284	5,858
Ganesha Ecosphere (Rs mn)	298	352	620	637	435	620	695	406	1,031	247	725	1,869

Source: Bloomberg, B&K Research

International peer valuations – P/E comparison

Company	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Boliden AB	15.4	11.2	7.3	11.7	11.7	11.0	8.6	14.2	8.5	17.4	12.1	10.8
Campline NV	NA	4.9	6.9	5.4	12.9	4.2	4.3	7.9	8.2	NA	NA	NA
Enersys	16.6	14.9	13.8	15.9	22.8	19.2	18.8	12.2	9.6	13.4	11.5	12.3
Indorama ventures PCL	10.6	13.4	11.8	46.1	123.3	9.5	7.6	Loss	Loss	Loss	13.5	9.0
Gravita India	10.7	24.3	35.9	6.9	11.7	15.4	16.3	28.6	40.6	32.2	24.6	19.5
Pondy Oxides & Chemicals	7.5	-	-	4.5	11.0	8.2	4.6	22.6	29.1	35.1	27.6	22.0
Jain Resource Recycling	NA	NA	NA	NA	NA	NA	NA	NA	NA	46.7	32.2	23.5
Ganesha Ecosphere	13.9	18.3	11.3	5.6	29.6	25.6	26.5	54.3	38.3	90.2	32.0	11.9

Source: Bloomberg, B&K Research

International peer EV/EBITDA comparisons

Company	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Boliden AB	7.5	5.8	3.8	5.8	5.6	5.7	5.0	6.7	4.7	7.6	5.9	5.3
Campline NV	7.9	3.4	4.5	3.5	6.3	2.9	3.6	4.8	5.0	NA	NA	NA
Enersys	12.2	9.2	12.8	9.8	13.3	12.3	11.2	9.3	7.5	NA	NA	NA
Indorama ventures PCL	7.7	10.1	9.4	11.7	13.7	7.3	6.4	14.0	17.3	8.8	7.0	5.7
Gravita India	9.0	14.5	13.4	4.9	7.8	12.2	18.6	25.9	39.9	24.5	18.8	14.4
Pondy Oxides & Chemicals	5.7	NA	NA	3.3	11.2	6.5	6.5	12.2	17.9	21.7	17.3	14.0
Jain Resource Recycling	NA	NA	NA	NA	NA	NA	NA	NA	NA	32.1	22.3	16.3
Ganesha Ecosphere	6.4	9.6	6.0	3.2	15.6	16.3	18.0	19.7	20.7	20.5	12.4	6.4

Source: Bloomberg, B&K Research

Domestic P/BV (x) comparisons

Company	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Gravita India	83.5	66.1	62.8	55.5	46.0	31.8	20.9	14.9	6.1	5.2	4.4	3.6
Pondy Oxides & Chemicals	11.5	8.3	6.3	5.5	5.3	4.1	6.5	9.7	6.8	6.2	5.1	4.1
Jain Resource Recycling	NA	NA	NA	NA	NA	NA	NA	NA	NA	9.1	7.1	5.4
Ganesha Ecosphere	7.0	6.9	4.4	3.8	3.5	3.2	2.9	1.8	1.8	1.7	1.6	1.4

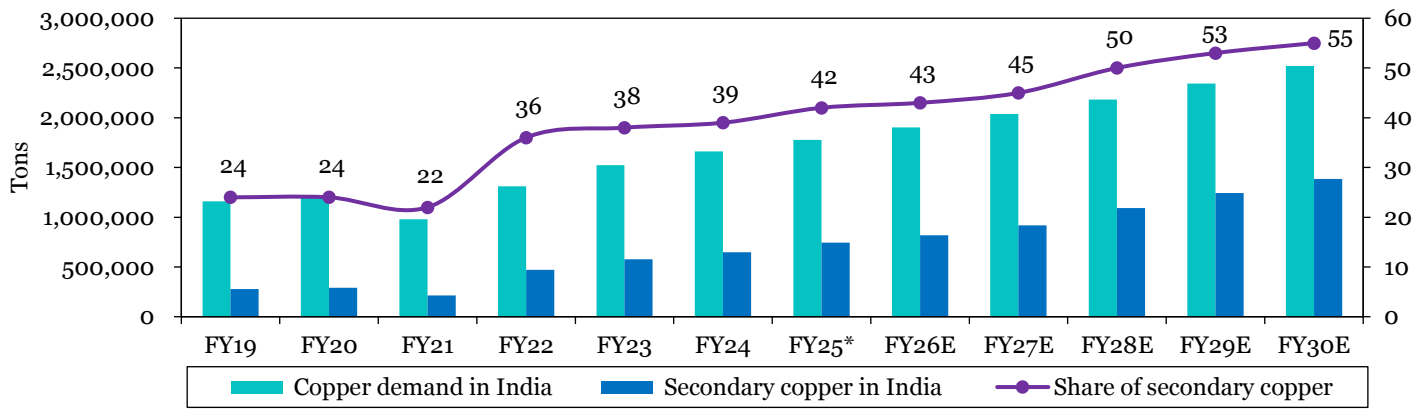
Source: Bloomberg, B&K Research

Metal-wise section

Copper recycling section

Copper, similar to lead, can be recycled indefinitely without loss of inherent metallurgical properties, making it one of the most economically and environmentally efficient materials to reprocess. The global copper recycling market, valued at US$ 72,997 mn, has grown at a strong 12.9% CAGR over CY19-24 and is expected to sustain healthy momentum with a projected CAGR of 6.6% over CY25-29. In comparison, India's copper recycling market, currently estimated at US$ 4,151 mn, is expected to grow faster at a CAGR of 11.2% over CY25-29, supported by rising demand from electric vehicles, consumer durables, power transmission infrastructure and renewable energy installations.

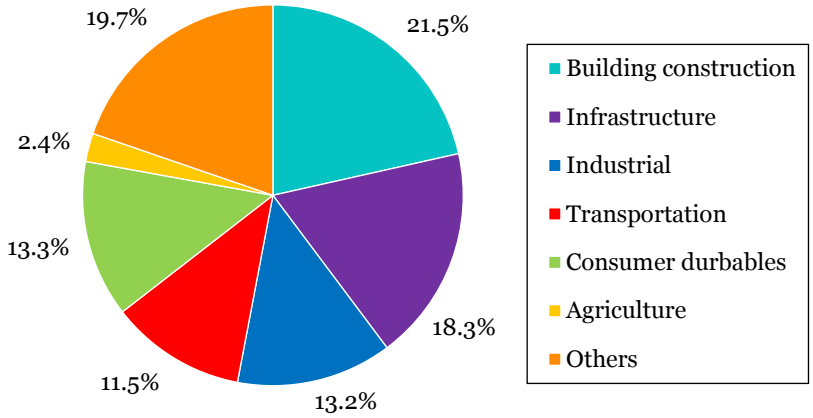
Growing needs for secondary/recycled copper in India



Source: Jain Resource Recycling RHP

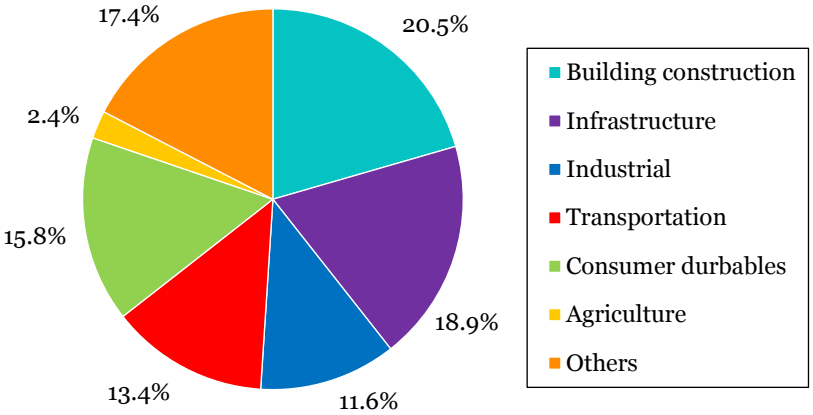
Copper and copper-alloy products have broad industrial applicability and are used across multiple end-use sectors including building and construction, power transmission and infrastructure, industrial machinery, transportation, consumer durables and agriculture. The metal's superior conductivity, corrosion resistance and recyclability make it a critical material across both traditional applications and emerging demand drivers such as EVs, renewable energy systems and advanced electrical equipment.

End uses of copper as on FY24



Source: Jain Resource Recycling RHP

FY30 copper use in India, with demand for copper expected to ~2x in transportation and consumer durables



Source: Jain Resource Recycling RHP

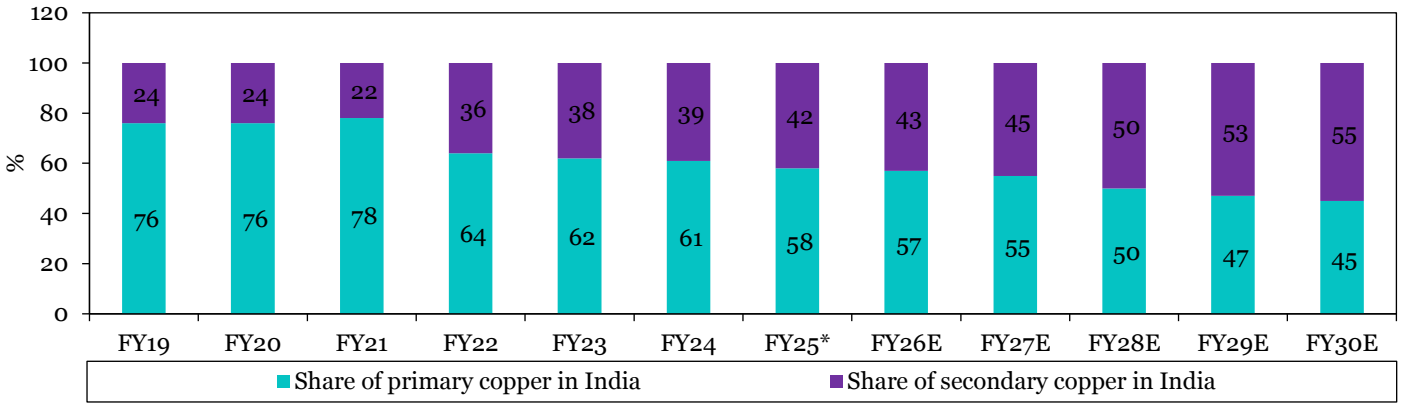
Share of primary vs secondary copper in India

The secondary copper industry in India has expanded meaningfully in recent years, supported by rising domestic copper demand and the broader shift toward sustainable material usage. Currently, ~99% of copper scrap in India is directly re-melted, with refining or smelting practices largely dependent on scrap grade. While high-grade scrap can be refined, lower-grade material requires smelting to remove impurities. However, India's share of refined secondary copper remains very low at ~1%, compared with 32% in China, 30% in the EU and 16% in Japan. As a result, a large portion of recycled copper is produced through simple re-melting, leading to variability in purity, particularly in intermediate products such copper billets and copper rods, which often remain non-compliant with international specification standards.

Looking ahead, India's secondary copper market is expected to evolve rapidly as policy, demand and industry practices shift toward higher recycling efficiency and refined output. The share of secondary copper is projected to rise to ~55% by 2030, implying a 13–14% CAGR to reach 1,350–1,410 kT by 2030. With the government's announced

target of increasing recycled content in copper products to at least 20% by 2031, the share of refined secondary copper alone is estimated to expand to ~500 kT, marking a substantial structural upgrade in supply quality and industry capability.

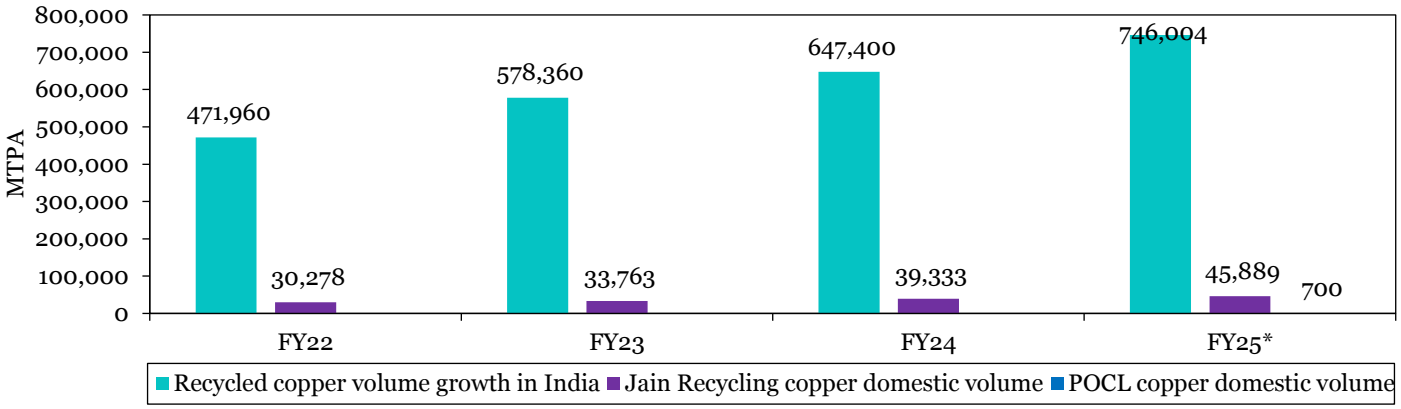
Share of recycled copper to increase



Source: Jain Resource Recycling RHP

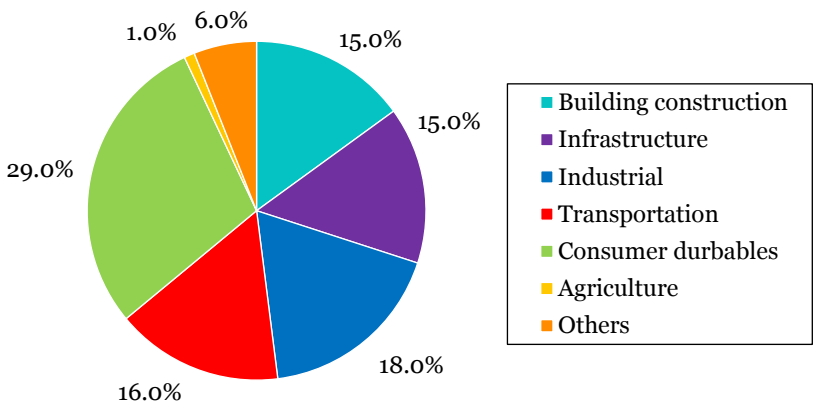
JAINREC currently holds a 6.2% market share in copper recycling in India, the highest among companies in our coverage universe. In contrast, POCL's copper recycling operations are at an early stage, having commenced only in FY25, resulting in a lower starting base. However, POCL is rapidly scaling, with management targeting ~70% capacity utilisation in FY26, supported by an established customer network, ongoing discussions with OEMs and its strategic focus on domestic markets. As copper recycling gains momentum and organised players expand value-added product offerings, we expect POCL to materially improve its position in the recycled copper ecosystem and gradually increase its market share over the medium term.

Long runway for organized copper recyclers in India, with minuscule market share



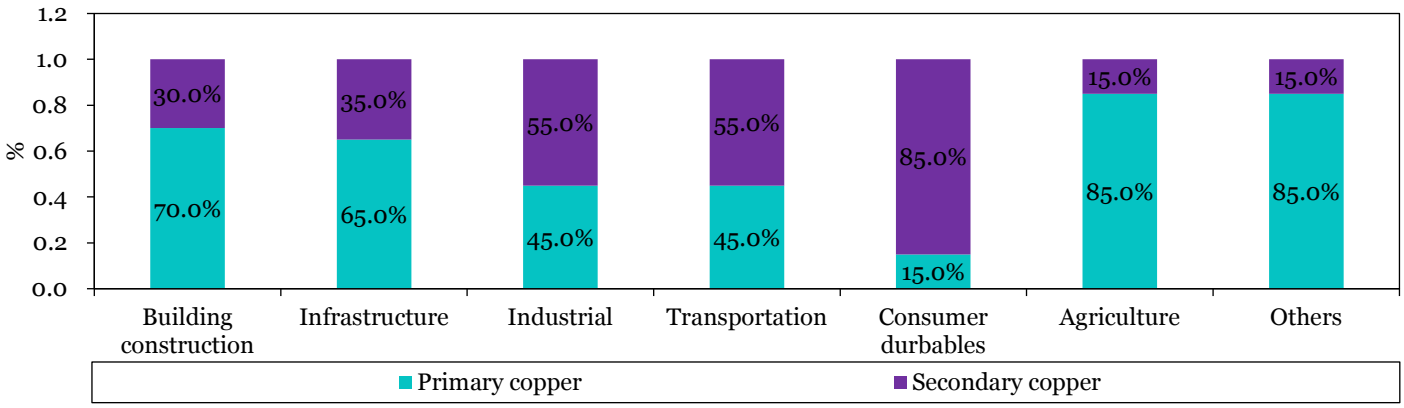
Source: Jain Resource Recycling RHP, B&K Research; **Note:** There might be 2-5% deviation in JAIREC and POCL domestic volumes as these are back-calculated numbers

Consumer durables tops the chart of use of secondary copper in India, led by increasing demand for ACs, Washing machines, Mobile phones, laptops etc.



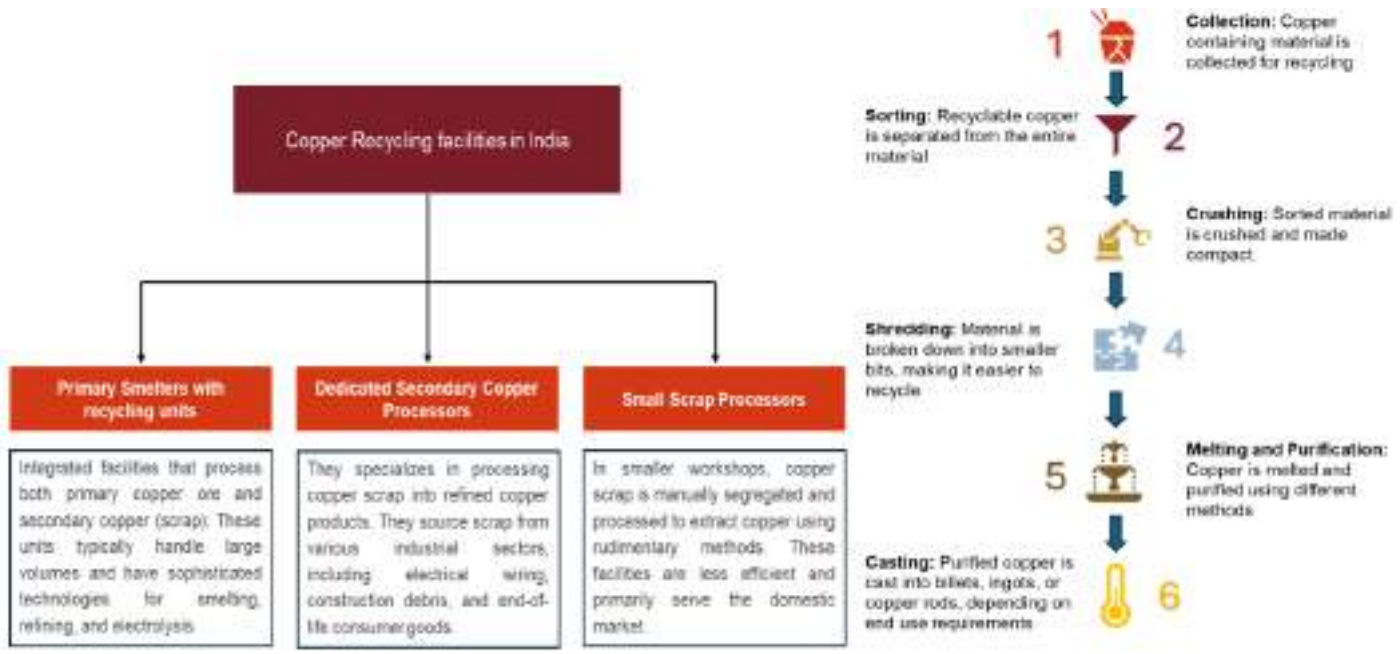
Source: Jain Resource Recycling RHP

Share of sector wise usage of primary vs secondary copper



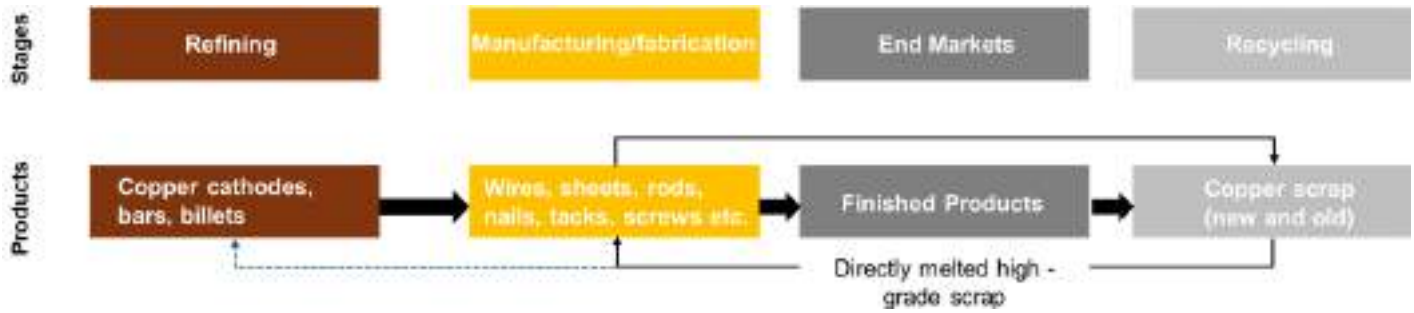
Source: Jain Resource Recycling RHP

Copper recycling value chain



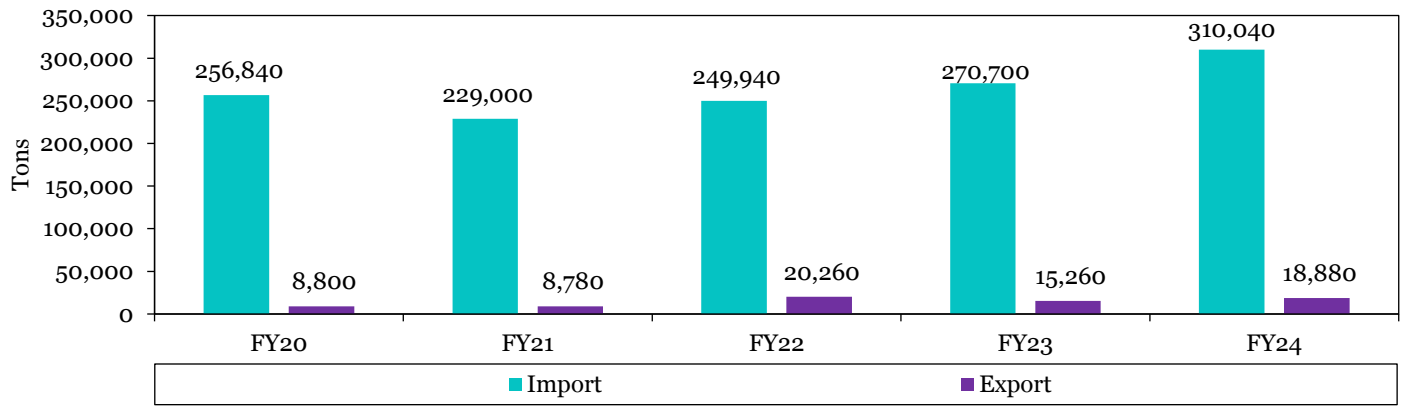
Source: Jain Resource Recycling RHP

Various stages of copper recycling



Source: Jain Resource Recycling RHP

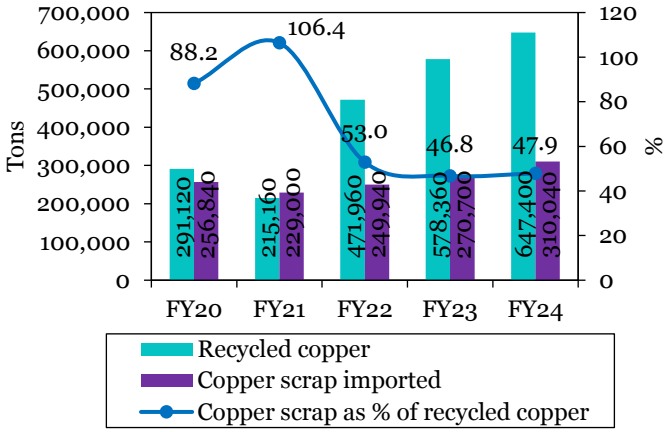
India is a huge net importer of copper scrap; as the domestic copper scrap collection continue to remain poor



Source: Jain Resource Recycling RHP, B&K Research

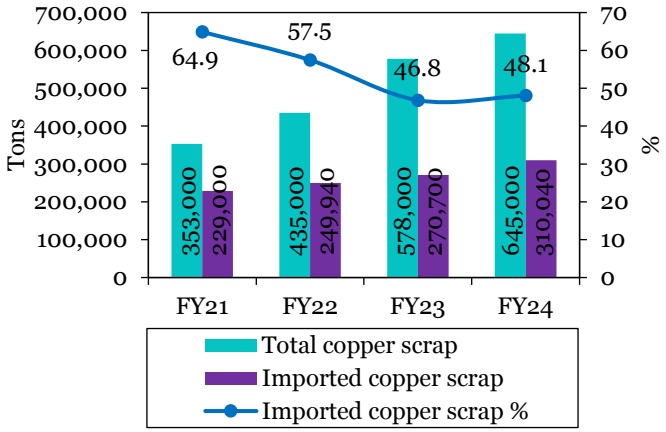
India's copper scrap imports have been declining as a share of total recycled copper consumption in recent years, indicating improving domestic scrap availability and strengthening collection efficiency. This trend reflects the gradual organisation of the scrap value chain, greater participation from formal recyclers and increasing recovery from end-of-life products such as electrical equipment, building wiring, white goods and industrial copper components. The improving scrap-collection ecosystem is an early structural marker of a maturing recycling market and is expected to play a critical role in supporting future capacity expansion and reducing dependence on imported scrap over the medium term.

Decreasing copper scrap imports; led to improved domestic scrap availability



Source: Jain Resource Recycling RHP

Another data indicates decreasing imported copper scrap as % of total copper scrap in India

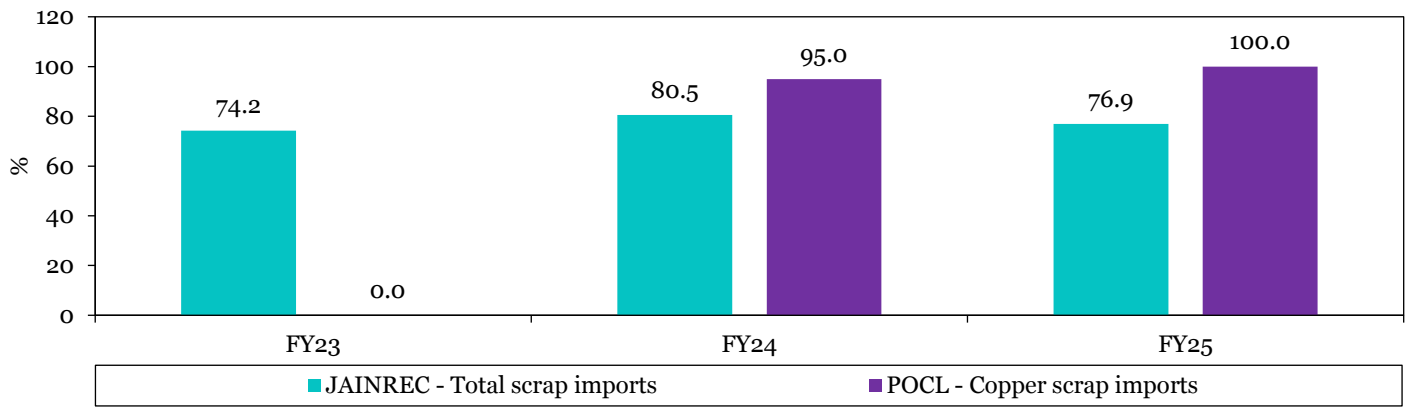


Source: Jain Resource Recycling RHP

Unlike the broader market trend where copper scrap imports have been declining, JAINREC and POCL have not reflected this moderation, as the availability of quality copper scrap for organised recyclers remains limited. A large proportion of domestic copper scrap continues to flow to the unorganised and unauthorised recycling ecosystem, where basic re-melting practices compromise purity and metallurgical properties. This results in sub-standard recycled copper—particularly in building wire and electrical applications—which has been linked to building fires, factory fires and electrocutions due to higher resistance and overheating.

A study by ICA India found that 26% of building-wire samples tested across India failed conductor-quality standards, with all failures traced to unlisted local brands operating outside formal compliance frameworks. In response, the Government of India has introduced a phased mandate requiring recycled copper content of 5% / 10% / 20% by FY28 / FY29 / FY31, aimed at improving material traceability, migration toward refined recycled copper and accelerating formal-sector participation.

Scrap imports of JAINREC and POCL



Source: Company, B&K Research; Note: JAINREC does not report copper scrap import, considering total scrap import; POCL's copper vertical started in FY24

Recycled content mandate by Indian government

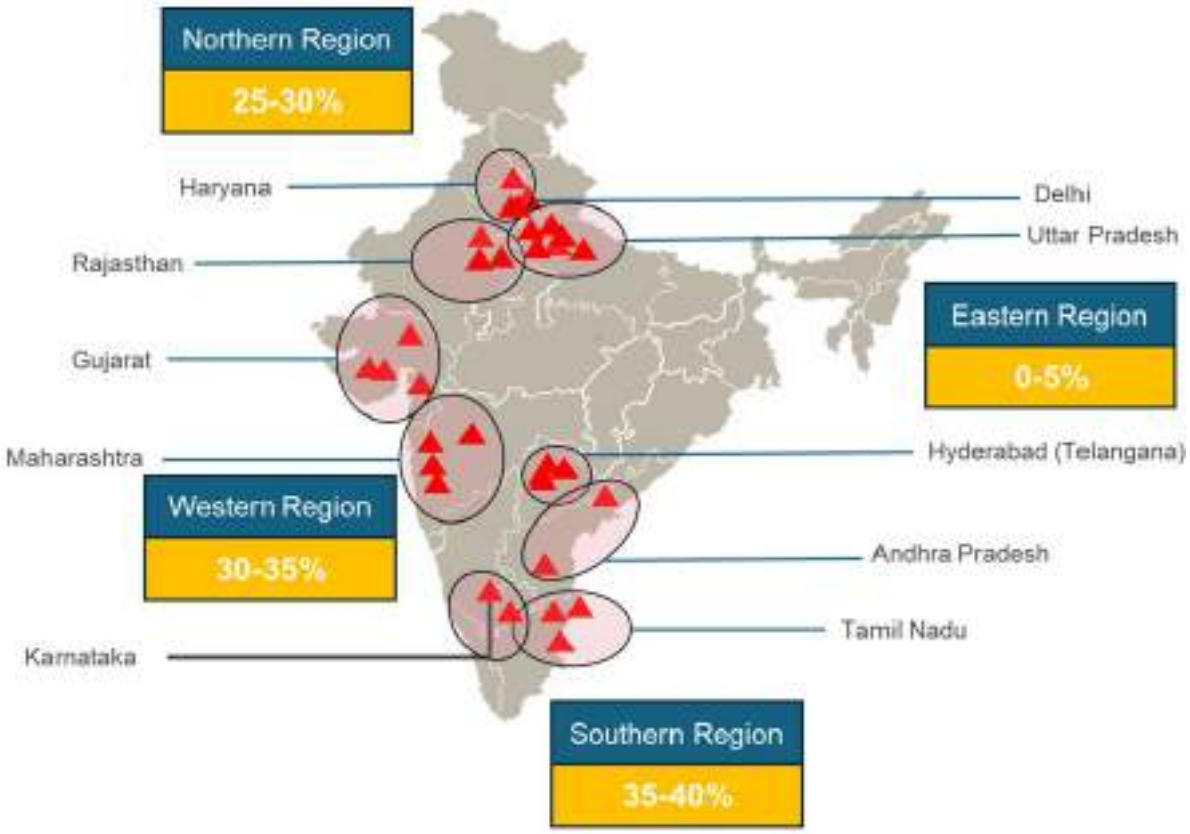
Metal (%)	FY28	FY29	FY31
Aluminium	5	10	10
Copper	5	10	20
Zinc	5	10	25

Source: CPCB, Jain Resource Recycling RHP

Concentration of copper recycling clusters in India

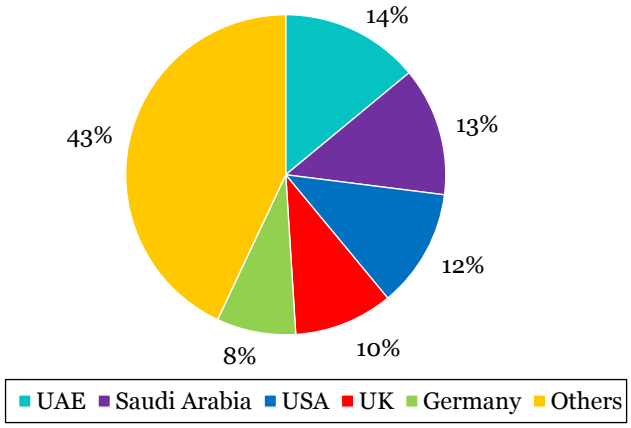
Approximately **35–40% of registered copper recyclers in India are concentrated in southern states**, reflecting the region's strong industrial ecosystem, export linkages and access to raw-material inflows through coastal logistics channels. Notably, both copper recyclers in our coverage universe operate facilities in **Chennai, Tamil Nadu**, strategically located near port infrastructure to optimise scrap import logistics and outbound finished-goods movement. This geographic concentration provides a competitive advantage in sourcing efficiency, turnaround time and cost structure, reinforcing southern India's position as a key hub for organised copper recycling capacity.

Region wise concentration of copper recyclers in India



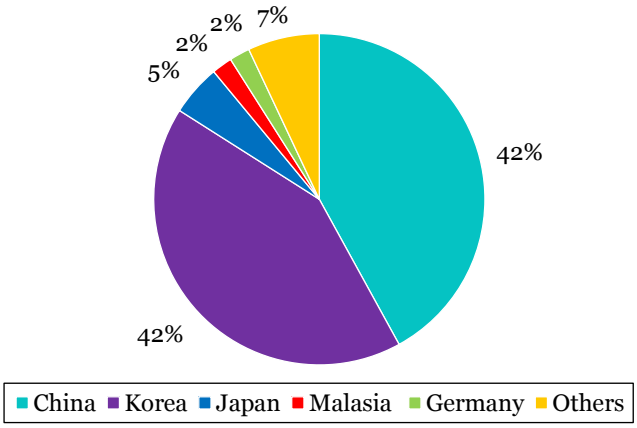
Source: Jain Resource Recycling RHP

India's copper scrap imports



Source: Jain Resource Recycling RHP

India's copper scrap exports



Source: Jain Resource Recycling RHP, B&K Research

JAINREC's overall business has historically had a high export concentration, with its top four customers based in China. However, customer concentration risk has been moderating as the company diversifies its client base. The contribution from the top four export customers has declined from 37.0% in FY23 to 18.2% in FY25, although top export customers are still China-based, but there is no segmental customer concentration provided by the management. Ongoing efforts to expand domestic offtake and onboard

new OEMs will be critical to further reducing geographical and customer concentration risk over the medium term.

Top 4 export customers for JAINREC

Customer	Country	FY25	as % of total sales from exports	FY24	as % of total sales from exports	FY23	as % of total sales from exports
Customer 1	China	2,836	6.5	1,721	7.4	2,589	16.4
Customer 2	China	2,756	6.3	2,258	9.7	2,284	14.4
Customer 3	China	1,435	3.3	35	0.2	0	0.0
Customer 4	China	913	2.1	678	2.8	974	6.2

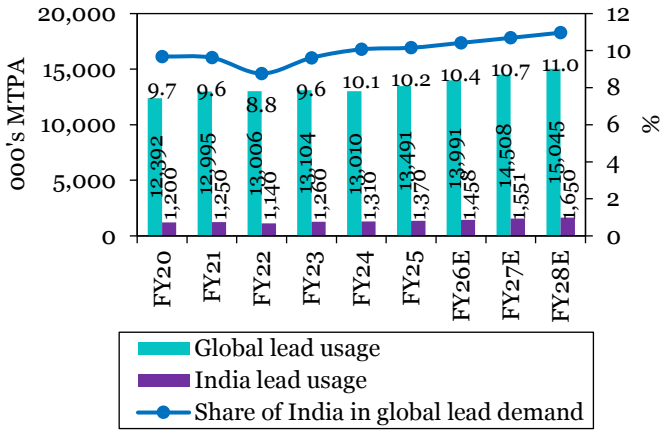
Source: Company, B&K Research

Lead industry section

The lead acid battery industry is the largest end user of both primary and secondary lead. A small portion of lead is utilised in cable sheathing and PVC stabilisers. Lead acid battery leads to 70-80% of lead demand globally. India's rising demand for lead acid batteries has led to increased demand contribution of India around the world, with demand contribution increasing from 9.7% in FY20 to 10.2% in FY25. India has outperformed the demand for lead growing at 2.7% versus the world 1.7%.

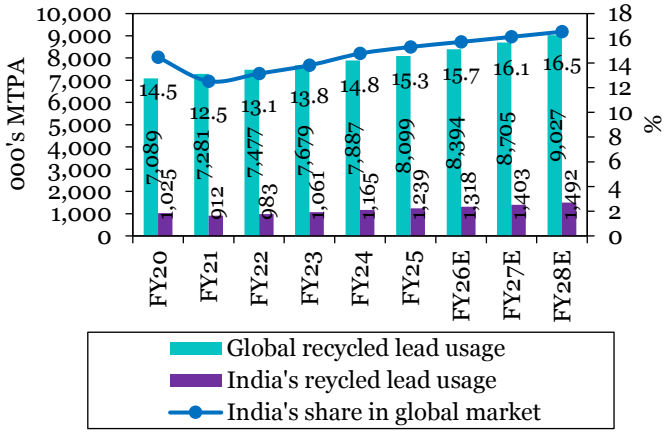
While India's lead recycling ecosystem has been robust having a 15.3% global market share and growing at 3.9% CAGR versus the world 2.7% CAGR. Primarily due to growing lead acid battery demand among auto OEMs. India stands as one of the highest lead recycled countries among the world with 85% of total lead demand in India comes from recycled lead.

Rising share of India in global lead demand



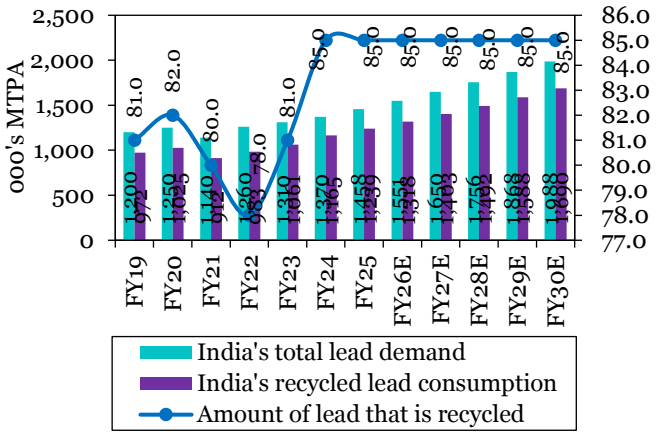
Source: Jain Resource Recycling RHP, B&K Research Estimates

India's lead recycling industry outperformed the global markets



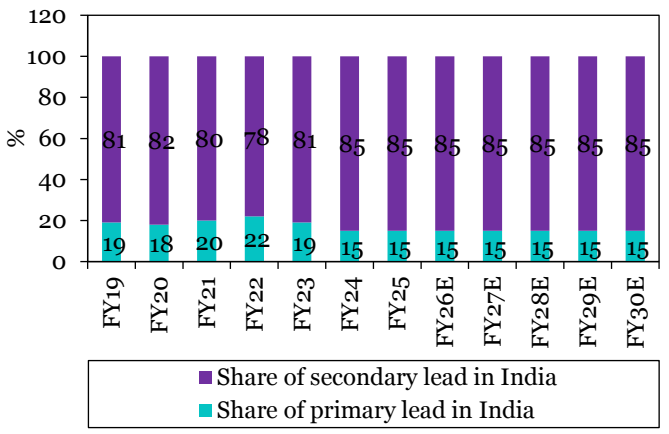
Source: Jain Resource Recycling RHP, B&K Research Estimates

India's recycles 85% of lead



Source: Jain Resource Recycling RHP

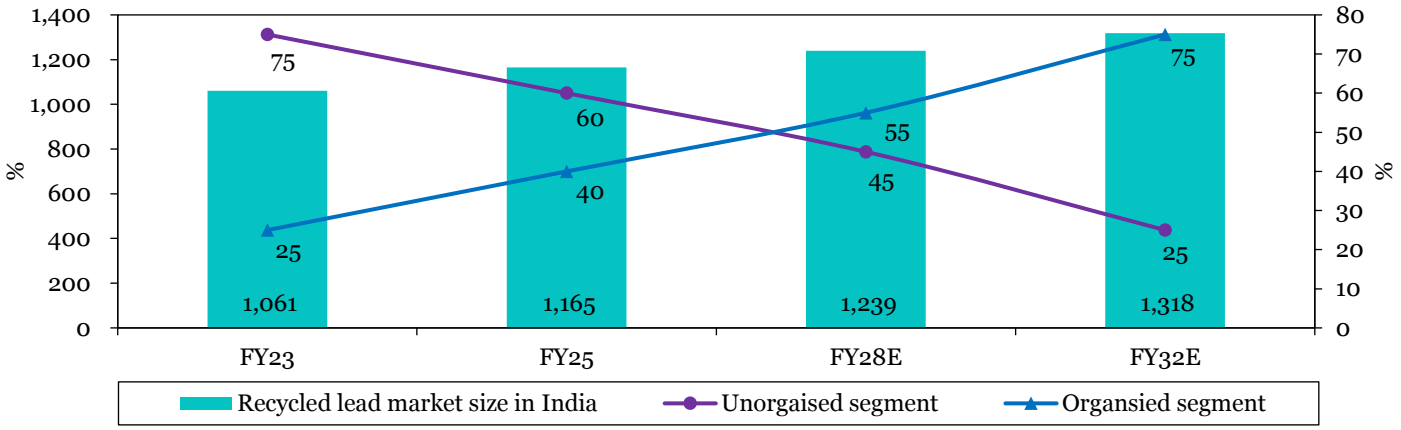
While the share of recycled lead to remain at 85% for projected years



Source: Jain Resource Recycling RHP

Although recycled lead already meets around 85% of India's total lead demand, a large portion continues to come from the unorganised ecosystem, which currently accounts for ~60% of total recycled lead output. This share, however, has been declining – falling from ~75% in FY23 to ~60% presently—as regulatory enforcement and traceability requirements tighten. The shift in market share toward formal players has been primarily driven by the implementation of EPR and BWMR regulations in 2022, which mandate compliance, reporting, and formal sourcing through registered recyclers. As enforcement improves and OEM-led traceable collection systems mature, we expect the organised sector's share to continue rising, supporting scale, product quality and pricing discipline across the industry.

Informal vs formal lead recycling trend in India



Source: Gravita India Annual Report, Investor Presentations

Impact of EPR on top non-ferrous metal recycling companies in India

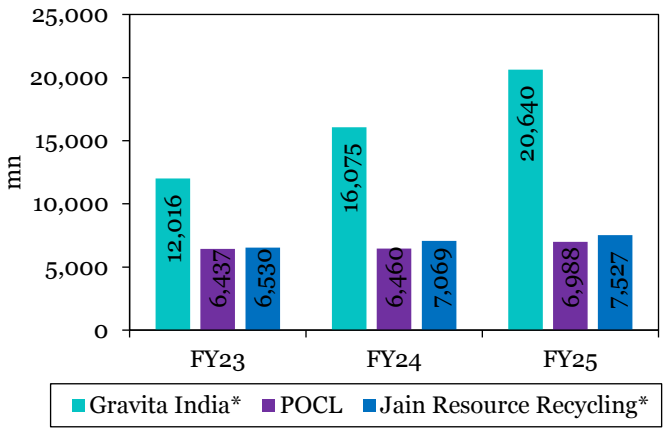
Minimum use of recycled content to increase the market share of organized recyclers

		Minimum use of the recycled materials out of total dry weight of a Battery (in %)			
Sr no	**Type of Battery**	**2027-28**	**2028-29**	**2029-30**	**2030-31 and onwards**
1	Portable	5	10	15	20
2	Electric Vehicle	5	10	15	20
		2027-28	2028-29	2029-30	2030-31 and onwards
3	Automotive	35	35	40	40
4	Industrial	35	35	40	40

Source: CPCB

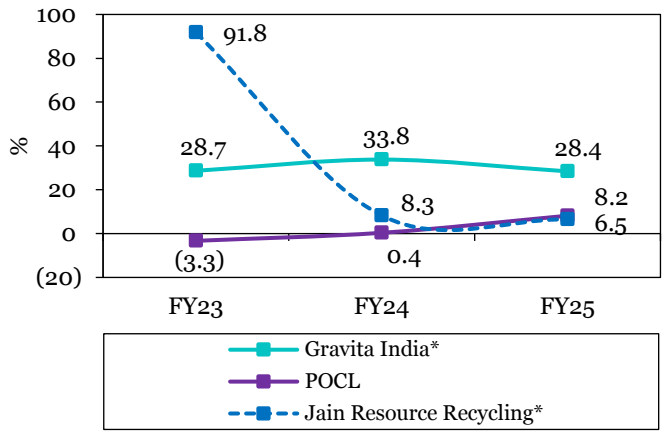
Gravita's domestic lead revenue has been the fastest growing among listed peers, supported by strong customer stickiness with large domestic OEMs, a diversified end-market portfolio and strategically located recycling facilities across key industrial clusters in India. In contrast, POCL and JAINREC have maintained relatively stable domestic revenue contributions, with growth in their lead recycling business predominantly driven by overseas markets. Their international presence, repeat orders and focus on value-added exports have been the key contributors to volume and revenue expansion outside India.

Domestic lead recycling revenue from key players



Source: Company, B&K Research; **Note:** Gravita and Jain recycling does not report segment wise domestic sales. The value derived is back calculated based on standalone performance. This value might have 2-5% deviation from the actual figures.

YoY growth of domestic lead recycling among the coverage universe



Source: Company, B&K Research; **Note:** Gravita and Jain recycling does not report segment wise domestic sales. The value derived is back calculated based on standalone performance. This value might have 2-5% deviation from the actual figures.

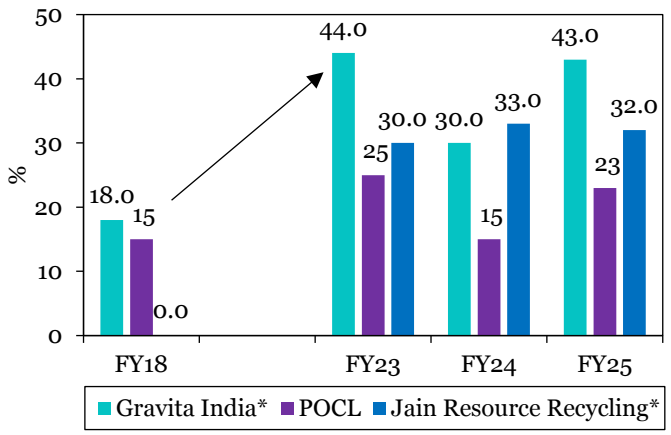
Recovery target as per EPR – to contribute to increase supply of domestic raw material and reduce the raw material availability to unorganized recyclers

		Recovery target for the year in percentage		
Sr No	**Type of Battery**	**2024-25**	**2025-26**	**2026-27 and onwards**
1	Portable	**70**	**80**	**90**
2	Automotive	55	60	60
3	Industrial	55	60	60
4	Electric Vehicle	70	80	90

Source: CPCB

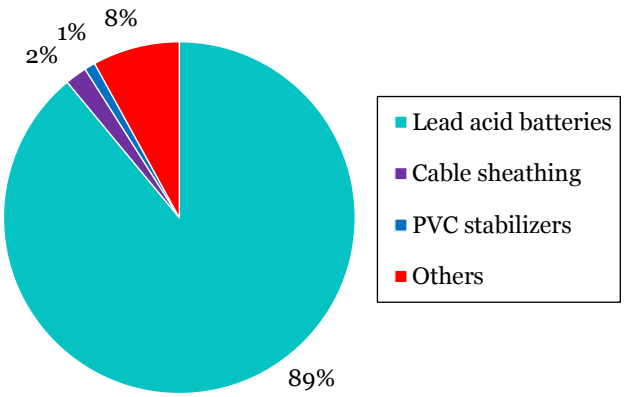
Gravita has already demonstrated a tangible benefit from the implementation of EPR and BWMR in India, with domestic raw-material sourcing improving meaningfully from 18% in FY18 to 44% in FY23. Despite continued capacity expansion over FY23–25, the company has been able to sustain this higher proportion of domestic scrap, reflecting the strengthening efficiency of formal collection channels, deeper supplier relationships and improved traceability under the regulatory framework.

Domestic lead sourcing improved due to EPR



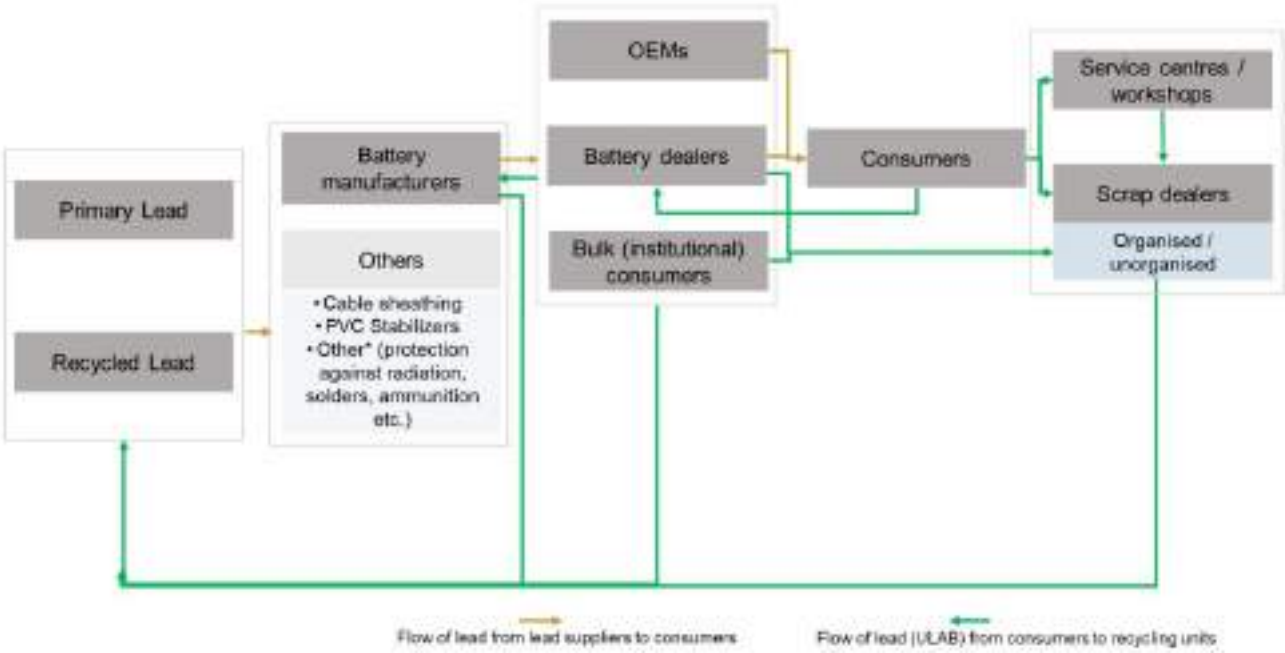
Source: Company, B&K Research, Management meetings

Applications of recycled lead as on FY25



Source: Jain Resource Recycling RHP

Value chain of lead recycling

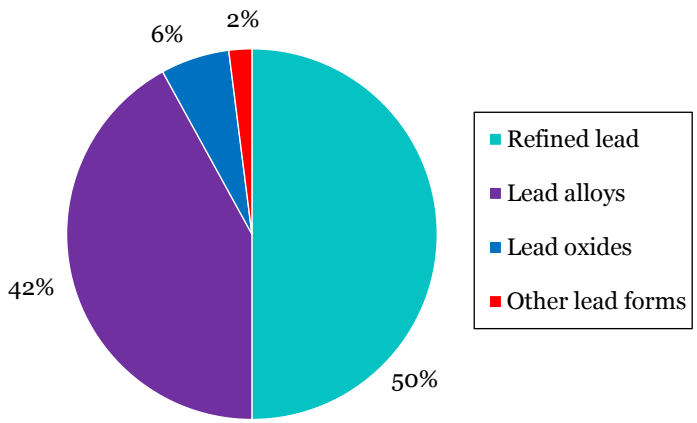


Source: Jain Resource Recycling RHP

Product wise breakup of recycled lead

India's lead demand is largely driven by the battery ecosystem, with refined lead accounting for ~50% of consumption, primarily used in manufacturing lead-acid batteries, alongside applications in ammunition, galvanising and cable sheathing. Lead alloys represent ~42% of total demand and cater to a wide range of applications including batteries, solders and industrial uses, with commonly consumed alloy grades such as lead–calcium, lead–antimony–selenium, lead–copper and lead–tin. Lead oxides comprise ~6% of demand, largely used in battery plates, electroplating anodes and sulphuric acid tank lining. The remaining ~2% of demand includes other forms of lead such as sheets, pipes, plates, bricks, wool and powder, which together represent a relatively small niche share of the market.

End forms of recycled lead



Source: Jain Resource Recycling RHP

How big are Gravita, Pondy oxides and Jain recycling in India?

No. of registered lead recyclers in India as per CPCB website	672
Total capacity	35,30,000
Capacity per recycler	5,253

Capacity of Gravita India (FY25)	2,36,559
Capacity of Pondy Oxides (FY25)	1,32,000
Capacity of Jain Recycling (FY25)	1,70,352

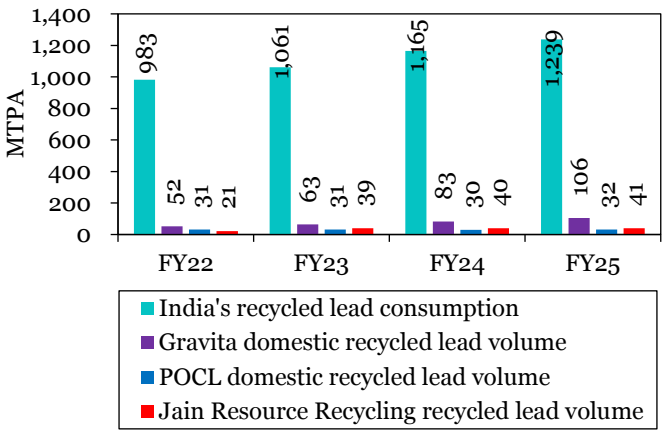
Share of Gravita India (%)	6.8
Share of Pondy Oxides (%)	4.8
Share of Jain Recycling (%)	4.8

Source: Jain Resource Recycling RHP, B&K Research

Market size based on domestic sales volume

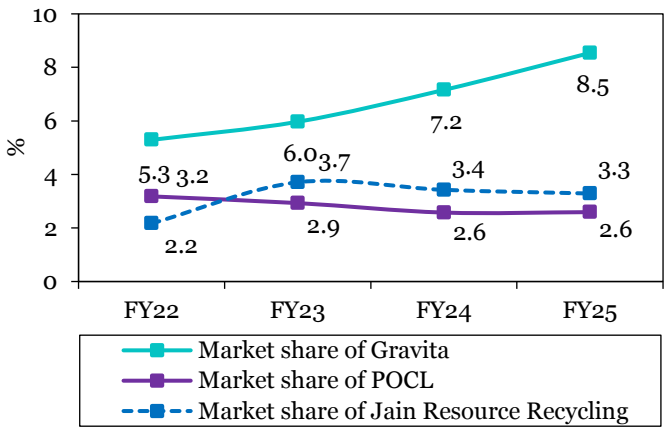
Based on domestic lead volume sales, the combined market share of Gravita India, POCL and JAINREC stands at 14.4%. Within this group, Gravita has been the clear market-share gainer, increasing its share from 5.3% in FY22 to 8.5% in FY25, supported by strong domestic OEM relationships and a wider sourcing and operational footprint. JAINREC has also expanded its position, albeit at a more gradual pace, rising from 2.2% in FY22 to 3.3% in FY25 as it scales capacity and customer penetration. In contrast, POCL's domestic market share has moderated, reflecting its strategic tilt toward exports, where the company derives 64.5% of revenue from exports as of FY25. POCL's market-share trend therefore reflects portfolio orientation rather than demand weakness, as domestic volumes remain stable while export-led growth remains its primary focus.

India's recycled lead vs key players domestic lead volumes, a long runway for even large players



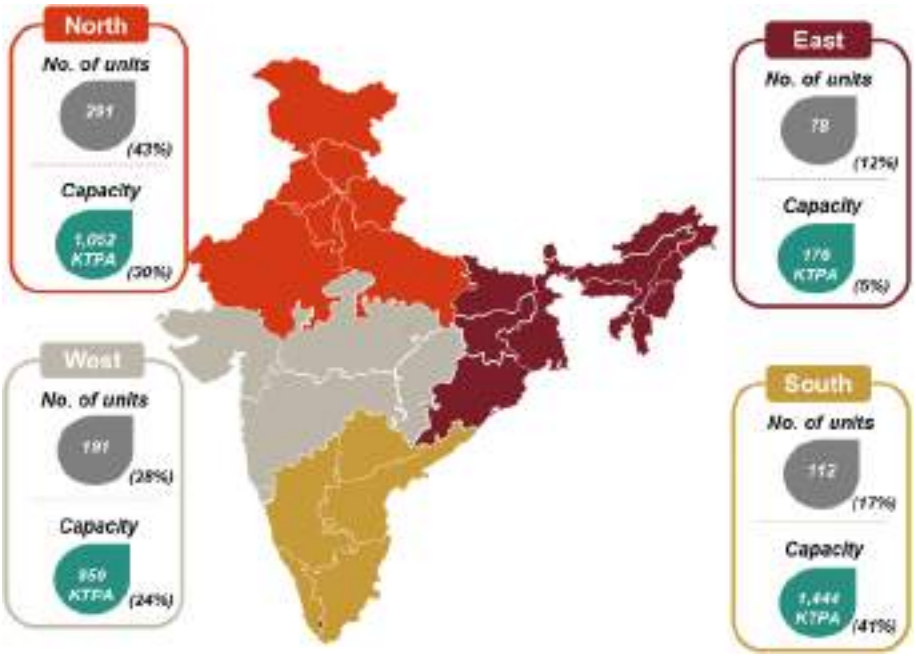
Source: B&K Research

Market share of key players in lead recycling based on domestic sales



Source: B&K Research

Geographical share of lead recyclers in India



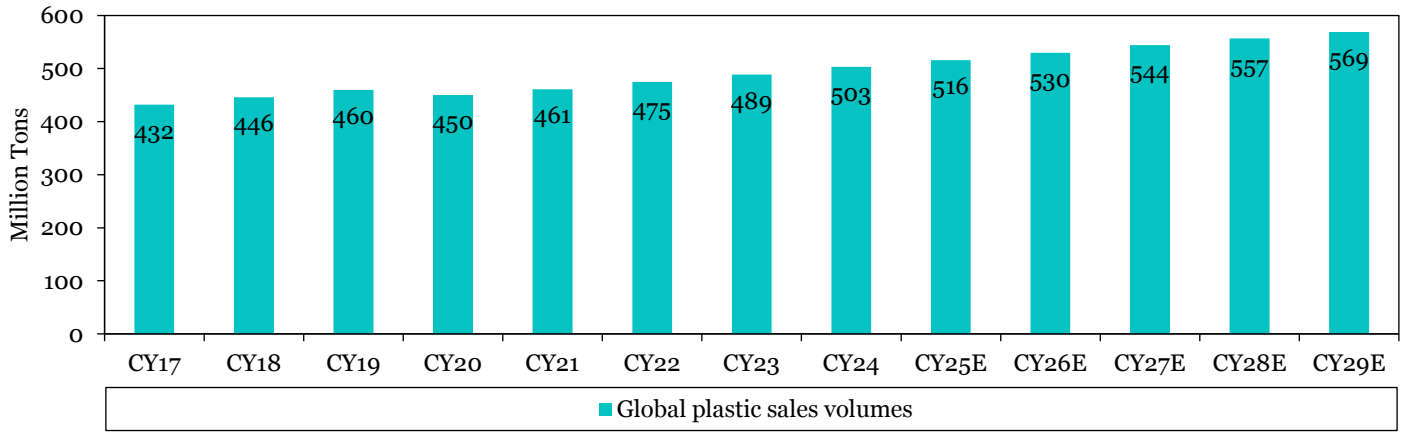
Source: Jain Resource Recycling RHP

Plastic Recycling: Global and Indian Scenario

Global Plastic Supply and Consumption

Global plastic consumption has grown at a 2.2% CAGR over CY17–24, supported by increasing usage across packaging, mobility, construction and industrial applications. Looking ahead, total plastics demand is expected to grow at a slightly higher 2.5% CAGR over CY25–29E, reflecting sustained material penetration across consumer goods, retail, FMCG packaging and infrastructure end-markets.

Global plastic sales volume to grow at 2.5% CAGR over CY25-29

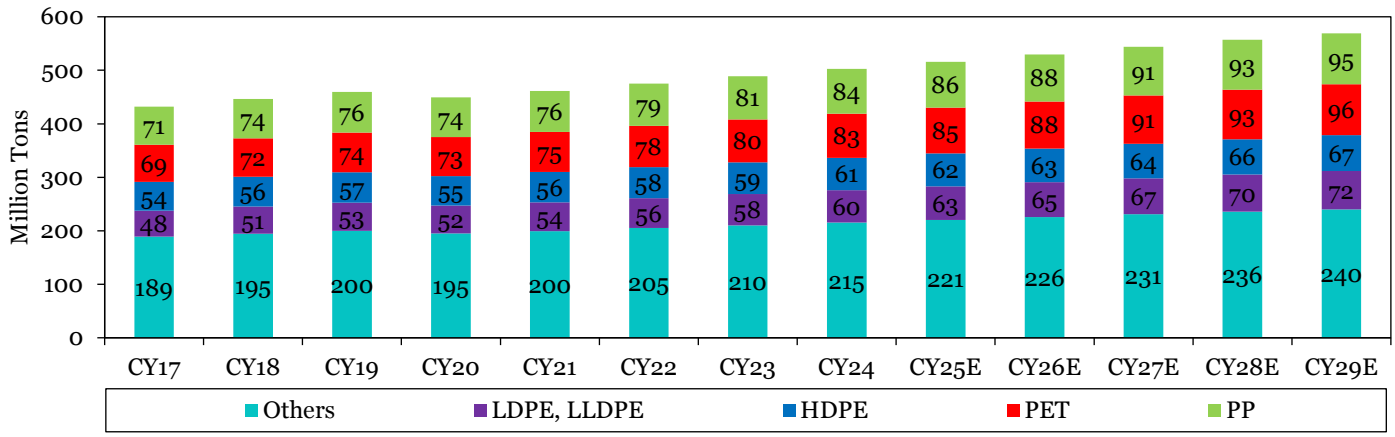


Source: Ganesha Ecosphere Annual Report

By 2029, PET is expected to become the largest material category within the global plastics market, accounting for 16.8% of total demand, marginally ahead of polypropylene (PP) at 16.7%. PET's dominance is supported by its extensive use in packaging—particularly beverages, FMCG and food-contact applications—along with its recyclability profile and increasing adoption in circular-material supply chains. Other major polymer categories are expected to include LDPE/LLDPE at 12.6%, HDPE at 11.7%, while the remaining 42.2% will comprise additional polymer grades used across diverse industrial, mobility, retail and infrastructure applications.

(PP: Polypropylene; PET: Polyethylene Terephthalate; HDPE: High-Density Polyethylene; LDPE: Low-Density Polyethylene)

Rising share of PET in global plastic demand

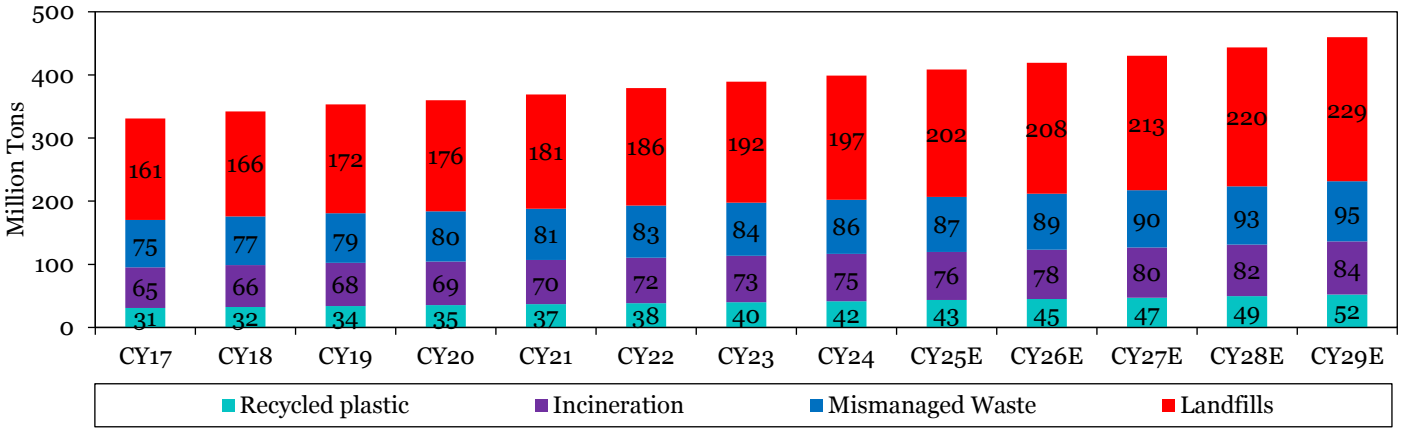


Source: Ganesha Ecosphere Annual Report

Global recycled Plastic market

In 2024, only ~**10% of global plastic waste was recycled,** while approximately **50% was disposed of in landfills** and the remaining **~40% was either incinerated, openly dumped or leaked into the environment.** The imbalance highlights the structural gap between plastic consumption and waste-management systems globally. Since the 1950s, an estimated **~80% of all plastic ever produced has accumulated in landfills or natural ecosystems,** underscoring the scale of environmental legacy and the accelerating need for circularity, regulatory enforcement and scalable recycling infrastructure.

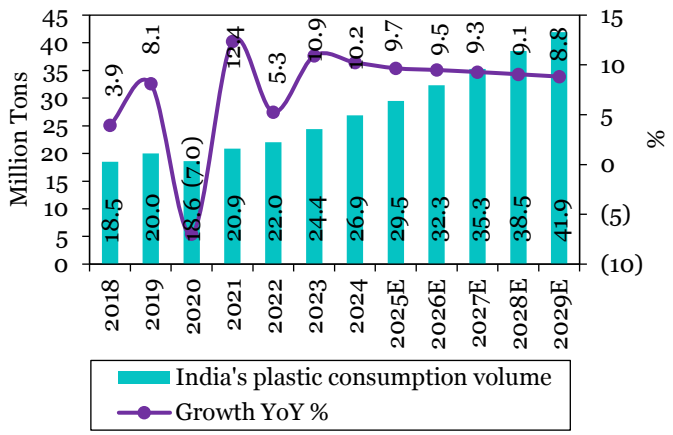
Only ~10% plastic is recycled globally, plastic recycling to increase globally



Source: Ganesha Ecosphere Annual Report

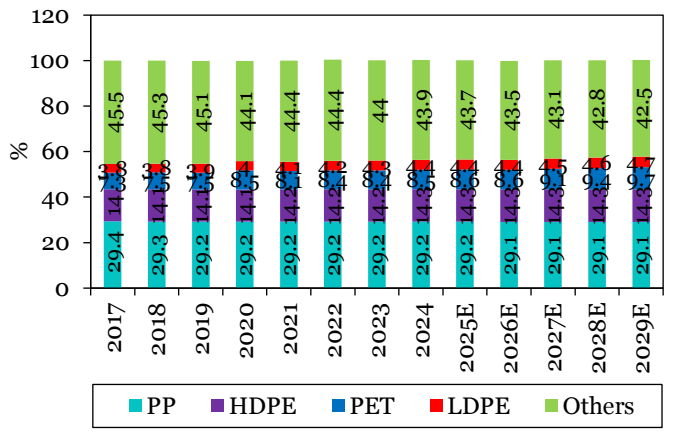
India's plastic consumption stood at 26.9 mn tons in CY24 and has historically grown at a 6.1% CAGR. However, with increasing penetration of plastics across packaging, automotive, textiles, mobility, e-commerce logistics and industrial applications, domestic consumption is expected to accelerate. Plastic demand in India is projected to grow at a 11.4% CAGR over CY24–29E, reflecting rising per-capita usage, substitution of traditional materials and structural expansion in downstream manufacturing and packaging industries.

India's domestic plastic consumption to grow at 9.2% CAGR



Source: Ganesha Ecosphere Annual Report

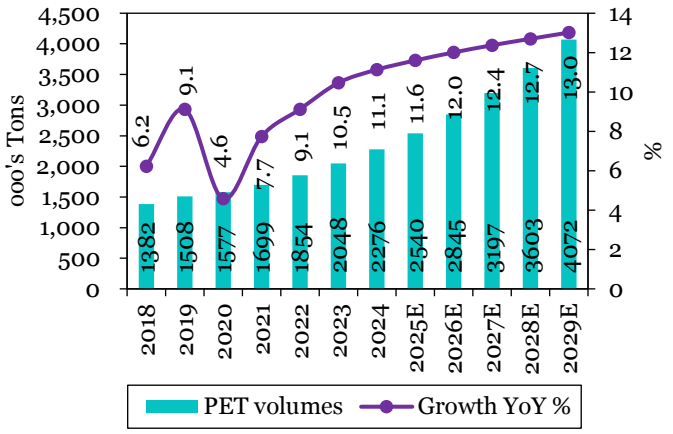
Segment breakup of market share of different types of plastics in India, with PET being the fastest growing



Source: Ganesha Ecosphere Annual Report

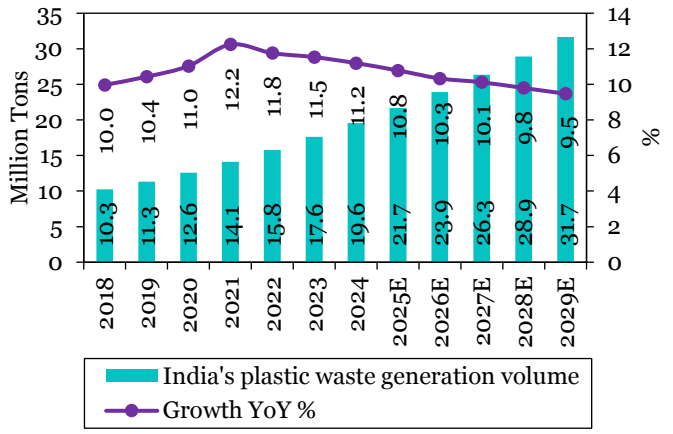
India's PET market is the fastest-growing segment within the domestic plastics ecosystem and is expected to expand at a 12.3% CAGR over CY24–29, driven by increasing usage in beverage packaging, FMCG, personal care and food-contact applications. The market remains highly consolidated, with Coca-Cola accounting for ~60% share and Pepsi holding an estimated 15–20% share, underscoring the dominance of large global beverage brands in dictating material demand and recycling requirements for food-grade PET in India.

PET plastic to be fastest growing segment, with 12.3% CAGR over CY24-29



Source: Ganesha Ecosphere Annual Report

India's plastic waste generation volume to grow to 32 mn tons by CY29



Source: Ganesha Ecosphere Annual Report

EPR on Plastic waste management

Obligations for recycling in India

Recycling Target (%)	FY25	FY26	FY27	FY28
Rigid Plastics	50	60	70	80
Flexible Packaging	30	40	50	60
Multi-Layer Packaging	30	40	50	60
Compostable Plastic	50	60	70	80

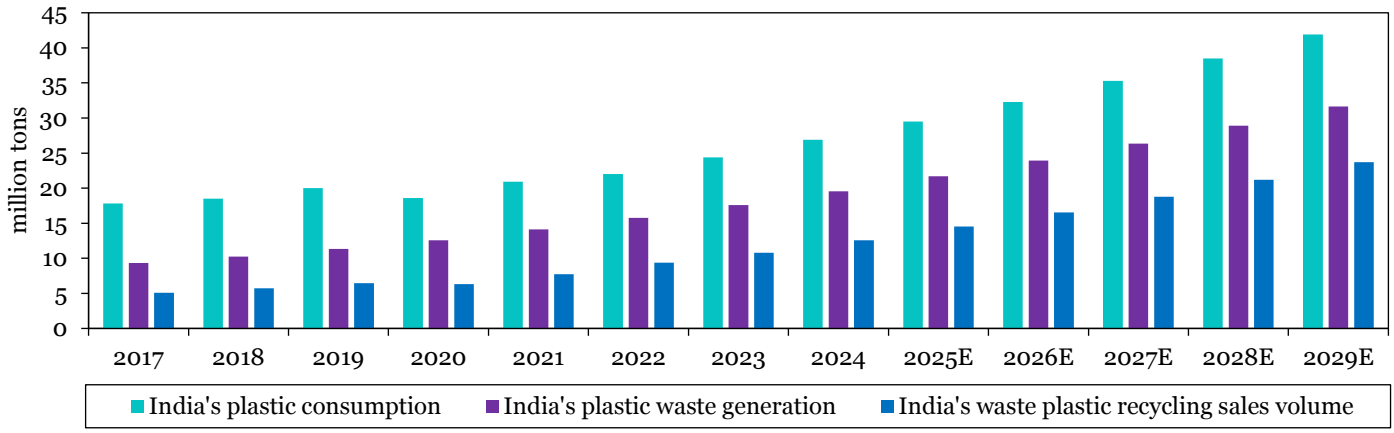
Recycling Content Use Target (%)	FY26	FY27	FY28	FY29
Rigid Plastics	30	40	50	60
Flexible Packaging	10	10	20	20
Multi-Layer Packaging	5	5	10	10
Compostable Plastic	0	0	0	0

Reuse target	FY26	FY27	FY28	FY29
Rigid Plastics	10	15	20	25
Flexible Packaging	0	0	0	0
Multi-Layer Packaging	0	0	0	0
Compostable Plastic	0	0	0	0

Penalties for producer/brand owner for violating PWMR

Provision	Violator	Violation	Environmental compensation
Environmental Compensation shall be levied based upon polluter pays principle, respect with to nonfulfillment of EPR targets Producers, by Importers & Brand Owners	Producer, Importers & Brand owners	Shortfall in EPR target in any of the followings types: 1. Recycling 2. End of life recycling 3. Mandated use of recycling content	EC to be levied @ Rs.5000/- per ton (@ Rs.10000/- per ton for 2nd time and @ Rs.20000/- per ton for 3rd time). EC can be carried forward up to 3 years as per EPR guidelines

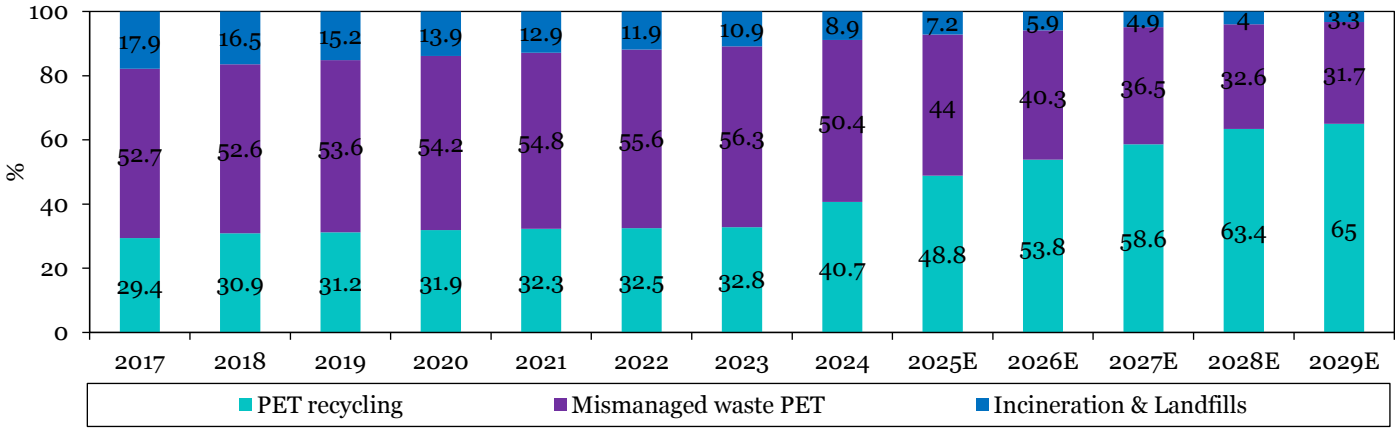
Plastic waste recycling in India



Source: Ganesha Ecosphere Annual Report

India currently recycles ~64% of the plastic waste generated, although a significant portion of this activity remains within the informal ecosystem. In CY24, India generated 19.6 mn tons of plastic waste, of which 12.5 mn tons was recycled, highlighting both a relatively high recycling rate by global standards and a structural gap in quality, traceability and compliance. Among polymer categories, PET recycling is the fastest-growing segment, supported by the government's mandate requiring 30% recycled content in rigid plastics from FY26, followed by an incremental 10% increase each year through FY29. The regulatory framework, combined with rising adoption of food-grade rPET by FMCG and beverage brands, is expected to accelerate formalisation and capacity expansion across the PET recycling value chain.

Majority of PET plastic goes to mismanaged in India, calling for improved collection mechanism



Source: Ganesha Ecosphere Annual Report

EPR regulations are expected to materially improve plastic-waste collection efficiency in India, while mandated recycling targets, recycled-content obligations and reuse requirements will act as structural tailwinds for organised recycling companies. Within this evolving regulatory landscape, GNPL remains the clear market leader with an estimated ~10% share of India's rPET market and is among the few players with FSSAI approval to supply food-grade rPET granules. The company's current 42,000 TPA

capacity is operating at over 80% utilisation, demonstrating strong offtake from beverage, FMCG and packaging customers and reinforcing GNPL's competitive position as formalisation and compliance requirements accelerate adoption of high-quality recycled PET.

FSSAI approved recyclers

FSSAI approved recyclers	rPET granules capacity November 2025
Ganesha Ecopet	42,000
Srichakra Polyplast Pvt. Ltd.	42,000
Ester Ltd.	28,000
Uflex Ltd.	10,020
Reliance Industries	6,000
Indorama JV with Varun Beverages	delayed
JB Ecotex Pvt. Ltd.*	NA
Dodhia Synthetic Limited*	NA
Safar Ecopet*	NA
Revalyu Recycling (India) Private Limited*	NA
Ribotl Solutions Private Limited*	NA
Rungta Eco Extrusions Pvt. Ltd.*	NA
Dalmia Polypro Industries Private Limited*	NA

*Conditional authorisation granted for 90 days.

Impact of draft notification from MoEFCC on plastic recycling companies

With the government mandating 30% recycled content in rigid plastics starting FY26, structural tailwinds have emerged for rPET recyclers. However, the current installed capacity of FSSAI-approved rPET-granule manufacturers stands at ~128,020 TPA, significantly below the estimated domestic requirement of ~350,000 TPA for FY26. This supply shortfall has been driven by (1) the capex-intensive nature of rPET technology, (2) long lead times for procuring and commissioning advanced washing and decontamination equipment, and (3) delays in obtaining FSSAI approvals.

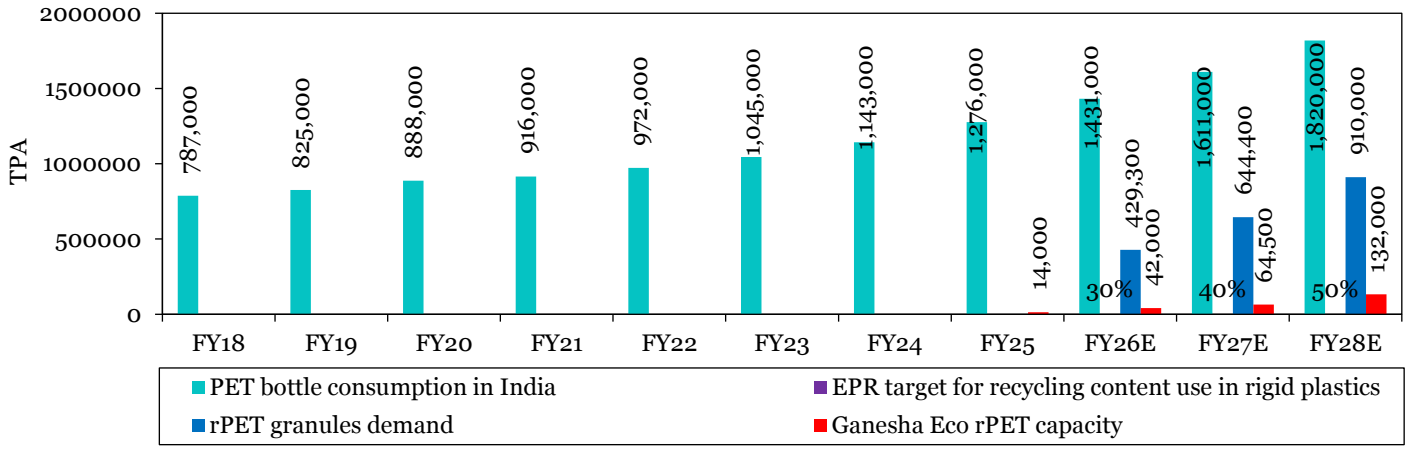
To partially address the deficit, FSSAI recently approved seven additional manufacturers for a 90-day operational window, which is expected to add another 60,000-70,000 TPA, taking total capacity to ~2,00,000 TPA. However, even this expanded capacity remains well below the requirement for 30% recycled-content compliance.

Recognising the supply–demand imbalance, the MoEFCC released a draft notification in June 2025, proposing that the unmet FY26 recycled-content obligation can be carried forward for three years (until FY29). This provides recyclers additional time to ramp up capacities and allows FMCG and packaging companies to gradually integrate recycled plastics into their supply chains.

Following this draft notification, several large FMCG companies deferred or paused orders to GNPL, given the uncertainty around near-term compliance timelines. As of today, there is no formal clarification on the recycled-content requirement for FY27; however, under the existing PWMR framework, mandated levels remain 40%/50%/60% for FY27/FY28/FY29, respectively.

We view the draft notification as a supply-constraint-driven extension, not a dilution of long-term EPR intent. Accordingly, we have factored in the FY26 deferment into our near-term estimates. Even if the minimum mandated levels were revised to 30%/40%/50% for FY27–29E, we expect GNPL's entire rPET-granules capacity to operate at optimum utilisation, given its scale, early-mover advantage, and FSSAI-approved food-grade capability, robust raw material procurement network, In-house PET flakes washing lines. Moreover, competitive capacity additions are still likely to lag demand, supporting strong offtake for GNPL as recyclers race to bridge the structural supply gap.

Long runway for Ganesha ecosphere post PWMR for rigid plastic implementation in India



Source: B&K Research

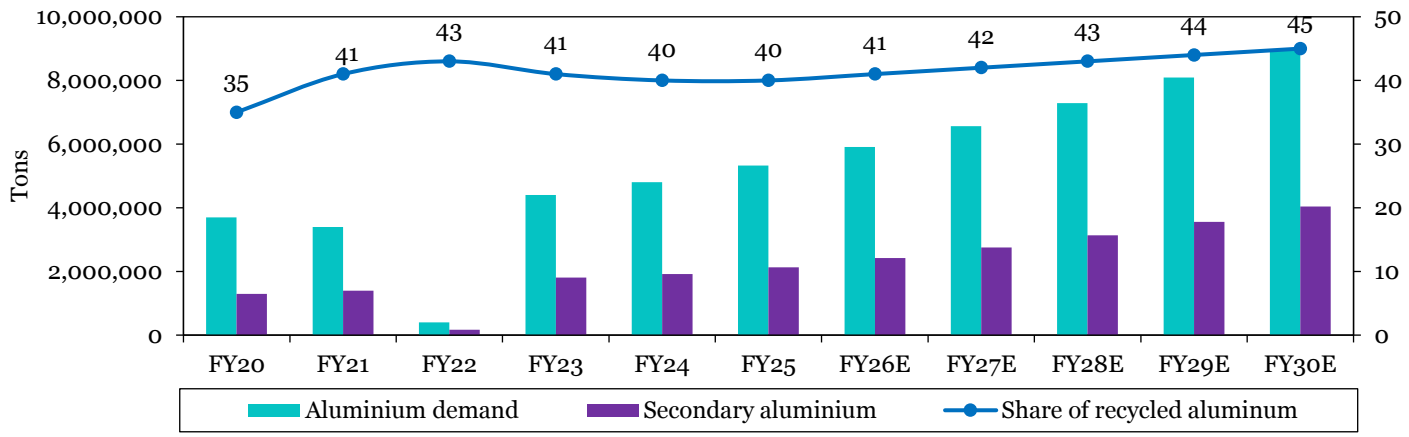
Key partnership announced by Coca-Cola, Pepsi co

Company	Partnership
Coca cola	Ganesha Ecosphere
Pepsi Co	Srichakra Polyplast
Varun beverages	Indorama Ventures

Initiatives around the world for rPET

Country	Regulation
USA	USA has state wise recycling targets of EPR under Recycling Modernization Act (RMA), However, on an average 25% should be the recycled content by CY25, 50% by CY30
Europe	Beverage bottle manufactured from CY25 to contain, 25% recycled plastic and 30% by CY30
India	30% recycled plastic to be used in new produced plastic packaging

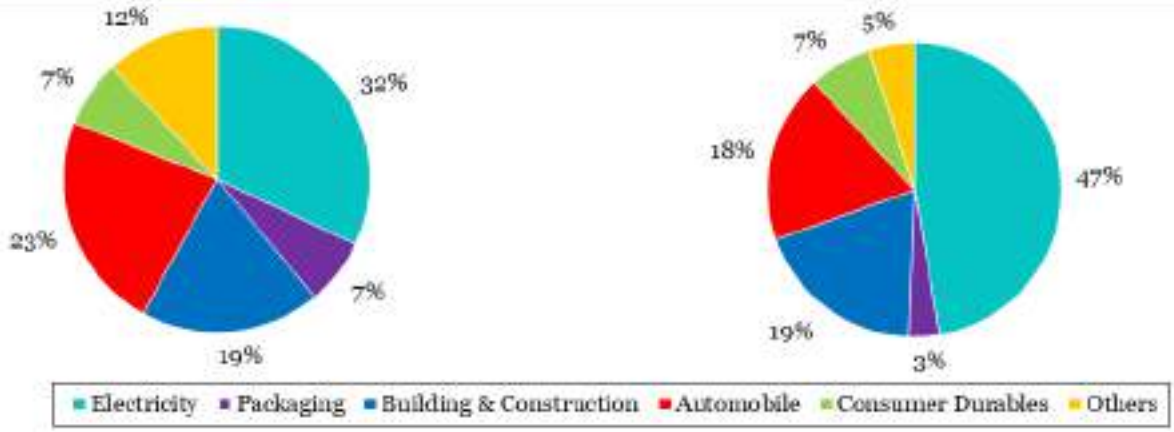
India's increasing share of aluminium recycling



Source: Jain Resource Recycling RHP

Demand for total aluminium to grow at 11% CAGR over FY25-30E, while demand for recycled aluminium to grow at 13.6% with increasing recycling percentage of aluminium from 40% in FY25 to 45% in FY30E.

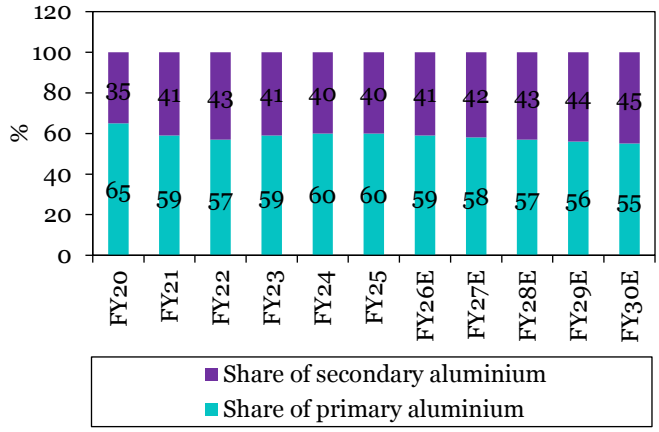
Aluminium use case in India as on FY24



Aluminium use case in India as on FY30

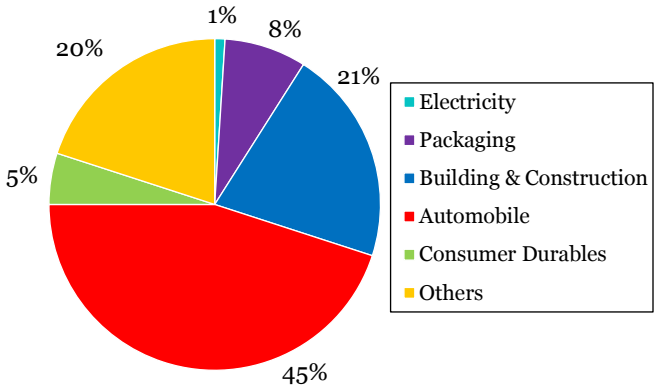
Source: Jain Resource Recycling RHP

Gradual increase in share of recycled aluminium



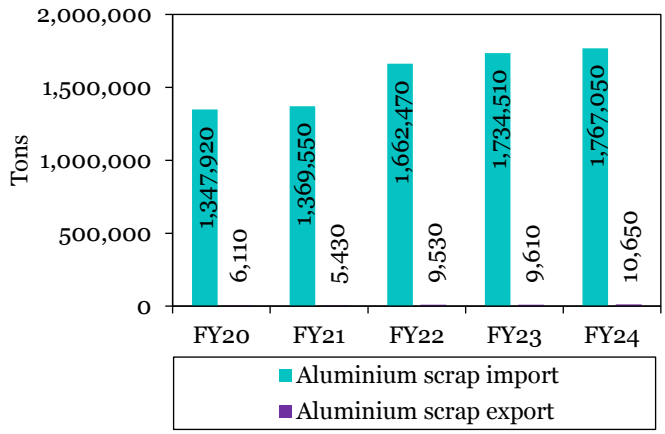
Source: Jain Resource Recycling RHP

Recycled aluminum major use case in automobile



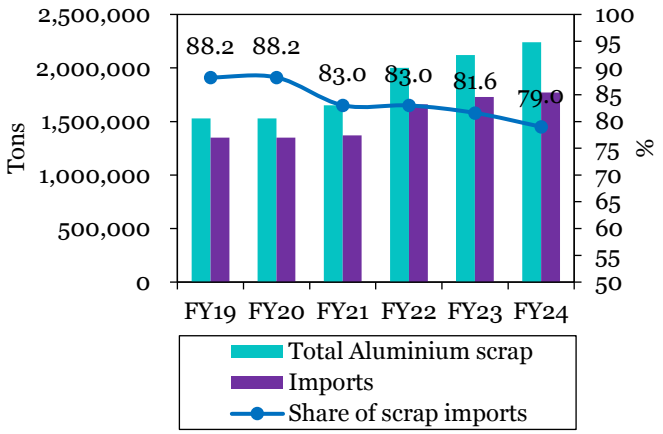
Source: Jain Resource Recycling RHP

Aluminium scrap imports to remain high due to lack of aluminium scrap collection system in India



Source: Jain Resource Recycling RHP

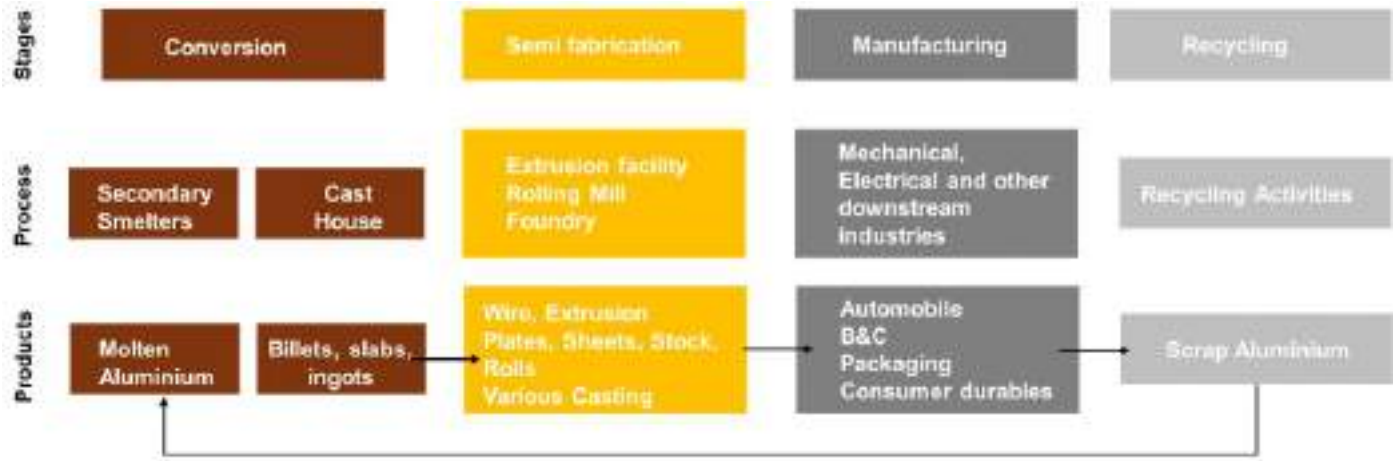
Aluminium scrap imports decreased from 88% to 79%



Source: Jain Resource Recycling RHP

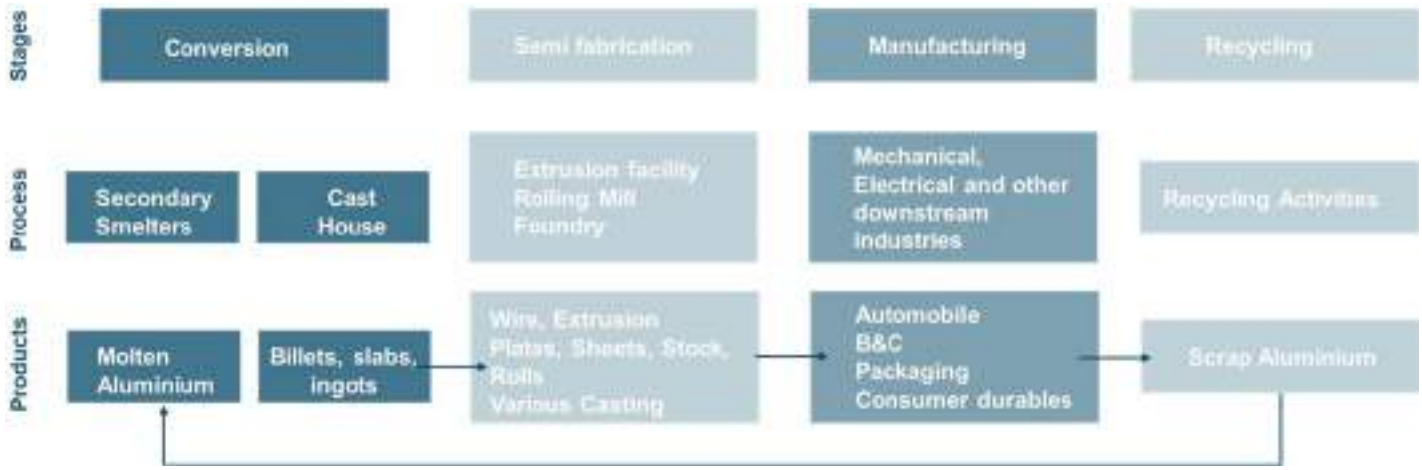
Aluminium scrap imports have decreased from 88% in FY19 to 79% in FY24. However, majority of the aluminium recycling companies have imported ~100% of scrap. This situation is due to lack of aluminium scrap collection centers in India.

Aluminium recycling lifecycle



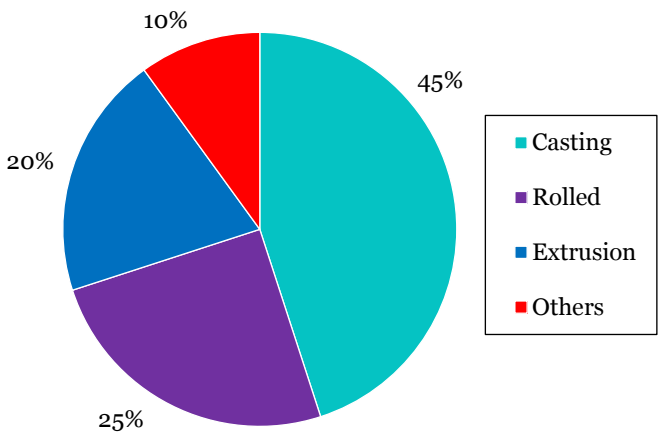
Source: Jain Resource Recycling RHP

Secondary Aluminium value chain



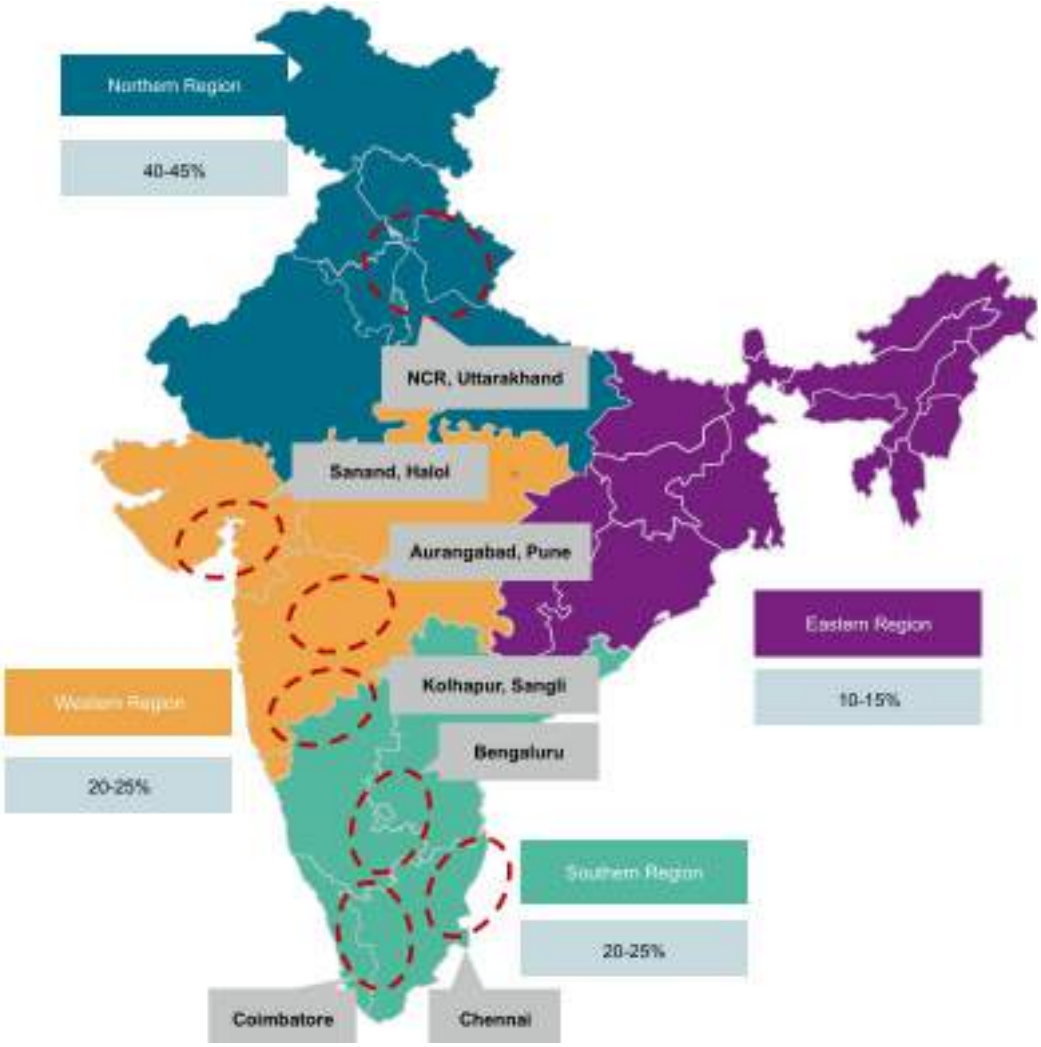
Source: Jain Resource Recycling RHP

Product wise aluminium usage



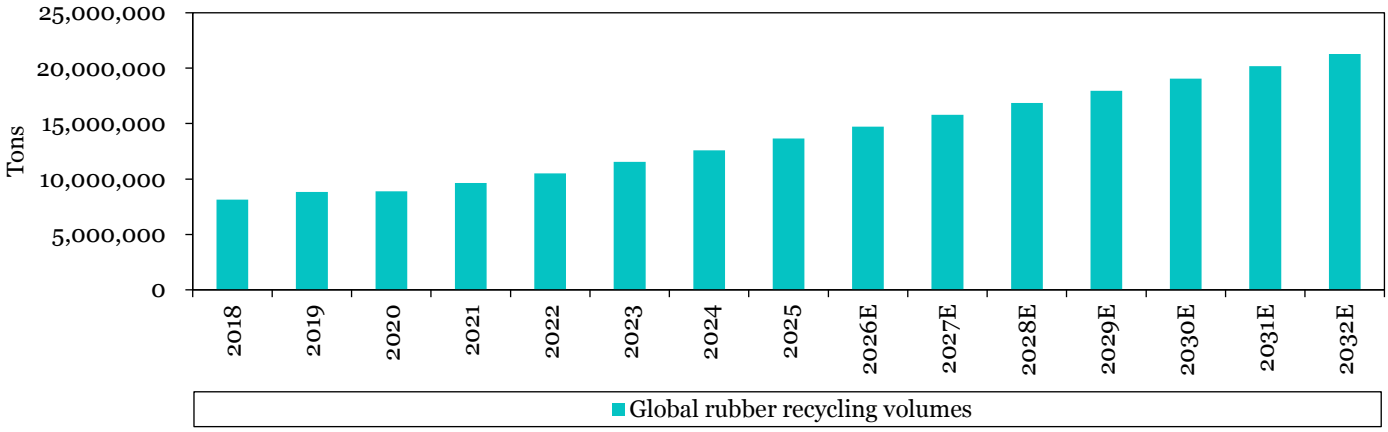
Source: Jain Resource Recycling RHP

Aluminium recycling areas concentration in India



Source: Jain Resource Recycling RHP

Global rubber recycling volumes to grow at 6.6% CAGR over FY25-32

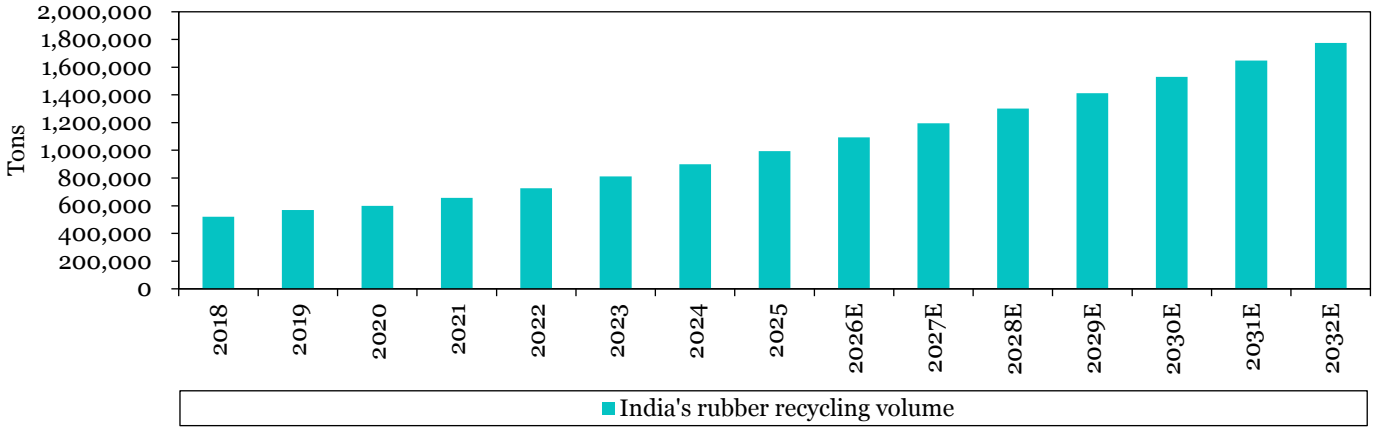


Source: Gravita India Annual Report

Government policies are supporting growth of rubber recycling. The European Union, the United States, and several Asian countries are implementing stricter rules on waste management and landfill use. These regulations encourage recycling and make it more attractive for industries to invest in scalable rubber-recycling technologies.

In terms of geography, Asia-Pacific dominates the global market, representing 52% of total rubber recycling in 2025. It is followed by North America (24%), Europe (18%), Latin America (4%), and Middle East & Africa (3%). Asia-Pacific leads due to high tire consumption, large populations, strong manufacturing bases and rapid adoption of recycling technologies

India rubber recycling volumes to grow at 8.6% CAGR over FY25-32



Source: Gravita India Annual Report

The India rubber recycling market has grown rapidly in recent years, at 9.7% CAGR from 2018 to 2025. Rubber recycling in India mainly involves reprocessing discarded materials—especially used tyres and industrial rubber waste—into useful products like crumb rubber, reclaimed rubber, playground surfaces, molded items, and materials used for road construction. This helps reduce landfill pressure, conserve natural resources, and support sustainability goals. India has made significant progress in recycling technologies. Many plants now use pyrolysis, which converts waste tires into fuel oil, gas,

and recovered carbon black, while other players use devulcanization to soften and reuse rubber.

Regionally, Western and Central India dominate the market with a 40% share, due to larger industrial activity and presence of tyre manufacturers. They are followed by Southern India (28%), Northern India (22%), and Eastern India (10%).

Tyres remain the largest source of recyclable rubber in India, contributing 70% of total recycling volume. Other sectors include conveyor belts and hoses (10%), footwear (6%), and miscellaneous applications (14%).

Comparative analysis of on rubber recycling around the world

India, Europe, the USA and China all generate large amounts of waste tires, and tire recycling is the main proxy for rubber recycling. But the recycling performance is very different across these regions.

India recycles only about 30% of its end-of-life tires through the formal system. A large part still goes to the informal sector, especially small pyrolysis units and unregistered retreaders. India introduced Extended Producer Responsibility (EPR) for waste tyres only in 2022, so the system is still new. Under EPR, tyre companies must register with the pollution board, track tyres, and buy recycling certificates from approved recyclers, but enforcement is still maturing.

In contrast, Europe has the world's strongest tire-recycling framework. It recycles or recovers 90–95% of all end-of-life tires. Most EU countries have mandatory EPR systems where tyre companies are required to finance nationwide collection, transportation, shredding, and material recycling. There are strict bans on landfilling tyres, penalties for non-compliance, and a stable "eco-fee" system that funds the entire recycling infrastructure. As a result, almost all tyres are collected, and more than half are converted into crumb rubber, rubber granules, playground surfaces, or used in roads.

The USA operates mostly through state-level laws. Even without a federal EPR rule, about 70–80% of tyres are recycled or used in legal end-markets. Many states collect tyre fees, regulate stockpiles, fund clean-ups, and support recycling markets like rubberized asphalt, civil engineering uses and crumb rubber. A few states have started formal EPR laws, making rules stricter.

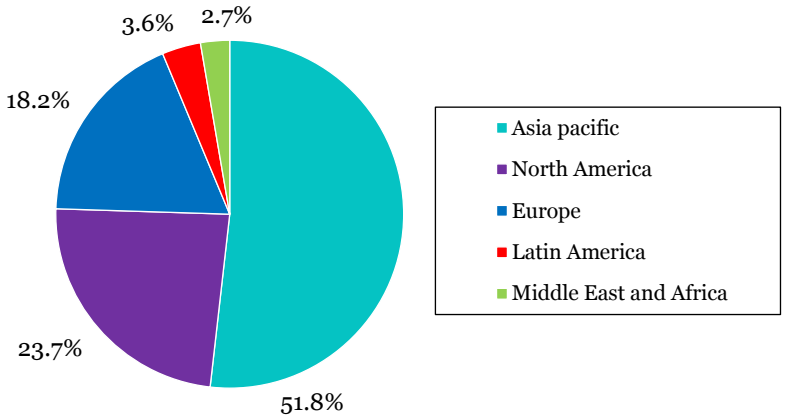
China recycles roughly 50–60% of its waste tyres. China acknowledges tyre waste as a major environmental issue and is strengthening EPR-style policies, but recycling quality varies because economic incentives are not yet fully aligned, and recyclers sometimes pay for collection.

EPR on rubber in India

Financial Year of Obligation (Year Y)	Target for Producers – % of new tyres manufactured/imported in the relevant base year	Base year for calculation
2022-23	**35 %** of quantity of new tyres manufactured or imported in year 2020-21.	Year 2020-21
2023-24	**70 %** of quantity of new tyres manufactured or imported in year 2021-22.	Year 2021-22
2024-25	**100 %** of quantity of new tyres manufactured or imported in year 2022-23.	Year 2022-23
After 2024-25 (Year Y)	**100 %** of new tyres manufactured or imported in year (Y-2).	Year (Y–2)

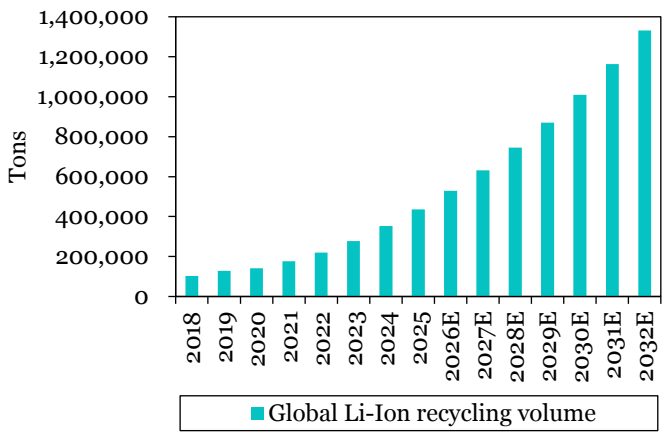
Source: Gravita India Annual Report

Region wise breakup of recycling market share of rubber recycling



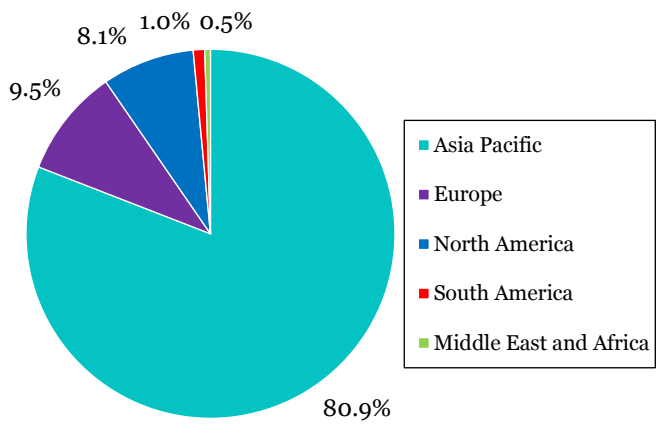
Source: Gravita India Annual Report

Global Li-Ion recycling volumes



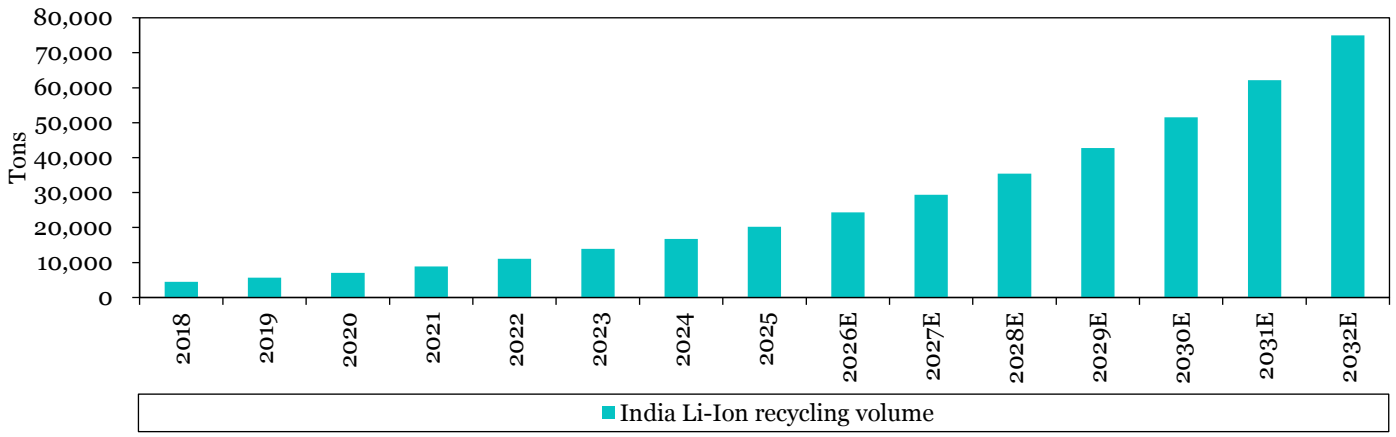
Source: B&K Research

Region wise market share of Li-Ion recycling



Source: B&K Research

India's growing Li-Ion recycling volumes, with 20.6% CAGR over CY25-30



Source: B&K Research

India currently recycles less than 5% of global lithium-ion batteries, which is far behind global leaders like the USA, Europe, and China. In India, most used batteries still end up in the unorganised sector, where proper recycling does not happen. By contrast, the United States recycles around 50% of its available Li-ion batteries, led by strong state rules, landfill bans, and large recyclers.

The European Union is much stricter: it already collects a large share of batteries and has passed a new battery law that forces companies to recover at least 50% of lithium by 2027 and 80% by 2031, and even requires a minimum percentage of recycled lithium, cobalt, and nickel in new batteries.

China is the most advanced, with a national EPR policy since 2016 that makes EV and battery manufacturers responsible for collecting and recycling used batteries. It aims for a 40% recycling rate for EV batteries with 90% recovery efficiency, supported by strict licensing, digital traceability, and mandatory partnerships between automakers and certified recyclers.

End Use of Recycled lithium in India

Recycled lithium-ion battery materials in India are increasingly finding end-use applications across key clean-energy and electronics sectors, helping reduce dependence on imported critical minerals. The largest share of recycled outputs—such as lithium, cobalt, nickel, graphite, and manganese—goes back into the battery manufacturing sector, which accounts for around 55–60% of total consumption. These recovered materials are used in producing new EV batteries, energy-storage batteries, and consumer-electronics cells. The automotive and electric-vehicle industry is the second-biggest user, consuming about 20–25%, as OEMs and component suppliers increasingly incorporate recycled cathode-active materials to lower costs and meet sustainability targets. The electronics and e-waste refurbishment sector uses 10–12%, particularly in small batteries for mobile phones, laptops, and power tools. Meanwhile, industrial applications—including telecom, UPS systems, and solar-storage units—absorb 5–8%, benefiting from lower-cost, high-purity recovered metals. A small share, 2–3%, also flows into metallurgy and specialty-chemical industries, where cobalt, nickel, and manganese are used for alloys, coatings, and chemical precursors.

Initiating Coverage | Recycling | 05 January 2026

BUY

Current Price (Rs)	: 1,818
Target Price (Rs)	: 2,189
Potential Upside (%)	: 20.4

Source: Bloomberg, B&K Research

Market Data

No. of Shares (mn)	: 74
Free Float (%)	: 44
Market Cap (Rs bn)	: 134
52-week High/Low (Rs)	: 2,318/1,380
Avg. Daily Volume (6M)	: 0 mn
Avg. Daily Value (6M; US$)	: 6.3 mn
Bloomberg Code	: GRAV IN
Promoters Holding (%)	: 56
FII/DII (%)	: 15.99/4.87

Source: Bloomberg, B&K Research

Price Performance

(%)	1M	3M	12M
Absolute	1	(2)	(21)
Relative	2	(4)	(29)

Source: Bloomberg, B&K Research

Gravita India

Riding on structural tailwinds with long-term capex outlay

Gravita India is one of the largest lead recyclers in the country, commanding an estimated ~6.8% market share based on installed capacity. Over FY17-25, Gravita has been the fastest-growing player in our coverage universe, delivering Revenue/EBITDA/PAT CAGR of 26.6%/27.1%/27.3%. This consistency has been driven by sustained capex deployment (capex CAGR of 13.2% over FY17-25), expansion of raw material sourcing touchpoints to 1,900+ suppliers, a diversified customer base of 340+ clients, and strategically located facilities across the North, South and West regions, enabling lower logistics cost and faster inventory cycles.

The company is currently undertaking capex of ~Rs 10,000 mn to scale its rubber recycling vertical and expanding capacities across lead, aluminium and plastics. Supported by healthy internal accruals, cash flow from operations over FY26-28E is projected at Rs 9,000 mn, with the balance funded through QIP proceeds, further strengthening the balance sheet. With evolving EPR regulations, the organised recycling segment has increased its market share from 20% to 40% over FY16-25 and is expected to reach ~70% by FY31, providing a long structural runway for growth. Concurrently, Gravita continues to enhance its procurement ecosystem through last-mile sourcing expansion, additional scrap yards, deeper supplier penetration and back-to-back hedging of inventory. This has contributed to adj. EBITDA margin expansion from 8.5% in FY17 to 10.4% in FY25, which we expect to sustain.

We expect Gravita to deliver robust growth in Revenue/EBITDA/PAT of 26.6%/27.1%/27.3% over FY25-28E. We initiate coverage with a Buy rating on the stock with a target price of Rs 2,189, valuing the stock at 25x on FY28E EPS. RoCE/RoE are expected to be at 22.3%/20.3%.

Financial summary (Consolidated)

Y/E Mar (Rs mn)	FY24	FY25	FY26E	FY27E	FY28E
Net sales	31,608	38,688	44,342	60,100	78,557
EBITDA margin (%)	*10.5*	*10.4*	*10.8*	*10.5*	*10.5*
EBIT margin (%)	*10.2*	*10.5*	*11.1*	*10.3*	*9.9*
Adjusted net profit	2,392	3,124	3,912	5,113	6,462
EPS growth (%)	*17.3*	*29.4*	*25.2*	*30.7*	*26.4*
Cash flow from operations	482	3,075	3,276	2,137	3,584
RoE (%)	33.5	21.5	17.4	19.3	20.3
RoCE (%)	27.2	21.5	19.3	21.0	22.3
Net debt/equity (x)	0.4	(0.3)	(0.3)	(0.3)	(0.2)

Source: Company, B&K Research

Key Investment Arguments

Increasing capex to drive accelerated capacity expansion: Historically, Gravita has consistently expanded its installed capacity at a 13.2% CAGR over FY17-25, enabling it to reach a ~6.8% market share in the Indian lead recycling industry based on capacity. The company now intends to accelerate its growth trajectory through a structured capex roadmap, with the majority of investments directed toward brownfield expansions across existing sites, supplemented by a calibrated mix of greenfield additions and selective acquisition opportunities in plastics/aluminium/rubber recycling.

Management has also indicated plans for a greenfield lead recycling facility in Eastern India, aimed at addressing rising regional demand and reducing logistics intensity. With this expansion strategy across verticals and geographies, we expect Gravita's total installed capacity to grow at a CAGR of 28.0% over FY25-28E, positioning the company to capture incremental market share as regulatory shifts continue to favour organised recyclers.

Gravita has demonstrated consistent operating cash flow generation over the past eight years, delivering an average CFO/EBITDA conversion of 52.7% over FY18-25, with only FY17 recording negative operating cash flows. The sustained improvement from FY18 onward was driven by robust volume growth, expanding profit margins and disciplined working capital management, which kept working capital requirements stable even as capex increased at a 13.2% CAGR. We expect a similar trend to continue, with Gravita likely to deliver an average CFO/EBITDA conversion of 48.5% over FY26-28E, providing meaningful internal accruals to support the capex cycle.

Gravita's sourcing ecosystem comprises of 33 owned scrap yards and more than 1,900 procurement touchpoints. This is expected to further optimise raw material costs and strengthen supply-chain resilience. Supported by these efficiencies and a growing mix of value-added products, Gravita continues to maintain the highest EBITDA margins among its listed peers, and we expect adj. EBITDA margins to remain steady at ~10.5% through FY28E.

The MOAT lies in raw material sourcing: Gravita has consistently expanded its sourcing infrastructure by increasing its scrap yards, widening its raw-material touchpoints and strengthening last-mile collection. In FY21, the company operated 27 scrap yards and had ~1,400 sourcing touchpoints. Over time, Gravita intensified its raw-material collection efforts, scaling to 33 scrap yards and ~1,900+ touchpoints by FY25.

This enhanced sourcing depth has directly supported margin expansion, with adjusted EBITDA margins improving from 8.3% in FY21 to 10.4% in FY25. **Given the company's continued focus on strengthening its procurement network and improving sourcing efficiency, we expect margins to remain steady, with adjusted EBITDA margins sustaining around 10.5% by FY28E.**

Sensitivity Analysis

	Actual		Bull			Base			Bear	
	FY25	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Aluminium Recycling volume growth (%)	21.2	19.2	32.1	18.2	12.4	27.3	20.2	9.0	9.4	1.4
Lead Recycling volume growth (%)	19.1	15.1	60.8	46.0	15.1	60.8	46.0	15.1	3.8	9.0
Plastic Recycling volume growth (%)	2.8	2.8	27.3	70.8	27.3	70.8	41.1	27.3	70.8	41.1
Revenue growth (%)	22.4	20.7	39.6	28.3	14.6	35.5	30.7	11.6	14.1	11.2
Adj. EBITDA Margins (%)	10.4	10.9	10.6	10.9	10.8	10.5	10.5	10.2	9.9	9.8
EPS (Rs)	42.3	58.2	75.7	94.8	53.0	69.3	87.5	51.9	58.8	69.2
PER Multiple (%)				19.2			20.8			26.3
Target Price (Rs)				2,371			2,189			1,731
Upside/Downside (%)				30.4			20.4			-4.8

Source: Company, B&K Research; **Note:** CMP as on 5th January 2026

Hedging mechanism for lead

Gravita follows back-to-back hedging of its raw material, Inventory and finished goods. Where the exposure to price risk is immediately offset by taking an equal opposite position. This locks the price for Gravita. Therefore, any movement in lead prices will impact the revenue, however, EBTIDA/ton remains the same and PAT remains the same.

Impact of raw material price movements

Scenario	Price of lead drops	Price of lead increases
Impact on revenue	Revenue drops by an equivalent amount	Revenue increases by an equivalent amount
Other operating income and Other Expense	Due to back to hedging, the gain on derivative contract is shown in other operating income.	Due to back-to-back hedging loss on derivative contract is shown in other expense
EBITDA/Ton	Remains same	Remains same
EBITDA	Since volume remains same and EBITDA per tonne remains same. There is no effect on EBITDA	Since volume remains same and EBITDA per tonne remains same. There is no effect on EBITDA
PAT	No effect on PAT	No effect on PAT

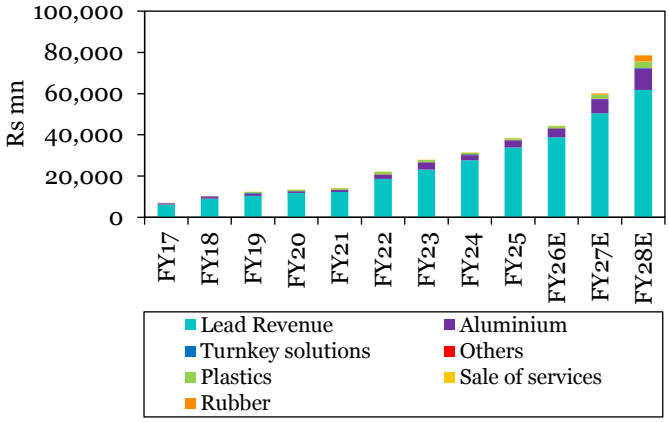
Source: B&K Research

Key regulatory risks

Increase in Import duty on Lead, Aluminium, HDPE/LDPE plastics etc. The price of raw material gets adjusted according to the import duty, in majority of cases. So the impact of increased import duty on any of the raw material is minimal on any recycling company. However, a significant increase in import duty in extraordinary cases can lead to major impact on the financials of the company.

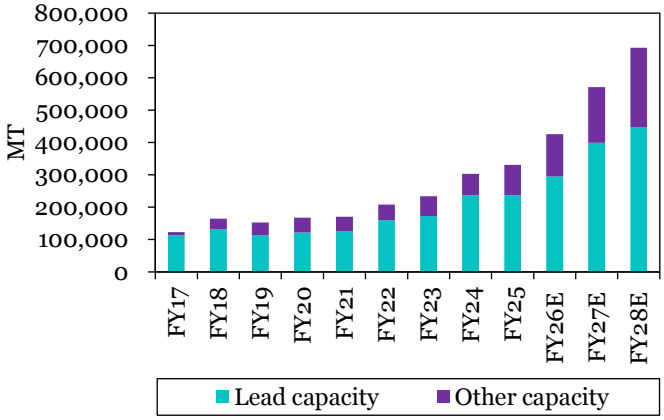
Story in charts

~79% revenue from lead recycling vertical and 21% revenue from other recycling verticals by FY28E



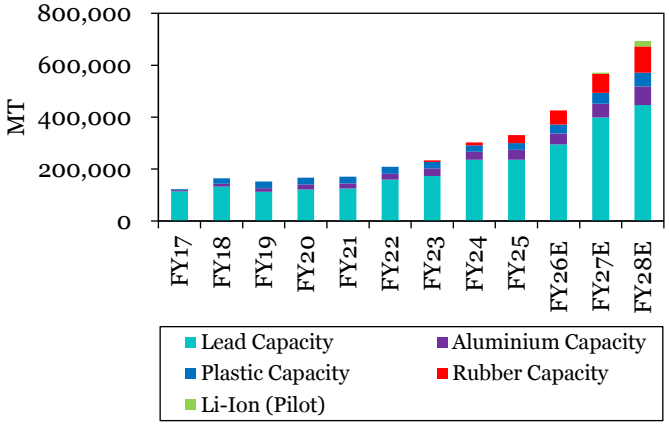
Source: Company, B&K Research

Other capacity to grow at a CAGR of 37.7% over FY25-28E



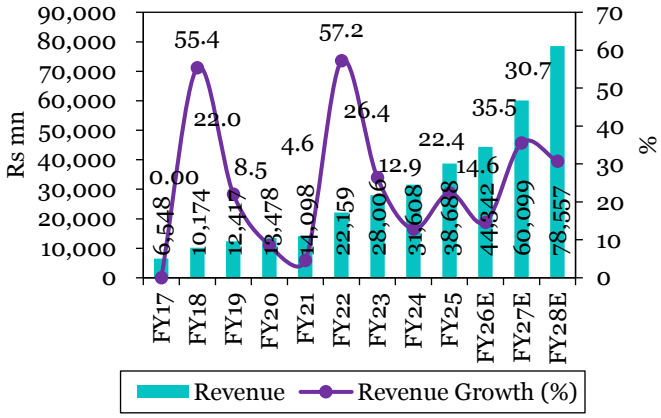
Source: Company, B&K Research

Capacity to grow at a CAGR of 28% over FY25-28E



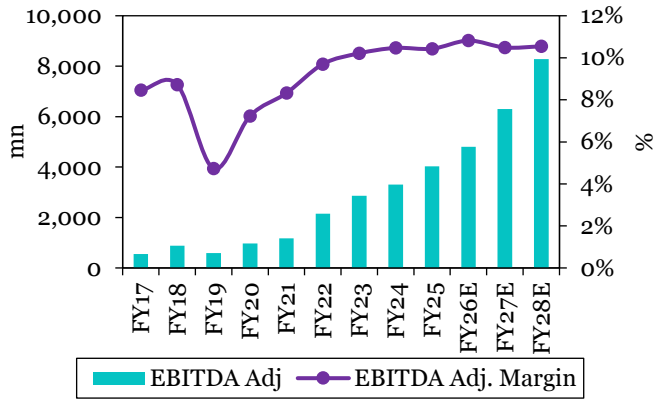
Source: Company, B&K Research

Revenue to grow at a CAGR of 26.6%



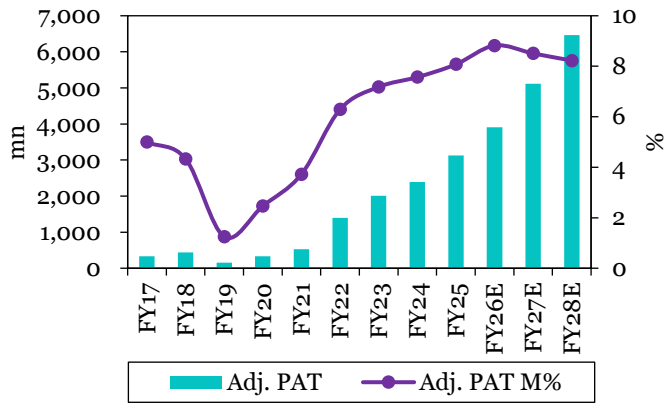
Source: Company, B&K Research

Adjusted EBITDA to grow at CAGR of 27.1%, with EBITDA margin broadly stable at an average of 10.5% over FY25-28E



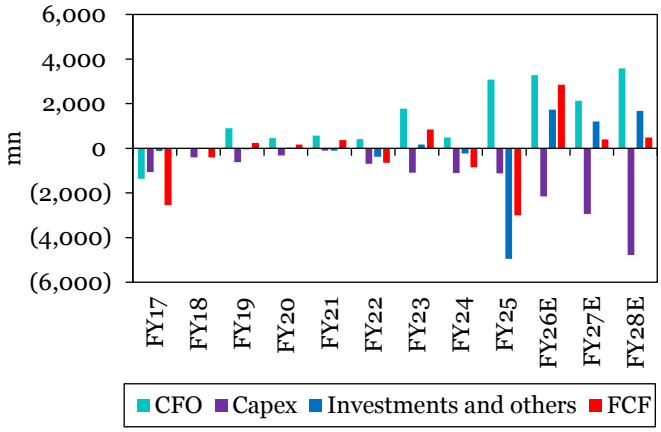
Source: B&K Research

Adjusted PAT to grow at a CAGR of 27.4% over FY25-28E, with adjusted PAT margins being broadly stable at 8.2%



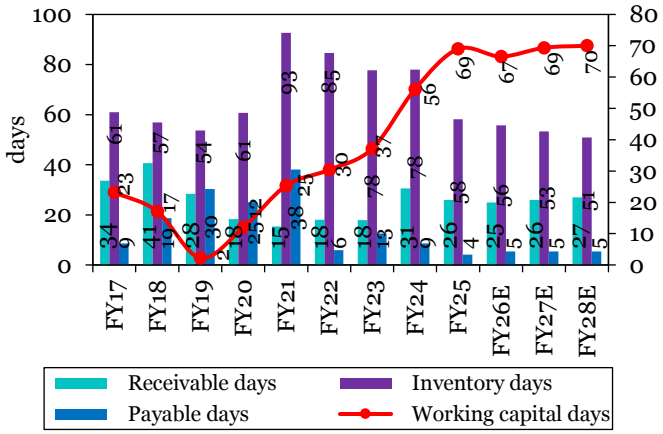
Source: B&K Research

Robust internal cash flow generation with majority capex plans by FY28



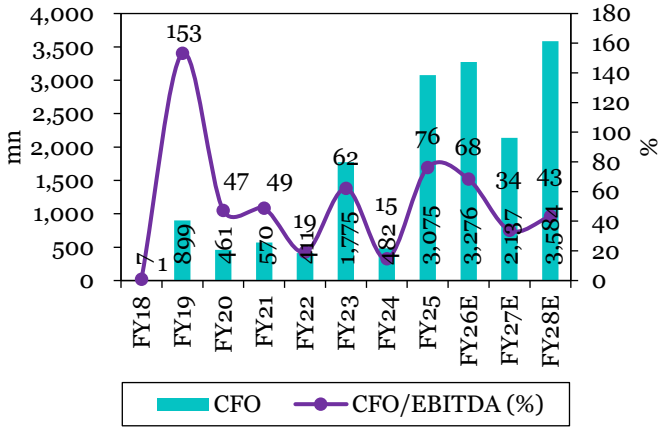
Source: Company, B&K Research

Working capital days to remain stable



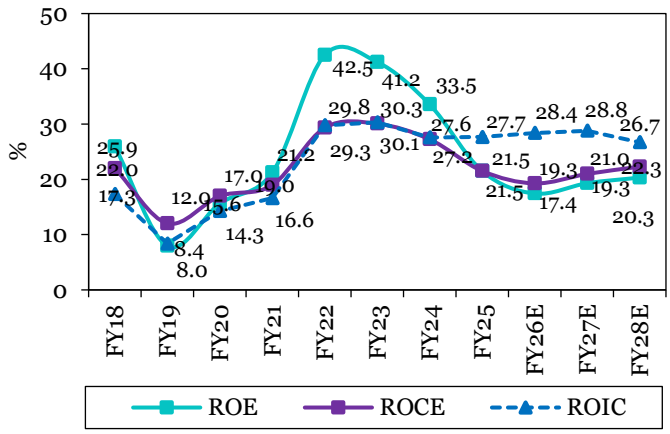
Source: Company, B&K Research

Expect average CFO/EBITDA to be at 48.5% over FY26-28E



Source: Company, B&K Research

RoE, RoCE and RoIC to remain stable over the forecasted period although the capex remains high



Source: Company, B&K Research

Company Journey

Founded in 1992, by Mr. Rajat Agarwal. Gravita India started its first recycling plant in Jaipur for Lead recycling. From then till today lead recycling has been the forte for Gravita with an experience of 30+ years. Currently lead recycling contributes to 87.5% revenue as on FY25.

In CY02, the company entered into providing turnkey solutions. In order to source raw materials efficiently Gravita entered Africa with lead recycling plant in CY07. With plans to diversify the company started its plastic recycling business in CY16 in Managua, Nicaragua. This decision of having plastic recycling plant overseas is due to strategic sourcing on scrap. In CY17, Gravita expanded into aluminium recycling unit at Phagi, Jaipur.

Gravita currently has 12 recycling plants in Asia, Africa, Europe and America. With 6 plants in India, 1 in Sri Lanka and 5 in Africa. With 40% of total capacity overseas. Strategically located to reduce the cost of procurement of raw material.

Over time, Gravita has scaled its value added products from 28% in FY17 to 46% in FY25, Scrap yards have increase from 27 scrap yards in FY21 to 33 scrap yards in FY25. With total touch points increased from 1,400 in FY21 to 1,900 in FY25. All these while increasing total capacities from 170,600 MTPA in FY21 to 330,659 MTPA in FY25.

Company journey

Source: Company Annual Reports/Investor Presentations

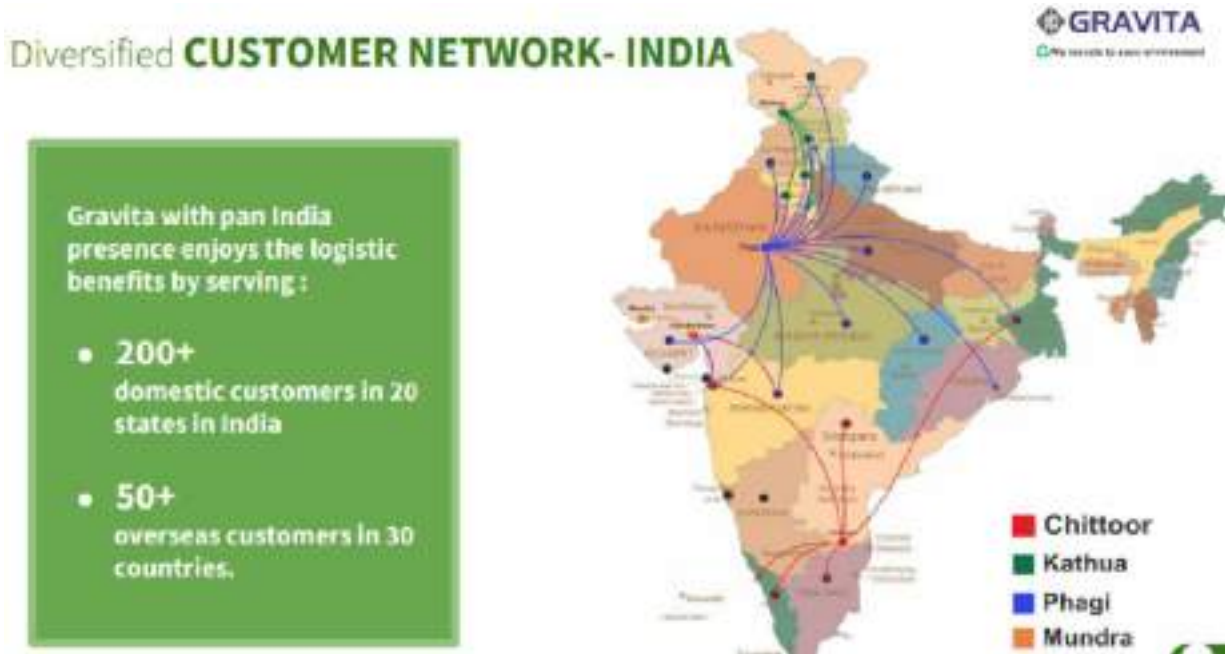
National presence

Source: Company Annual Reports/Investor Presentations

Global presence

Source: Company Annual Reports/Investor Presentations

Strategic locations are one of the key levers of higher EBITDA margin for Gravita



Source: Company Annual Reports/Investor Presentations

Key customer base

Source: Company Annual Reports/Investor Presentations

Key domestic sourcing – raw material sourcing

Source: Company Annual Reports/Investor Presentations

Investment thesis

1. Stricter EPR norms; with expected RCM.
2. Capex of lifetime.
3. Strong cashflows and return ratios.
4. MOAT lies in scrap procurement network, diversified client base, strategic locations – A perfect blend of ingredients.

1. Stricter EPR norms with expected RCM

Minimum use of recycled materials in a battery as per BWMR 2022

		Minimum use of the recycled materials out of total dry weight of a Battery (in %)			
Sr no	Type of Battery	2027-28	2028-29	2029-30	2030-31 and onwards
1	Portable	5	10	15	20
2	Electric Vehicle	5	10	15	20
		2027-28	2028-29	2029-30	2030-31 and onwards
3	Automotive	35	35	40	40
4	Industrial	35	35	40	40

Source: CPCB

Recovery target as per BWMR 2022

		Recovery target for the year in percentage		
Sr No	Type of Battery	2024-25	2025-26	2026-27 and onwards
1	Portable	**70**	**80**	**90**
2	Automotive	55	60	60
3	Industrial	55	60	60
4	Electric Vehicle	70	80	90

Source: CPCB

We expect rising recovery targets to be a key structural growth driver for domestic lead-acid battery recyclers. With mandated collection targets of 70%/80%/90% for CY25/26/27, the volume of end-of-life batteries routed through formal channels is set to rise meaningfully. This has already led to a sharp reduction in the market share of unorganised players from 80% in FY16 to 40% in FY25.

This formalisation trend has enabled Gravita to increase its domestic scrap sourcing from 18% in FY18 to 43% in FY25. As EPR/BWMR regulations require OEMs to ensure proper collection of end-of-life batteries, we expect **Gravita's domestic scrap procurement to improve further, reaching ~50% of total scrap by FY28E. This, in turn, should support better inventory discipline, with inventory days expected to decline from 58 days currently to 51 days by FY28E.**

Historically, Gravita's domestic revenue grew at a 11.9% CAGR over FY19–25, constrained by the absence of an effective collection framework. Earlier EPR rules (2001 and 2011) failed to materially improve collection efficiency. However, the introduction of EPR/BWMR in 2022 has begun to show clear impact as Gravita's domestic revenue accelerated to a 31.5% CAGR over FY23–25.

With formalisation gaining momentum, we expect continued market share transfer from unorganised to organised players in lead recycling. Unorganised market share is projected to fall from 60% currently to 45% by FY28E, while the organised sector expands from 40% to 55% over the same period. **Supported by regulatory enforcement, improved domestic scrap availability and greater customer penetration, we expect Gravita's domestic revenue to grow at a strong 32.9% CAGR over FY26–28E.**

What has changed in BWMR 2001 versus BWMR 2022

The biggest difference between BWMR 2001 and BWMR 2022 is how clearly, strongly and systematically Extended Producer Responsibility (EPR) is defined and enforced. In the 2001 rules, EPR was not even mentioned formally. The idea existed indirectly, manufacturers and dealers were expected to take back used lead-acid batteries, but the responsibility was vague, narrow and difficult to enforce.

In contrast, the BWMR 2022 introduces a modern, digital and enforceable EPR framework. Producers (manufacturers, importers and brand owners) now have legally binding responsibilities to collect, recycle or refurbish waste batteries across all battery types, including EV, industrial, portable, solar, and lead-acid. The rules mandate annual EPR targets, increasing year by year, for collection and material recovery. Compliance happens through a central online EPR portal

Dealer procures the battery from various sources/consumers and used to give it to unorganized players earlier.

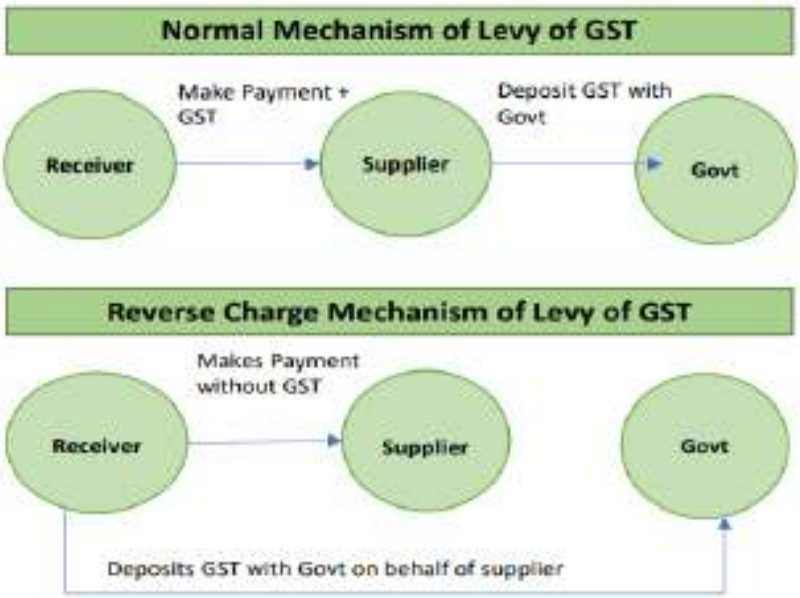
However, after introduction of EPR in India, the battery OEM asks the dealer to give 8/10 batteries (80% collection efficiency) in order to pay the dealer the right amount. Therefore, now the dealer will be restricted to give back the batteries to Amara Raja rather than giving it to some unauthorised recycler. Dealer is getting paid more in this process of deal with battery OEM, rather than selling it to unauthorised recyclers. Therefore, the scrap availability for unorganised sector will reduce and gradually the unauthorized recyclers will decrease from current 60% market share to 45% market share in FY28E.

Reverse charge mechanism

Under the Reverse Charge Mechanism, the liability to pay GST shifts from the supplier to the recipient of goods or services. In the normal GST process, the supplier charges and collects GST from the buyer and deposits it with the government. However, under RCM, the recipient directly pays GST to the government, while the supplier receives only the base value of the supply.

Therefore, the 18% GST that comes in for the unorganised recycler. Will act as a barrier of reduction of unorganised market share in India and there by improvement in scrap availability in India for the organised recyclers.

RCM mechanism to shift GST from supplier to receiver; to cause a shift towards organised recyclers



Source: Company Annual Reports/Investor Presentations

2. Capex of lifetime

Background: Gravita's total installed capacity increased from 123,019 MTPA in FY17 to 330,659 MTPA in FY25, registering a 13.2% CAGR over FY17-25. Lead recycling capacity grew at 9.6% CAGR, aluminium at 26.0%, and plastics at 28.1%. The company also operates 12,000 MTPA of rubber recycling capacity, which is used internally to produce pyrolysis oil for its smelting operations.

The customer base expanded from ~300 in FY20 to 331 in FY25, supported by Gravita's wider value-added product offering. The contribution of value-added products increased from 28% of revenue in FY17 to 46% in FY25, helping the company deepen customer relationships and strengthen its product mix.

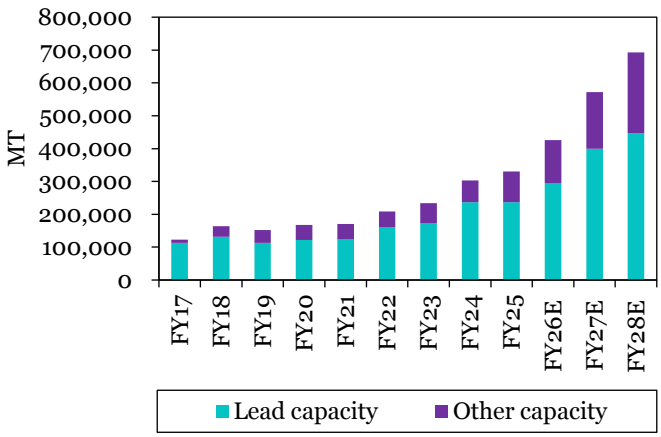
With the company targeting 50% of revenue from value-added products, tightening EPR/BWMR norms, and the organised sector's market share expected to rise from 40% to 55% by FY28, Gravita plans to scale capacities largely through brownfield expansions at existing sites. We expect lead recycling capacity to grow at 23.6% CAGR over FY25–28E, given lead remains the company's core business.

Other verticals are also set to expand as part of Gravita's diversification strategy. Aluminium scrap availability in India is limited, so most of the aluminium capacity addition is expected to come from overseas units. With ADC12 alloy likely to be included in MCX by FY27, aluminium recycling capacity is projected to grow at 22.9% CAGR over FY25-28E.

In plastics, the introduction of PWMR and the mandated recycled content in rigid plastics provide a structural tailwind. We expect Gravita's plastic recycling capacity to increase at 26.6% CAGR over FY25-28E.

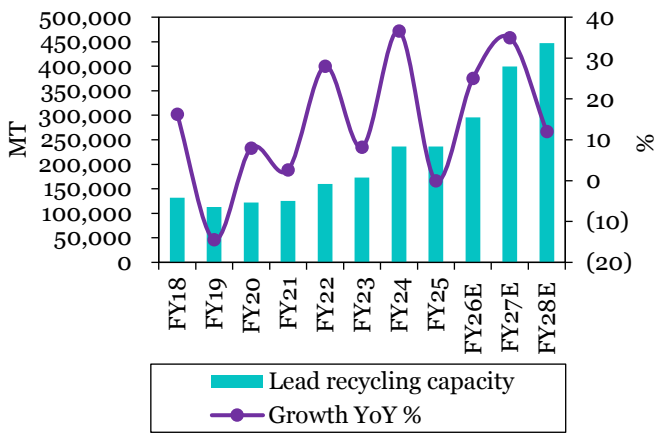
Overall, we expect Gravita's total installed capacity to increase at a CAGR of 28.0% over FY25-28E, compared with 13.0% CAGR over FY17-25 and 16.6% CAGR over FY22-25. Lead capacity is projected to grow at 23.6% CAGR over FY25-28E, while the combined capacity of the other segments is expected to expand at a stronger 28.0% CAGR over the same period.

Other capacity to grow faster than lead



Source: Company, B&K Research

Lead recycling capacity to grow at a CAGR of 23.6%

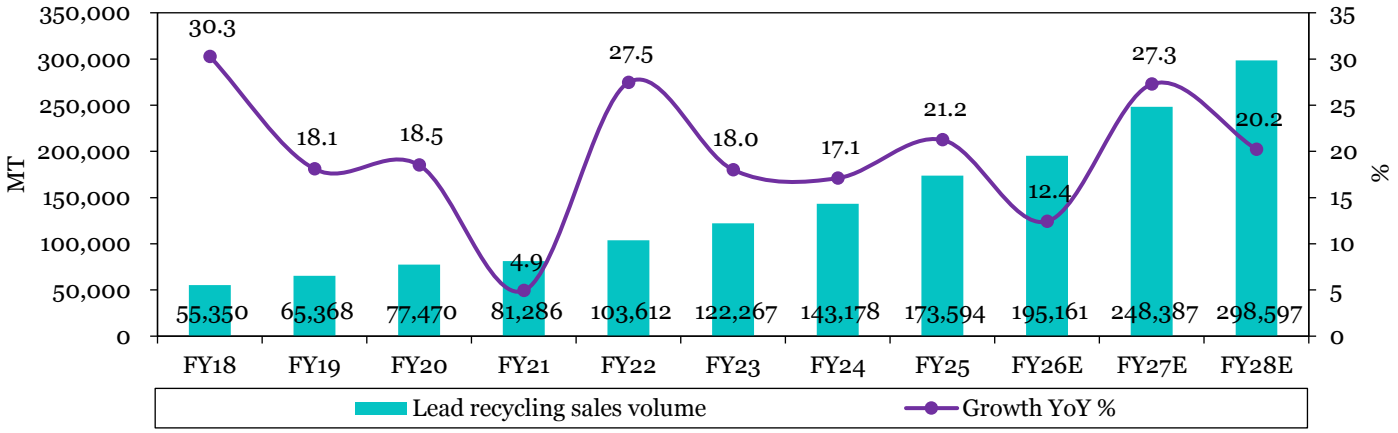


Source: Company, B&K Research

Historically, Gravita's lead recycling capacity increased at 9.6% CAGR over FY17–25, while lead volumes grew at 19.2% CAGR. Between FY17–21, the company commenced its lead recycling facility in Chittoor (Andhra Pradesh), followed by new plants in Tanzania and Ghana in FY20, both of which began contributing meaningfully from FY22 onwards.

Gravita now plans to expand its lead capacity through brownfield additions at Phagi and Mundra, along with a greenfield project in Eastern India to address rising demand in that region. These locations are well-positioned to support scale, improve logistics efficiency and strengthen customer access. With a broader customer base and evolving EPR norms driving a shift in market share from unorganised players, from 60% currently to 45% by FY28E. we see clear volume tailwinds for the lead segment. Considering these factors, we expect Gravita's lead recycling volumes to grow at 19.8% CAGR over FY25-28E.

Lead recycling sales volume to grow a CAGR of 19.8% over FY25-28; backed by continuous capex

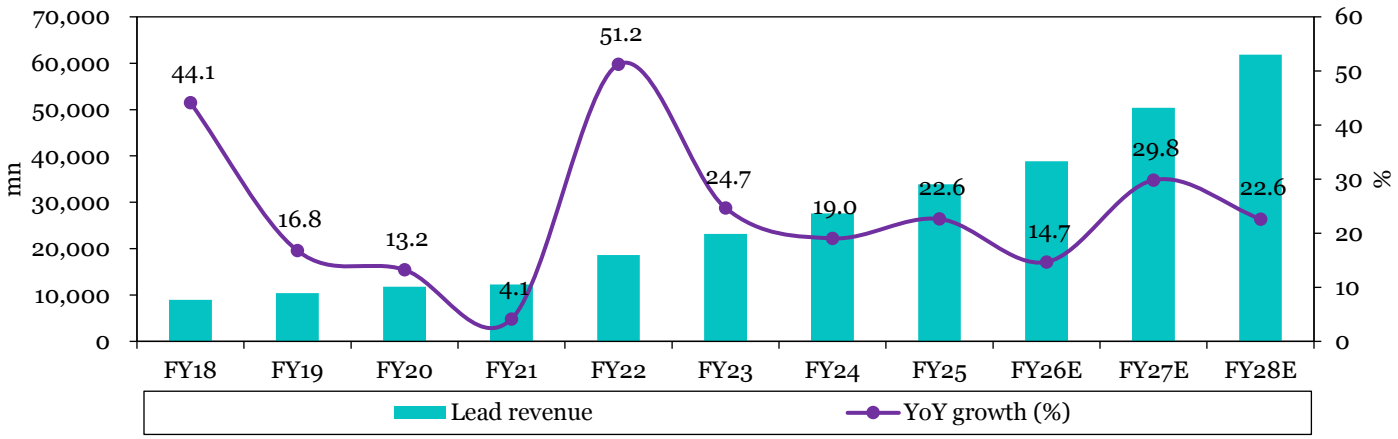


Source: Company, B&K Research

Gravita's lead sales realisations have grown at a 3.7% CAGR over FY17-25, supported by a steady shift toward value-added products, whose contribution increased from 28.0% of revenue in FY17 to 46.0% in FY25. The richer product mix helped drive lead revenue growth of 23.6% CAGR, outpacing lead volume growth of 19.2% CAGR over the same period.

Management aims to further expand the value-added product basket to ~50% of total revenue by FY28E, which should continue to support realisation stability. We expect lead realisations to grow at a CAGR of 2.0% over FY25-28E, driving lead-recycling revenue to sustain a healthy 22.2% CAGR through FY28E.

Lead revenue to grow at a CAGR of 22.2% over FY25-28

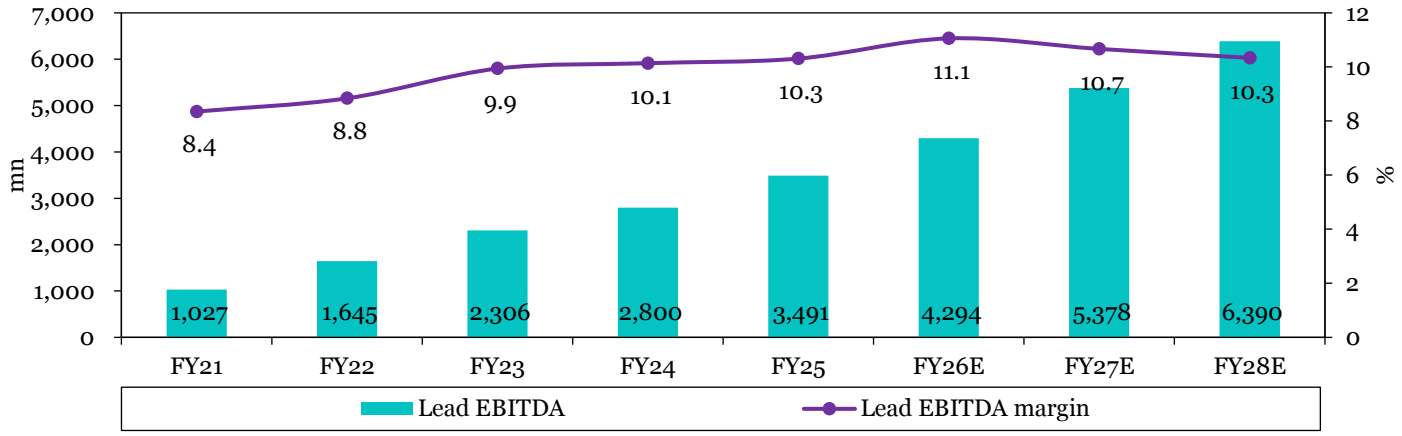


Source: Company, B&K Research

Gravita has steadily improved its EBITDA per ton in the lead recycling segment, rising from Rs 12/kg to Rs 20/kg over FY21-25. A key driver of this improvement has been the pricing differential between domestic and overseas lead markets. During periods when domestic realisations were more favourable, the company strategically diverted raw material sourced abroad to India for refining and sale, thereby enhancing segment profitability. This optimisation of raw material flows contributed meaningfully to the improvement in EBITDA/kg over FY21-25, in combination with value-added products.

As capacities scale further, we expect EBITDA/kg to stabilise from Rs 22-23/kg to around Rs 21/kg by FY28E, while lead-recycling EBITDA margins remain steady at ~10.3% by FY28E.

Lead EBITDA margin has improved continuously from FY21-25 and to peak in FY26



Source: Company, B&K Research

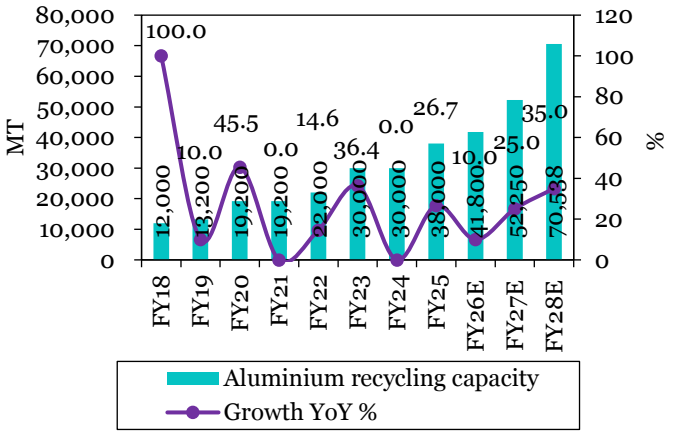
Background: Gravita entered the aluminium recycling business in CY17 with its first plant at Phagi, Rajasthan, having an installed capacity of 6,000 MTPA. Since then, aluminium recycling capacity has expanded at a 26.0% CAGR over FY17-25, reaching 38,000 MTPA in FY25. In FY20, capacity increased by 45.5% with the commissioning of a plant in Tanzania, a strategic move aimed at reducing raw-material sourcing costs. Further expansion in FY23 driven by the new aluminium recycling facility in Senegal added another 36.4% increase in capacity.

Despite this strong capacity build-out, aluminium volumes grew at a CAGR of 21.9% over FY17-25, reflecting the specialised nature of Gravita's aluminium product mix. The company primarily manufactures ADC12 alloy, which is widely used in the automotive sector for engine components, transmission housings and corrosion-resistant parts for OEMs such as Maruti Suzuki, Honda and Nissan. However, ADC12 is not hedgeable, exposing the business to aluminium commodity-price volatility. As a result, capacity utilisation has averaged ~53% over FY17-25.

A meaningful structural shift is underway with aluminium alloy now notified under the Securities Contracts (Regulation) Act, 1956 by the Ministry of Finance, paving the way for its expected listing on the MCX by FY27E. This development is likely to materially benefit Gravita by enabling effective hedging of ADC12 prices, reducing commodity-price volatility and supporting a step-up in capacity utilisation to ~70%.

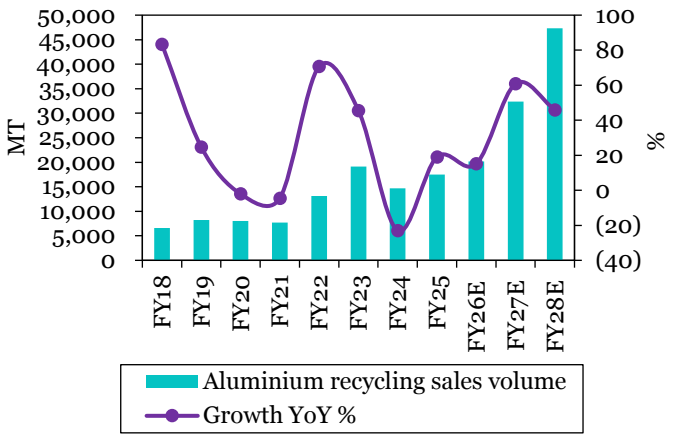
With this improved risk framework, we expect Gravita to accelerate its overseas aluminium capex – particularly across Africa – from FY27 onwards. As a result, we project aluminium recycling capacity to grow at a 22.9% CAGR over FY25-28E, while volumes are expected to scale at a faster pace, driven by higher utilisation post-hedging. We estimate aluminium volumes to grow at a robust 39.3% CAGR over FY25-28E.

Aluminium recycling capacity to grow at CAGR of 22.9% over FY25-28, with inclusion of ADC12 in MCX



Source: Company, B&K Research

Aluminium recycling sales volume to grow at a CAGR of 39.3% over FY25-28, led by increased capacity utilisation



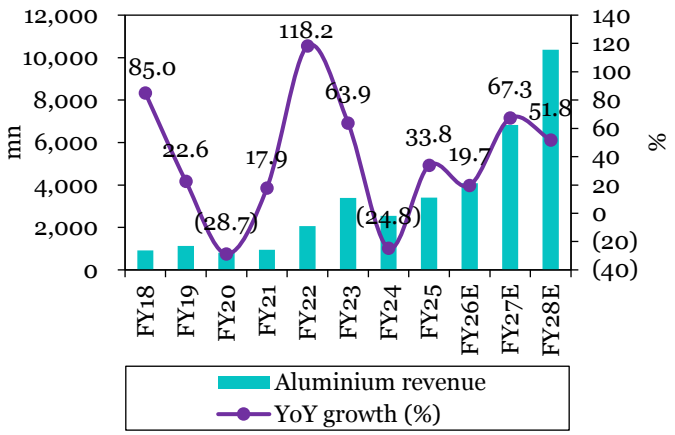
Source: Company, B&K Research

Gravita's aluminium recycling realisations have grown at a CAGR of 4.4% over FY17-25, supported by the company's increasing mix of value-added products such as ADC12 and aluminium alloy ingots. With management targeting to lift value-added product contribution from 46% currently to ~50% by FY28E, we expect realisations to grow at a CAGR of 4.0% over FY25-28E.

As ADC12 is expected to be listed on the MCX by FY27E, the availability of hedging will reduce price volatility and support a faster ramp-up of aluminium capacity and volumes. However, with ADC12 becoming hedgeable, EBITDA/kg is expected to stabilise at Rs 16-17/kg, resulting in a marginal dilution in segment EBITDA margins. Importantly, this stabilisation effectively locks in profitability, allowing Gravita to prioritise volume growth with significantly lower earnings volatility.

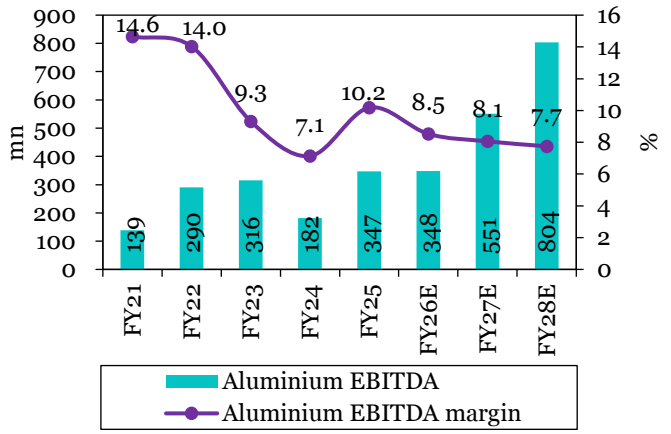
Consequently, we project aluminium recycling revenue/EBITDA to grow at a strong 44.9%/32.3% CAGR over FY25-28E, making it Gravita's fastest-growing vertical. This is expected to increase aluminium's contribution to consolidated revenue from 8.8% in FY25 to 13.2% by FY28E.

Aluminium revenue to grow at CAGR of 44.9% over FY25-28, with inclusion of ADC12



Source: Company, B&K Research

Aluminium EBITDA remained volatile due to no hedging mechanism in ADC12, to stabilise from FY27



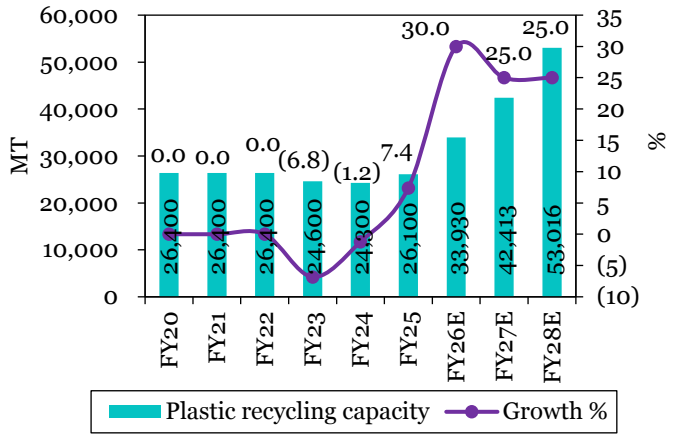
Source: Company, B&K Research

Background: Gravita entered the plastic recycling business in CY16 with its first plant in Nicaragua. In FY18, the company expanded capacity through new facilities in Jaipur and Chittor, taking its installed plastic recycling capacity to 20,400 MTPA from 3,600 MTPA. During the Covid-19 period; however, Gravita divested two overseas plastic subsidiaries in Costa Rica and Jamaica, due to inadequate scrap availability. Growth resumed in FY23 with the addition of 3,000 MTPA of capacity in Ghana (commissioned in two phases), followed by an 1,800 MTPA facility added in Tanzania in FY24.

The company recycles HDPE, LDPE and PP plastics. Segment performance has been muted in recent years, with realisations declining from Rs 12/kg in FY22 to Rs 10/kg in FY25. Capacity utilisation, which averaged ~55% over FY20-23, fell to 47% in FY24 due to the Red Sea crisis and associated logistic disruptions, and remained at similar levels in FY25.

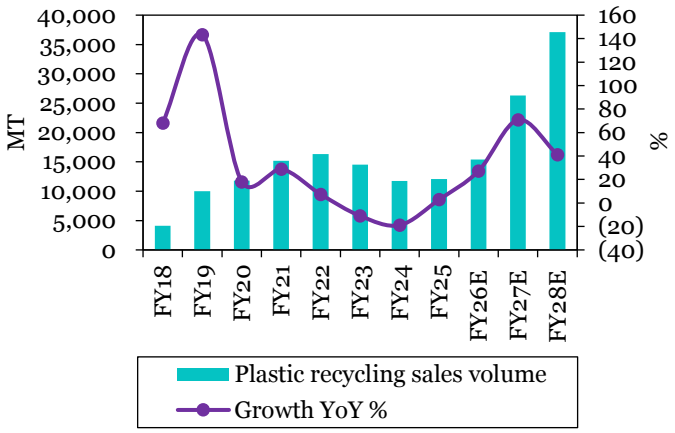
However, regulatory tailwinds are turning favourable. Under the PWMR framework, mandatory recycled content for rigid plastics is set at 30%/40%/50% for FY26/27/28, respectively. This is expected to materially support Gravita's capex and volume trajectory, potentially supplemented by selective acquisitions as indicated by management. On this backdrop, we expect plastic recycling capacity/volume/revenue to grow at 26.6%/45.3%/52.6% CAGR over FY25-28E.

Plastic recycling capacity to grow at a CAGR of 26.6% over FY25-28, with plans to diversify from lead



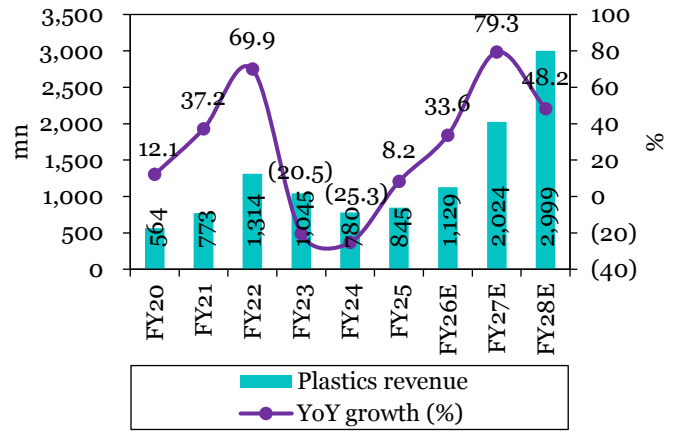
Source: Company, B&K Research

Plastic recycling sales volume to grow at a CAGR of 45.3% over FY25-28



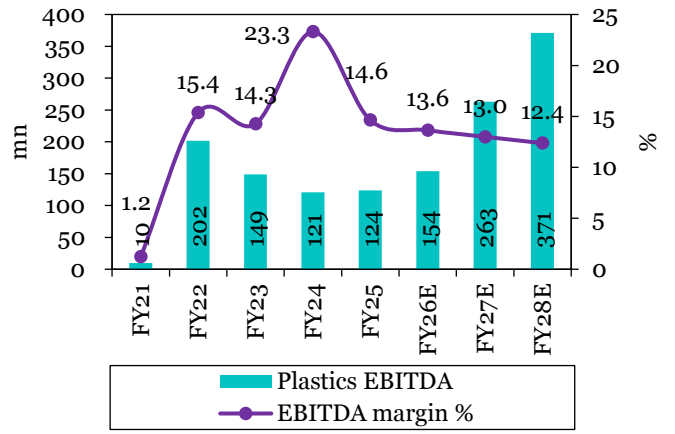
Source: Company, B&K Research

Plastic recycling revenue to grow at a CAGR of 52.6% over FY25-28



Source: Company, B&K Research

Plastic recycling EBITDA margins remained volatile



Source: Company, B&K Research

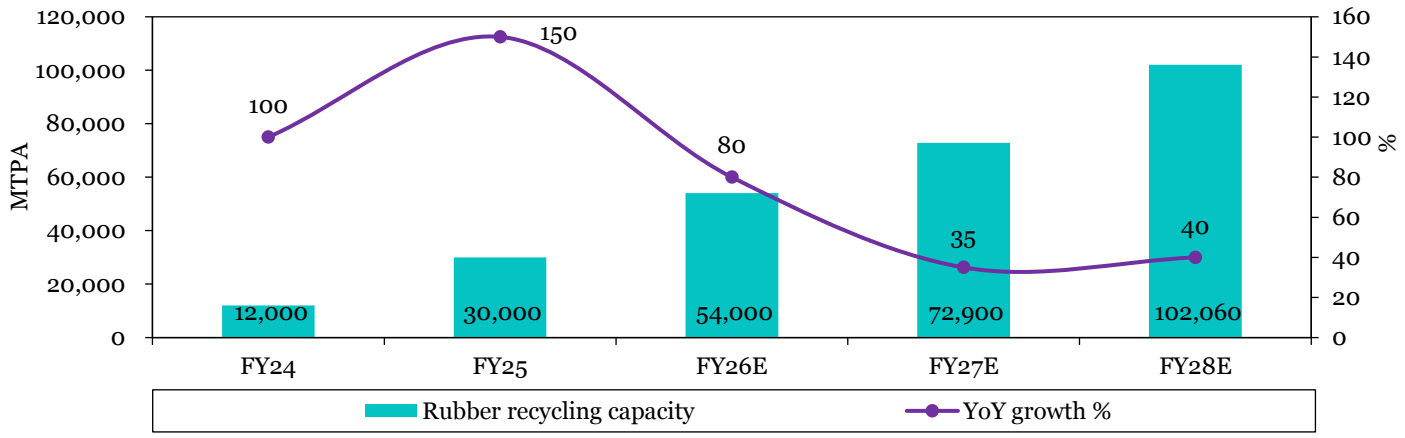
Background: Gravita entered the rubber recycling segment in FY23 as part of its broader diversification strategy beyond lead. The company commissioned its first 6,000 MTPA rubber recycling facility in Ghana, followed by additional capacities in Senegal and Togo in FY24, taking total internal-consumption rubber capacity to 12,000 MTPA. This output is entirely used in-house in the form of pyrolysis oil to fuel smelting operations.

In FY25, Gravita Netherlands acquired an 18,000 MTPA rubber recycling unit in Romania, which, unlike the African facilities, is expected to cater to external customers rather than internal consumption.

Looking ahead, Gravita plans to commission a new rubber recycling facility at Mundra in FY26, alongside further brownfield expansions. Management has clearly indicated its intent to scale the rubber vertical across Europe, India and Africa, supported by rising global demand for rubber recycling and Europe's position as the largest end-market.

Given these drivers, we expect Gravita's rubber recycling capacity to grow at a CAGR of 50.4% over FY25-28E, with segment revenue reaching Rs 3,000-4,000 mn by FY28E.

Rubber recycling capacity to grow at a CAGR of 50.4% over FY25-28



Source: Company, B&K Research

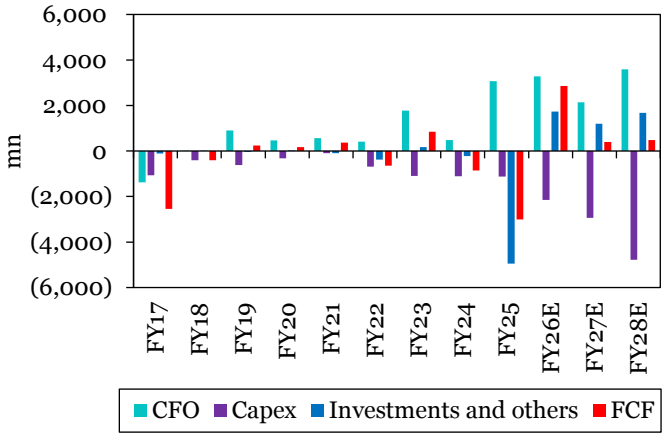
3. Strong cashflows and return ratios

Over FY22-25, Gravita generated robust cash flow from operations of Rs 5,743 mn, with total capex during the period is Rs 4,007 mn. The company has seen an increase in investments during the period of FY22-25, which has led to negative free cash flow (after subtracting investments). CFO/EBITDA ratio for Gravita over FY22-25 has been maintained at an average of 43.0%.

We project a robust cash flow from operations for Gravita led by decreasing inventory days propelled by evolving EPR norms, which gradually is expected to increase the domestic scrap availability. Thereby decreasing the days of inventory. This is expected to ease working capital amount while maintaining stable cashflow from operations.

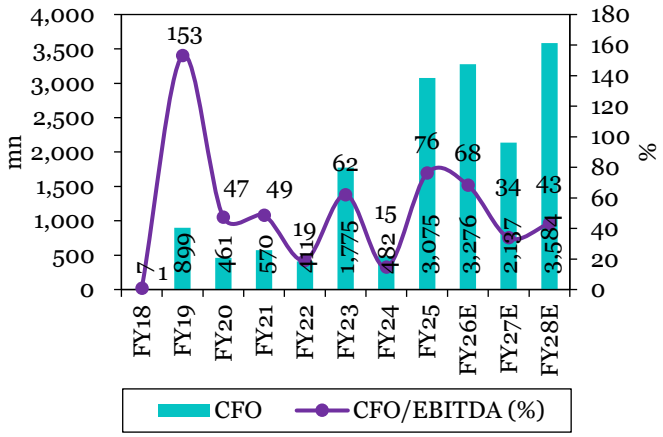
We expect the company to generate Rs 9,000 mn cash flow from operations over FY26-28E, while capex that we have considered is ~Rs 10,000 mn. The difference is expected to be funded by liquidating the investments. With CFO/EBITDA ratio averaging at 48.5% over FY26-28E.

Stable operating cash flows to fund majority capex



Source: Company, B&K Research

Robust CFO/EBITDA with an average of 52.7% over FY18-25



Source: Company, B&K Research

A level up in hedging strategy – Hedging the inventory was the real game changer:

To mitigate the risk of commodity prices fluctuation from June 2016.

Metal equivalent of the scrap bought, is sold on the same day.

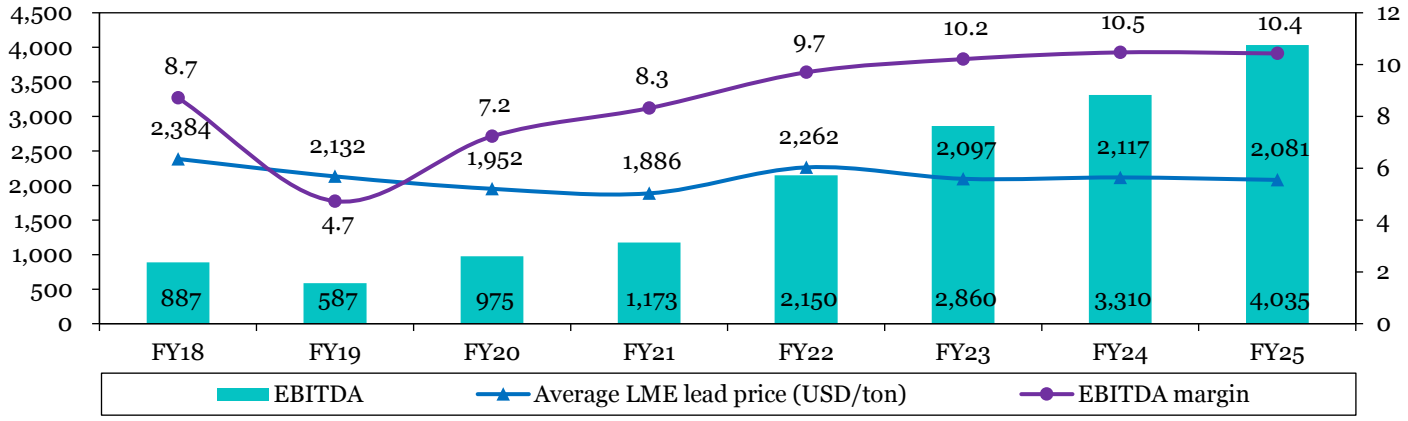
Pricing against Customer contracts – Natural Hedging.

Forward Contracts on LME Exchange for balance quantity – till final sale to customer Core inventory was not part of back-to-back hedging.

Gravita started hedging of core inventory also in June 2019 by taking a forward contact on LME Exchange. June 2019 onwards Gravita is enjoys stable margins and is not affected by the commodity price fluctuations.

In short, EBITDA margin followed LME lead price as the entire inventory remained unhedged, this pattern followed till FY19. From FY20, with hedging of inventory, the company was able to recognise the equivalent hedging gains in other income (operating income) and the hedging loss whatever incurred was shown in other expense. Thereby, keeps its margins shielded from commodity price risk. From FY20 to FY25, there is a clear trend observed with increasing EBITDA margin led completely by the company's efforts to increase its value-added products, lower cost of procurement, strategic locations, etc.

Back-to-back heading of inventory led to stable growth in EBITDA margin from FY20

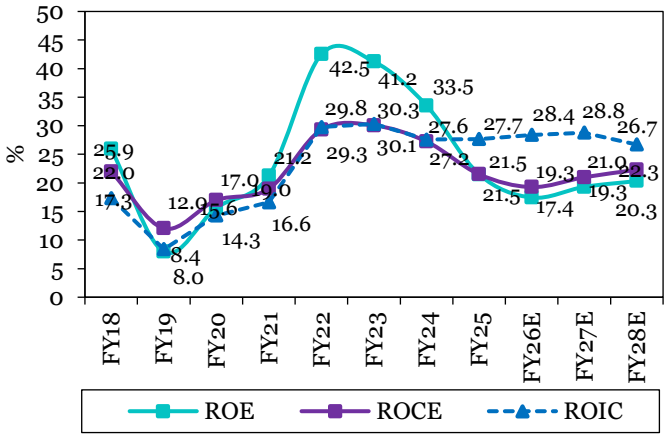


Source: Company, B&K Research

Despite an elevated capex cycle, we expect RoE and RoCE to remain stable over FY26-28, supported by Gravita's ability to quickly ramp-up new and upcoming facilities across all major verticals. This is underpinned by the company's strong procurement backbone 1,900+ sourcing touchpoints and 33 owned scrap yards along with a diversified customer base of 331+ clients, which provides consistent offtake visibility.

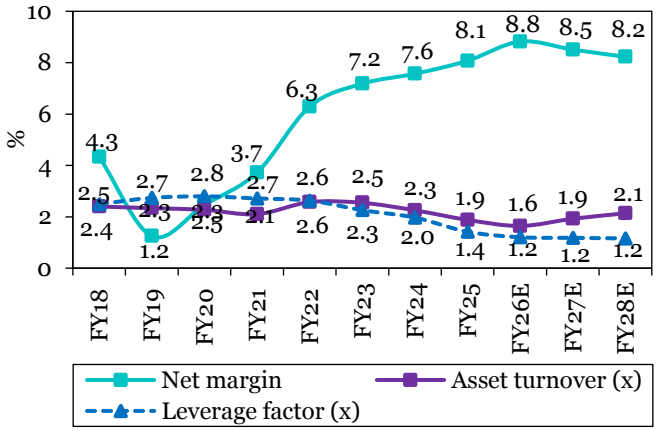
Stable net margins, driven by an expanding value-added product mix (rising from 46% currently to ~50% by FY28E), further strengthen the return profile. Against this backdrop, we expect net margins to remain steady at ~8.2%, while total asset turnover improves from 1.9x to 2.1x by FY28E. Thereby, the RoE is expected to remain stable over the projected year.

RoE and RoCE are expected to remain stable at 20.3% and 22.3% by FY28E



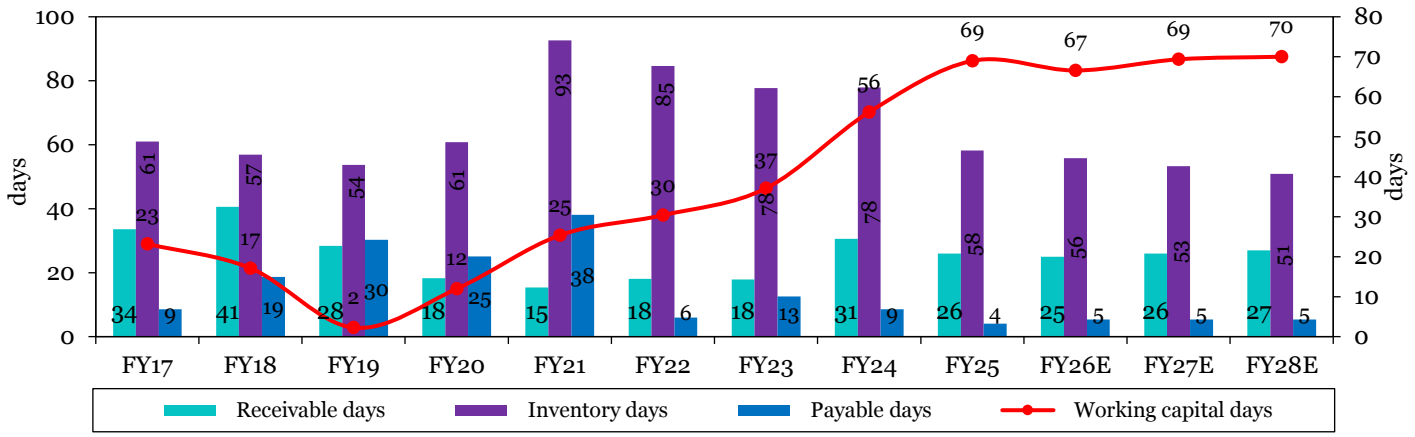
Source: Company, B&K Research

DuPont analysis



Source: Company, B&K Research

Working capital to normalise with evolving EPR in India



Source: Company, B&K Research

4. MOAT lies in scrap procurement network, diversified client base, strategic locations – A perfect blend of ingredients

In FY22, Gravita had 1,400+ touch points

Region	Own Scrap Yards	Touch Points	Scrap Collection (MT)
Asia	1	1000+	1,10,000
Africa	24	300+	50,000
Americas	4	80+	13,000
Europe	-	20+	7,000
Total	**29**	**1400+**	**1,80,000**

Source: Company Annual Reports & Investor Presentations

As on 1HFY26, Gravita has 1,900+ touch points with overall 2,87,000 MT of scrap collection. With Americas and Africa been the fastest growing market for scrap collection. While Asian market has remained stable growth.

In 1HFY26, Gravita has 1,900+ touch points

Region	Own Scrap Yards	Touch Points	Scrap Collection (MT)	Gr. CAGR %
Asia	5	1000+	1,41,000	7.4%
Africa	27	850+	98,000	21.2%
Americas	-	30+	42,500	40.3%
Europe	1	15+	4,500	-11.9%
Australia	-	5+	1,300	Newly Added
Total	**33**	**1900+**	**2,87,000**	

Source: Company Annual Reports & Investor Presentations

Diversified client base

In FY22, Gravita has 318 customers

Region	No. of customers	Delivered (MT)
Asia	250	90,000
Middle East	23	19,000
Americas	37	11,000
Europe	8	10,000

Source: Company Annual Reports & Investor Presentations

As on 1HFY26, Gravita had 331 customers, however, the product delivered per customer has increased across all regions except Europe.

In 1HFY26, Gravita has 331 customers

Region	No. of customers	Delivered (MT)	Growth (%)
Asia	285	1,54,000	16.6
Middle East	30	33,000	17.1
Americas	6	11,000	0.0
Europe	10	5,200	(17.0)

Source: Company Annual Reports & Investor Presentations

Asia remains as the fastest growth market for Gravita, led my evolving EPR norms in India.

Management

Sr. No	Name	Designation	Remuneration FY25 (Rs mn)
1	Rajat Agrawal	Chairman & MD	66.6
2	Yogesh Malhotra	Whole time director & CEO	47.4
3	Ashok Jain	Independent director	NA
4	Satish Kumar Agarwal	Independent director	NA
5	Shikha Sharma	Independent director	NA
6	Sunil Kansal	Whole time director & CFO	14.2
7	Nitin Gupta	Company Secretary	NA

Source: Company Annual Reports

Key triggers for upward movement of stock

- Increase of value-added products in new and existing verticals.
- Increase of client base.
- Ramp-up of upcoming manufacturing plant in lead, Aluminium, Plastics and Rubber.
- Increase in sales volume.
- Gain in market share.
- Evolving EPR norm, to lead to increase in domestic raw material collection.

Key downside risk

- Export duty on lead/copper/aluminium/plastic scrap overseas.
- Import duty on lead/copper/aluminium/plastic scrap in India.
- Failure to scale-up new products/new manufacturing facilities.
- Volatile raw material prices where hedging mechanism is not available – Aluminium, plastics and rubber.
- Loss of market share.
- Battery OEMs building their own recycling plants.
- Logistic disruptions.
- Failure of EPR/BWMR.

SWOT analysis

Strength

- Among top 3 players in India for lead recycling.
- Increasing product diversification with increasing capacity in Aluminium, Plastics and Rubber recycling.
- Foray into Li-Ion through a pilot plant.
- Have large battery OEMs as clients.
- 33 own scrap yards, with 1,900+ touch points and end of mile sourcing strategy.
- Value-added products.

Weakness

- High concentration of revenue in lead recycling
- Delay in ramp up of new facilities or delay in commencement of new facilities

Opportunity

- Evolving EPR/BWMR norms causing a shift in market share from Unorganised to Organised players.
- Zero import duty on any kind of scrap.
- Increasing norms of recycled content usage.
- Introduction of reverse charge mechanism (RCM).

Threat

- Supply chain disruptions.
- Volatility in raw material prices where the company has not fully hedged.
- Battery OEMs setting up their own manufacturing facilities.
- Failure of EPR/BWMR/regulatory risks.
- Increase in import duty of scrap.
- Export restriction/ban of scrap overseas.
- New product failure to attract customers.
- Dealy in ADC12 alloy listing on MCX.

ESG

A. Environment

According to company disclosures Gravita is ISO 14001 Environmental Management System certified, demonstrating structured compliance with environmental performance standards. The company is committed to net-zero (Scope 1 & 2 by 2050), 10% reduction in energy and water intensity by FY27 and zero waste to landfill in India by 2040. The company discloses detailed sustainability metrics, suggesting efficient operational energy management. It also reports implementation of zero-liquid discharge systems and prioritises recovery-based manufacturing. Benchmark data reflects Gravita's ability to extract economic value from recycling streams while reducing landfill and carbon footprint.

B. Social

Gravita's Practices indicate a focus on structured human capital development and compliance-led labour standards. The company conducts Employee engagement surveys and safety training; it has implemented ISO 45001 across all sites and targeted zero fatalities it has also aimed for LTIFR and TRIFR to be halved by FY34. Women's participation rose to nearly 9% in FY25, further the company is focused on increasing diversity in technical and leadership roles. Gravita appears well positioned toward responsible community engagement. The company is also ISO 9001 certified for Quality Management systems.

C. Governance

The company's structured ESG data-reporting and certification compliance demonstrate proactive governance discipline. The company demonstrates a strong and structured governance framework supported by a dedicated Board-level ESG Committee responsible for overseeing sustainability strategy and roadmap execution. Board composition reflects maturity, with 50% independent directors and an emphasis on diversity and active participation. Ethical culture is reinforced through zero reported complaints relating to misconduct, compliance breaches, or unethical behaviour. A formal Ethics & Compliance programme includes mandatory training on human rights, anti-corruption and ethical conduct for employees and partners. Strengthening responsible sourcing, the organisation has approved a comprehensive Supply Chain Sustainability Policy, scheduled for implementation from FY26.

Gravita India

Financial Summary (Consolidated)

Income Statement

Y/E Mar (Rs mn)	FY25	FY26E	FY27E	FY28E
Net sales	**38,688**	**44,342**	**60,100**	**78,557**
Growth (%)	*22.4*	*14.6*	*35.5*	*30.7*
Raw material	(31,728)	(36,361)	(49,282)	(64,417)
Gross profit	**6,960**	**7,982**	**10,818**	**14,140**
Employee cost	(1,595)	(1,774)	(2,704)	(3,771)
Other expenditure	(2,124)	(2,350)	(3,125)	(3,928)
Other operating income	794	939	1,315	1,841
EBITDA	**4,035**	**4,797**	**6,303**	**8,283**
Growth (%)	*21.9*	*18.9*	*31.4*	*31.4*
Depreciation	(291)	(513)	(704)	(1,015)
Other income	324	626	600	500
EBIT	**4,068**	**4,911**	**6,199**	**7,768**
Finance cost	(434)	(254)	(254)	(254)
Exceptional income/(expense)	-	-	-	-
Profit before tax	**3,635**	**4,657**	**5,945**	**7,514**
Tax (current + deferred)	(506)	(745)	(832)	(1,052)
Profit/(loss) for the year	**3,129**	**3,912**	**5,113**	**6,462**
P/L of JV/A, minority interest	(5)	-	-	-
Reported profit/(loss)	**3,124**	**3,912**	**5,113**	**6,462**
Adjusted net profit/(loss)	**3,124**	**3,912**	**5,113**	**6,462**

Balance Sheet

Y/E Mar (Rs mn)	FY25	FY26E	FY27E	FY28E
Share Capital	148	148	148	148
Reserves & surplus	20,552	24,020	28,653	34,635
Shareholders' funds	**20,699**	**24,168**	**28,801**	**34,783**
Minority interest	76	76	76	76
Long-term borrowings	1,902	1,902	1,902	1,902
Other non-current liabilities	151	151	151	151
Total non-current liab.	**2,053**	**2,053**	**2,053**	**2,053**
Short-term borrowings	921	921	921	921
Trade payables	396	598	810	1,059
Other current liabilities	1,005	1,005	1,005	1,005
Total current liabilities	**2,323**	**2,524**	**2,737**	**2,986**
Total (Equity & Liab.)	**25,151**	**28,821**	**33,667**	**39,898**
Fixed assets (net block)	4,750	6,389	8,627	12,396
Non-current investments	478	378	278	98
Other non-current assets	332	332	332	332
Non-current assets	**5,560**	**7,098**	**9,237**	**12,826**
Cash and cash equivalents	4,073	6,227	5,888	5,634
Inventories	6,168	6,774	8,776	10,942
Trade receivables	2,751	3,037	4,281	5,811
Other current assets	6,599	5,685	5,485	4,685
Current assets	**19,591**	**21,723**	**24,430**	**27,072**
Total (Assets)	**25,151**	**28,821**	**33,667**	**39,898**

Cash Flow

Y/E Mar (Rs mn)	FY25	FY26E	FY27E	FY28E
Profit before tax	3,635	4,657	5,945	7,514
Depreciation	291	513	704	1,015
Change in working capital	(452)	(776)	(3,334)	(3,647)
Total tax paid	(508)	(745)	(832)	(1,052)
Others	110	(372)	(346)	(246)
CF from operations (a)	**3,075**	**3,276**	**2,137**	**3,584**
Capital expenditure	(1,128)	(2,151)	(2,943)	(4,784)
Change in investments	(4,880)	1,000	500	1,000
Others	(72)	726	700	680
CF from investing (b)	**(6,080)**	**(425)**	**(1,743)**	**(3,104)**
Free cash flow	**1,947**	**1,125**	**(805)**	**(1,200)**
Equity raised/(repaid)	10	-	-	-
Debt raised/(repaid)	(2,628)	-	-	-
Dividend (excl. tax)	(354)	(443)	(480)	(480)
Others	9,061	(254)	(254)	(254)
CF from financing (c)	**6,089**	**(697)**	**(734)**	**(734)**
Net change in cash (a+b+c)	**3,085**	**2,154**	**(339)**	**(254)**

Key Ratios

Y/E Mar (%)	FY25	FY26E	FY27E	FY28E
Adjusted EPS (Rs)	45.1	56.5	73.8	93.3
Growth	*29.4*	*25.2*	*30.7*	*26.4*
Book NAV/share (Rs)	298.9	349.0	415.9	502.3
Dividend payout ratio	11.3	11.3	9.4	7.4
Gross margin	18.0	18.0	18.0	18.0
EBITDA margin	10.4	10.8	10.5	10.5
EBIT margin	10.5	11.1	10.3	9.9
Tax rate	13.9	16.0	14.0	14.0
RoCE	21.5	19.3	21.0	22.3
RoE	21.5	17.4	19.3	20.3
RoIC (post-tax)	27.7	28.4	28.8	26.7
Net debt/equity (x)	(0.3)	(0.3)	(0.3)	(0.2)
Net debt/EBITDA (x)	(1.8)	(1.7)	(1.2)	(0.7)
Fixed asset turnover (x)	1.9	1.6	1.9	2.1
Net working capital days	162.9	158.0	131.7	111.9

Valuations

Y/E Mar (x)	FY25	FY26E	FY27E	FY28E
P/E	40.3	34.3	26.2	20.8
P/B	6.1	5.2	4.4	3.6
Dividend yield (%)	0.3	0.4	0.4	0.4
OCF yield (%)	2.4	2.6	1.7	2.8
EV/EBITDA	29.4	24.5	18.8	14.4
EV/Sales	3.1	2.7	2.0	1.5

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Hold

Current Price (Rs)	: 413
Target Price (Rs)	: 422
Potential Upside (%)	: 2.2

Source: Bloomberg, B&K Research

Market Data

No. of Shares (mn)	: 345
Free Float (%)	: 26
Market Cap (Rs bn)	: 143
52-week High/Low (Rs)	: 461/248
Avg. Daily Volume (6M)	: 0 mn
Avg. Daily Value (6M; US$)	: 0.0 mn
Bloomberg Code	: JAINREC IN
Promoters Holding (%)	: 74
FII/DII (%)	: 6.42/6.44

Source: Bloomberg, B&K Research

Price Performance

(%)	1M	3M	12M
Absolute	13	0	0
Relative	13	(2)	(8)

Source: Bloomberg, B&K Research

Jain Resource Recycling

A tactical play on copper – Forward integration, capex, copper and more…

Jain Resource Recycling (JAINREC) is one of India's largest lead and copper recyclers, holding a 4.8% market share in lead recycling and 6.2% in copper recycling, based on total capacity installed, supported by its pan-India presence and expanding export footprint. Over FY23-25, export revenue grew at a robust 64.9% CAGR, outpacing domestic revenue growth of 38.0%, with the export mix rising from 51.6% in FY23 to 60.4% of total revenue in FY25. This was driven by stronger repeat orders from overseas clients, with revenue per customer overseas increasing at 60.8% CAGR over the same period.

The company has prioritised expansion of its copper recycling business, increasing capacity by 35.3% over FY23-25 with the major scale-up in FY25. Copper volumes grew at 13.3% CAGR, while revenue expanded at 32.6% CAGR, supported by realisation growth of 17.1% CAGR and a widening domestic customer base. As JAINREC continues to deepen domestic penetration, expand revenue per customer, and introduce new value-added copper products, we expect 14.5% volume CAGR and 20.2% revenue CAGR for copper recycling over FY25-28E.

Lead recycling capacity also increased by 20.8% over FY23-25, with segment volumes and revenue delivering strong 53.6% and 62.1% CAGR, respectively. This was largely driven by export momentum, with lead export revenue growing at an exceptional 110.6% CAGR over FY23–25. Although the number of overseas clients declined from 126 in FY23 to 120 in FY25, revenue per customer surged at 60.8% CAGR, indicating deeper penetration with existing accounts. Meanwhile, domestic lead volumes grew at only 1.8% CAGR, further supporting the view that export-led growth drove the segment's outperformance. We expect JAINREC's lead recycling capacity/revenue/volume to grow at 15.0%/18.7%/13.0% CAGR over FY25-28E, supported by a broader SKU portfolio, expansion of the overseas client base.

Financial summary (Consolidated)

Y/E Mar (Rs mn)	FY24	FY25	FY26E	FY27E	FY28E
Net sales	44,284	71,258	74,489	92,824	117,582
EBITDA margin (%)	*5.1*	*5.2*	*5.9*	*6.8*	*7.3*
EBIT margin (%)	*6.1*	*5.5*	*5.9*	*6.6*	*6.9*
Adjusted net profit	1,638	2,243	3,096	4,416	5,977
EPS growth (%)	*75.6*	*50.6*	*29.1*	*42.6*	*35.4*
Cash flow from operations	156	502	(2,227)	1,715	2,176
RoE (%)	57.7	41.0	27.4	25.1	26.3
RoCE (%)	21.9	25.6	23.6	26.8	29.5
Net debt/equity (x)	1.4	0.7	0.3	0.2	0.1

Source: Company, B&K Research

We initiate coverage on JAINREC with a Hold rating and a target price of Rs 422, valuing the stock at 24x FY28E EPS. We forecast 18.2% revenue CAGR and 37.9% PAT CAGR over FY25–28E, supported by scale-up across recycling verticals. Consolidated EBITDA margins are expected to expand from 5.2% in FY25 to 7.3% in FY28E, driven primarily by capacity additions and volume growth in the copper recycling business, along with improved realizations as the company continues to deepen its domestic customer base. The planned introduction of copper cathode, bus bars and wire rods is expected to further enhance the value-added product mix. Given that offtake for these products can be absorbed by JAINREC's existing customer relationships, the expansion into these categories is expected to provide incremental support to both margins and revenue visibility.

Increase of copper recycling capacity and VAPs: JAINREC copper recycling revenue/volume grew by 32.6%/13.3% CAGR over FY23-25, contributing to 44.8% of total revenue backed by large capacity increase of 35.3% that took place in FY25 as the company has seen an increasing offtake from domestic customers with domestic revenue from copper increased from 67.0% in FY23 to 70.9% in FY25 of total copper revenue. Further the company is expected to commission a separate copper value added products manufacturing facility for copper cathode/wire rod/bus bar as part of their forward integration process in 4QFY26. Historically the company has seen robust increase in its copper recycling realizations at 17.1% CAGR, with the commencement of new facility of value added products **we believe the blended realization (copper + copper cathode) to increase at 38.8% CAGR over FY25-28E, however, we forecast the new value added copper vertical to contribute to 8.0% of total revenue by FY28E as the total capacity addition is expected to be 27,000 MTPA, from which 18,000 MTPA has been confirmed, while other 9,000 MTPA is under evaluation.** We believe the company to continue to focus on increasing domestic revenue with faster offtake from upcoming copper recycling capacities. We expect CAGR of 20.2%/45.4% for revenue/EBITDA over FY25-28E from copper recycling, while new copper recycling VAP vertical to occupy a revenue share of 5.4%/8.0% in FY27/28E in the overall revenue.

Other business vertical to remain stable and contribute to steady growth: JAINREC's lead recycling revenue and volumes grew at a strong 62.1%/53.6% CAGR over FY23–25, contributing 39.5% of consolidated revenue in FY25, aided by improving realizations, which increased at a 5.5% CAGR over the same period. This performance was supported by a 20.8% increase in lead recycling capacity to 1,70,352 MTPA, along with a sharp scale-up in exports. Export contribution to lead revenues rose from 39.0% in FY23 to 73.2% in FY25,

We expect JAINREC to continue prioritising exports in the lead recycling segment, while evolving EPR norms in India help maintain stable domestic volumes. On this backdrop, we project lead recycling revenue and EBITDA to grow at 18.7% and 18.4% CAGR, respectively, over FY25-28E.

JAINREC has commenced its aluminium recycling business in FY23, the segment has recorded robust growth in capacity/volume/revenue with 100.0%/127.0%/178.2% CAGR over FY23-25. With realisations growing at 22.5% CAGR, this growth primarily on the lower base of commencement of operations and increasing export revenue, with export revenue increase from 14.1% in FY23 to 43.3% in FY25.

Reduction in Inventory days: With the evolution of EPR norms, end-of-life battery collection efficiency has improved in India, enabling JAINREC to increase domestic raw-material sourcing to 19.5% in FY24 and 23.1% in FY25. This shift contributed to a reduction in inventory days from 45 days in FY24 to 35 days in FY25. Supported by a robust supplier network of 755 suppliers (FY25), including 216+ suppliers with over four years of established relationships. The ongoing tightening of EPR norms is expected to further support increased domestic sourcing and reduce reliance on imports.

However, FY26 is likely to see a temporary increase in working-capital days, as the company transitions toward a higher proportion of direct sourcing, which typically requires larger buffer inventories. Additionally, a one-off logistics disruption has further inflated working-capital requirements. We expect the working capital days to remain broadly at similar levels of ~68 days by FY28E. Although with EPR in place and increasing domestic sourcing, the company's working capital, led by inventory days have remained elevated in 1HFY26. We expect this to continue.

Sensitivity analysis

	Actual		Bull			Base			Bear	
	FY25	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Lead Recycling volume growth (%)	29.9	9.1	19.6	19.6	9.1	15.0	15.0	9.1	10.4	10.4
Copper Recycling volume growth (%)	24.7	12.9	12.3	24.5	12.9	10.8	20.0	12.9	9.2	14.2
Revenue growth (%)	60.9	4.5	27.5	31.0	4.5	24.6	26.7	1.7	18.8	19.3
EBITDA Margins (%)	5.2	6.2	7.0	7.5	5.9	6.8	7.3	6.0	6.2	6.3
EPS (Rs)	7.2	9.2	13.5	19.1	8.8	12.8	17.6	8.8	10.8	12.8
PER Multiple (%)				21.7			23.5			32.2
Target Price (Rs)				458			422			308
Upside/Downside (%)				10.8			2.0			-25.5

Source: Company, B&K Research. **Note:** CMP as on 5th January 2026.

Hedging mechanism for lead/copper

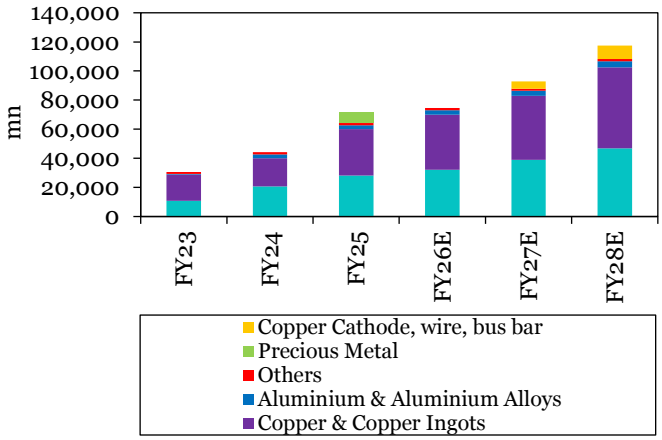
JAINREC follows back to back hedging of its raw material, Inventory and finished goods. Where the exposure to price risk is immediately offset by taking an equal opposite position. This locks the price for JAINREC. Therefore, any movement in metal prices will impact the revenue, however, EBTIDA/ton remains the same and PAT remains the same.

Impact of raw material price movements

Scenario	Price of lead drops	Price of lead increases
Impact on revenue	Revenue drops by an equivalent amount	Revenue increases by an equivalent amount
COGS	Due to back to hedging, the gain on derivative contract is shown in COGS. Therefore, COGS decrease by an equivalent amount	Due to back to back hedging is shown in COGS, the loss on derivative contract is show in COGS. Therefore, COGS will increase by 10%
EBITDA/Ton	Remains same	Remains same
EBITDA	Since volume remains same and EBITDA per ton remains same. There is no effect on EBITDA	Since volume remains same and EBITDA per ton remains same. There is no effect on EBITDA
PAT	No effect on PAT	No effect on PAT

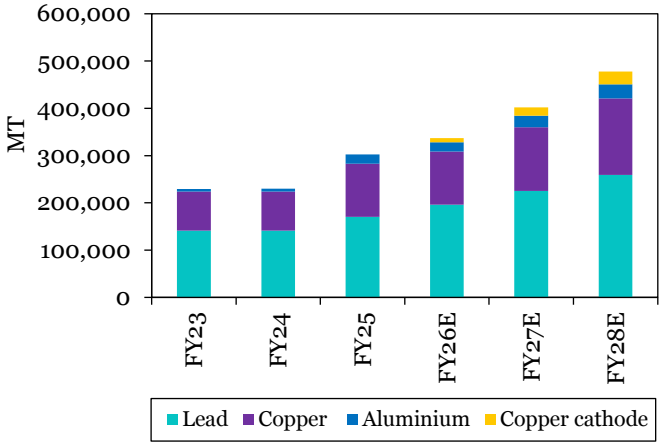
Story in charts

Segmental revenue break-up



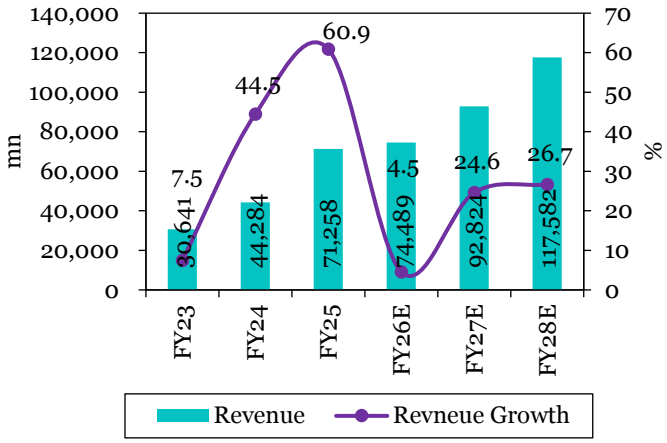
Source: Company, B&K Research

Segmental capacity break-up



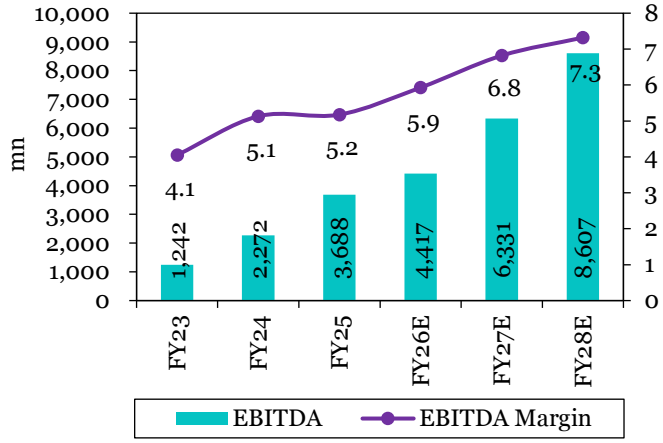
Source: Company, B&K Research

Total revenue and revenue growth



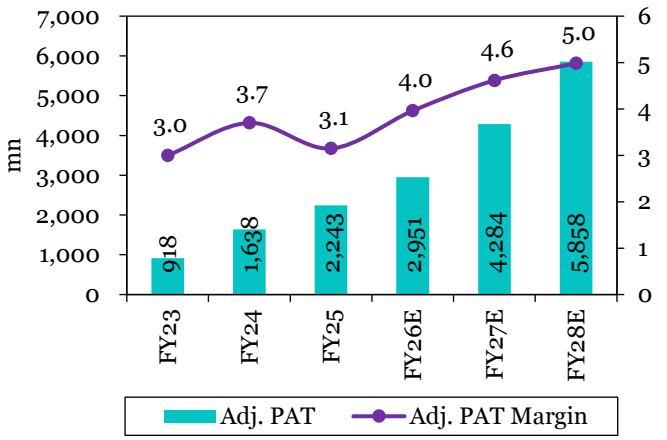
Source: Company, B&K Research

Total EBITDA and EBITDA margin



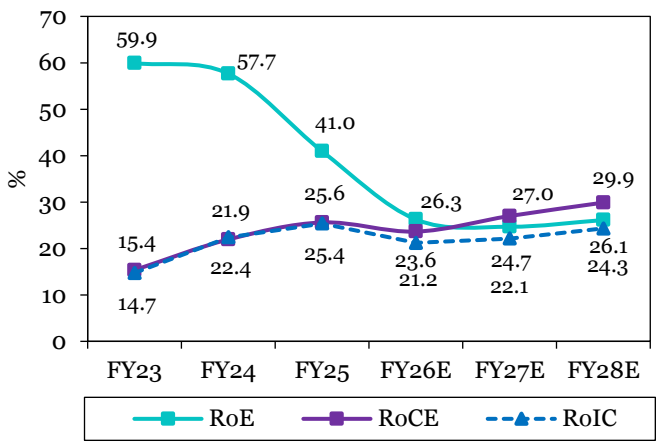
Source: Company, B&K Research

PAT and PAT margins



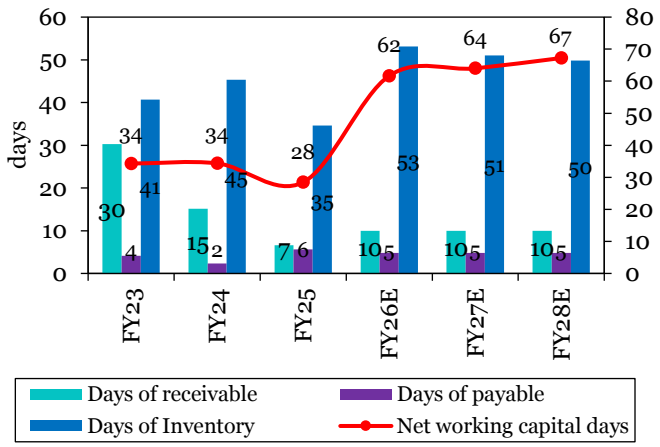
Source: Company, B&K Research

RoE, RoCE and RoIC to stabilise



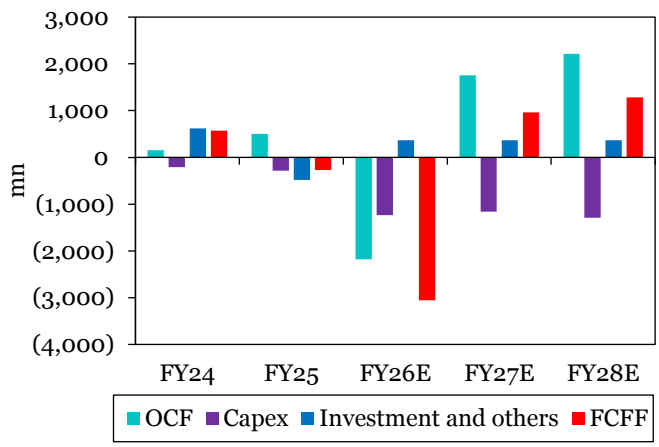
Source: Company, B&K Research

Working capital days profile



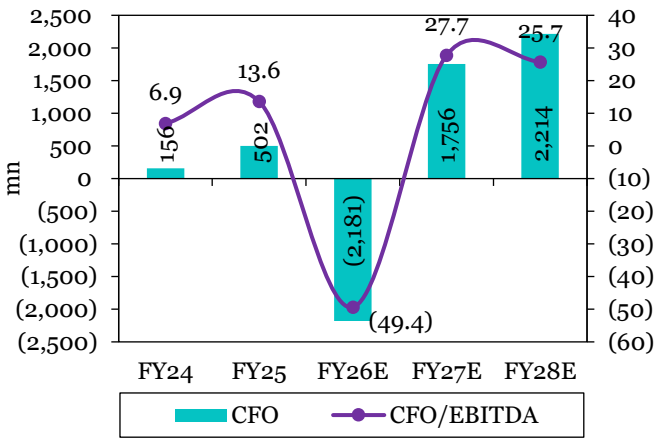
Source: Company, B&K Research

Cash flow profile



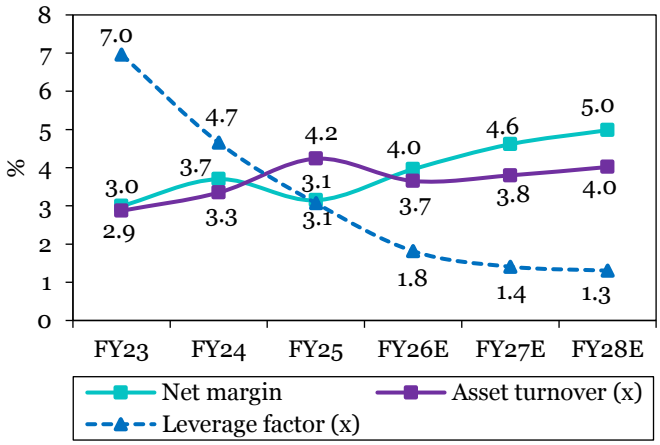
Source: Company, B&K Research

CFO and CFO/EBITDA



Source: Company, B&K Research

DuPont analysis



Source: Company, B&K Research

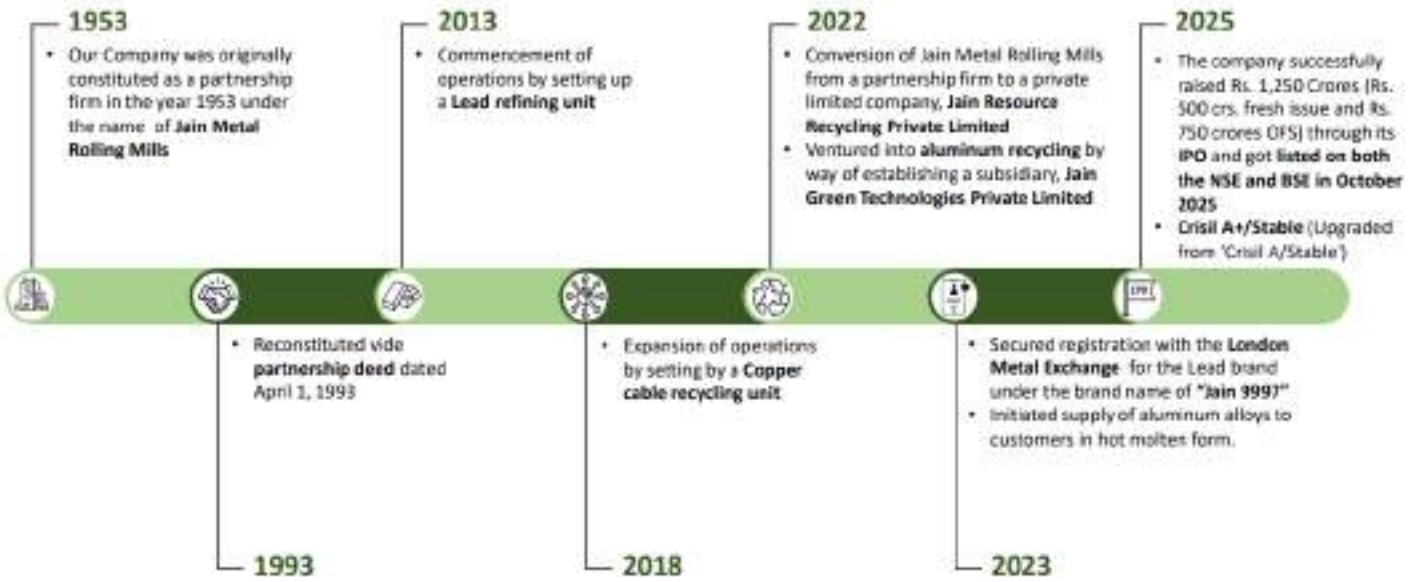
Company Journey

The group was founded in 1953 as Jain Metal Rolling Mills, initially focusing on rolling of brass and copper. The group was mainly into trading activities before taking a strategic decision to transition from trading to manufacturing. The entity was reconstituted as a partnership firm in 1993 and subsequently converted into a private limited company on February 25, 2023.

The company commenced its first manufacturing operations in lead via lead refining unit in CY13. Building on this base, the company expanded into copper cable recycling in 2018. Soon after, the company embarked upon plastic recycling with a view to recycling in-house plastic scrap generated from lead-acid batteries, battery cycling and cable scrap recycling. Later they diversified into aluminum recycling through the formation of our subsidiary, Jain Green Technologies Private Limited in 2022. In 2023, The company's lead ingot was listed as an LME brand, London Metal Exchange.

The company has plans to forward integrate its copper recycling vertical, with manufacturing of copper cathode/wire rod/busbar, with a 9,000 MTPA plant to commence in 4QFY26 as Phase-I and Phase-II of another 9,000 MPTA capacity to commence in 1QFY27. This is further expected to improve EBITDA/tonne for copper recycling business.

Company journey



Source: Company RHP

Manufacturing plants

Source: Company RHP

Customer base

Source: Company RHP

Customer network

Source: Company RHP

Raw material sourcing

Source: Company RHP

Product portfolio

Lead ingots

Source: Company Annual Report and Investor presentations

Copper

Source: Company Annual Report and Investor presentations

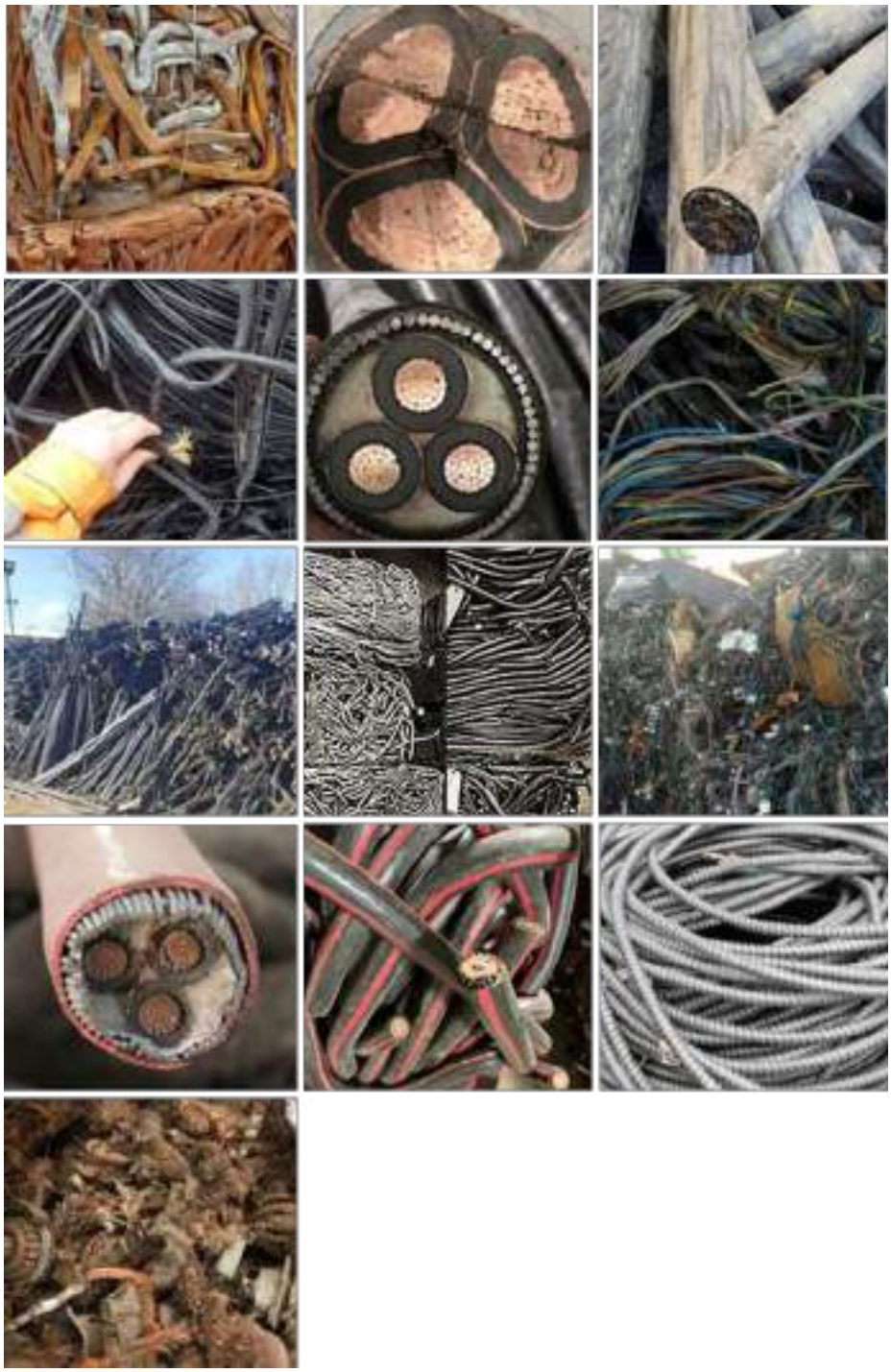
Aluminium

Source: Company Annual Report and Investor presentations

Key raw material used for lead recycling

Source: Company Annual Report and Investor presentations

Key raw material used for copper recycling



Source: Company Annual Report and Investor presentations

Key raw material used for aluminium recycling

Source: Company Annual Report and Investor presentations

Investment thesis

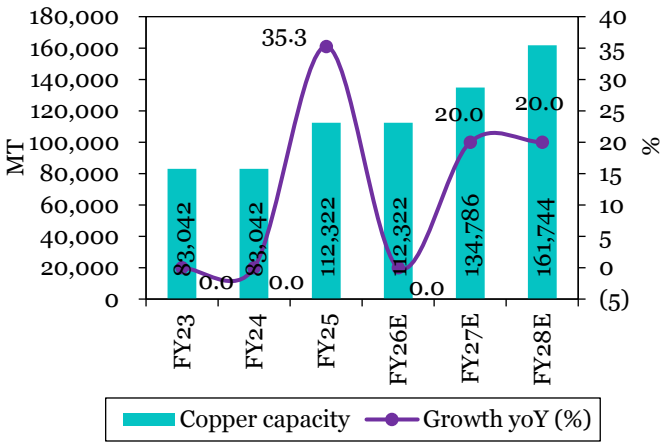
1. Copper and value-added products in copper.
2. Other verticals remain stable and increase gradually.
3. High return ratios and improving cashflow position.

1. Copper and value-added products in copper

Background: JAINREC has started copper recycling in CY18. It's installed copper recycling capacity stands at 112,322 MTPA currently, and over FY23-25 the company expanded this capacity for one first time in FY25 in the past three years, adding 35.3% through a single large addition of 29,280 MTPA. As a result, copper volume growth lagged capacity growth, registering a 13.3% CAGR over FY23-25, reflecting the gradual ramp-up curve typical of such step-change capacity additions. The volume trajectory was supported by increasing domestic offtake for recycled copper products, with domestic copper revenue growing at 16.6% CAGR, while export revenue remained stable with a 6.3% CAGR. JAINREC also expanded its total domestic customer base from 203 in FY23 to 251 in FY25, indicating deeper market penetration.

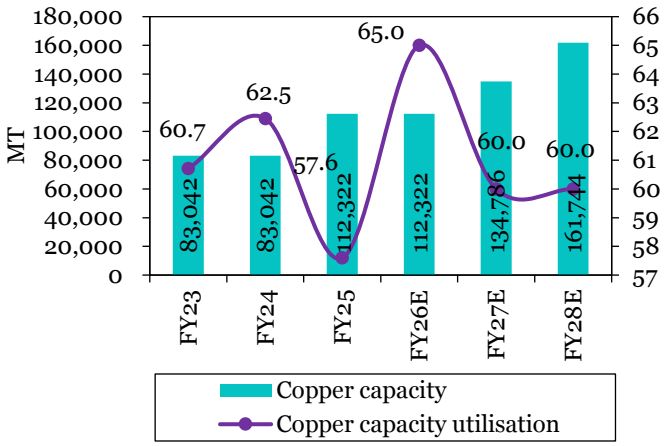
We expect JAINREC to accelerate copper offtake as product penetration in domestic markets continues to improve, while exports remain steady. We expect copper recycling capacity to grow at a 12.9% CAGR over FY25-28E.

Copper capacity to grow at a CAGR of 12.9% over FY25-28 fueled by sustained capex



Source: Company, B&K Research

Copper capacity utilisation to improve

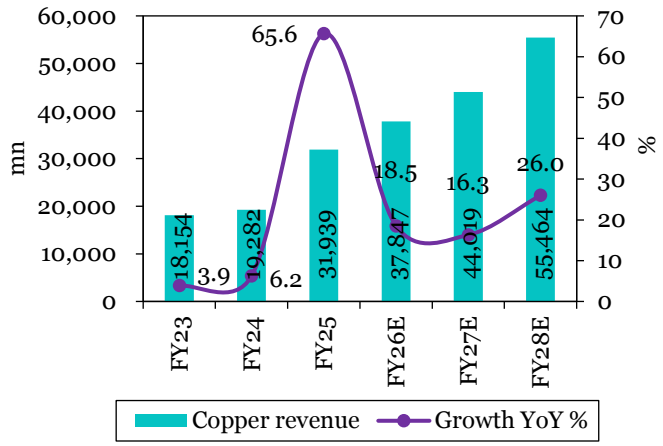


Source: Company, B&K Research. **Note:** Capacity utilisation is calculated on incremental capacity added during the financial year.

Historically, JAINREC's copper recycling volumes grew at a 13.3% CAGR, while copper recycling revenue expanded at a much faster 32.6% CAGR over FY23-25. This divergence was driven by stronger domestic traction, with domestic copper revenue growing at 16.6% CAGR versus 6.3% CAGR for exports, and by improving realisations, which increased at a 17.1% CAGR on the back of an expanded product SKU portfolio.

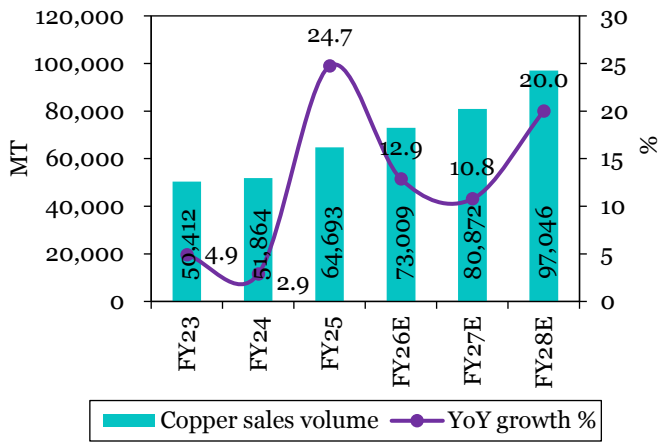
With continued broadening of product offerings and deeper penetration in the domestic market, we expect copper realisations to grow at a CAGR of 5.0%, while volumes and revenue are projected to grow at 14.5% and 20.2% CAGR, respectively, over FY25-28E.

Copper revenue to grow at CAGR of 20.2% over FY25-28



Source: Company, B&K Research

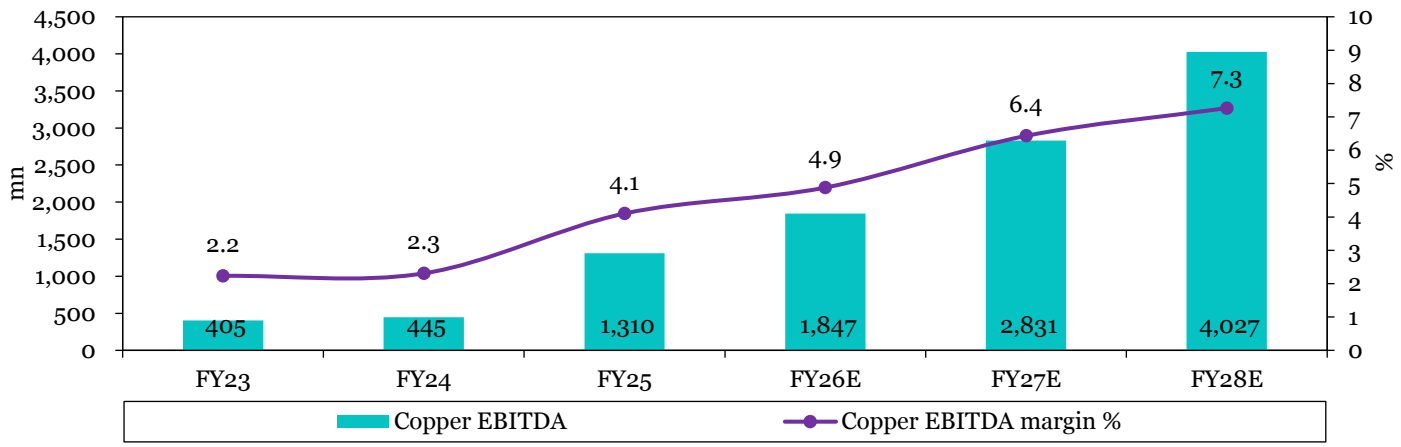
Copper sales volume to grow at a CAGR of 14.5% over FY25-28



Source: Company, B&K Research

JAINREC's copper EBITDA margin improved from 2.2% in FY23 to 4.1% in FY25, supported by a sharp 79.8% EBITDA CAGR over the same period. The improvement was driven by a shift in the sales mix towards finished goods (FG), which command significantly higher realisations compared to by-products. As the company continues to scale FG production and deepen its domestic customer penetration, we expect further improvement due to support of operating leverage in EBITDA margins. **On this backdrop, we project JAINREC's copper EBITDA to grow at CAGR of 45.4% over FY25-28E, led by higher FG offtake and a richer product mix.**

Improvement in copper EBITDA margins



Source: Company, B&K Research

Background: JAINREC aims to broaden its product portfolio through forward integration into copper cathode, wire rod and busbar manufacturing, enabling the company to cater to a wider customer base while moving deeper into the copper value chain. Under this project, copper cathodes will be produced from recycled copper by removing trace metallic impurities through electrolytic refining, after which the cathodes will be converted into high-quality wire rods.

The feedstock for the copper cathodes will be sourced from JAINREC's existing recycling facilities, making the copper cathode, wire rod and busbar operations a natural forward integration of the company's recycling platform.

Copper cathode manufacturing – A step towards forward integration

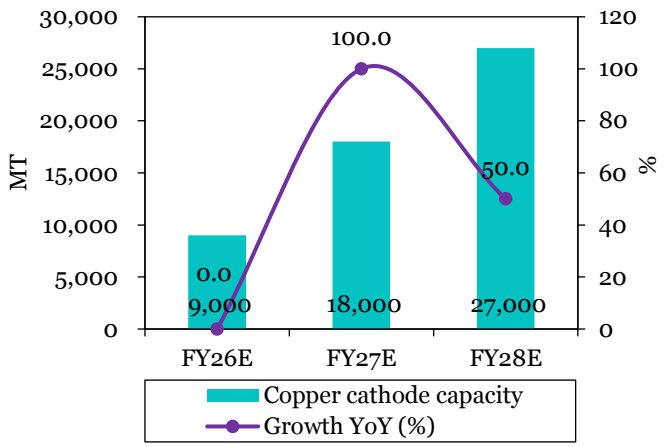
Source: Company, RHP

The company expects to commission its copper cathode plant in 4QFY26E with an initial Phase-1 capacity of 9,000 tonnes, followed by Phase-II capacity of 9,000 tonnes in 1QFY27. While the management has indicated for further capacity addition in FY28 based on the project success. This initiative marks a meaningful step in JAINREC's diversification into a higher-quality, value-added copper portfolio.

In addition, the company plans to produce a portion of its copper cathode output using solar energy, positioning JAINREC as a producer of green copper cathodes.

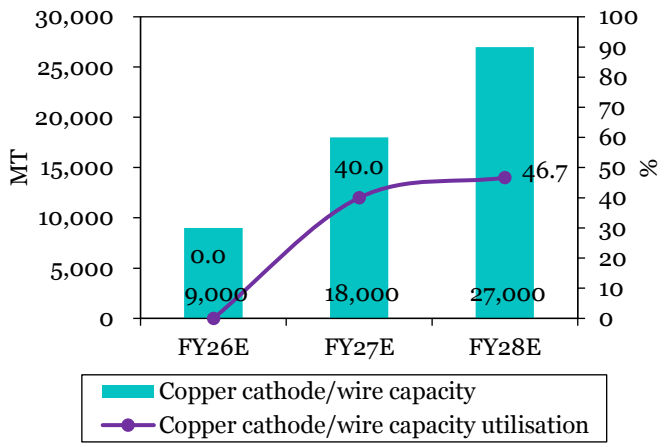
The company has plans to cross sell its value-added copper vertical products to existing clients, therefore, the utilisation is expected to see decent offtake initially.

Upcoming copper cathode capacity



Source: Company, B&K Research

VAP portfolio in copper to ramp-up in FY27 and FY28



Source: Company, B&K Research. **Note:** capacity utilisation is calculated while including new capacities that commissioned/expected to commission during the financial year.

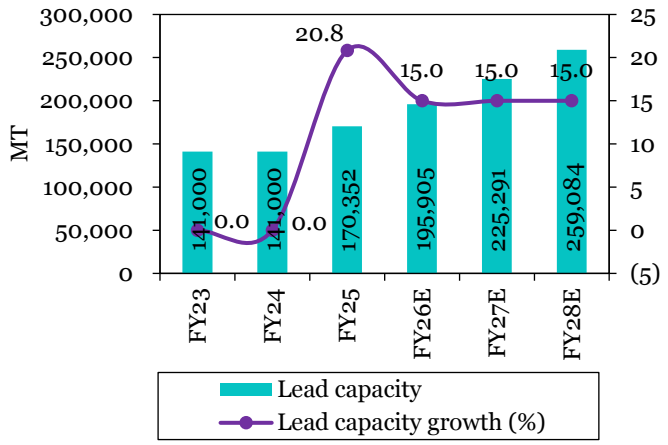
We expect the forward integration to increase the realisations and also the EBITDA margins. We believe this forward integration initiative by the company to register 9-10% EBITDA margin for copper cathode/wire rod/bus bar segment.

2. Other verticals to remain stable and increase gradually

Background: JAINREC commenced its recycling operations with a lead refining unit in CY13. The company increased its lead recycling capacity by 20.8% in FY25 to 170,352 MTPA, after maintaining capacity at 141,000 MTPA through FY23-24. Over the same period, capacity utilisation ramped up sharply from 45.7% in FY23 to 83.1% in FY24 and 89.3% in FY25, driving robust growth in lead recycling volumes at a CAGR of 53.6% over FY23-25. This surge was primarily export-led, with export volumes expanding at a CAGR of 110.6%, supported by consistently improving realisations, which grew at a CAGR of 5.5%.

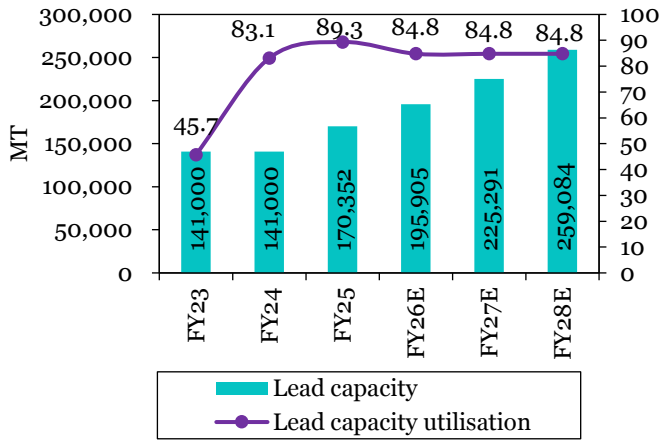
With the company focused on diversifying its client base and sustaining its strong export orientation, while evolving EPR norms improve domestic scrap availability – we expect healthy offtake for upcoming lead capacities. Accordingly, we project lead recycling capacity to grow at a CAGR of 15.0%, with volume/revenue expected to grow at 13.0%/18.7% CAGR, respectively, over FY25-28E. Lead realisations are expected to increase at a steady 5.0% CAGR over the same period.

Lead capacity to grow at a CAGR of 15.0% over FY25-28



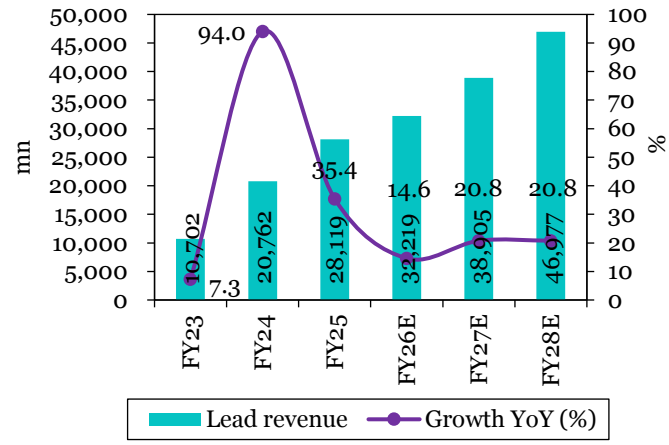
Source: Company, B&K Research

Lead capacity utilisation to average at ~85% over the forecast period



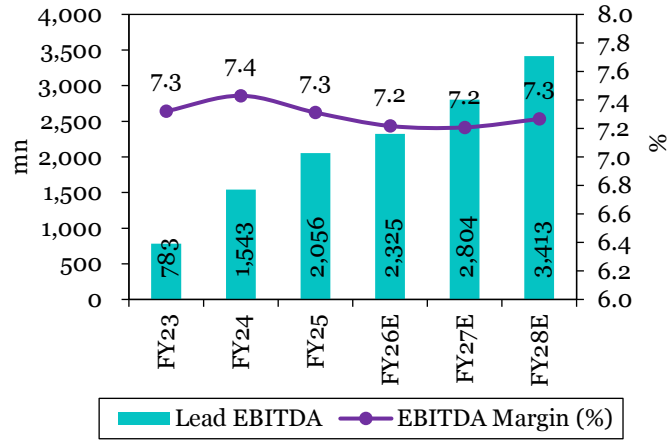
Source: Company, B&K Research. **Note:** Capacity utilisation is calculated while including new capacities that commissioned during the financial year.

Lead revenue to grow at 18.7% CAGR over FY25-28



Source: Company, B&K Research

Lead EBITDA margin broadly remain the same



Source: Company, B&K Research

JAINREC has almost Nil value-added products in its lead recycling vertical. Due to which we believe the EBITDA margin for lead recycling vertical to cap at ~7.5% EBITDA margins.

We believe JAINREC to maintain its focus on increasing value-added products in copper recycling. While maintaining a steady volume growth in lead recycling. EBITDA margins to remain steady at an average of 7.2% EBITDA margins over FY25-28E.

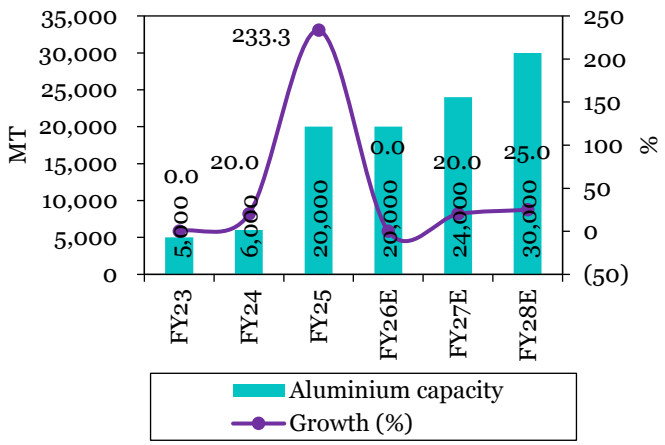
Background: JAINREC entered the aluminium recycling business in CY22 with an initial capacity of 5,000 MTPA and capacity utilisation of 48.5%. In the first year, the segment reported exceptionally high profitability, with EBITDA/tonne rising to Rs 25,490/tonne, supported by favourable aluminium price movements. By FY25, the company expanded aluminium capacity from 5,000 MTPA to 20,000 MTPA and improved utilisation to 62.5%, driving a sharp increase in segment volumes, which grew at a CAGR of 127.0% over FY23-25.

The volume ramp-up was primarily domestic-led, with domestic volumes contributing 85.9%/73.4%/56.7% of total aluminium volumes in FY23/24/25. However, high customer concentration resulted in a 42.1% decline in domestic volumes in FY25, suggesting a potential loss of a key client. Despite this, the revenue impact was largely offset by a 34.1% increase in realisations. As a result, although total aluminium volumes fell 25.0%, segment revenue remained broadly stable.

Looking ahead, we expect JAINREC to stabilise and gradually recover its aluminium performance as utilisation improves toward ~70%, supported by new customer acquisitions. We also anticipate the next phase of capex to commence around mid-FY27, enabling further capacity expansion. We project aluminium recycling capacity to grow at a CAGR of 14.5% over FY25-28E, with volume and revenue both growing at a CAGR of 16.6% over the same period.

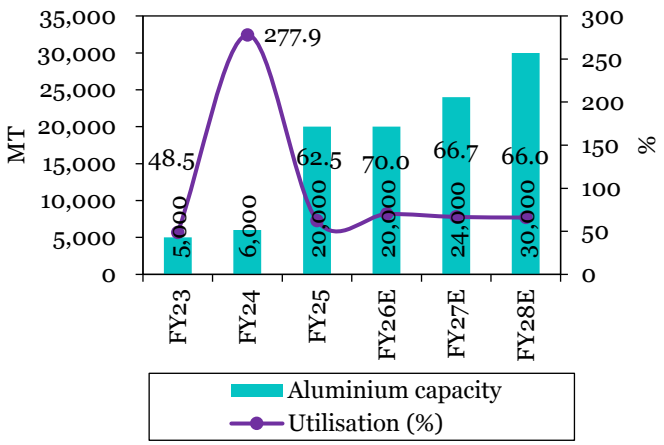
JAINREC's aluminium realisations remain significantly higher than peers, at Rs 218,570/tonne versus Rs 195,061/tonne for Gravita in FY25. We do not factor in any further realisation upside in our base-case estimates.

Aluminium capacity to increase in FY27 and FY28



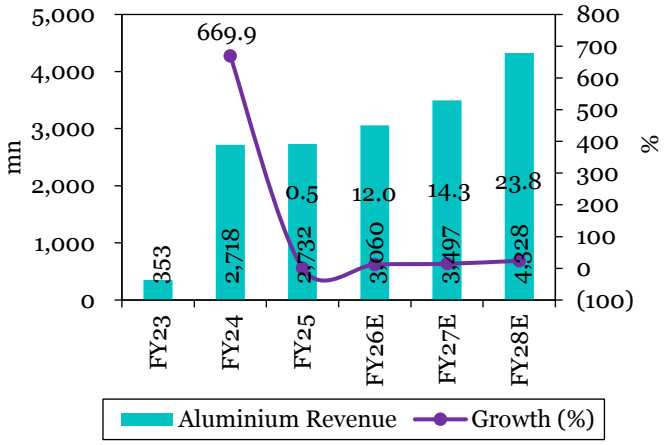
Source: Company, B&K Research

Aluminium capacity utilisation



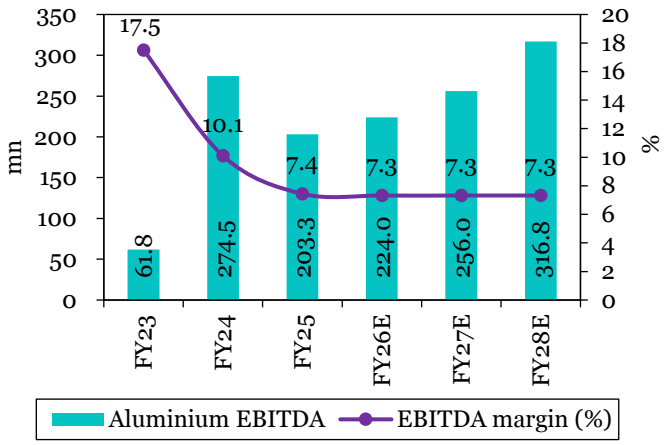
Source: Company, B&K Research. **Note:** Capacity utilisation in FY24 is abnormally high due to large volume sales of by product, compared to finished goods (FG).

Aluminium revenue to grow at a CAGR of 16.6% over FY25-28E



Source: Company, B&K Research. **Note:** Aluminium revenue is abnormally high in FY24 due to high sales of by product during the year.

Aluminium EBITDA margin to stabilise at ~7.3% over FY26-28



Source: Company, B&K Research

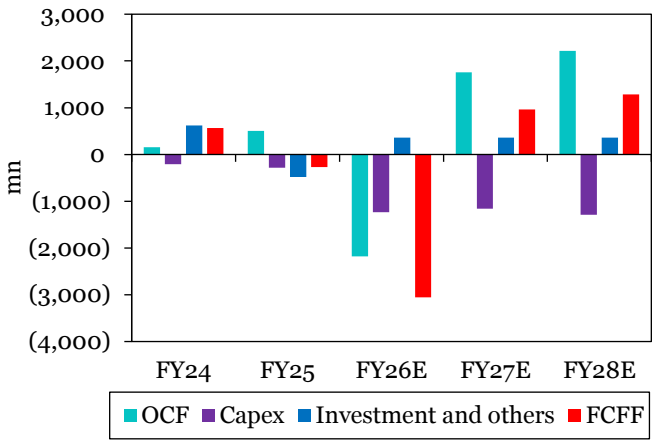
3. High return ratios and improving cash flow positions

Historically, over FY23-25, JAINREC generated cumulative operating cash flows of Rs 750 mn, while capex stood at Rs 831mn. The capex was primarily due to increase the capacities of lead and copper, while diversifying into new verticals.

JAINREC has maintained a mediocre CFO/EBITDA conversion of 9.3% on an average over FY23-25, majorly due to high working capital requirements. Therefore, the short term debt remained high for the company.

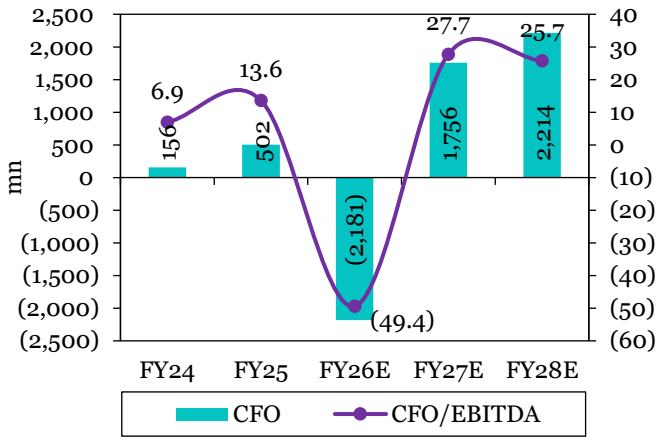
We project negative cashflow from operations for FY26, and the company plans to repay its short-term borrowings by Rs 3,750 mn, thereby reducing interest expense. We expect the company to clock an average CFO/EBITDA of 26.7% over FY27 and FY28 (excluding negative cash flow for FY26), led by company's strides to improve working capital by way of increasing domestic procurement of raw material (mostly lead).

Cash flow profile



Source: Company, B&K Research

Cash conversion ratio



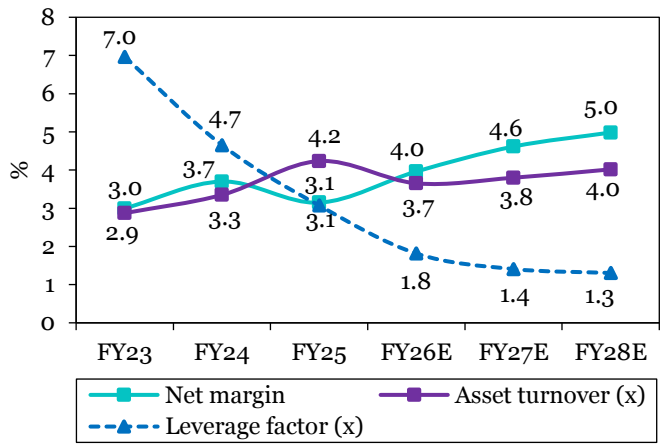
Source: Company, B&K Research

DuPont analysis

(%)	FY23	FY24	FY25	FY26E	FY27E	FY28E
Net margin	3.0	3.7	3.1	4.0	4.6	5.0
Asset turnover (x)	2.9	3.3	4.2	3.7	3.8	4.0
Leverage factor (x)	7.0	4.7	3.1	1.8	1.4	1.3
Return on equity	**59.9**	**57.7**	**41.0**	**26.3**	**24.7**	**26.1**

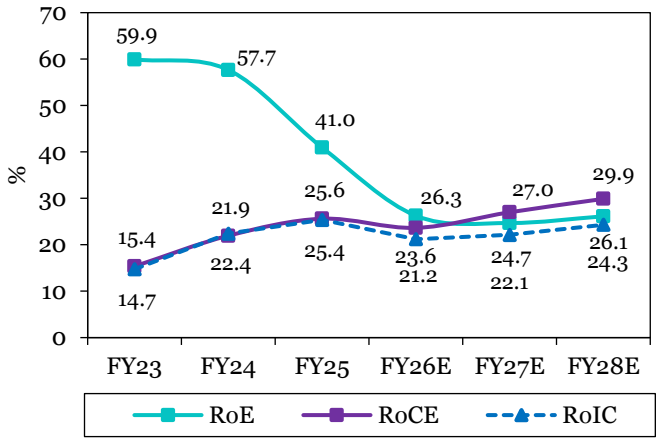
JAINREC historically had a significantly high short-term debt due to high working capital requirements. We see the decrease in financial leverage is primarily due to fund raise rounds during pre-IPO stage in FY25 and IPO proceeds again going towards repaying short term debt. This was mainly due to company's cash flow generation remained moderate, while majority of the cash generated internally was utilised for capacity expansion. Therefore, the financial leverage decreased over the period of FY23-25.

DuPont analysis



Source: Company, B&K Research

RoE to stabilise with decreasing financial leverage and improving net margin



Source: Company, B&K Research

Remuneration to board of directors

Sr. No	Name	Designation	Remuneration FY25 (Rs mn)
1	Kamlesh Jain	Chairman & Whole Time Director	NA
2	Mayank Pareek	Joint Managing Director	13.9
3	Hemant Shantilal Jain	Executive Director & Chief Financial Officer	6.6
4	Sanchit Jain*	Executive Director	NA
5	Kandaswamy Paramasivan	Independent Director	0.3
6	Jayaramkrishnan Kannan	Independent Director	0.2
7	Rajendra Kumar Prasan	Independent Director	0.2
8	Revathi Raghunathan	Independent Director	0.3

Key triggers for upward movement of stock

- Commencement of new recycling facilities.
- Increase of value-added products in new and existing verticals.
- Increase of client base.
- Ramp-up of upcoming manufacturing plant in copper.
- Gain in market share.
- Evolving EPR norm, to lead to increase in domestic raw material collection.

Key downside risk

- Export duty on lead/copper/aluminium/plastic scrap overseas.
- Import duty on lead/copper/aluminium/plastic scrap.
- Failure to scale up new value-added product vertical in copper.
- Volatile raw material prices where hedging mechanism is not available – Aluminium, plastics.
- Loss of market share.
- Battery OEMs building their own recycling plants.
- Failure of EPR/BWMR.
- Logistic disruptions.

Key regulatory risks

- Increase in Import duty on Lead, Copper, Aluminium, HDPE/LDPE plastics, etc. The price of raw material gets adjusted according to the import duty. So the impact of increased import duty on any of the raw material is minimal on any recycling company. However, any significant increase in import duty/export duty might cause disruption in raw material supply can, which can adversely affect the financials of the company.
- Ban on export of scrap in key countries such as USA, Malaysia, Brazil, UK, etc. are expected to have impact on capacity utilisations and volume. Impacting EBITDA margins and working capital cycle of the company.
- Any changes in EPR/BWMR norms.

SWOT analysis

Strength

- Among top 3 players in India for lead and copper recycling.
- Forward integration with manufacturing of copper value-added products such as copper cathode.
- 370+ suppliers, having large and diverse supplier base.

Weakness

- Delay in ramp up of new facilities or delay in commencement of new facilities.

Opportunity

- Evolving EPR/BWMR norms causing a shift in market share from Unorganised to Organised players.
- Zero import duty on any kind of scrap.
- Increasing norms of recycled content usage.
- Introduction of reverse charge mechanism (RCM).

Threat

- Supply chain disruptions.
- Volatility in raw material prices where the company has not fully hedged.
- Battery OEMs setting up their own manufacturing facilities.
- Failure of EPR/BWMR/regulatory risks.
- Increase in import duty of scrap.
- Export restriction/ban of scrap overseas.
- New product failure to attract customers.

ESG

A. Environment

There are disclosure gaps related to ESG initiatives as the company is recently listed and we can assume that the company's ESG structure is evolving but there is a clear absence of any proactive ESG roadmap by the company at present. The company is ISO 14001: 2015 certified for manufacturing of aluminium alloy ingots, molten aluminium alloys and processed aluminium scrap.

B. Social

Social-metric disclosures are also absent. There is room for structural improvement in workplace safety transparency and social stewardship reporting. The company is ISO 45001:2018 certified but its scope is limited to manufacturing of aluminium alloy ingots, molten aluminium alloys and processed aluminium scrap. On the quality front the company is ISO/IEC 17025:2017 certified for general requirements for the competence of testing & calibration labs and ISO 9001:2015 certification for Quality management systems.

C. Governance

Governance indicators show limited disclosures Compared to peers which reflects weaker ESG reporting and oversight documentation. Board comprises seven Directors, of which three are Executive Directors and four are Independent Directors including one woman independent director.

Jain Resource Recycling

Financial Summary (Consolidated)

Income Statement

Y/E Mar (Rs mn)	FY25	FY26E	FY27E	FY28E
Net sales	**71,258**	**74,489**	**92,824**	**117,582**
Growth (%)	*60.9*	*4.5*	*24.6*	*26.7*
Raw material	(65,311)	(67,040)	(83,077)	(104,648)
Gross profit	**5,946**	**7,449**	**9,746**	**12,934**
Employee cost	(307)	(350)	(446)	(564)
Other expenditure	(1,951)	(2,682)	(2,970)	(3,763)
Other operating income	-	-	-	-
EBITDA	**3,688**	**4,417**	**6,331**	**8,607**
Growth (%)	*62.3*	*19.8*	*43.3*	*36.0*
Depreciation	(157)	(354)	(563)	(818)
Other income	364	364	364	364
EBIT	**3,895**	**4,427**	**6,132**	**8,153**
Finance cost	(847)	(545)	(495)	(445)
Exceptional income/(expense)	-	-	-	-
Profit before tax	**3,048**	**3,882**	**5,637**	**7,708**
Tax (current + deferred)	(813)	(932)	(1,353)	(1,850)
Profit/(loss) for the year	**2,235**	**2,951**	**4,284**	**5,858**
P/L of JV/A, minority interest	(2)	-	-	-
Reported profit/(loss)	**2,233**	**2,951**	**4,284**	**5,858**
Adjusted net profit/(loss)	**2,243**	**2,951**	**4,284**	**5,858**

Balance Sheet

Y/E Mar (Rs mn)	FY25	FY26E	FY27E	FY28E
Share Capital	647	690	690	690
Reserves & surplus	6,614	14,521	18,805	24,663
Shareholders' funds	**7,261**	**15,211**	**19,495**	**25,354**
Minority interest	(13)	(28)	(28)	(28)
Long-term borrowings	35	10	10	10
Other non-current liabilities	186	186	186	186
Total non-current liab.	**221**	**196**	**196**	**196**
Short-term borrowings	9,164	5,439	4,939	4,439
Trade payables	1,035	918	1,138	1,434
Other current liabilities	695	695	695	695
Total current liabilities	**10,894**	**7,052**	**6,772**	**6,568**
Total (Equity & Liab.)	**18,362**	**22,432**	**26,436**	**32,090**
Fixed assets (net block)	922	1,805	2,401	2,876
Non-current investments	260	260	260	260
Other non-current assets	729	729	729	729
Non-current assets	**1,911**	**2,794**	**3,390**	**3,865**
Cash and cash equivalents	2,483	120	86	427
Inventories	6,752	10,837	12,974	16,056
Trade receivables	1,295	2,041	2,543	3,221
Other current assets	5,921	6,641	7,443	8,521
Current assets	**16,451**	**19,638**	**23,046**	**28,225**
Total (Assets)	**18,362**	**22,432**	**26,436**	**32,090**

Cash Flow

Y/E Mar (Rs mn)	FY25	FY26E	FY27E	FY28E
Profit before tax	3,048	3,882	5,637	7,708
Depreciation	157	354	563	818
Change in working capital	(2,362)	(5,667)	(3,222)	(4,543)
Total tax paid	(824)	(932)	(1,353)	(1,850)
Others	483	181	131	81
CF from operations (a)	**502**	**(2,181)**	**1,756**	**2,214**
Capital expenditure	(286)	(1,237)	(1,159)	(1,292)
Change in investments	(477)	-	-	-
Others	(8)	364	364	364
CF from investing (b)	**(771)**	**(873)**	**(795)**	**(928)**
Free cash flow	**216**	**(3,418)**	**598**	**922**
Equity raised/(repaid)	237	43	-	-
Debt raised/(repaid)	105	(3,750)	(500)	(500)
Dividend (excl. tax)	-	-	-	-
Others	(592)	4,398	(495)	(445)
CF from financing (c)	**(250)**	**691**	**(995)**	**(945)**
Net change in cash (a+b+c)	**(519)**	**(2,363)**	**(34)**	**341**

Key Ratios

Y/E Mar (%)	FY25	FY26E	FY27E	FY28E
Adjusted EPS (Rs)	7.2	8.8	12.8	17.6
Growth	*50.6*	*23.1*	*45.2*	*36.8*
Book NAV/share (Rs)	23.3	45.6	58.5	76.0
Dividend payout ratio	-	-	-	-
Gross margin	8.3	10.0	10.5	11.0
EBITDA margin	5.2	5.9	6.8	7.3
EBIT margin	5.5	5.9	6.6	6.9
Tax rate	26.6	24.0	24.0	24.0
RoCE	25.6	23.6	27.0	29.9
RoE	41.0	26.3	24.7	26.1
RoIC (post-tax)	25.4	21.2	22.1	24.3
Net debt/equity (x)	0.7	0.3	0.2	0.1
Net debt/EBITDA (x)	1.5	0.9	0.6	0.3
Fixed asset turnover (x)	4.2	3.7	3.8	4.0
Net working capital days	28.5	61.7	64.0	67.2

Valuations

Y/E Mar (x)	FY25	FY26E	FY27E	FY28E
P/E	57.5	46.7	32.2	23.5
P/B	17.8	9.1	7.1	5.4
Dividend yield (%)	-	-	-	-
OCF yield (%)	0.4	(1.6)	1.3	1.6
EV/EBITDA	36.4	32.1	22.3	16.3
EV/Sales	1.9	1.9	1.5	1.2

Initiating Coverage | Recycling | 05 January 2026

Hold

Current Price (Rs)	: 1,474
Target Price (Rs)	: 1,538
Potential Upside (%)	: 4.3

Source: Bloomberg, B&K Research

Market Data

No. of Shares (mn)	: 31
Free Float (%)	: 61
Market Cap (Rs bn)	: 45
52-week High/Low (Rs)	: 1,578/490
Avg. Daily Volume (6M)	: 1 mn
Avg. Daily Value (6M; US$)	: 7.0 mn
Bloomberg Code	: POCL IN
Promoters Holding (%)	: 39
FII/DII (%)	: 1.75/7.02

Source: Bloomberg, B&K Research

Price Performance

(%)	1M	3M	12M
Absolute	13	58	65
Relative	14	56	57

Source: Bloomberg, B&K Research

Pondy Oxides & Chemicals

Capex gear up, with plans to upscale copper recycling

Pondy Oxides & Chemicals (POCL) is one of the largest players in India's lead recycling industry, with established expertise in specialised lead alloys. The company's overseas lead recycling revenue grew at 17.2% CAGR over FY22-25, outperforming the global lead recycling market growth of ~2.7% CAGR. Led by a strong and loyal customer base, continuous product launches in the value-added segment, and a deep-rooted supplier network comprising 270+ suppliers, we expect overall volumes to grow at a CAGR of 20.9% over FY25-28E. Within this, lead recycling volumes are estimated to clock **18.0% CAGR**, copper recycling volumes a sharp **170.2% CAGR** (from a lower base of FY25), and plastic recycling volumes **12.8% CAGR**

POCL's recent entry into copper recycling has scaled up meaningfully, with the segment's revenue contribution rising from **2.7% in FY25 to 13.8% in 1HFY26**, driven by increased offtake from existing supply chain/sourcing network. As the company broadens its domestic client base and ramps up capacity, we expect copper recycling to contribute **12.9%/13.9%/27.0%** of revenue in **FY26/27/28E**, respectively.

We Initiate coverage on POCL with a Hold rating and a target price of Rs 1,538 (valued at 23x of FY28E EPS). We expect 33.7%/52.0% Revenue/PAT CAGR over FY25-28E with consolidated EBITDA margins expanding from 5.1% in FY25 to 6.8% in FY28 led by commissioning of the state-of-the-art plant at TKD with large, automated smelting and refining units, operational efficiencies at existing plants, increasing value added products in lead recycling and copper recycling verticals. RoCE/RoE of 23.2%/20.7% in FY28.

Financial summary (Consolidated)

Y/E Mar (Rs mn)	FY24	FY25	FY26E	FY27E	FY28E
Net sales	15,406	20,569	29,921	37,638	49,130
EBITDA margin (%)	*4.6*	*5.1*	*7.1*	*7.2*	*6.8*
EBIT margin (%)	*4.0*	*4.4*	*6.4*	*6.4*	*6.1*
Adjusted net profit	319	579	1,282	1,632	2,040
EPS growth (%)	*(79.0)*	*55.0*	*99.8*	*27.2*	*25.0*
Cash flow from operations	653	(788)	796	1,028	1,165
RoE (%)	10.3	12.2	19.5	20.3	20.7
RoCE (%)	13.9	15.5	23.0	22.7	23.2
Net debt/equity (x)	0.2	0.1	0.2	0.2	0.2

Source: Company, B&K Research

Increasing capacities and value-added products to drive incremental value: This growth was primarily driven by brownfield expansions at the Tamil Nadu and Andhra Pradesh facilities, coupled with the acquisition of Meloy Metal in Andhra Pradesh and Harsha Exito in Chennai over FY17-25. Over the same period, the company also enhanced its value-added product mix in lead, with value-added alloys forming 60%+ of the lead basket in FY25. This shift supported an improvement in realisations, which increased at a CAGR of 4.0% over FY17-25, outperforming Gravita's 3.7% CAGR during the same period.

With a continued focus on scaling the overseas customer base in the lead recycling vertical and expanding domestic penetration in the copper recycling vertical, we expect lead capacity to grow at a CAGR of 15.6% and copper capacity at a CAGR of 71.0% over FY25-28E. Realisations are also expected to improve, supported by a richer value-added product portfolio growing at 3.0% CAGR for lead recycling and 6.6% CAGR for copper recycling driven by customer demand and new value-added copper product portfolio in FY27 and FY28.

Still momentum left in lead recycling: POCL's lead recycling revenue has grown at a CAGR of 12.6% over FY17-25, contributing 95.8% of total revenue in FY25. With a steadily diversifying customer base supported by an expanding value-added product portfolio that now includes 100+ specialised lead alloys, we believe the segment is well positioned for sustained growth. On the back of this and aided by strong operational efficiency driven by larger automated smelting and refining lines across new and upcoming capacities, we expect the lead recycling facilities to ramp-up meaningfully and reach optimal utilisation by FY28E. **We expect a CAGR of 21.6%/33.0% for revenue/EBITDA over FY25-28E from lead recycling business.**

Re-rating in lead EBITDA margins: POCL has maintained its lead recycling EBITDA margins in the 5.8-6.5% range over FY17-25, lower than peers such as Gravita (8.5-10.3%). The margin gap for the peers in the industry has predominantly been due to different operating models and procurement strategies.

To address these, POCL is broadening its raw material sourcing network by increasing touchpoints across 70+ countries, while simultaneously targeting operational efficiencies across new and existing facilities through larger smelting units and fully backward-integrated refining systems. In parallel, the company aims to scale its value-added product contribution to 60% of overall business across all verticals by FY28, which should support a richer margin profile.

Management has guided that EBITDA margins could expand by ~1% from the increasing share of value-added products and another ~1% from operational efficiencies as backward integration ramps up. As a result, we expect lead recycling EBITDA margins to improve from **5.8% in FY25 to 7.6% by FY28E**.

Copper recycling to be the next growing vertical: POCL commenced its copper recycling vertical in FY25, generating revenue of Rs 55.7 mn at a modest 11.7% utilisation. Leveraging its extensive customer network and with a focused strategy to onboard downstream copper manufacturers the company aims to expand revenue

meaningfully as it undertakes phased capex to enhance its value-added copper product portfolio. The two-phase expansion each adding 12,000 MTPA will scale copper recycling capacity from 6,000 MTPA in FY25 to 30,000 MTPA by FY28E. On the back of this aggressive ramp-up and improved product mix, we expect the copper recycling business to deliver a strong **FY25-28E revenue/EBITDA CAGR of 187.9%/163.6%**.

Stable working capital days to give rise of cashflow from operations: With the evolution of EPR norms, particularly for battery OEMs collection efficiency of lead-acid batteries in the domestic market has improved meaningfully since FY24, with collection target of 80% in CY25. This has enabled POCL to increase its domestic procurement of lead bearing material from 15.0% in FY24 to 23.0% in FY25, and we believe this share will further rise to ~30% by FY28E for the lead recycling business, thereby reducing the working capital days.

India's copper scrap imports have declined from 64.9% in FY21 to 48.1% in FY24, supported by improving domestic scrap collection systems. While POCL currently imports 100% of its copper scrap (as of FY25), we expect this to moderate to 70–80% by FY28E as domestic sourcing channels strengthen.

Given that a majority of customers in the copper recycling vertical are domestic, the company is expected to benefit from shorter transit times, thereby aiding inventory turnover. However, copper recycling inherently operates with slightly longer working capital cycles compared to lead recycling; thus, we expect consolidated net working capital days to remain stable at an average of ~48 days by FY28E.

On the back of this stability in working capital and improving operating performance, POCL is projected to generate Rs 2,989 mn in cash flow from operations over FY26-28E. However, due to the ongoing capex cycle across lead and copper verticals, free cash flow is expected to remain negative through this period.

Sensitivity analysis

	Actual		Bull			Base			Bear	
	FY25	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Lead Recycling volume growth (%)	32.1	26.9	20.7	7.4	26.9	20.7	7.4	26.9	20.7	7.4
Copper Recycling volume growth (%)	0	528.5	36.4	130.0	528.5	36.4	130.0	328.7	20.0	10.0
Plastic Recycling volume growth (%)	151.7	0.5	19.0	20.0	0.5	19.0	20.0	0.5	19.0	20.0
Aluminium Recycling volume growth (%)	-	0	0	37.5	-	-	-	-	-	-
Revenue growth (%)	33.5	45.4	34.1	29.9	45.5	25.8	30.5	39.5	23.8	10.7
EBITDA Margins (%)	5.1	7.1	7.2	7.1	7.1	7.2	6.8	7.2	6.3	5.7
EPS (Rs)	20.6	42.0	58.2	75.0	42.0	53.5	66.9	40.3	42.7	43.0
PER Multiple (%)				17.9			22.0			34.3
Target Price (Rs)				1,896			1,538			989
Upside/Downside (%)				28.7			4.3			-32.9

Source: Company, B&K Research; **Note:** CMP as on 5th January 2026

Hedging mechanism for lead

POCL follows back-to-back hedging of its raw material, Inventory and finished goods. Where the exposure to price risk is immediately offset by taking an equal opposite position. This locks the price for POCL. Therefore, any movement in lead prices will impact the revenue, however, EBTIDA and PAT remains consistent.

Impact of raw material price movements

Scenario	Price of lead drops	Price of lead increases
Impact on revenue	Revenue drops by an equivalent amount	Revenue increases by an equivalent amount
COGS	Due to back to hedging, the gain on derivative contract is shown in COGS. Therefore, COGS decrease by an equivalent amount	Due to back to back hedging is shown in COGS, the loss on derivative contract is show in COGS. Therefore, COGS will increase by 10%
EBITDA/Ton	Remains same	Remains same
EBITDA	Since volume remains same and EBITDA per tonne remains same. There is no effect on EBITDA	Since volume remains same and EBITDA per tonne remains same. There is no effect on EBITDA
PAT	No effect on PAT	No effect on PAT

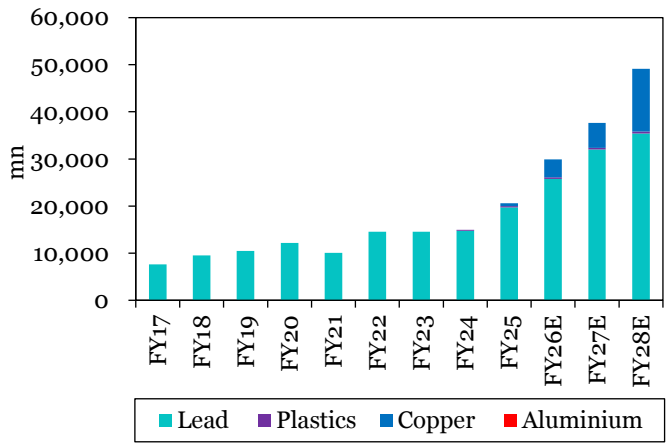
Source: B&K Research

Key regulatory risks

Increase in Import duty on Lead, Copper, Aluminium, plastics etc. The price of raw material gets adjusted according to the import duty as its passed on to the customers. So the impact of increased import duty on any of the raw material is minimal on any recycling company. However, any significant increase in import/export duty will lead to an effect on the company's financials.

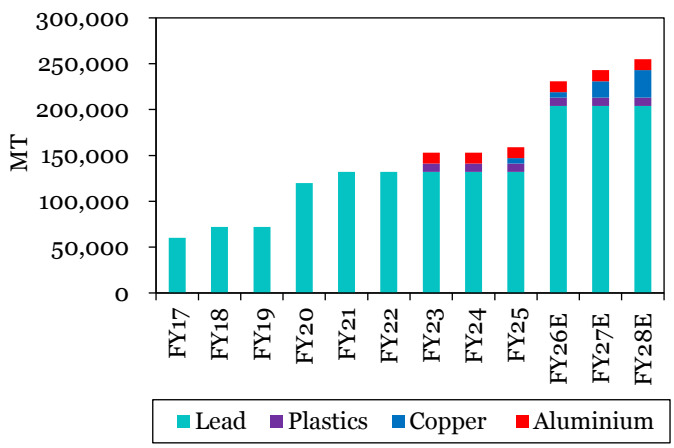
Story in charts

Segmental revenue break-up



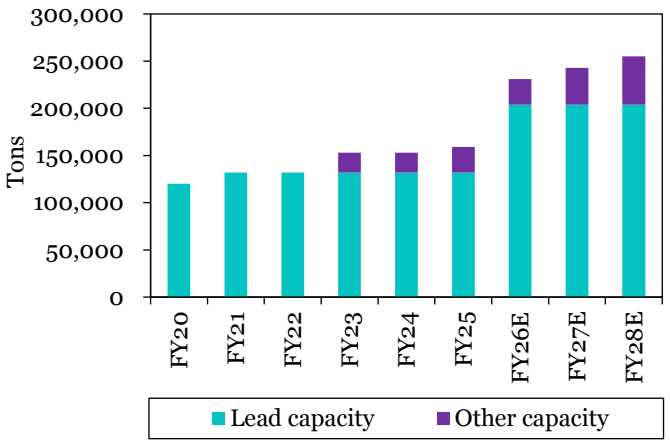
Source: Company, B&K Research

Segmental capacity break-up



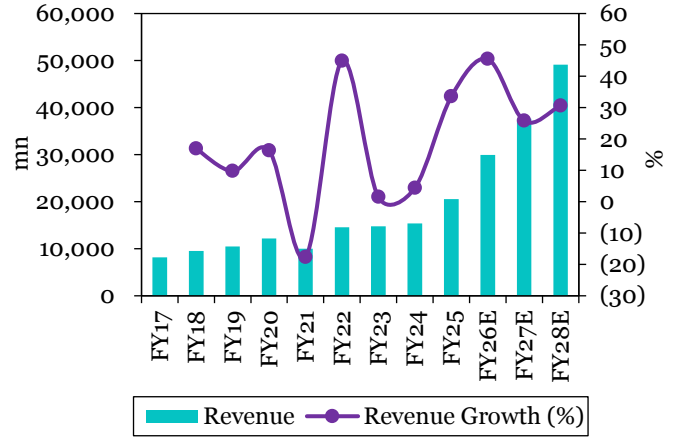
Source: Company, B&K Research

Other capacity to grow at higher pace



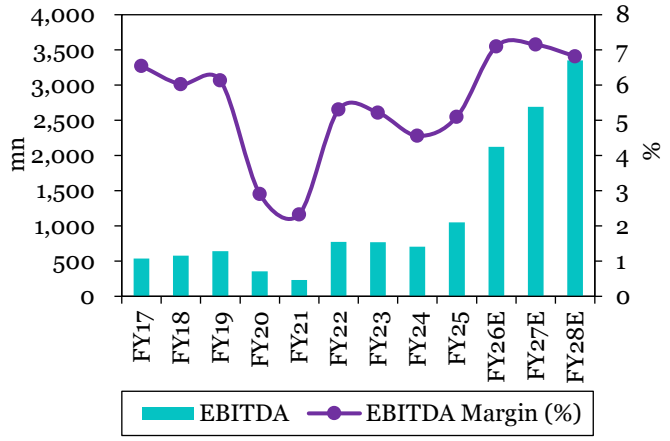
Source: Company, B&K Research

Total revenue



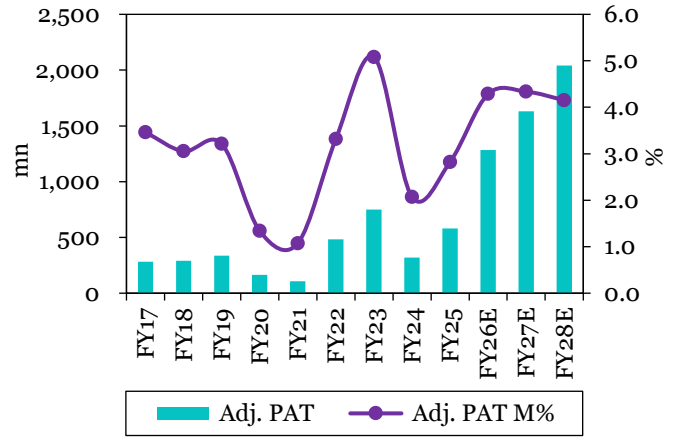
Source: Company, B&K Research

Total EBITDA and EBITDA margin



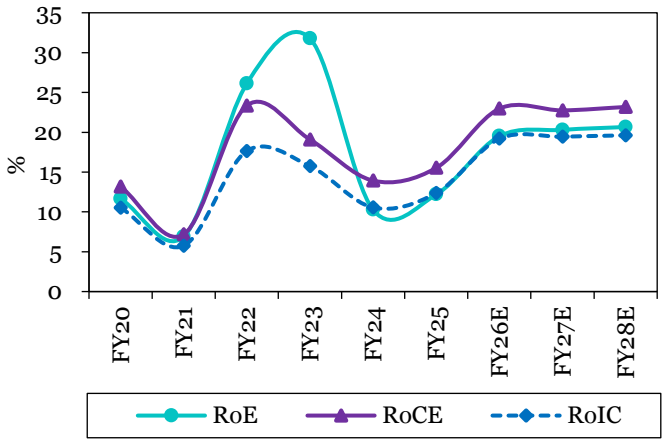
Source: Company, B&K Research

Total adjusted PAT and PAT margin



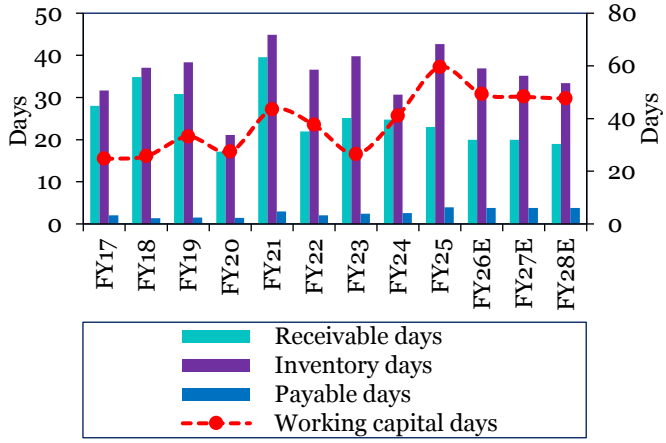
Source: Company, B&K Research

RoE, RoCE and RoIC



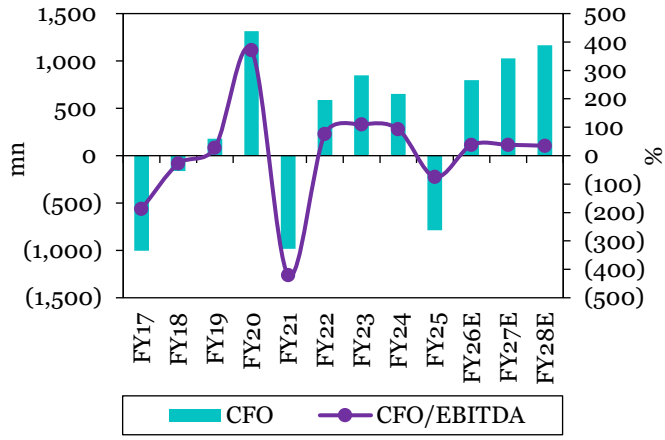
Source: Company, B&K Research

Working capital days



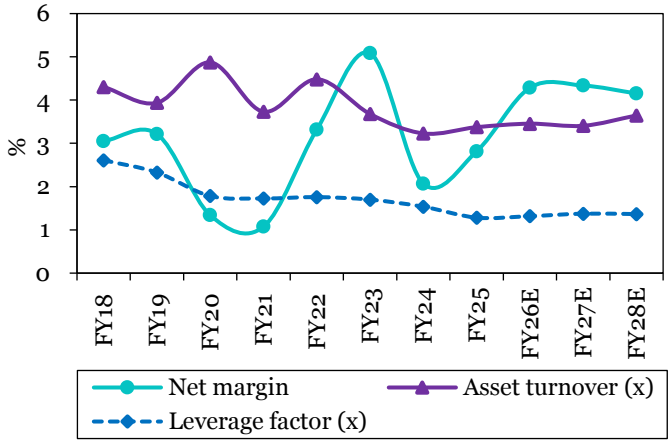
Source: Company, B&K Research

CFO and CFO/EBITDA



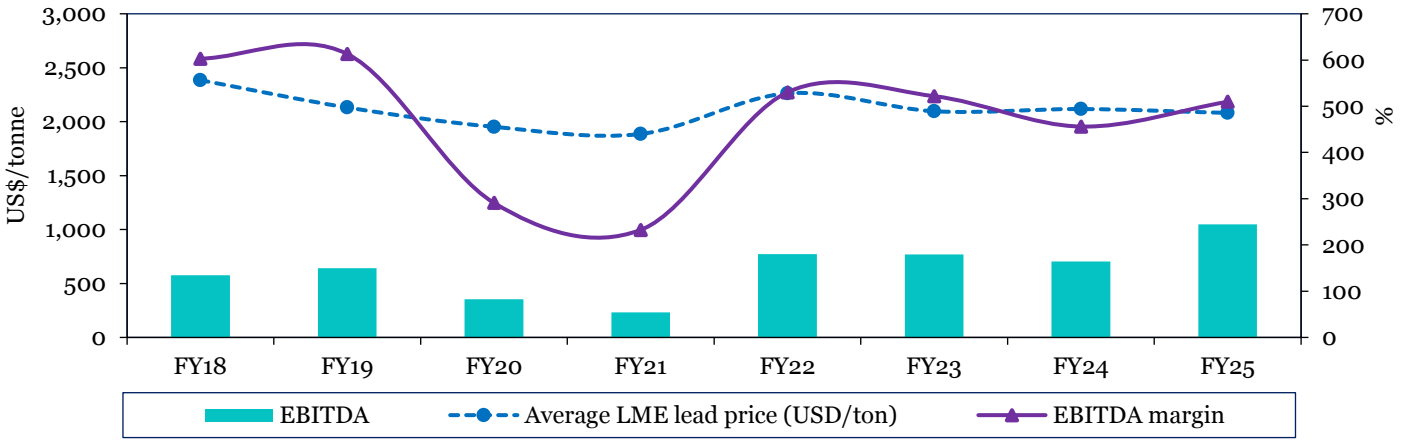
Source: Company, B&K Research

DuPont analysis



Source: Company, B&K Research

Back-to-back hedging mechanism



Source: Company, B&K Research

Company background

Founded in 1995, POCL began operations with the manufacturing of litharge, red lead and zinc oxides, and has since evolved into a full-scale recycling company. Today, POCL ranks among the top five lead recyclers in India, with an estimated ~4.8% market share, based on total capacity of recyclers in India.

The company's recycling journey began in Tamil Nadu and later expanded into Andhra Pradesh, supported by brownfield expansions and the acquisition of Meloy Metals to enhance lead recycling capacity. In FY23, POCL acquired 123 acres of land in Mundra, Gujarat, positioning itself to cater to Middle Eastern and European markets. While the business was originally centered around lead recycling, POCL diversified into plastics and aluminium recycling in FY23 and further expanded into copper recycling in FY25 with its Andhra Pradesh facility.

POCL currently operates three manufacturing plants – two in Tamil Nadu and one in Andhra Pradesh – with installed capacities of 168,000 MTPA of lead, 9,000 MTPA of plastics, 6,000 MTPA of copper, and 12,000 MTPA of aluminium as on 1HFY26. The company is headquartered in Chennai, Tamil Nadu.

The company has built a robust raw material sourcing ecosystem, with procurement touchpoints across 70+ countries and long-standing relationships with 270+ suppliers. POCL maintains a strong export orientation, with 64.5% of revenue generated overseas and 35.5% from the domestic market as on FY25.

POCL operates through two subsidiaries – Harsha Exito and POCL Future Tech. Harsha Exito was acquired via NCLT for Rs 327 mn, originally a manufacturer of mat and glass fibre. Post-acquisition, POCL completely transformed the facility into a recycling unit with capacities of 72,000 MTPA of lead, and 9,000 MTPA of plastics and expected 24,000 MTPA copper.

Company journey

Source: Company Annual Reports/Investor Presentations

Manufacturing location at the vicinity of port

Source: Company Annual Reports/Investor Presentations; Note: Gujarat land is not operational

POCL has 270+ overseas suppliers and procurement network across 70+ countries

Source: Company Annual Reports/Investor Presentations

POCL has diversified client base

Source: Company Annual Reports/Investor Presentations

Diverse product portfolio with 60% revenue from value-added products

Source: Company Annual Reports/Investor Presentations

Investment thesis

1. New plant at TKD is the game changer – path to profitability

Background: POCL acquired Harsha Exito, through NCLT route. The management was searching for land parcels in and around Chennai for expanding its lead vertical to cater to higher demand from its customers. After acquisition the management decided to set up new state of the art Lead plant in India, etc. However, the vision was to make the factory technologically advance and have a quick turnaround time. This has been the turning point for the company.

Segment wise upcoming capacity at TKD plant

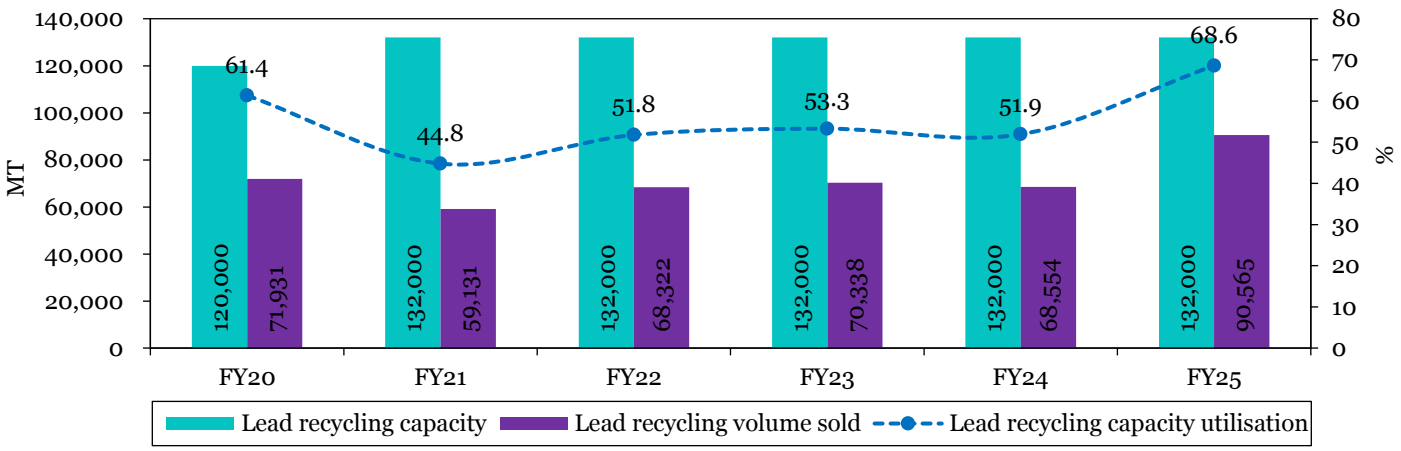
Vertical	Planned capacity at TKD by FY28
Lead	72,000
Plastics	9,000
Copper	24,000
Aluminium	Nil

Lead recycling expansion: The lead recycling vertical is slated to add 72,000 tonnes of new capacity, to be commissioned in two phases of 36,000 tonnes each in FY26, significantly strengthening POCL's integrated lead recycling platform.

Plastics facility shift (No capacity addition): The plastics recycling unit, currently operating out of a leased facility, will be shifted to **TKD**. This transition does **not** result in any net capacity addition; however, profitability for the plastics segment is expected to improve meaningfully as lease expenses are eliminated.

Copper capacity augmentation: The copper recycling vertical will see an incremental 24,000 tonnes of capacity, with a strong strategic focus on scaling the value-added copper products portfolio to drive higher realisations and margins.

Lead capacity remained flat for a long time for POCL, due to shortage of smelting capacities



Source: Company, B&K Research. **Note:** Utilisation includes total volume sold/total capacity (including new capacity added during the year).

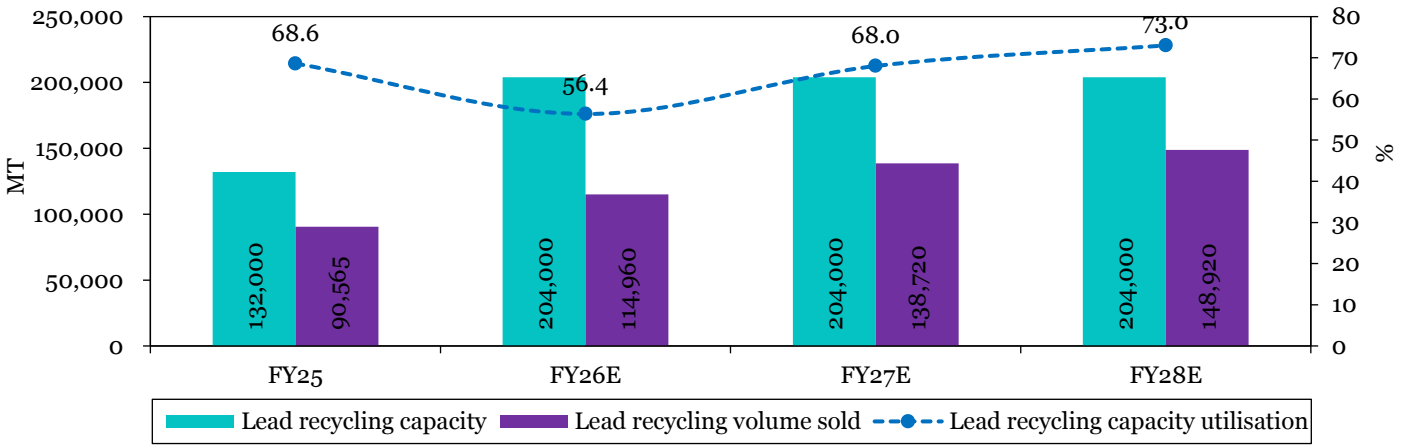
POCL's lead recycling capacity remained largely flat over FY20-25. During this period, the company acquired Harsha Exito through the NCLT process in FY23 at the TKD location. However, despite this acquisition, lead volumes for POCL stayed subdued due to shortage of smelting capacity, which acted as a key bottleneck in scaling production.

With the commissioning of incremental smelting and refining capacities and addition of new clients overseas, the company began delivering higher revenues and improved utilisation by FY25. Capacity utilisation, which hovered around ~52.6% over FY20-24, increased meaningfully to 68% in FY25, reflecting the impact of operational upgrades.

Why Harsha Exito did not commercialise in FY25

Although Harsha Exito was acquired in FY23, the asset came through the NCLT resolution route, which required significant time for regulatory formalities, approvals, and clearance processes with various government authorities. As a result, the facility could not be commercialised in FY25 and instead commenced operations in FY26, once all compliance and integration activities were completed.

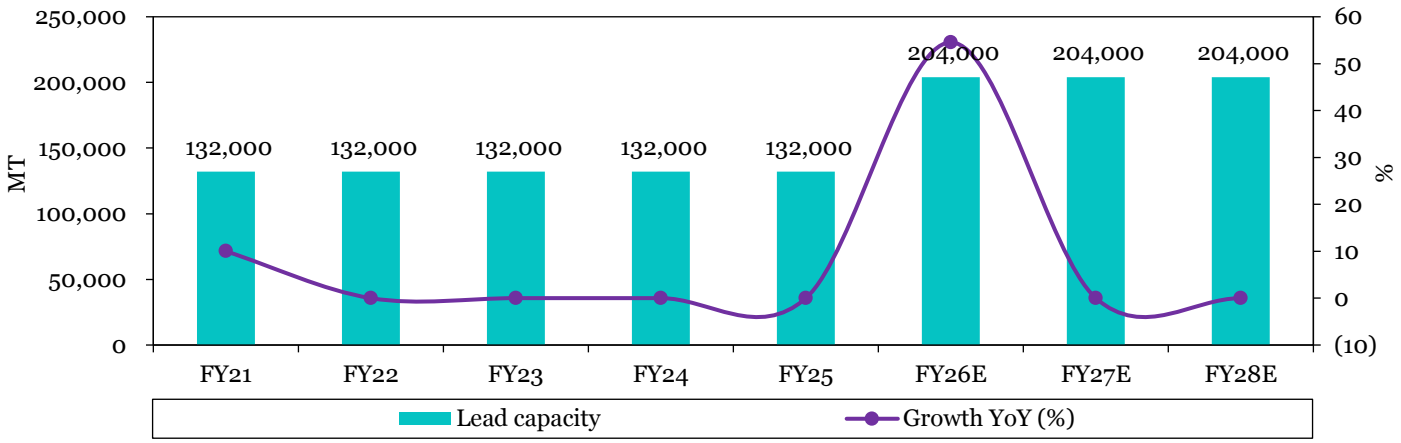
With TKD unit Phase I, II commencement we expect lead revenue to grow at a CAGR of 21.6% over FY25-28E



Source: Company, B&K Research. **Note:** Utilisation includes total volume sold/total capacity (including new capacity added during the year).

On the operational front, the TKD Phase-I and Phase-II facilities are equipped with advanced battery breaking systems, large smelting units, and fully automated refining and casting lines, enabling higher throughput and consistency in output quality. Management has guided for the new facilities to ramp up to ~65% utilisation by FY27 and 70%+ by FY28, and we believe this is achievable given the high degree of automation embedded across critical processes at the TKD plant. This ramp-up is further supported by POCL's strong customer stickiness and its well-established overseas presence, which together provide clear visibility on offtake.

Lead recycling capacity to increase for the first time after FY20



Source: Company, B&K Research

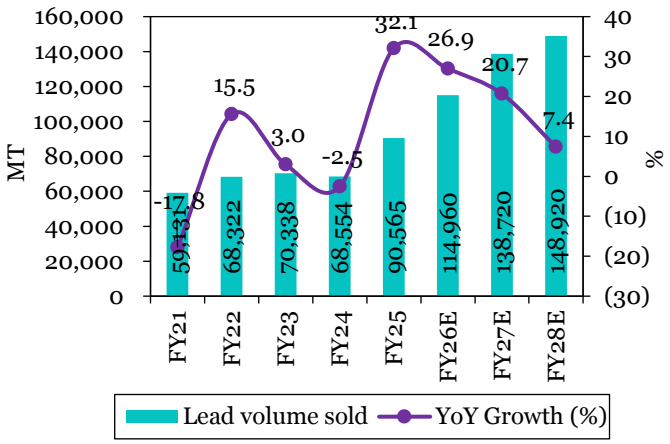
We believe Lead recycling capacity to increase by 54.5% in FY26E, with the commencement of TKD.

POCL has also shown proof of this by commencing TKD, Lead phase-I in 1HFY26, with this commencement the company has seen a re-rating in its EBITDA margins for lead recycling segment with EBITDA margins reaching 7%+ for 1HFY26.

We believe the commencement of lead recycling facility is one time (in FY26E) and no further capex in lead recycling segment is expected to happen till FY28E. **As the entire capex is diverted towards scaling up copper recycling and plastic recycling business.**

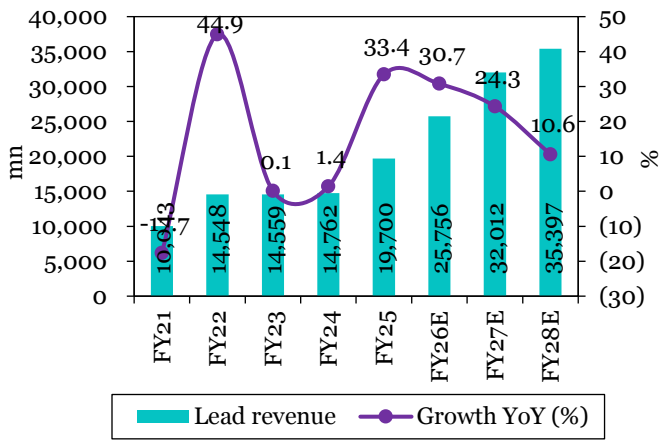
Lead recycling at TKD is expected to reach quickly optimum utilisation of ~70% within a year and is expected to reach ~75% capacity utilisation, with improved product mix, increasing client base and operational efficiencies.

Lead sales volume



Source: Company, B&K Research

Lead recycling revenue to grow at a CAGR of 21.6% over FY25-28E



Source: Company, B&K Research

We expect POCL's lead recycling volumes to grow at a CAGR of 18.0% over FY25-28E, driven by the ramp-up of the new TKD capacities through FY26-27. With the commissioning of 2 phases and higher operational efficiency, POCL's lead utilisation is projected to improve to ~73% by FY28E.

POCL has historically focused on expanding its overseas presence: export revenue, which accounted for 33.5% of revenue in FY17, increased to 64.5% in FY25, supported by strong relationships with international customers in markets such as South Korea and Japan. With increasing sales volumes and deepening global penetration, we expect exports from the lead recycling vertical to contribute ~70% of segment revenue by FY28E versus 66% in FY25.

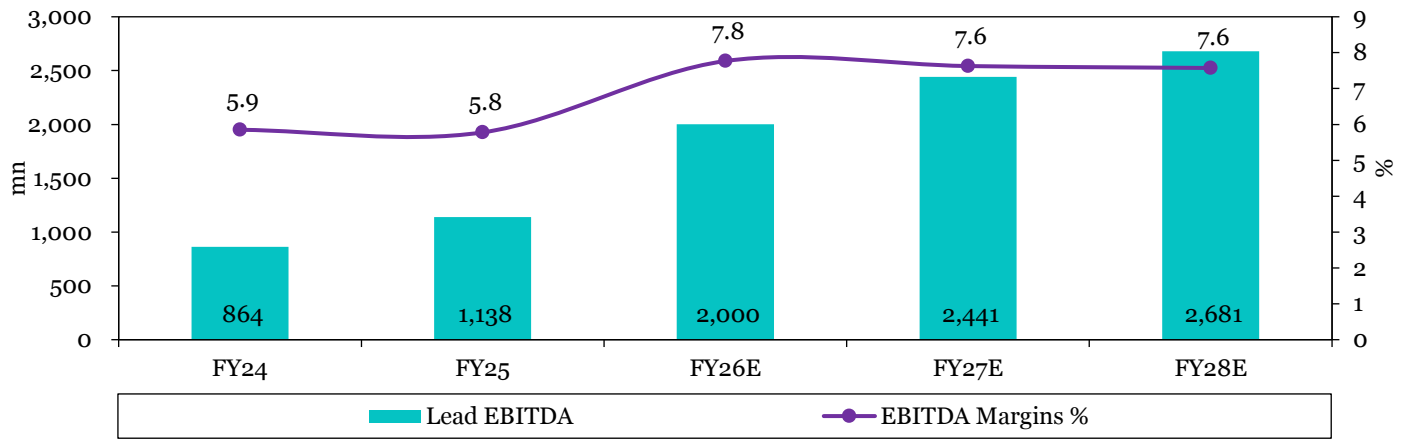
Regulatory developments including evolving EPR, BWMR, and RCM frameworks continue to favour a structural shift from the unorganised to the organised recycling segment. This, in turn, enables organised players such as Gravita, POCL, and Jain Recycling to scale newly added capacities to 60–70% utilisation within one year of commissioning. **On the back of these tailwinds, we expect POCL's domestic lead recycling revenue to grow at a CAGR of 15.0%, while export revenue from the segment is estimated to grow at a stronger 24.9% CAGR over FY25-28E.**

How does EPR, BWMR likely to cause a shift in market share from unorganised to organised?

Under the Extended Producer Responsibility (EPR) framework, lead-acid battery manufacturers and importers are obligated to ensure the collection of end-of-life batteries sold **in prior years** through their dealer networks. The mandated collection targets stand at **70%/80%/90% for CY25/CY26/CY27**, respectively. This requirement compels dealers to return collected batteries to the OEMs rather than selling them to the unorganised sector or routing them to unauthorised recyclers.

OEMs can fulfil their EPR obligations either by undertaking the collection and recycling activities themselves or by authorising an external entity to execute these functions on their behalf. The tightening of these norms is expected to significantly improve formal collection channels and accelerate the shift from unregulated recyclers toward organised players.

Lead recycling EBITDA margins to grow from 5.9% to 7.6%

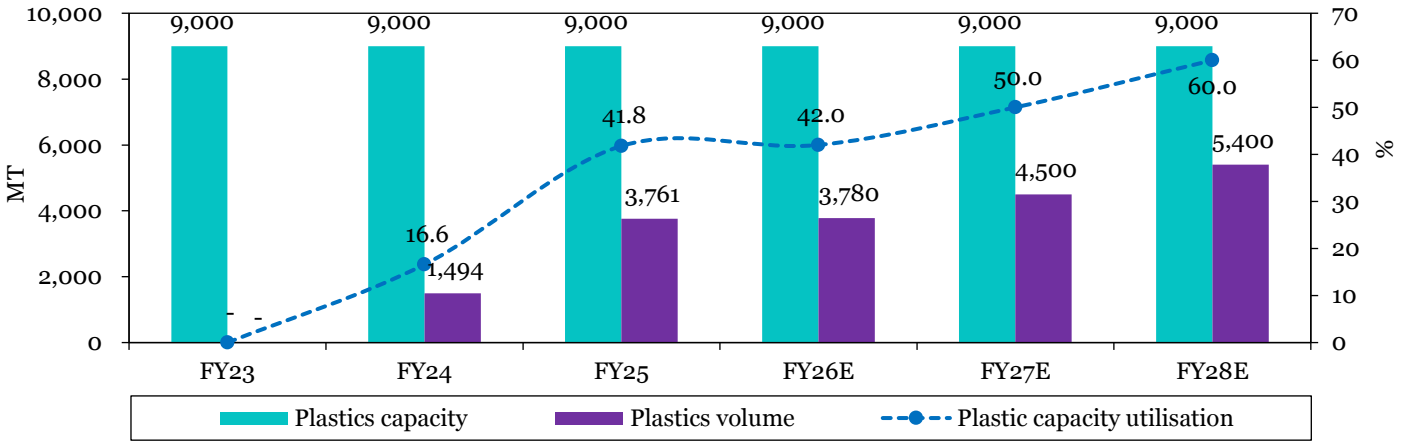


Source: Company, B&K Research; **Note:** POCL reports EBITDA/ton excluding corporate overheads till FY25

POCL's EBITDA lead recycling margins expanded from 5.3% in FY22 to 5.8% in FY25, supported by a higher share of value-added products, which now contribute ~60% of lead-recycling revenues. Management intends to further lift margins to 7-8% through (1) strengthening its scrap procurement network, (2) scaling the share of value-added products to 70%+, (3) enhancing smelting capacity with fully integrated refining, and (4) offering a broader, diversified product portfolio to deepen customer engagement.

With these structural drivers in place, we expect lead-recycling EBITDA margins to improve from 5.8% in FY25 to 7.6% by FY28E.

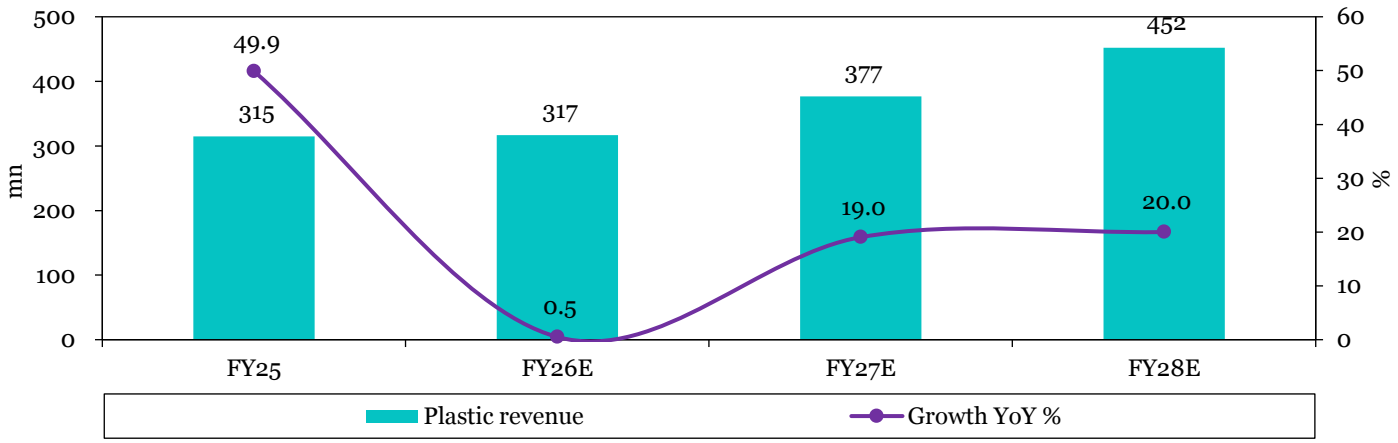
Plastic capacity to remain stable, while utilisation to reach optimum levels by FY28E



Source: Company, B&K Research; **Note:** Utilization includes total volume sold/total capacity (including new capacity added during the year)

POCL has steadily scaled its plastics vertical since its inception in FY24, achieving 41.8% utilisation in FY25, supported by rising demand from domestic segments such as packaging, furniture, and battery plastics. As the company continues to broaden its domestic customer base and deepen its relationships with end-users, we expect utilisation levels to improve to 42%/50%/60% over FY26/27/28E. Given that plastics is a relatively nascent business for POCL and has demonstrated measured traction over the past two years, we build in a conservative volume growth assumption of 12.8% CAGR over FY25-28E.

Plastics revenue to grow at a CAGR of 12.8% over FY25-28E

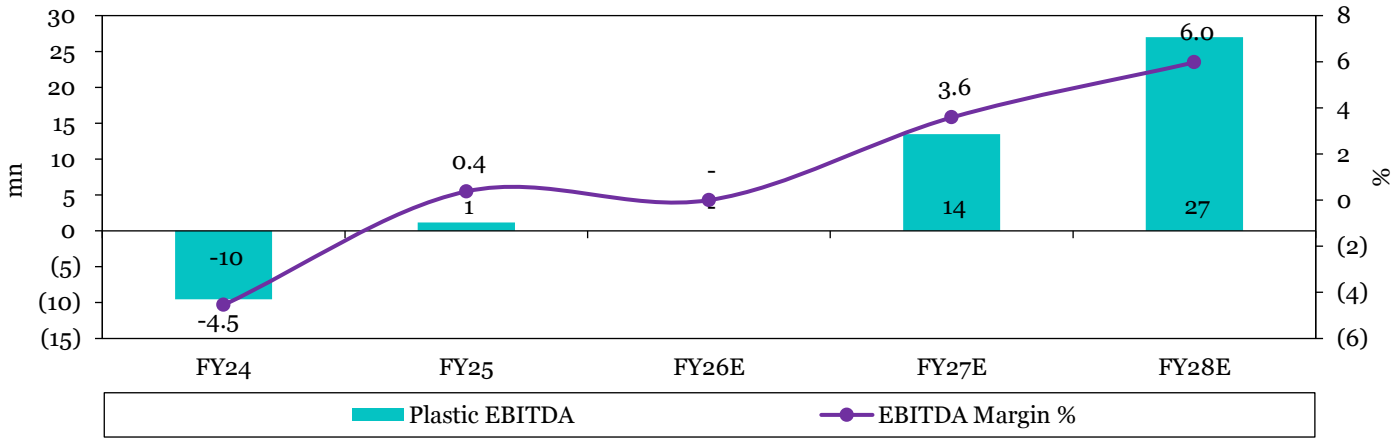


Source: Company, B&K Research

In FY25, POCL reported a 151.7% YoY increase in plastic recycling volumes, while segment revenue rose 49.9%, as the company's priority remained on scaling utilisation in the early years of this vertical. However, realisations declined 40.5% YoY, primarily due to changes in customer mix and product mix.

The company is shifting its entire 9,000 MTPA plastic capacity from the leased facility to its owned TKD plant, where it intends to deploy better equipment to enhance processing efficiency and product quality. While the shift is likely to enable premium-grade output over time, we conservatively do not factor in any realisation improvement from higher-grade products. Accordingly, we estimate plastics revenue to grow in line with volumes at a CAGR of 12.8% over FY25-28E.

Plastic recycling EBITDA margin to increase from -4.5% to 6.0% by FY28E



Source: Company, B&K Research; **Note:** POCL reports EBITDA/ton excluding corporate overheads till FY25

We believe Plastic recycling EBITDA margin to improve on the back of changing product mix in plastic and company's plans to increase value added product portfolio.

Importantly the company has planned to shift its plastic manufacturing facility from lease based facility of owned facility. This itself is expected to increase EBITDA by 500 bps.

Aluminium recycling will start continuing with different product portfolio and customer profile in the medium term.

POCL entered the aluminum recycling business in FY23 with an installed capacity of 12,000 MT per annum. However, the management expects to revive this segment in FY26E/FY27E with smaller volumes. We don't consider this in our estimates.

Capacity wise market share of India's largest lead recyclers as on FY25

Registered lead recyclers in India	672
Total capacity	35,30,000
Capacity per recycler	5,253

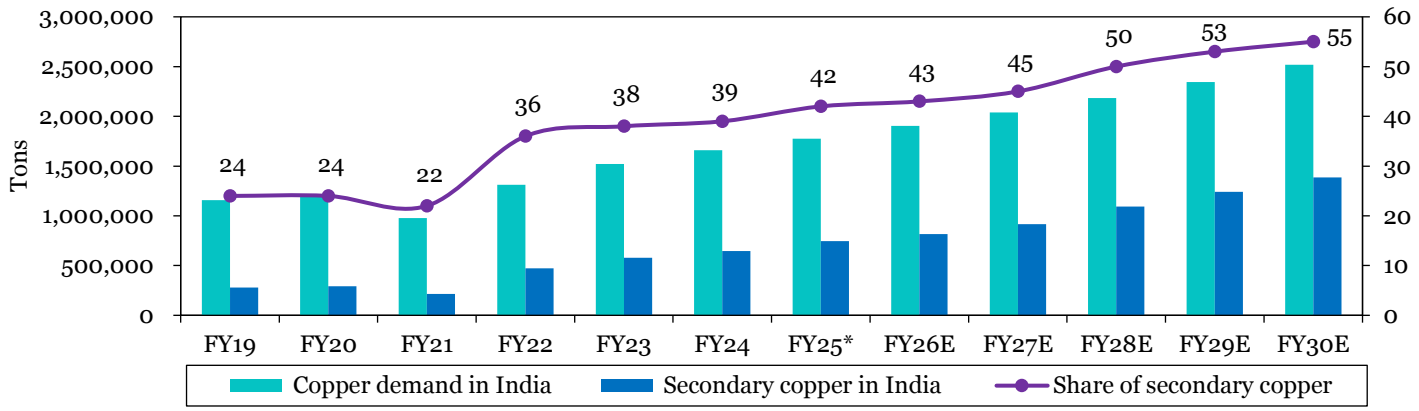
Capacity of Gravita India	2,40,000
Capacity of Pondy Oxides	1,68,000
Capacity of Jain Recycling	1,70,352

Share of Gravita India (%)	6.8
Share of Pondy Oxides (%)	4.8
Share of Jain Recycling (%)	4.8

2. Copper to be the next leg of growth, revenue diversifying stream too

Demand for copper in India is expected to increase at ~7.2% CAGR over FY25-30E on the back of rising demand for EVs, consumer durables, transmission and distribution, etc.

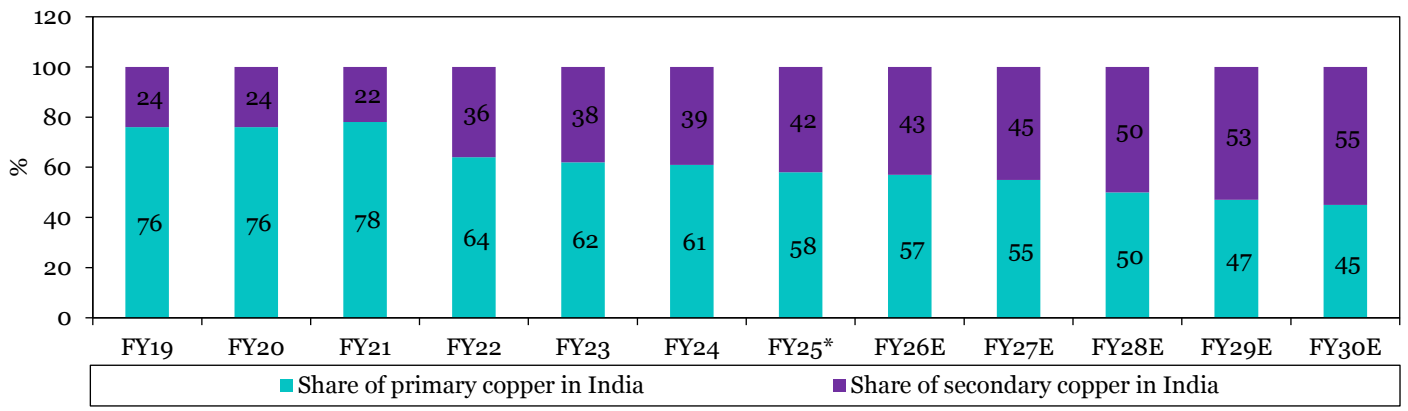
Increasing demand for copper and recycled copper



Source: Company, B&K Research

Share of recycled copper to increase to 55% in India by FY30 due to evolving EPR norms (no specific norms for copper OEMs currently, like for lead acid battery OEMs), increasing scrap collection efficiency, increasing demand for copper and government focus to reduce imports. Therefore, we expect the reycled copper market to increase at 2x rate (13.2% CAGR) compared to primary copper market in India by FY30.

Increasing share of recycled copper in India

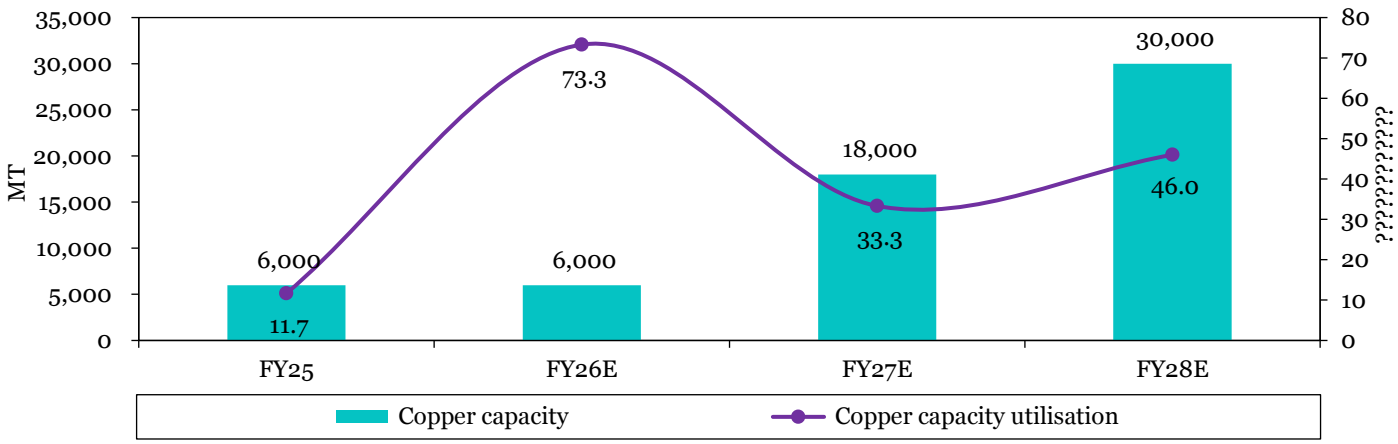


Source: Company, B&K Research

Is it correct to say that India is in line with global standards of recycling 30%+ copper is being recycled?

Answer is No. While recycling copper the focus is on the grade of scrap that the recycler procures. Where high grade copper scrap is refined and low grade copper scrap should be smelted and then refined to remove impurities. Therefore, share of secondary smelted and refining scrap in India remains at 1% vs 32% in China versus 30% in EU and 16% in Japan.

Copper recycling capacity to grow at a CAGR of 71.0% over FY25-28E



Source: Company, B&K Research; **Note:** Utilization includes total volume sold/total capacity (including new capacity added during the year)

POCL commenced its copper recycling operations at the Andhra Pradesh facility with an installed capacity of 6,000 MTPA. The company currently sells recycled copper primarily to Tier 1 suppliers of copper OEMs and has scaled utilisation to 11.7% in FY25 and 33% in 1HFY26. Management has highlighted a steady pick-up in demand from customers, and consequently expects the existing facility to reach ~70% utilisation by FY26 end.

Given the strong demand visibility, POCL plans to deploy annual capex of ~Rs 800 mn/year towards expanding its copper recycling vertical. We expect the existing capacity to peak in FY26E, while new capacity additions – largely skewed towards value-added products are likely to scale gradually. The company is in active discussions with

downstream copper manufacturers to onboard them as customers for its value-added copper portfolio.

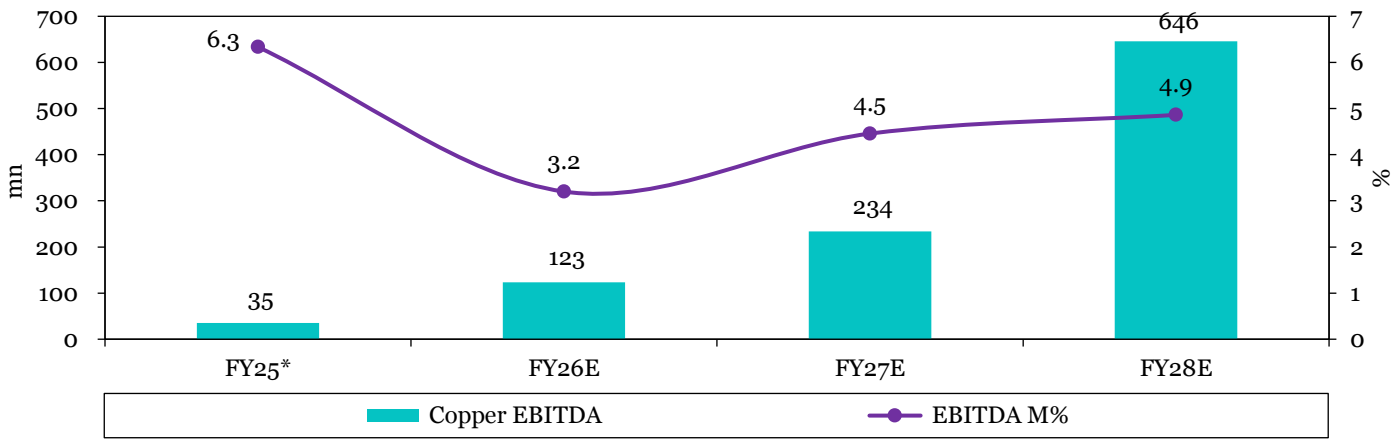
On this backdrop, and given the low base in FY25, we factor in a sharp ramp-up in copper volumes, projecting a 170.2% CAGR over FY25-28E as value-added capacities commercialise and customer onboarding gains traction.

POCL's copper recycling vertical scaled meaningfully in 1HFY26, delivering revenues of Rs 1,722 mn versus Rs 557 mn in FY25. Management has guided for Rs 4,000 mn of copper revenue in FY26, supported by strong order enquiries from customers. Given the momentum in 1HFY26, we believe this guidance is achievable.

From FY27 onwards, growth will be driven by value-added copper products, with POCL engaging with copper OEMs for long-term offtake. The company is planning to commission 12,000 MTPA of value-added copper capacity in Phase-I by FY27, followed by another 12,000 MTPA in Phase-II. We expect a measured scale-up as OEM onboarding progresses and model Phase-I reaching 60% utilisation by FY28E.

Given the low base in FY25 and strong visibility from both customers and upcoming OEM contracts, we expect the copper recycling vertical to deliver a 187.9% revenue CAGR over FY25-28E.

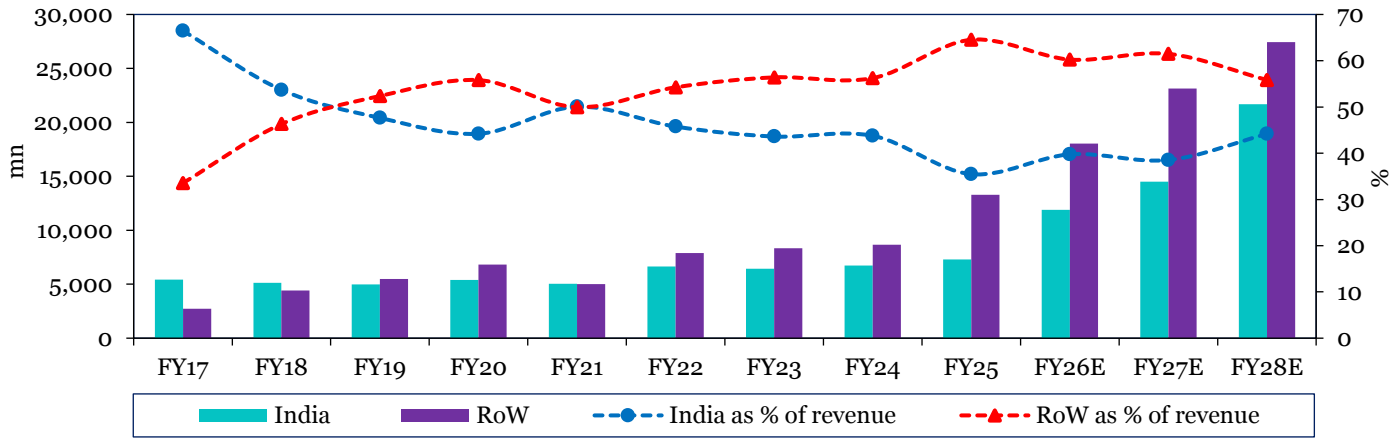
Copper EBITDA and EBITDA margins



Source: Company, B&K Research; **Note:** FY25 copper recycling EBITDA margins excludes corporate overheads till FY25

Copper recycling EBITDA margin in FY25 reported excluding corporate overheads, we expect the true EBITDA margin in FY25 was ~3.8-4.3%. Going forward, we expect a gradual improvement in EBITDA margin as 24,000 tonnes of value-added copper capacity is expected to be added by FY28E.

Domestic revenue to increase from 35.5% in FY25 to 44.2% in FY28E due to increasing domestic sales of copper

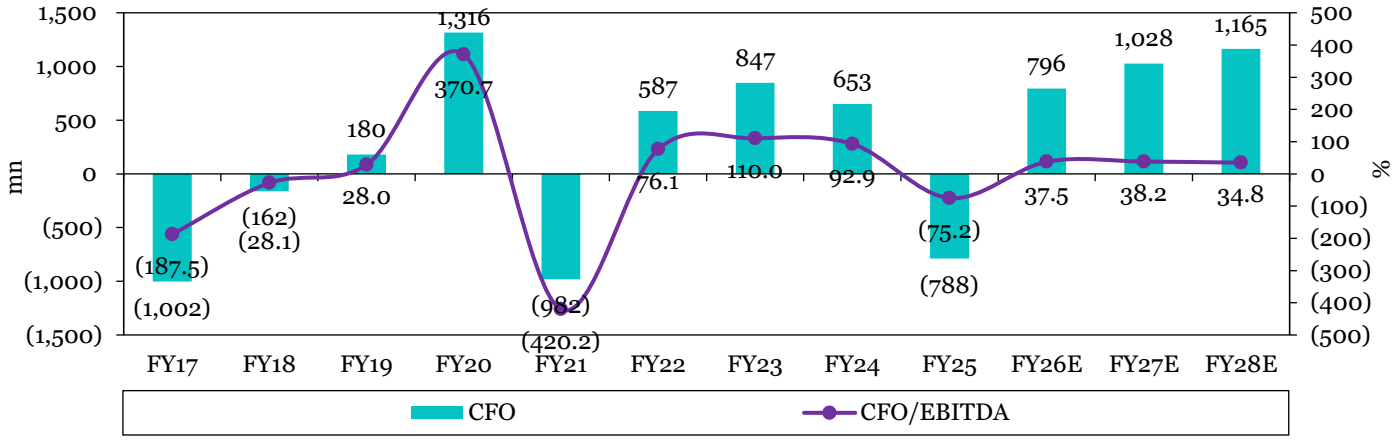


Source: Company, B&K Research

POCL has been strategically strengthening its overseas presence over the past decade. The share of domestic revenue declined from 66.5% in FY17 to 35.5% in FY25, as domestic revenues grew at a modest 2.7% CAGR, while export revenues expanded at a strong 21.5% CAGR over FY17–25. **This was driven by scale-up in key international markets such as South Korea, Japan, Indonesia, Thailand and the Middle East, along with increasing wallet share from long-standing overseas customers. We expect this trend to continue. In the lead recycling segment, export revenue is expected to remain the strongest growth engine, with 24.9% CAGR over FY25-28E**, supported by higher volumes, deeper penetration in existing global accounts and a widening value-added product portfolio. Domestic lead recycling revenue is also expected to improve at a CAGR of 15.0% over FY25-28E, aided by a richer product mix, a higher share of value-added alloys and the structural shift towards organised recyclers driven by tightening EPR/BWMR norms.

The copper recycling business is expected to see a sales mix of 80% domestic and 20% exports. Currently, 100% of copper revenues are derived from customers in India. With POCL engaging with downstream copper manufacturers and OEMs for long-term offtake agreements, we expect most incremental volumes in FY27 and FY28 to come from domestic OEMs. As the value-added copper capacities at TKD come online and ramp up gradually, we model the domestic revenue share at ~80%, with exports contributing the remaining ~20% for the copper vertical.

Cash conversion to fund major part of capex process

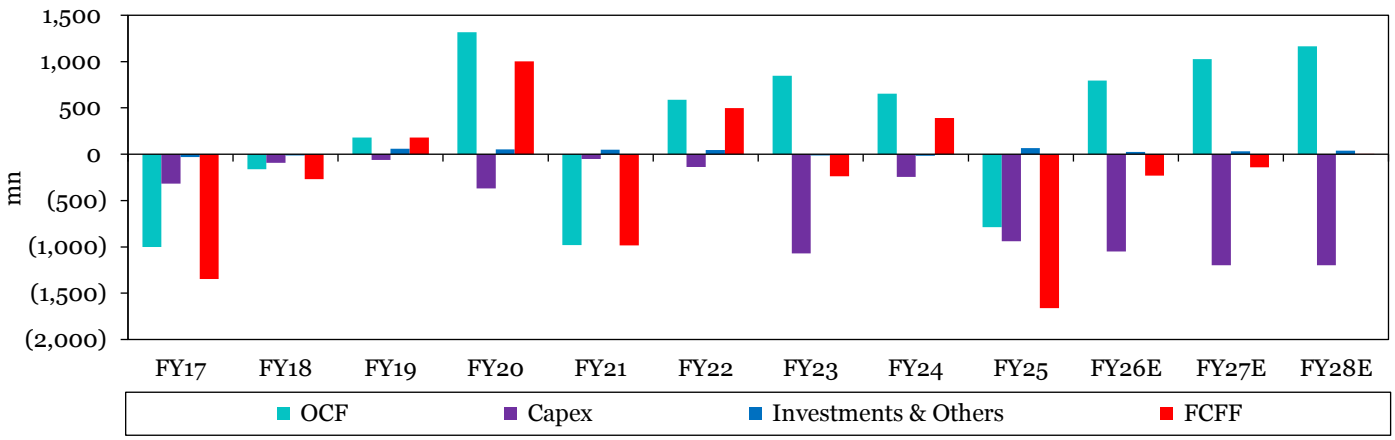


Source: Company, B&K Research

Historically, POCL's CFO/EBITDA conversion averaged -12.4% over FY18-21, primarily due to elevated working capital requirements, resulting in negative operating cash flows during that period. However, from FY22 onwards, the company has structurally improved its cash generation profile. Over FY22-25, POCL delivered a steady positive operating cash flow with an average CFO/EBITDA conversion of 50.9%, supported by a 12.2% revenue CAGR and 6.7% PBT CAGR, while maintaining working capital broadly stable. The improvement was driven largely by a meaningful reduction in inventory days as the company strengthened its sourcing discipline by increasing touchpoints, widening supplier coverage and improving material turnaround through its global procurement network.

We believe this trend is sustainable. **With POCL now working with 270+ scrap suppliers globally, the company has built a diversified and resilient raw material pipeline that supports tighter inventory cycles and lower volatility in working capital. We expect POCL to maintain healthy cash conversion with an average CFO/EBITDA at average of 36.8% over FY26-28E, translating into cumulative operating cash flows of Rs 2,989 mn. This internal accrual is expected to fund ~87% of the company's planned capital expenditure over FY26-28E,** reducing reliance on external funding and supporting balance sheet stability.

Cashflow from operations to fund increasing capex cycle



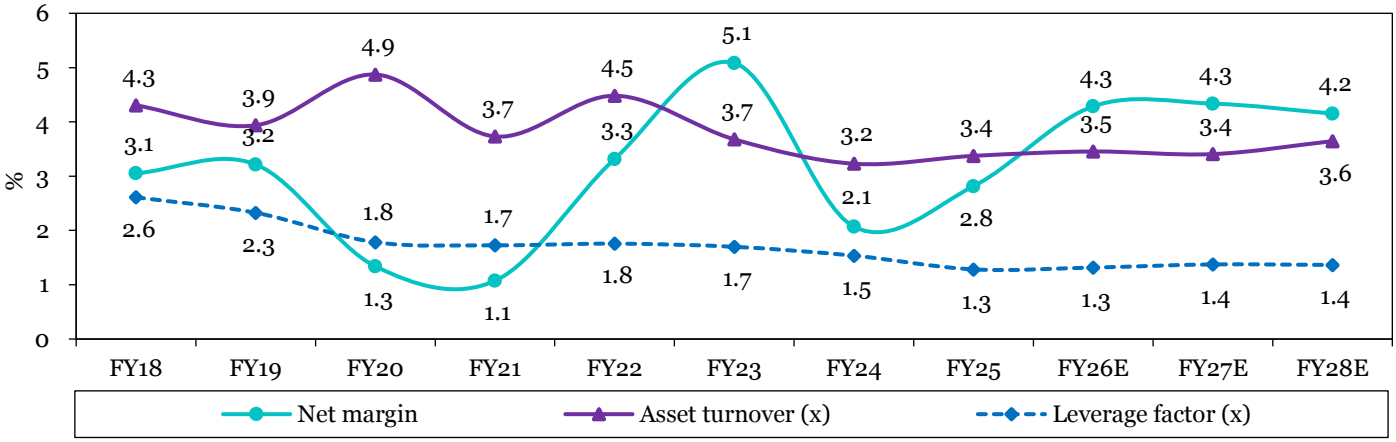
Source: Company, B&K Research

Historically, over FY22-25, POCL generated cumulative operating cash flows of Rs 1,299 mn, while capex stood significantly higher at Rs 2,389 mn. The elevated capex was driven by expansion across plastics and aluminium in FY22-23, the acquisition of Harsha Exito at the TKD site in FY23, and the commissioning of the lead recycling facilities at TKD and copper recycling operations in Andhra Pradesh during FY24-25.

Even as POCL maintained a healthy CFO/EBITDA conversion of 50.9% over FY22-25, the aggressive capex cycle – supported by acquisitions, diversification into new verticals and capacity additions – resulted in negative free cash flows during the period.

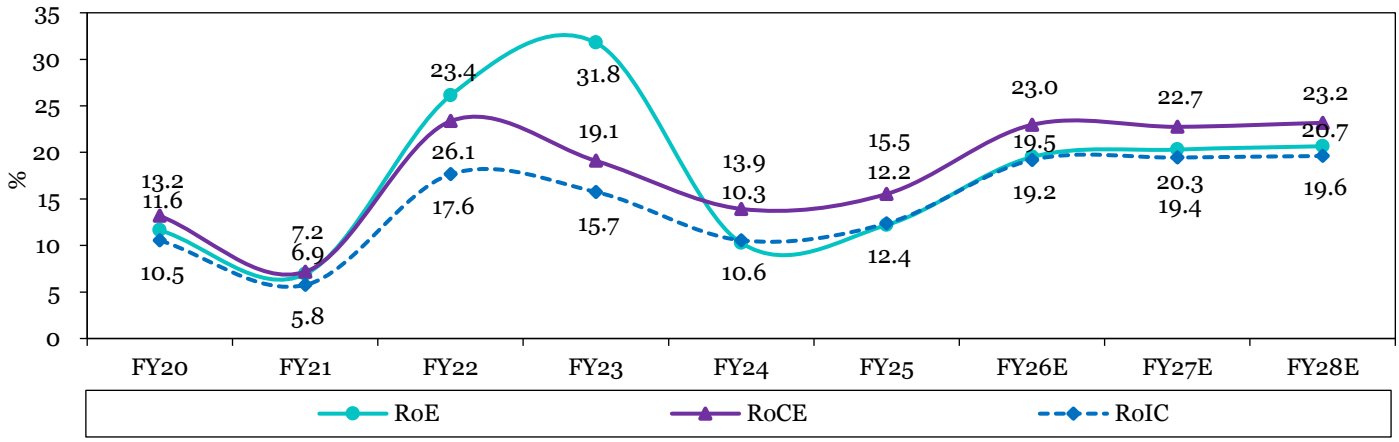
We project negative free cash flows over FY26-28E as well, driven by sustained investments in value-added copper capacities, expansion of the lead recycling vertical at TKD, and relocation of the plastics facility to the new site. In addition, we factor in Rs ~800-1,000 mn of capex/year till FY28E toward the Gujarat land parcel. We do not assume any revenue contribution from Gujarat, as commercialisation is expected only beyond FY28E.

Margin re-rating to upscale RoE to 20.7% by FY28E from 12.2% in FY25



Source: Company, B&K Research

Re-rating in RoE, RoCE and RoIC by FY28E



Source: Company, B&K Research

We believe increasing PAT margin to be the major contributor for revision of RoE for POCL, while PAT margin is set to increase led by increasing value-added products and operational efficiencies.

3. Evolving EPR norms in India

Minimum use of recycled materials in a battery as per BWMR 2022

		Minimum use of the recycled materials out of total dry weight of a Battery (in %)			
Sr no	Type of Battery	2027-28	2028-29	2029-30	2030-31 and onwards
1	Portable	5	10	15	20
2	Electric Vehicle	5	10	15	20
		2027-28	2028-29	2029-30	2030-31 and onwards
3	Automotive	35	35	40	40
4	Industrial	35	35	40	40

Source: CPCB

Recovery target as per BWMR 2022

		Recovery target for the year in percentage		
Sr No	Type of Battery	2024-25	2025-26	2026-27 and onwards
1	Portable	**70**	**80**	**90**
2	Automotive	55	60	60
3	Industrial	55	60	60
4	Electric Vehicle	70	80	90

Source: CPCB

We expect the collection target to be the major growth driver for domestic lead acid battery recycling companies. With higher lead acid battery scrap collection inching up every year and decreasing market share of unorganised players each year. We expect scrap collection volumes of lead acid battery recycling companies from domestic market will increase gradually by FY33-35. This is expected to reduce the inventory in transit time during raw material procurement for domestic recyclers. Thereby reducing their inventory days and improving their working capital efficiency.

What has changed in EPR 2001 versus EPR 2022

The biggest difference between BWMR 2001 and BWMR 2022 is how clearly, strongly and systematically Extended Producer Responsibility (EPR) is defined and enforced. In the 2001 rules, EPR was not even mentioned formally. The idea existed indirectly – manufacturers and dealers were expected to take back used lead-acid batteries – but the responsibility was vague, narrow and difficult to enforce.

In contrast, the BWMR 2022 introduces a modern, digital and enforceable EPR framework. Producers (manufacturers, importers and brand owners) now have legally binding responsibilities to collect, recycle or refurbish waste batteries across all battery types, including EV, industrial, portable, solar, and lead-acid. The rules mandate annual EPR targets, increasing year by year, for collection and material recovery. Compliance happens through a central online EPR portal

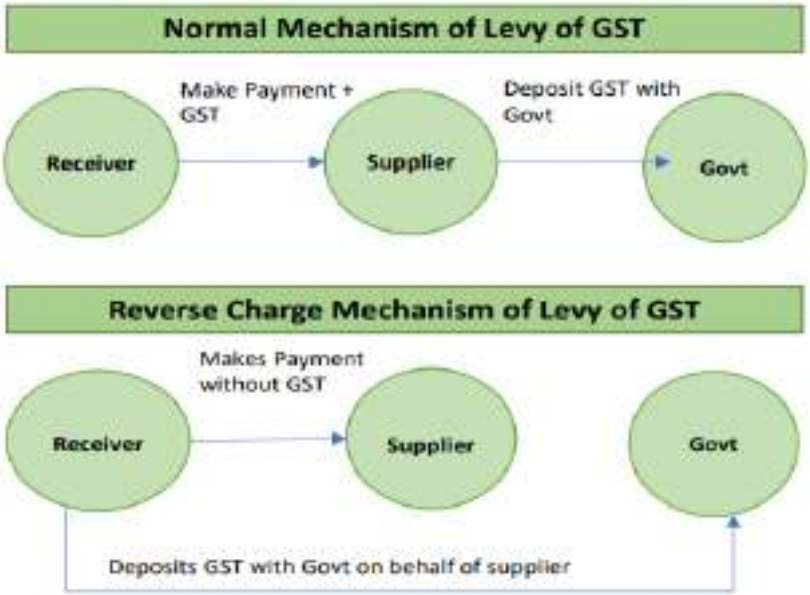
Dealer procures the battery from various sources/consumers and used to give it to unorganised players earlier.

However, after introduction of EPR in India, Amara Raja asks the dealer to give 8/10 batteries (80% collection efficiency) in order to pay the dealer, the right amount. Therefore, now the dealer will be restricted to give back the batteries to Amara Raja rather than giving it to some unauthorised recycler. Dealer is getting paid more in this process of deal with Amara Raja, rather than selling it to unauthorised recyclers. Therefore, the scrap availability for unorgansied sector will reduce and gradually the unauthorised recyclers will decrease from current 60% market share to 45% market share in FY28E.

Under the Reverse Charge Mechanism, the liability to pay GST shifts from the supplier to the recipient of goods or services. In the normal GST process, the supplier charges and collects GST from the buyer and deposits it with the government. However, under RCM, the recipient directly pays GST to the government, while the supplier receives only the base value of the supply.

Therefore, the 18% GST that comes in for the unorganised recycler. Will act as a barrier of reduction in unorganised market share in India and there by improvement in scrap availability in India.

RCM mechanism



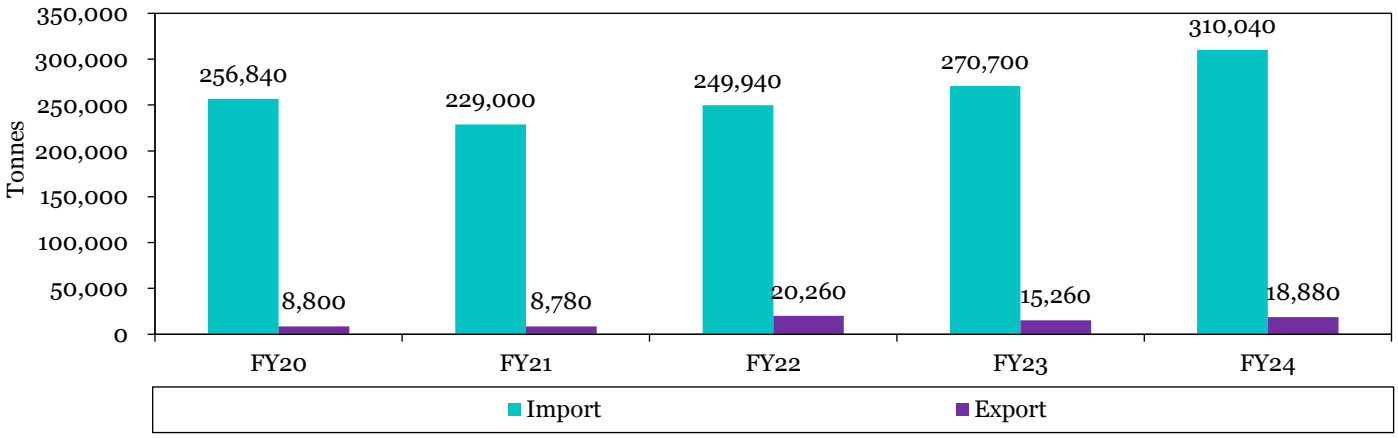
Source: Company

Copper scenario in India

There is no concreate EPR for copper recycling in India. Therefore, the scrap collection of copper remains poor. Although India's copper scrap imports has decreased from 64.9% to 48.1% in FY24 as % of total copper scrap. However, large copper recyclers in India import majority of copper scrap.

India imported 3.1 lakh tonnes of copper scrap in FY24, reflecting a 4.8% CAGR over FY20-24. The growth trend was aided by the reduction in import duty on copper scrap from 5% to 2.5% in FY23, while now the import duty has come down to 0% in FY26, improving cost competitiveness for domestic recyclers.

India's copper scrap



Source: CRISIL

Policy initiatives such as the Vehicle Scrappage Policy, Extended Producer Responsibility (EPR), and the Reverse Charge Mechanism (RCM) are expected to structurally increase the availability of recyclable material in the domestic market.

At present, India's recycling ecosystem remains constrained by limited secondary refining capabilities, resulting in a high reliance on direct melting of low-grade scrap for secondary copper production. With the rollout of regulatory frameworks such as the Quality Control Order (QCO) designed to improve scrap quality and formalise processing, the industry is expected to expand secondary refining capacity, thereby reducing dependence on direct melting over the medium term.

Indian government target to incorporate recycled content w.e.f. FY28 to fuel the collection efficiency of aluminium, copper and zinc scrap in India

Metal (%)	FY28	FY29	FY31
Aluminium	5	10	10
Copper	5	10	20
Zinc	5	10	25

Source: CRISIL

India on the face of It caters to ~42% of total demand of copper through recycled copper. However, majority of copper scrap is being re-melted directly. Resulting in varied grade of copper purity. Which fail to meet the national standards.

The low grade copper scrap needs to be smelted and then refined to remove impurities. Share of China, EU and Japan for secondary copper smelting is at 32%, 30% and 16%. While share of secondary copper smelting in India stands at ~1%.

Secondary copper smelting share

Country	Secondary copper smelting share (%)
China	32
EU	30
Japan	16
India	1

Source: CRISIL

Management details

Sr. No	Name	Designation	Remuneration FY25 (Rs mn)
1	Anil Kumar Bansal	Chairman & Whole Time Director	12
2	Ashish Bansal	Managing Director	26.1
3	K. Kumaravel	Director – Finance & Company Secretary	5.7
4	A. Vijay Anand	Independent Director	NA
5	M. Ramasubramani	Independent Director	NA
6	Shanti Balamurguan	Independent Director	NA

Key triggers for upward movement of stock

- Increase of value added products in new and existing verticals.
- Increase of client base.
- Ramp-up of upcoming manufacturing plant in lead, copper and plastics.
- Increase in sales volume.
- Gain in market share.
- Evolving EPR norm, to lead to increase in domestic raw material collection.

Key downside risk

- Export duty on lead/copper/aluminium/plastic scrap overseas.
- Import duty on lead/copper/aluminium/plastic scrap.
- Failure to scale up new products/new manufacturing facilities.
- Volatile raw material prices where hedging mechanism is not available – Aluminium, plastics.
- Loss of market share to other established players.
- Battery OEMs building their own recycling plants.
- Failure of EPR/BWMR.

SWOT analysis

Strength

- Among top 5 players in India for lead recycling.
- Increasing product diversification with addition of copper and plastics.
- Have large battery OEMs as clients.
- Raw material procurement network over 70+ countries.
- 60-70% of lead are value-added products.

Weakness

- Customer concentration.
- Operates at less EBITDA margins compared to its peers.
- Delay in ramp-up of new facilities or delay in commencement of new facilities.

Opportunity

- Evolving EPR/BWMR norms causing a shift in market share from Unorganised to Organised players.
- Copper specific EPR norms introduction from the Indian government on cables and wires OEMs or Transformer OEMs.
- Zero import duty on any kind of scrap.
- Increasing norms of recycled content usage.
- Introduction of reverse charge mechanism (RCM).

Threat

- Supply chain disruptions.
- Volatility in raw material prices where the company has not fully hedged.
- Battery OEMs setting up their own manufacturing facilities.
- Failure of EPR/BWMR/regulatory risks.
- Increase in import duty of scrap.
- Export restriction/ban of scrap overseas.
- New product failure to attract customers.

ESG

A. Environment

Pondy Oxides & Chemicals Limited demonstrates a comprehensive and structured commitment to environmental sustainability through multiple initiatives designed to strengthen circularity, enhance pollution control, optimise resource efficiency, and restore ecological balance. The company's pollution control efforts includes advanced air-pollution mitigation systems and Effluent Treatment Plants (ETPs) to ensure full compliance with regulatory requirements. Its Energy efficiency initiatives include upgraded plant utilities, additional LED lighting, and adoption of photovoltaic solar systems.

B. Social

POCL prioritises the well-being, safety, and inclusion of its employees. The company holds an ISO 45001:2018 certification for its Occupational Health and Safety Management System, ensuring a standardised safety approach across all operating and manufacturing units. The company's CSR efforts are aligned with the UN Sustainable Development Goals (SDGs) and emphasises on impactful areas, such as education, skill building, preventive healthcare, and livelihood generation. The company is ISO 9001 certified for Quality Management systems.

C. Governance

The POCL has integrated ESG-related goals into its corporate plan as part of its commitment to sustainable practices. Board comprises Directors, offering a broad spectrum of expertise across critical domains, including Business, Finance, Law, IT, Human Resources, and Project Management. The company has not formed any dedicated board level committee to address ESG related issues.

Pondy Oxides & Chemicals

Financial Summary (Consolidated)

Income Statement

Y/E Mar (Rs mn)	FY25	FY26E	FY27E	FY28E
Net sales	**20,569**	**29,921**	**37,638**	**49,130**
Growth (%)	*33.5*	*45.5*	*25.8*	*30.5*
Raw material	(18,416)	(26,270)	(33,065)	(43,151)
Gross profit	**2,153**	**3,650**	**4,573**	**5,979**
Employee cost	(266)	(329)	(376)	(688)
Other expenditure	(839)	(1,197)	(1,506)	(1,941)
Other operating income	-	-	-	-
EBITDA	**1,049**	**2,124**	**2,691**	**3,351**
Growth (%)	*49.2*	*102.6*	*26.7*	*24.5*
Depreciation	(166)	(241)	(306)	(387)
Other income	23	24	30	39
EBIT	**905**	**1,907**	**2,416**	**3,003**
Finance cost	(122)	(197)	(240)	(282)
Exceptional income/(expense)	-	-	-	-
Profit before tax	**783**	**1,710**	**2,176**	**2,720**
Tax (current + deferred)	(202)	(427)	(544)	(680)
Profit/(loss) for the year	**581**	**1,282**	**1,632**	**2,040**
P/L of JV/A, minority interest	(1)	-	-	-
Reported profit/(loss)	**579**	**1,282**	**1,632**	**2,040**
Adjusted net profit/(loss)	**579**	**1,282**	**1,632**	**2,040**

Balance Sheet

Y/E Mar (Rs mn)	FY25	FY26E	FY27E	FY28E
Share Capital	141	153	153	153
Reserves & surplus	5,788	7,071	8,703	10,743
Shareholders' funds	**5,929**	**7,223**	**8,855**	**10,896**
Minority interest	-	-	-	-
Long-term borrowings	30	230	430	630
Other non-current liabilities	11	11	11	11
Total non-current liab.	**41**	**241**	**441**	**641**
Short-term borrowings	1,090	2,090	2,390	2,690
Trade payables	211	288	362	473
Other current liabilities	105	105	105	105
Total current liabilities	**1,405**	**2,482**	**2,857**	**3,267**
Total (Equity & Liab.)	**7,375**	**9,946**	**12,153**	**14,804**
Fixed assets (net block)	2,483	3,292	4,186	4,999
Non-current investments	42	42	42	42
Other non-current assets	92	92	92	92
Non-current assets	**2,617**	**3,426**	**4,320**	**5,133**
Cash and cash equivalents	400	1,185	1,303	1,526
Inventories	2,406	3,023	3,624	4,492
Trade receivables	1,294	1,639	2,062	2,557
Other current assets	658	674	843	1,096
Current assets	**4,758**	**6,521**	**7,833**	**9,671**
Total (Assets)	**7,375**	**9,946**	**12,153**	**14,804**

Cash Flow

Y/E Mar (Rs mn)	FY25	FY26E	FY27E	FY28E
Profit before tax	783	1,710	2,176	2,720
Depreciation	166	241	306	387
Change in working capital	(1,625)	(901)	(1,119)	(1,506)
Total tax paid	(212)	(427)	(544)	(680)
Others	99	173	210	243
CF from operations (a)	**(788)**	**796**	**1,028**	**1,165**
Capital expenditure	(939)	(1,050)	(1,200)	(1,200)
Change in investments	(6)	-	-	-
Others	73	24	30	39
CF from investing (b)	**(872)**	**(1,026)**	**(1,170)**	**(1,161)**
Free cash flow	**(1,727)**	**(254)**	**(172)**	**(35)**
Equity raised/(repaid)	15	12	-	-
Debt raised/(repaid)	114	1,200	500	500
Dividend (excl. tax)	65	107	122	122
Others	1,567	(304)	(362)	(404)
CF from financing (c)	**1,761**	**1,015**	**260**	**218**
Net change in cash (a+b+c)	**100**	**785**	**119**	**222**

Key Ratios

Y/E Mar (%)	FY25	FY26E	FY27E	FY28E
Adjusted EPS (Rs)	21.0	42.0	53.5	66.9
Growth	*55.0*	*99.8*	*27.2*	*25.0*
Book NAV/share (Rs)	215.3	236.7	290.2	357.1
Dividend payout ratio	11.2	8.3	7.5	6.0
Gross margin	10.5	12.2	12.1	12.2
EBITDA margin	5.1	7.1	7.2	6.8
EBIT margin	4.4	6.4	6.4	6.1
Tax rate	25.8	25.0	25.0	25.0
RoCE	15.5	23.0	22.7	23.2
RoE	12.2	19.5	20.3	20.7
RoIC (post-tax)	12.4	19.2	19.4	19.6
Net debt/equity (x)	0.1	0.2	0.2	0.2
Net debt/EBITDA (x)	0.7	0.5	0.6	0.5
Fixed asset turnover (x)	3.4	3.5	3.4	3.6
Net working capital days	59.5	49.3	48.3	47.6

Valuations

Y/E Mar (x)	FY25	FY26E	FY27E	FY28E
P/E	70.1	35.1	27.6	22.0
P/B	6.8	6.2	5.1	4.1
Dividend yield (%)	0.2	0.2	0.3	0.3
OCF yield (%)	(1.9)	1.8	2.3	2.6
EV/EBITDA	39.4	21.7	17.3	14.0
EV/Sales	2.0	1.5	1.2	1.0

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BUY

Current Price (Rs)	: 835
Target Price (Rs)	: 1,116
Potential Upside (%)	: 33.7

Source: Bloomberg, B&K Research

Market Data

No. of Shares (mn)	: 27
Free Float (%)	: 61
Market Cap (Rs bn)	: 22
52-week High/Low (Rs)	: 1,999/830
Avg. Daily Volume (6M)	: 0 mn
Avg. Daily Value (6M; US$)	: 1.1 mn
Bloomberg Code	: GNPL IN
Promoters Holding (%)	: 39
FII/DII (%)	: 8.95/22.89

Source: Bloomberg, B&K Research

Price Performance

(%)	1M	3M	12M
Absolute	(8)	(46)	(57)
Relative	(7)	(48)	(65)

Source: Bloomberg, B&K Research

Ganesha Ecosphere

Near-term hiccups, structural story intact

Ganesha Ecosphere (GNPL) is one of India's largest PET-bottle recyclers, commanding an estimated ~17% market share in rPSF. rPSF remains the company's legacy segment, with an installed capacity of 109,200 TPA. Under the EPR framework, recycled content in rigid plastics is mandated at 30%/40%/50%/60% for FY26/27/28/29E+, creating a long structural demand runway for the company's rPET segment.

GNPL, with a 42,000 TPA rPET granules facility at Warangal, is the largest rPET producer among the 17 FSSAI-approved food grade r-PET resin manufacturers. The company plans to scale rPET granules capacity to 132,000 TPA by FY27, backed by a capex of Rs 7,250 mn, positioning itself to capture the rapid growth in food-grade recycled plastics.

However, the recent MoEF notification in June 2025, allowing manufacturers to carry forward EPR shortfalls for three years (i.e., up to FY29, based on FY26 targets) has created uncertainty among FMCG and PET plastic manufacturers. This has led to delays and cancellations of near-term orders for GNPL. Importantly, the target recycled-content percentages for FY27-29 (40%/50%/60%) remain unchanged, and the company has reiterated positive demand visibility beyond this transitional period. With continued rPET capacity expansion, we expect GNPL's rPET market share to rise from ~10% currently to 15%+ by FY28, assuming EPR enforcement remains intact from FY27.

The rPSF business, which historically operated at ~100% utilisation, has faced headwinds in FY25-1HFY26. On the demand side, US tariffs on Indian textile imports weighed on textile exports as an industry. On the supply side, PET-flake prices increased sharply from Rs 42/kg to Rs 55-56/kg, driven by strong European demand following the EU's mandatory recycled-plastic requirements and increasing capacity of recyclers. The surge in exports of domestic PET flakes reduced local availability, pressuring GNPL's raw-material costs. These combined headwinds led to softness in revenue and a sharper impact on EBITDA margins in 1HFY26.

Financial summary (Consolidated)

Y/E Mar (Rs mn)	FY24	FY25	FY26E	FY27E	FY28E
Net sales	11,229	14,655	13,405	16,226	23,035
EBITDA margin (%)	*12.3*	*14.4*	*8.6*	*13.6*	*16.5*
EBIT margin (%)	*9.2*	*11.8*	*5.8*	*9.4*	*13.3*
Adjusted net profit	406	1,041	247	725	1,869
EPS growth (%)	*(43.0)*	*126.7*	*(77.5)*	*193.6*	*158.0*
Cash flow from operations	381	243	1,062	2,438	2,144
RoE (%)	4.8	9.5	2.0	5.4	12.6
RoCE (%)	7.7	10.6	4.1	7.4	13.5
Net debt/equity (x)	0.2	0.4	0.1	0.3	0.1

Source: Company, B&K Research

With domestic PET-flake prices correcting to Rs 42–43/kg from November 2025, supported by favorable global macro trends and improving textile-export visibility in key markets such as the EU, the operating environment for GNPL is beginning to stabilise. Alongside this, GNPL remains on track to commission its 22,500 TPA rPET granules facility at Warangal by 4QFY26 and 67,500 TPA rPET granules facility at Odisha by 4QFY27, which will meaningfully expand its food-grade rPET capacity and make GNPL the largest rPET granules manufacturer in India.

We expect the combined impact of (1) stabilizing raw-material prices, (2) revival in textile demand across new export geographies, and (3) continued enforcement of India's EPR framework for plastic waste management (despite short-term execution delays) to drive a broad-based recovery starting 1HFY27, with momentum sustaining into FY28. With most of the near-term headwinds already reflected in FY26 performance, the environment turns incrementally favorable from FY27 onwards.

On this backdrop, we project GNPL's rPET granules subsidiary to deliver Volume/ Revenue/EBITDA CAGR of 38.3%/39.3%/34.6% over FY25-28E, driven by fresh capacity ramp-up, improved cost dynamics, stronger demand for food-grade recycled polymers with PWMR coming into effect (even with a slight delay) and stable raw material prices.

We Initiate coverage on GNPL with a Buy rating and a target price of Rs 1,148 (valued at 16x of FY28E EPS). We expect 16.3%/21.9% Revenue/PAT CAGR over FY25-28E with consolidated EBITDA margins expanding from 14.4% in FY25 to 16.5% in FY28 led by increase in capacity of high margin rPET granules segment and stable raw material prices. RoCE/RoE are expected to be at 13.5%/12.6%. We expect the EPR for plastic waste management to remain intact with short-term headwinds.

Increase of rPET granules capacity: GNPL is the largest FSSAI approved rPET granules manufacturer in India. It's legacy business (rPSF) has reached a peak point with volume/capacity growth at CAGR of 3.6%/2.8% over FY17-25. During the course of time the GNPL also has increased its value added product setup capacity of Dyed yarn/spun yarn of 10,200 TPA and increased it to 33,240 and strengthen its supply chain via 12,000 TPA washed flakes plant in Nepal and JV with Race Eco. With increasing demand for rPET granules led by EPR in plastic waste management, GNPL has commenced its 14,000 TPA plant in FY24 and with ongoing capex it is expected to reach 132,000 TPA. With current rPET installed capacity across the India is ~200,000 TPA, while the expected demand with 30% recycled plastic in rigid plastic is expected to be ~350,000 TPA. While GNPL has been approved by FSSAI, we expect the faster offtake in upcoming rPET granules facilities. We expect 39.3% CAGR growth in subsidiary (rPET granules) over FY25-28E.

Legacy business to gain momentum: GNPL legacy business (Standalone) volume/revenue/EBITDA grew at 3.6%/4.6%/2.0% CAGR over FY17-25, Moderation observed in EBITDA from FY24 due to slowdown in textile exports and volatility in raw material prices. With FY26 is expected to the worst year, considering the full impact of this on sales and profitability. With raw material prices (PET flakes) prices going back to normal of Rs 42-43/kg and gradual increase in textile exports expected over FY26-28E, we expect a recovery in GNPL's legacy business, with volume/revenue/EBITDA CAGR of 4.9%/6.5%/71.9% over FY26-28E on lower base of FY26, we expect the utilisation levels, realisations and EBITDA/tonne to gradually return to previous levels with recovery expected from 1HFY27.

Ease of working capital days: Working capital days have increased from 42 days in FY23 to 90 days in FY25 primarily due to increase in days of inventory, this was caused due to higher production and lower sales in legacy business, due to subdued demand in textile industry, especially exports. The company plans to increase its inventory sales with foresight of demand recovery in textile exports. This is expected to reduce the inventory days from current levels of 90-100 days to 60 days by FY28E. Thereby reduction in working capital days to 67 days by FY28E.

Deferring of EPR in plastic waste management: EPR for plastic waste management rules introduced in 2016, mandated the use of recycled plastic in rigid plastics by 30%/40%/50%/60% for FY26/FY27/FY28/FY29+, has been amended with a draft notification saying the carry forward of short fall in FY26 is allowed for category-I (rigid plastics) by 3 years, starting from FY27. While recycled plastic target from FY27 have remained unchanged. This led to delay and cancellation of orders for GNPL, with expectation of further deferment. However, considering with existing recyclers having done large investments over past 3 to 4 years in the expectation of PWMR, establishing the secured supply chain and meeting the recycling targets, we don't see a cancellation of PWMR, however, the delay is expected to pose a major risk, we expect even reducing the recycled content to 20%/30%/40% for FY26/27/28E will create a demand of ~250,000 tonnes of rPET starting from FY26, while the FSSAI approved total rPET capacity is

~2,00,000. Therefore, we see an increase in GNPL's new capacity offtake even with a 10% reduction in recycling content.

Sensitivity analysis

	Actual		Bull			Base			Bear	
	FY25	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
rPSF/rPET Fiber volume growth (%)	-0.1	-9.9	10.0	-	-9.9	10.0	-	-9.9	5.6	4.2
rPET Granules volume growth (%)	243.8	-5.3	51.7	109.0	-5.3	37.9	102.9	-15.9	29.9	101.9
Revenue growth (%)	30.5	-8.5	25.8	46.9	-8.5	21.0	42.0	-12.0	14.7	41.0
EBITDA Margins (%)	14.4	8.6	13.9	16.9	8.7	13.6	16.5	8.2	12.3	13.8
EPS (Rs)	40.5	9.1	31.2	81.6	9.2	27.0	69.8	6.5	16.6	44.6
PER Multiple (%)				10.2			12.0			18.7
Target Price (Rs)				1,305			1,116			713
Upside/Downside (%)				56.2%			33.7%			-14.6%

Source: Company, B&K Research. **Note:** CMP as on 5th January 2026.

Company journey

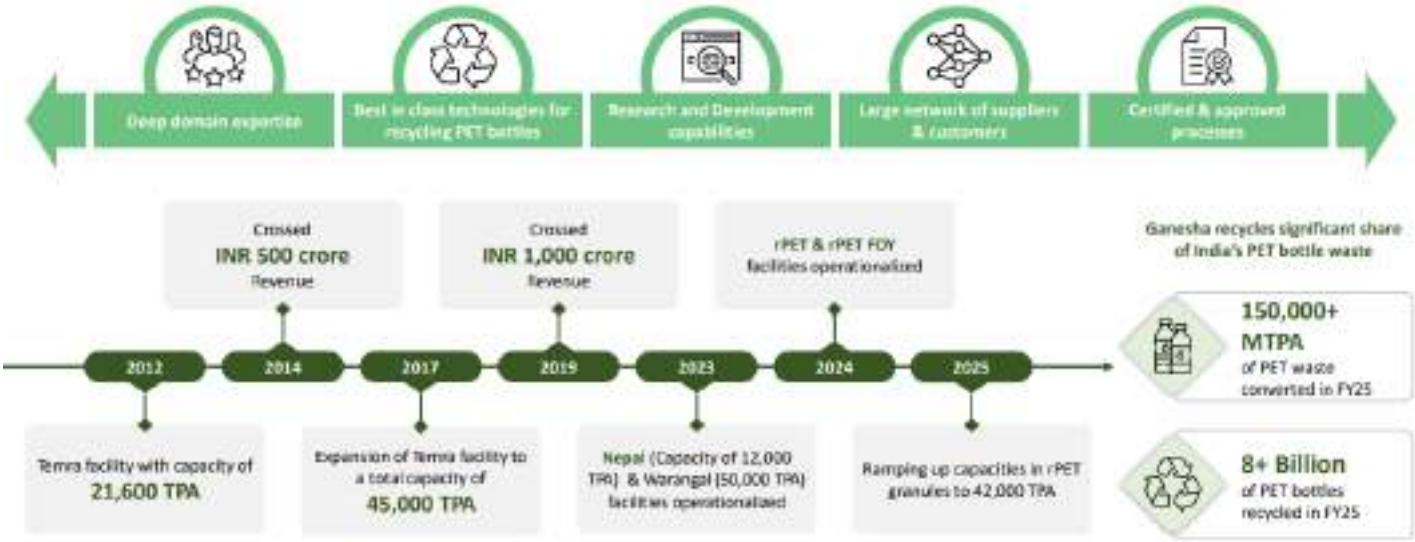
Ganesha Ecosphere (GNPL), founded in 1987 by Mr Shyam Sundar Sharma. In 2011, the company renamed from Ganesh Polytex to Ganesha Ecosphere, is one of India's leading PET-bottle recyclers, has rich legacy of 36+ years in plastic recycling. The company converts post-consumer PET bottles into a diversified portfolio of recycled polyester products, including Recycled Polyester Staple Fibre (rPSF), Recycled Polyester Spun Yarn (rPSY) and Dyed Texturised Yarn (DTY). These products serve a broad range of end-use applications across apparel (T-shirts, body warmers), functional textiles (air-filter fabrics, geotextiles, carpets, automotive upholstery) and home furnishings (pillows, duvets, soft toys), positioning GNPL as a key raw material supplier to multiple industries.

GNPL operates a robust waste-collection ecosystem with 300+ suppliers across India, enabling it to collect and process 450+ tonnes of PET waste per day. This scale has helped the company achieve an estimated ~15% share of India's PET-bottle waste recycling market as of FY24. With a diverse customer base of 400+ customer across India.

On 10 September 2024, the GNPL formed a JV, Ganesha Recycling Chain Private Limited, in collaboration with Race Eco Chain (RACE), with 49% share of GNPL in it. The JV has been formed to strengthen GNPL's raw-material supply chain for PET waste and to establish dedicated washing plants for producing PET flakes, thereby enhancing backward integration and securing consistent feedstock availability.

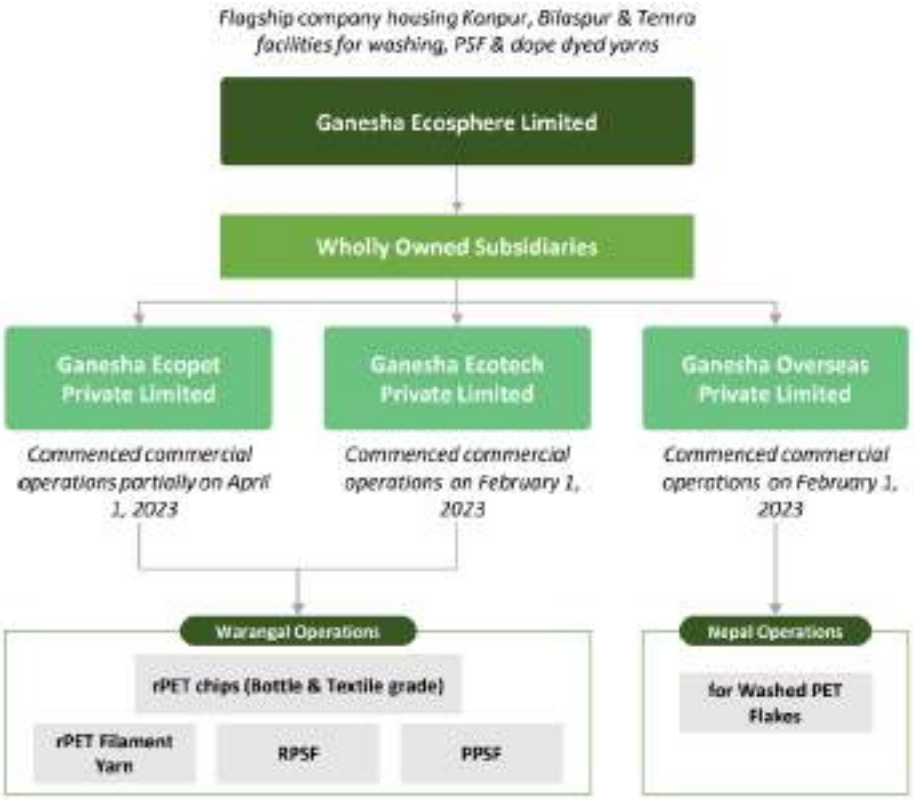
To broaden its product portfolio and strengthen its presence across the recycled-polyester value chain, GNPL has also ventured into recycled filament yarns and rPET chips/granules, leveraging its core competencies in recycled raw-material processing. As a result, the company's total manufacturing capacity has expanded from 97,800 TPA in FY17 to 196,440 TPA in FY25. GNPL is one of the very few company in India with US-FDA, EFSA and FSSAI approvals/positive opinions and has the largest capacity for rPET granules among the FSSAI approved companies for food grade rPET producers in India, followed by Srichakra Polyplast. In view of EPR on plastic waste management rules, GNPL has aggressive plans to increase its rPET granules capacity from current levels of 42,000 TPA to 64,500/132,000 TPA in FY26/FY27 with a capex of Rs 7,250 mn for brownfield expansion in Warangal and greenfield expansion in Odisha.

Company journey



Source: Company Annual Reports/Investor Presentations

Organisational structure



Source: Company Annual Reports/Investor Presentations

Diverse product offerings

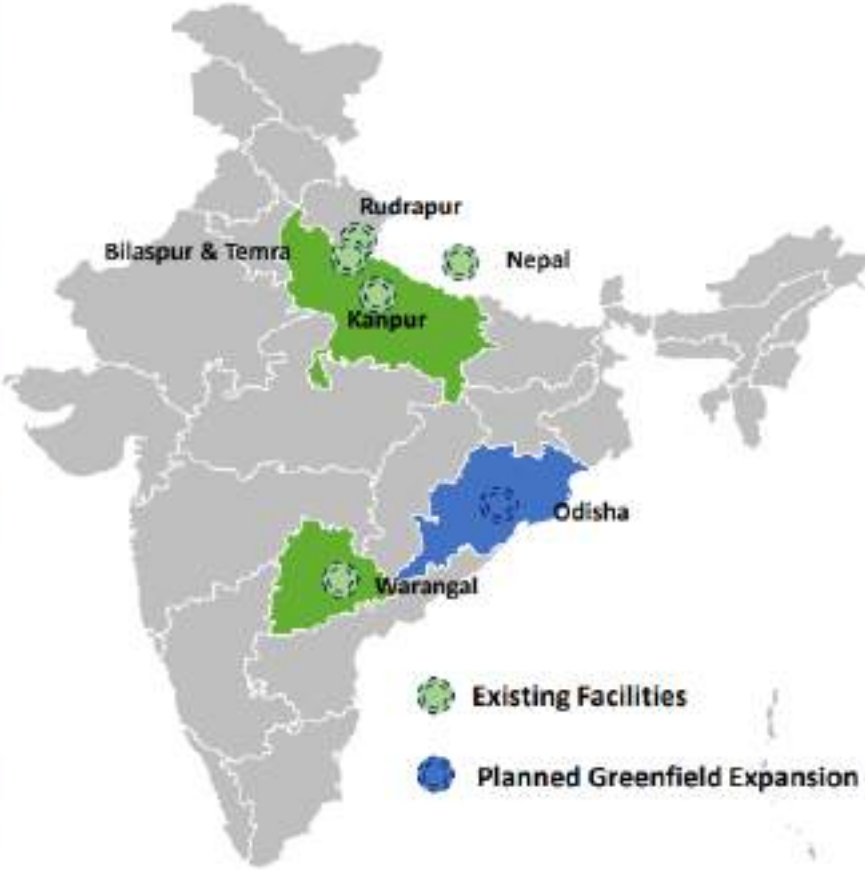
Every product manufactured under the brand goes through stringent quality checks to ensure only highest quality rPET products are supplied to our partners

Product Name	rPET Chips – Bottle Grade	rPET Chips – Textile Grade	rPET Fibers & Yarns
Target Customers	Partner with F&B industry for packaging needs	Partner with sustainability focused apparel & textile brands	Partner with sustainability focused apparel & textile brands
Differentiation	Almost virgin like properties	High customization that deliver better than virgin properties	Specialty product basket to cater to niche sectors
Certifications	USFDA, EFSA & FSSAI approved technology for food grade packaging	GRS & Oekotex certified rPET chips for high end textile applications	GRS and Oekotex certified Fibers and Yarns with high consistency and strength

Source: Company Annual Reports/Investor Presentations

Manufacturing facilities

Facility	Capacity (TPA)
Kanpur	10,200
rPET Fibre	7,200
Dyed Textured Yarn	3,000
Rudrapur	39,600
rPET Fibre	39,600
Bilaspur & Temra	57,000
rPET Fiber	49,800
rPET Spun Yarn	7,200
Warangal	77,640
rPET Granules	42,000
B2F Chips/Filament yarn	12,240
RPSF	12,600
PPSF	10,800
Nepal	12,000
Washed Flakes	12,000



Source: Company Annual Reports/Investor Presentations

Approved by largest vendors

Source: Company Annual Reports/Investor Presentations

Dyed/spun yarn

Source: Company, B&K Research

rPSF (recycled polyester staple fibre)

Source: Company, B&K Research

Yarn

Source: Company, B&K Research

PET flakes

Source: Company, B&K Research

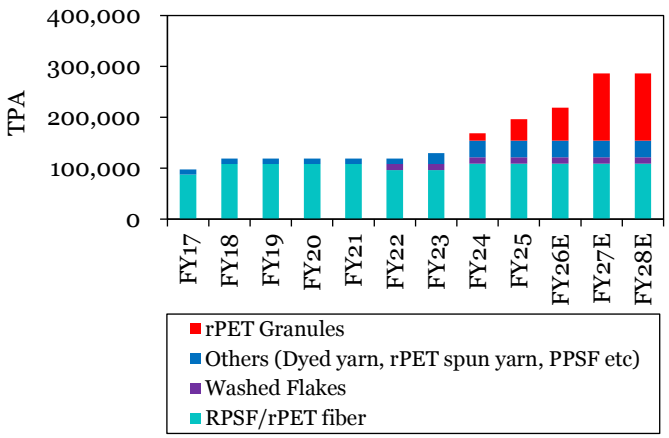
rPET granules (B2B chips)

Source: Company, B&K Research

Source: Company, B&K Research

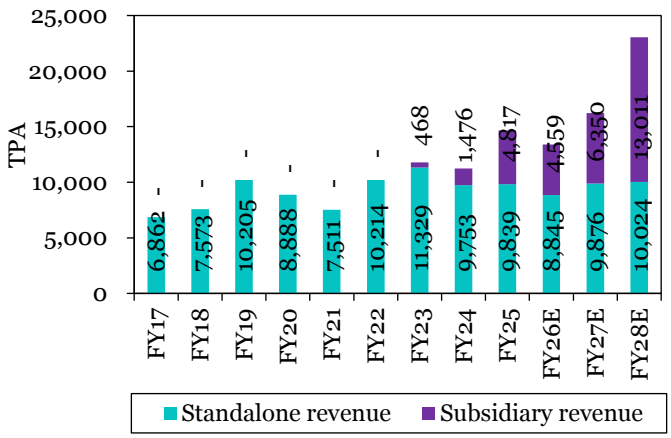
Story in charts

Focus on increasing rPET granules capacity



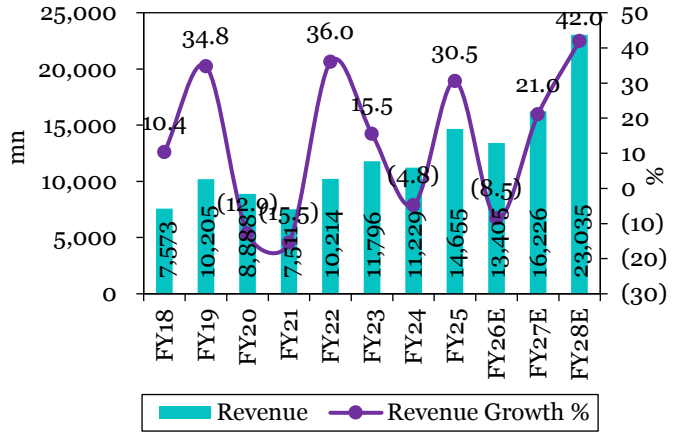
Source: Company, B&K Research

Revenue from subsidiary to increase to 56.5% of total revenue by FY28



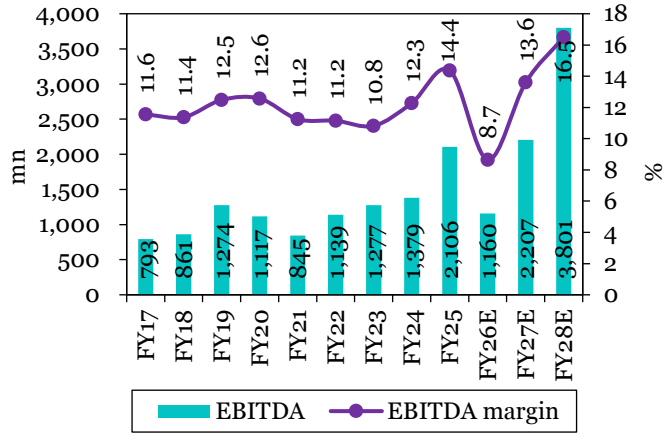
Source: Company, B&K Research

Revenue to grow at a CAGR of 16.3% over FY25-28E



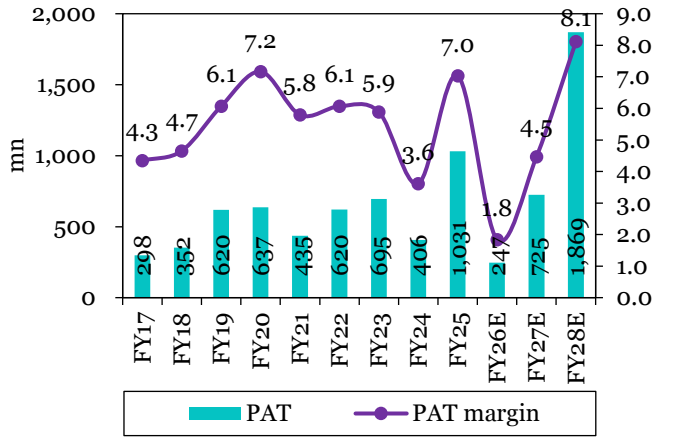
Source: Company, B&K Research

EBITDA to grow at a CAGR of 21.8% over FY25-28E



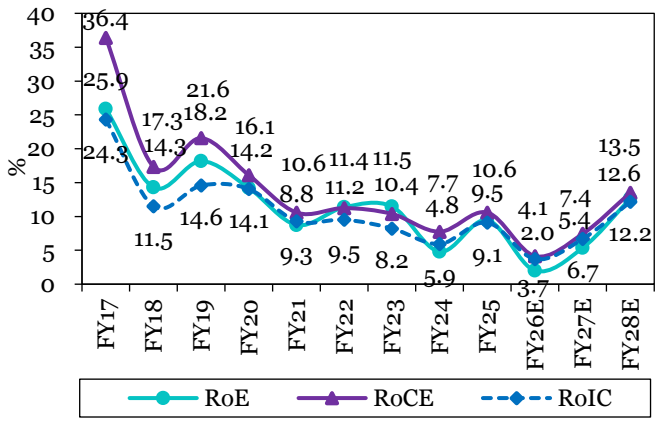
Source: Company, B&K Research

PAT to grow at a CAGR of 21.9% over FY25-28E



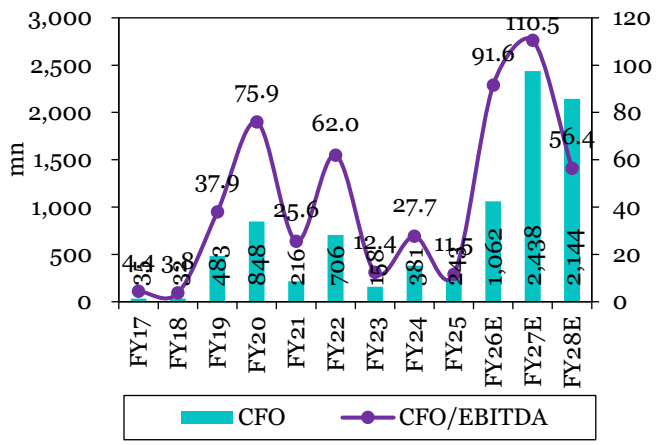
Source: Company, B&K Research

Re-rating in return ratios from the bottom of FY26E



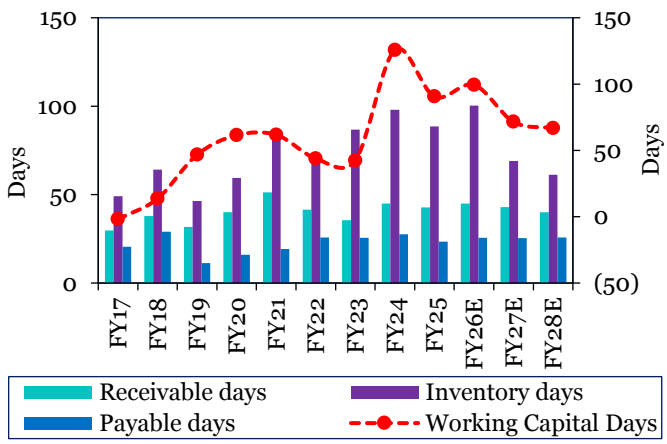
Source: Company, B&K Research

Consistent cash flows to fund capex



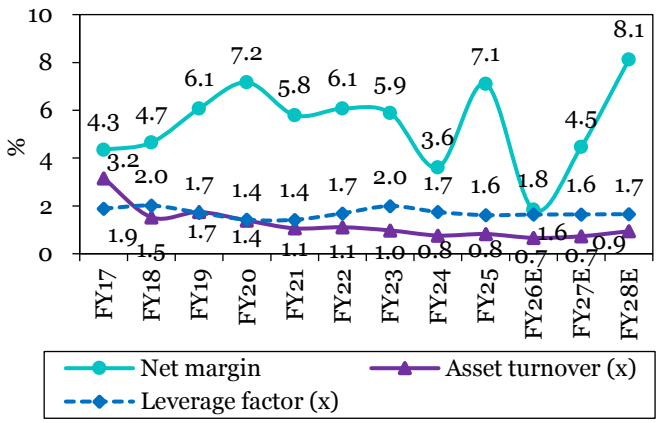
Source: Company, B&K Research

Working capital to reduce gradually and come back to normalise levels by FY28E



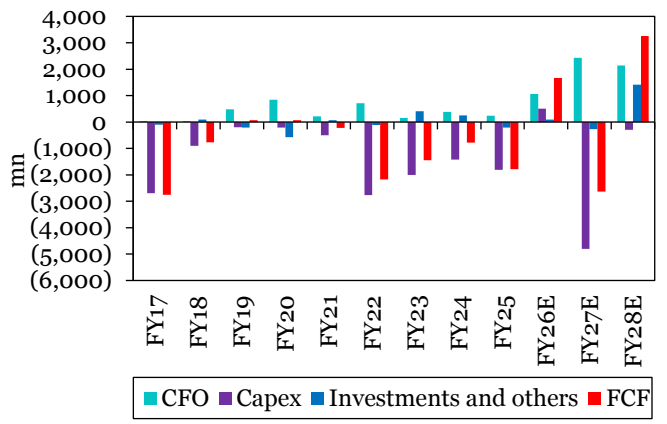
Source: Company, B&K Research

DuPont analysis – Improved profitability to lead return ratios from the front



Source: Company, B&K Research

Free cash flow generation by FY28E



Source: Company, B&K Research

Investment thesis

1. rPET granules capacity to increase incrementally

Background: The EPR framework under the Plastic Waste Management Rules (PWMR), introduced in CY22, mandates a minimum 30% recycled-plastic content from FY26, progressively increasing to 60% by FY29. With 36+ years of experience in plastic recycling, GNPL historically focused on converting PET waste into rPSF and supplying to textile manufacturers. However, with the implementation of PWMR and the emerging demand for food-grade recycled plastics, the company repositioned its strategy toward bottle-to-bottle recycling.

As part of this shift, GNPL established its first 14,000 TPA rPET granules facility at Warangal, Telangana, enabling production of food-grade rPET granules for packaging applications. This marks GNPL's entry into the high-value rPET segment directly aligned with PWMR-driven demand.

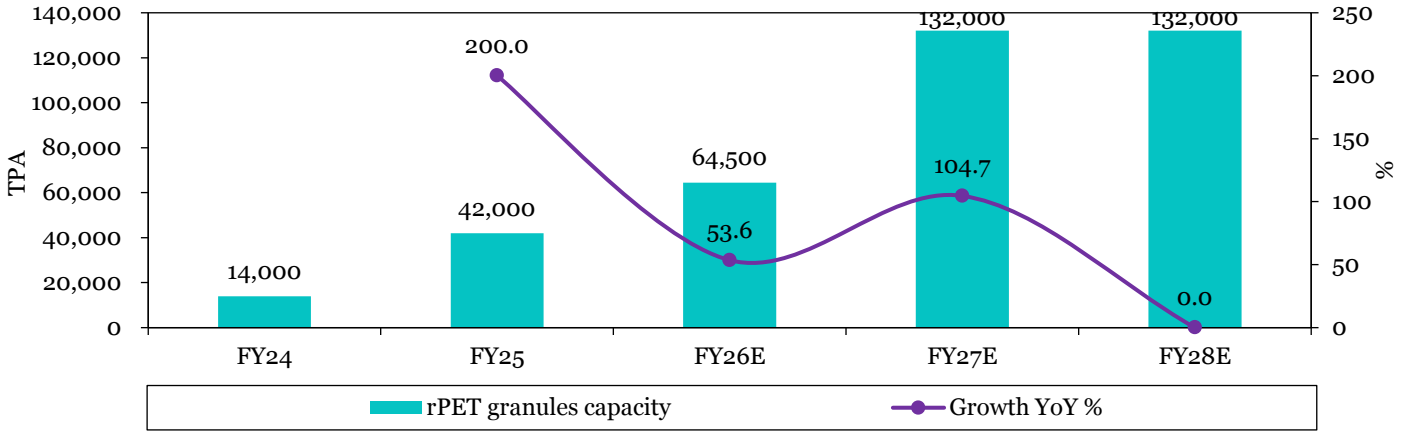
Impact of Warangal operations with favorable regulatory tailwinds

Factor	Impact
Product mix: FDY + B2B chips (vs commodity RPSF)	Higher realisation
Logistics: South sourcing → southern plant (vs north-sourcing cost)	15% raw material cost savings
Technology: Starlinger USFDA-approved process	Premium pricing
Volume synergy: 42,000 MTPA from 3 lines + 1 large line upcoming	Fixed cost absorption

In FY24, GNPL secured Coca-Cola approval after a ten-month qualification process, with commercial production commencing in 2QFY24. This milestone accelerated GNPL's credibility in the food-grade rPET market and opened discussions with multiple large FMCG, beverage and personal-care brands. To strengthen market access, GNPL also partnered with Manjushree Technopack, leveraging its extensive FMCG client base to drive brand and product visibility.

As the EPR timeline approaches, GNPL has expanded rPET capacity from 14,000 TPA to 42,000 TPA in FY25 With PWMR mandates now transitioning into execution and GNPL being the largest FSSAI-approved food-grade rPET manufacturer, we expect a widening demand–supply gap to support strong and consistent offtake. Management has guided for rPET granules capacity to reach 1,32,000 TPA by 4QFY27, which we believe is achievable given the accelerating regulatory tailwinds and rising brand conversions to recycled content.

Accordingly, we project GNPL's rPET granules capacity to grow at a robust 46.5% CAGR over FY25-28E



Source: Company, B&K Research

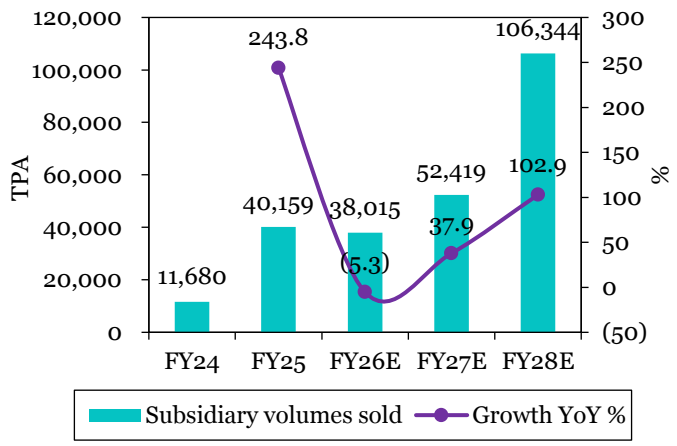
GNPL's subsidiary business (rPET granules) has witnessed strong growth in FY24-25, primarily driven by volume expansion. With Line-1 commissioned in FY24 and Line-2, 3 becoming operational in early FY25, the company experienced a surge in demand, with a significant portion of FY25 production pre-booked in advance. This resulted in all production lines operating at 80%+ utilisation (peak levels) through FY24 and FY25.

However, offtake in FY25 faced temporary challenges due to a sharp increase in PET-flake prices – from Rs 42-43/kg to Rs 53-54/kg – driven by a spike in exports to Europe following stricter EU recycled-content norms. The inability to fully pass on higher raw-material costs led to slower utilisation ramp-up and diluted margins. Despite this, GNPL successfully maintained its ~10% market share in rPET granules during FY25.

Management has now indicated that raw-material prices have stabilised back to Rs 42/kg, with inventory levels also aligned at similar costs as of 1HFY26. With PET-flake prices normalising, EPR mandates beginning to take effect, and GNPL's strong technical edge in washing, processing and quality control, we expect the company to increase its market share from ~10% currently to 15% by FY28 in rPET granules.

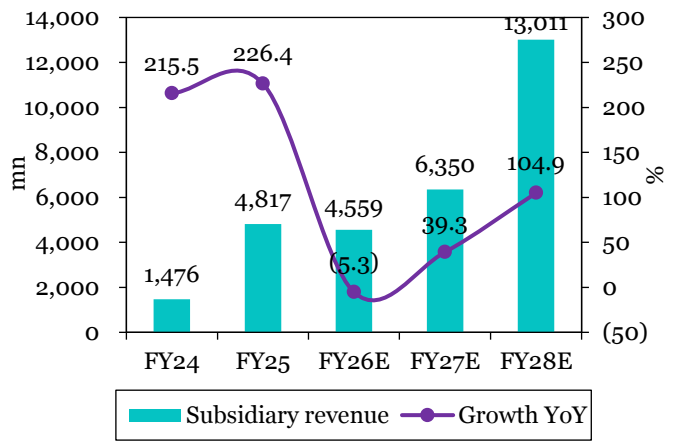
Supported by increasing absorption of food-grade rPET by FMCG, beverage and personal-care brands, we expect GNPL's market share in rPET granules to rise from ~10% currently to ~15% by FY28E. Accordingly, we project volume growth of 38.3% CAGR over FY25-28E for the subsidiary business.

Subsidiary sales volume



Source: Company, B&K Research

Subsidiary revenue took off well on the expectation of PWMR

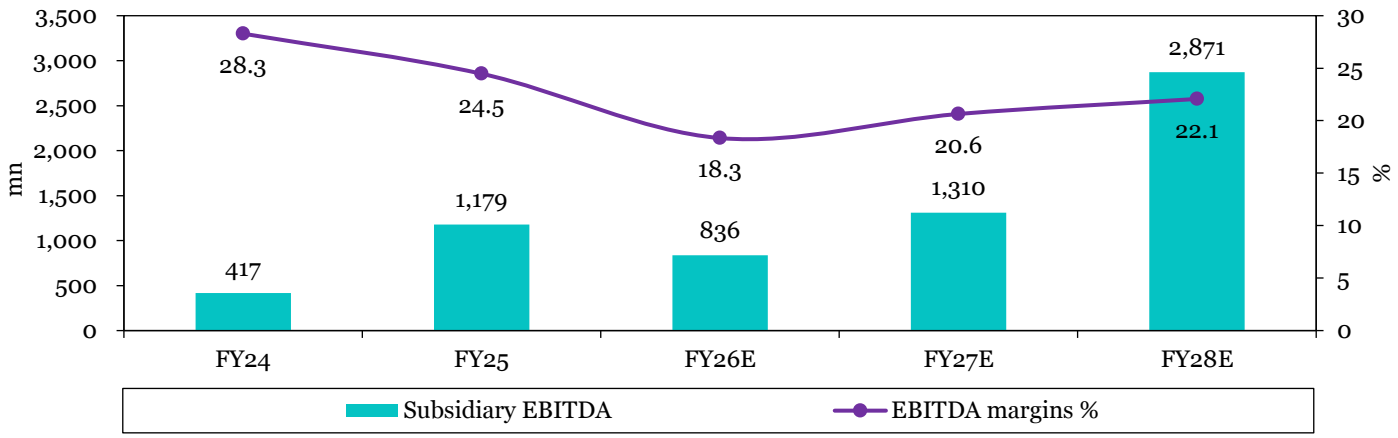


Source: Company, B&K Research

rPET granules commenced operations with robust EBITDA margins in FY24, but from 1QFY25 to 2QFY26, PET-flake prices increased sharply from Rs 42/kg to Rs 53-55/kg, driven by higher exports to the EU following stricter recycled-content mandates. GNPL faced challenges in fully passing on these cost increases to customers, resulting in subsidiary EBITDA margins declining from 28.3% in FY24 to 24.5% in FY25.

However, a recovery is underway. With PET-flake prices now stabilising at Rs 42-43/kg due to a moderation in EU export demand, we expect a broad-based improvement in margins beginning 2HFY26. As regulatory clarity on India's plastic-waste EPR framework emerges and domestic brand demand accelerates, margin pressures should ease materially.

On this backdrop, we forecast subsidiary EBITDA to grow at a CAGR of 34.6% over FY25-28E, supported by normalised raw material costs, strong demand traction and operating leverage from higher utilisation



Source: Company, B&K Research

2. Legacy business to gain momentum

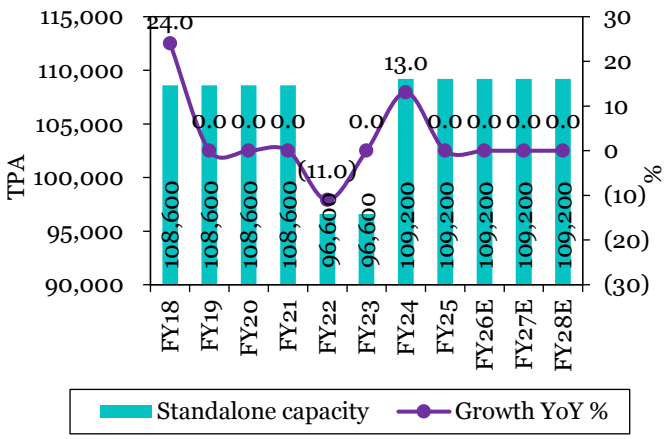
GNPL's legacy standalone business focuses on converting recycled PET flakes into rPSF and rPET fiber, which are primarily used in the textile industry for producing spun yarn. The company initially scaled through the rPSF segment, and in FY18, it expanded fiber capacity by 21,000 TPA at its Bilaspur facility, taking that plant's capacity to 49,200 TPA and increasing total standalone capacity to 1,08,600 TPA.

In FY22, a major fire at the Kanpur facility destroyed two production lines (totaling 24,000 TPA), reducing standalone capacity to 96,000 TPA. Subsequently, GNPL added 12,600 TPA of rPSF capacity at Warangal, bringing total standalone capacity to 1,09,200 TPA.

Between FY17-25, GNPL maintained a healthy 93% average utilisation, while achieving 100%+ utilisation due to de-bottlenecking activities in FY23/24 reflecting the stable demand for recycled polyester fibres. However, the recent slowdown in textile exports to the EU and the USA has impacted industry-wide demand, resulting in lower utilisation and weaker sales volumes in 1HFY26.

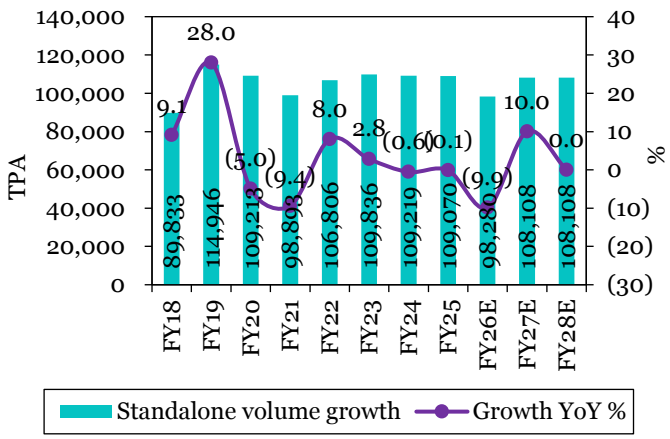
We expect demand conditions to normalise by 1HFY27 as export markets recover, supporting a return to GNPL's earlier utilisation levels of ~99%. Taking into account the near-term softness, we model a modest -0.3% volume CAGR over FY25-28E for the standalone business. While the capacity is to remain unchanged, as the management plans to divert the entire capex to rPET granules.

No plans for capex in standalone business



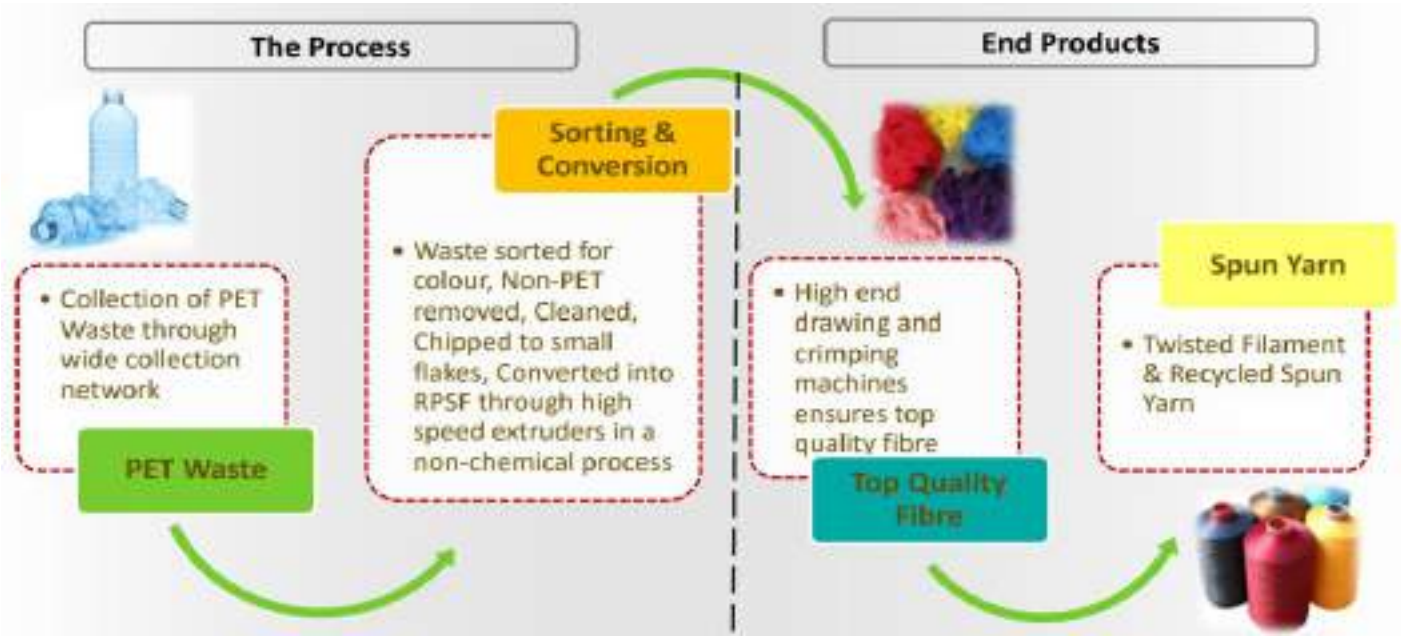
Source: Company, B&K Research

Standalone volume dip in FY26 due to demand slowdown in textile and US tariffs impacted textile exports



Source: Company, B&K Research

Process of conversion from PET to rPSF/Yarn



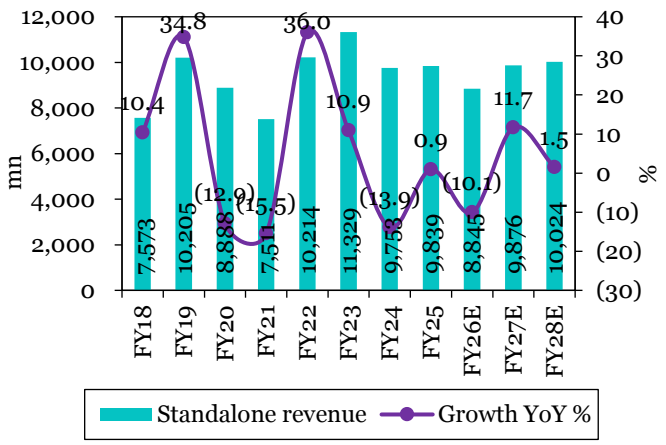
Source: Company Annual Reports, Investor presentations

Applications of spun yarn made of plastic scrap recycling

Source: Company Annual Reports, Investor presentations

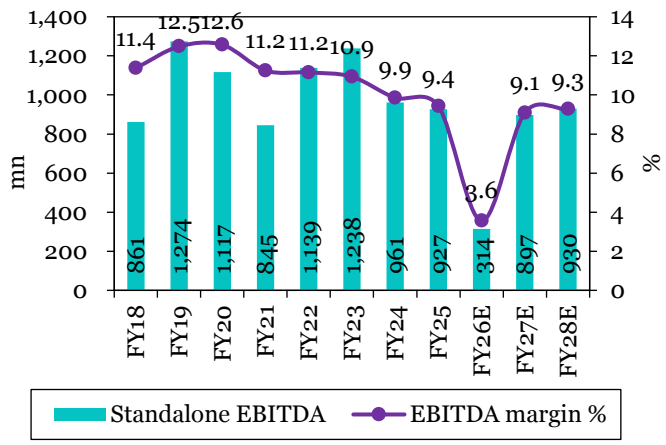
Standalone business revenue grew at a CAGR of 4.6%, while volume grew at a CAGR of 3.6% over FY17-25. However, from FY24, the realisations has seen a dip due to weak textile demand, Chinese dumping and drop in rPSF prices, while raw material prices decrease with a lag. Considering this, there was a slow recovery in demand over FY25-28, we factor in realisation to grow at a CAGR of 0.9% over FY25-28E, while standalone revenue/EBITDA to grow at a CAGR of 0.6%/0.1% over FY25-28E, we expect the standalone performance to reach to normal levels by FY28 with lowest case seen in FY26.

Standalone revenue



Source: Company, B&K Research

Standalone EBITDA and EBITDA margin



Source: Company, B&K Research

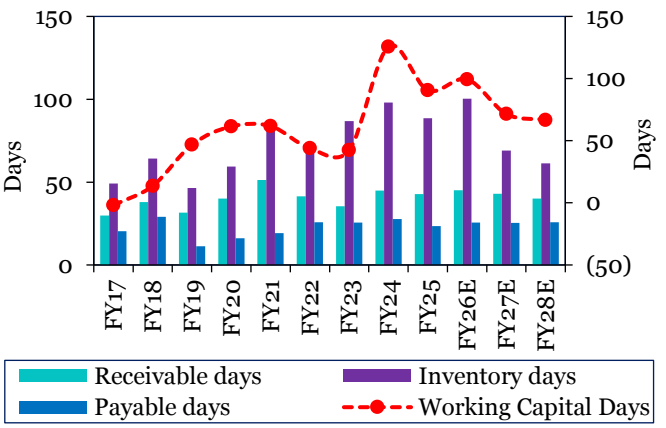
3. Ease of working capital

Historically, over FY17–23, GNPL's standalone rPSF/rPET fibre business operated with working-capital days averaging ~45 days, supported by steady demand and stable raw material dynamics. However, in FY24, rPSF prices corrected sharply and at a faster pace than input costs, leading to an accumulation of inventory. In addition, the commencement of the Warangal facility required 2-2.5 months of inventory, further elevating stocking levels. As a result, inventory days peaked at ~98 days in FY24, pushing overall working capital days to 126 days.

A partial normalisation occurred in FY25, with working-capital days improving to 91 days. However, in FY26, the sharp rise in rPET-flake prices once again exerted upward pressure on inventory levels, keeping working-capital days elevated.

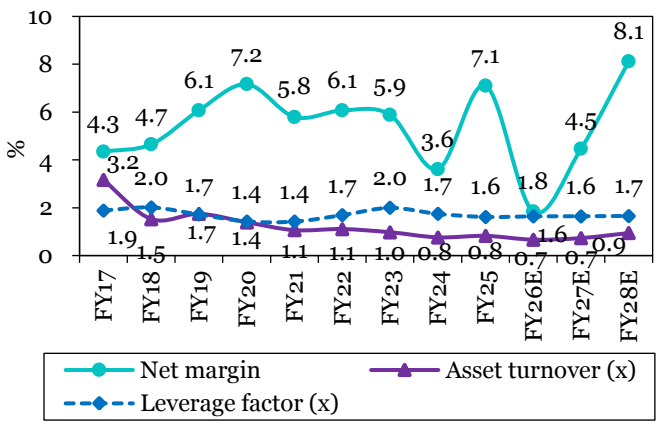
With raw-material prices now stabilising and operational bottlenecks easing, we expect a steady improvement from FY27 onward. We project inventory days to reduce to ~60 days and working capital days to decline to ~67 days by FY28E, supported by normalised PET-flake costs, healthier demand conditions, improved supply-chain predictability and implementation of PWMR in India.

Working capital cycle



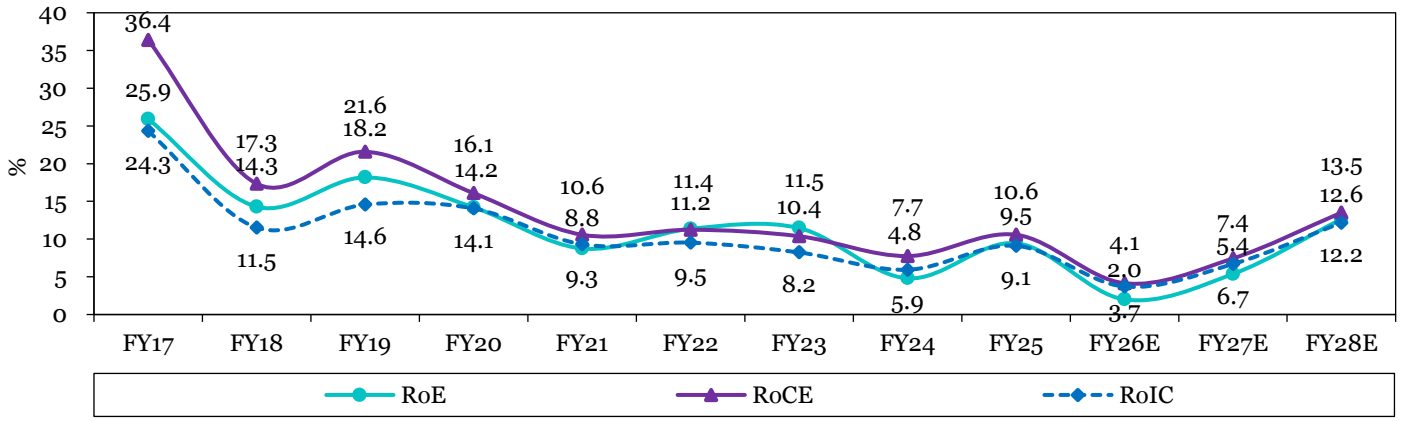
Source: Company, B&K Research

DuPont analysis



Source: Company, B&K Research

RoE, RoCE and RoIC to improve from the bottom of FY26



Source: Company, B&K Research

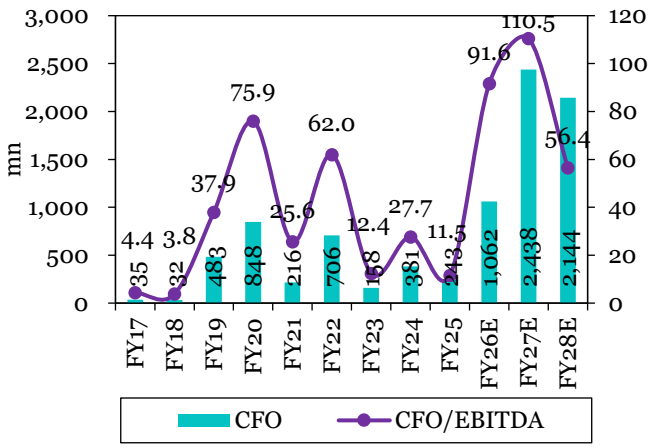
CFO/EBITDA conversion to be robust at an average of ~86% over FY26-28E

Historically, Ganesha Ecosphere has delivered an average CFO/EBITDA conversion of ~41% over FY18-22, supported by a stable operating environment in its legacy rPSF business. However, from FY23 onward, working-capital requirements increased meaningfully, driven by a slowdown in the textile sector and heightened volatility in raw-material prices, which affected the standalone rPSF segment and there by drawing down the cashflows over last 3 years from FY23-25. GNPL reported a mere average of 17.2% CFO/EBITDA over FY23-25.

During this period, GNPL strategically pivoted toward rPET granules, aligning its business model with India's EPR-driven demand for food-grade recycled plastics. The commissioning of the new Warangal rPET facility in FY24 further elevated working-capital needs, as the plant required higher inventory stocking during its ramp-up phase. **As a result, the company has experienced temporarily higher working-capital intensity and lower CFO/EBITDA conversion in the transition period.**

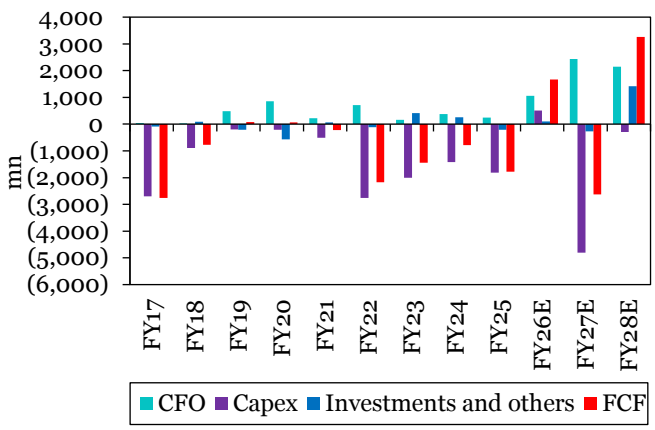
During the course of time, the company has formed JV with Race Eco chain to improve raw material sourcing, started 12,000 TPA washed flakes operations in Nepal. This is expected to strengthen the raw material supply chain and expected to ease the inventory days and improved raw material sourcing with strategic locations, they by decreasing the overall procurement cost. Therefore, we expect even though with the expected commissioning of new rPET plants, 1 brownfield in Warangal and 1 greenfield in Odisha. **We expect the company to manage its inventory days efficiently. Average CFO/EBITDA for 86.0% over FY26-28E.**

Improved cashflow generation, led by robust procurement network and efficient inventory management



Source: Company, B&K Research

Majority of capex to be funded through internal cashflows, with expected increase in debt



Source: Company, B&K Research

4. Multiple tailwinds in the form of EPR

EPR for PWMR introduced in 2016; however, the EPR norms were defined quantitatively from CY22. Which mandated the recycling content usage and recycling targets.

Eligible quantity in MT (Q1) = average weight of plastic packaging material (category wise) sold in last 2 financial years (A) + average weight of pre-consumer plastic packaging waste in the last 2 financial years (B) minus the annual quantity (C), supplied to brand owners including online platforms, retain chains, other than MSME (as per MSME, government on India)

EPR target

Year	EPR target (as percentage of 1Q – category-wise) (%)
2021-22	25
2022-23	70
2023-24	100

Source: CPCB

Recycling target

(%)	FY25	FY26	FY27	FY28
Rigid Plastics	50	60	70	80
Flexible Packaging	30	40	50	60
Multi-Layer Packaging	30	40	50	60
Compostable Plastic	50	60	70	80

Source: CPCB

Recycling content use target

(%)	FY26	FY27	FY28	FY29
Rigid Plastics	30	40	50	60
Flexible Packaging	10	10	20	20
Multi-Layer Packaging	5	5	10	10
Compostable Plastic	0	0	0	0

Source: CPCB

Reuse target

(%)	FY26	FY27	FY28	FY29
Rigid Plastics	10	15	20	25
Flexible Packaging	0	0	0	0
Multi-Layer Packaging	0	0	0	0
Compostable Plastic	0	0	0	0

Source: CPCB

EPR regulations are expected to improve collection efficiency of waste plastics in India, while recycling targets, recycling content target and reuse target are expected to act as tailwinds to recycling companies in India. With currently GNPL standing at largest market share with ~10% among the competitors with approval received from FSSAI and currently 42,000 TPA of rPET granules is successfully running at 80%+ capacity utilisation, as on FY25. However, this has decreased to ~50% as on 1HFY26 due to delay in PWMR.

List of FSSAI approved food grade rPET resin manufacturers in India

FSSAI approved recyclers	rPET granules capacity Nov' 2025
Ganesha Ecopet	42,000
Srichakra Polyplast Pvt. Ltd.	42,000
Ester Ltd.	28,000
Uflex Ltd.	10,020
Reliance Industries	6,000
Indorama JV with Varun Beverages	delayed
JB Ecotex Pvt. Ltd.*	NA
Dodhia Synthetic Limited*	NA
Safar Ecopet*	NA
Revalyu Recycling (India) Private Limited*	NA
Ribotl Solutions Private Limited*	NA
Rungta Eco Extrusions Pvt. Ltd.*	NA
Dalmia Polypro Industries Private Limited*	NA

*Conditional authorisation granted for 90 days.

Impact of draft notification from MoEFCC on plastic recycling companies

With the government mandating 30% recycled content in rigid plastics starting FY26, structural tailwinds have emerged for rPET recyclers. However, the current installed capacity of FSSAI-approved rPET-granule manufacturers stands at ~128,020 TPA, significantly below the estimated domestic requirement of 350,000 TPA for FY26. This supply shortfall has been driven by (1) the capex-intensive nature of rPET technology, (2) long lead times for procuring and commissioning advanced washing and decontamination equipment and (3) delays in obtaining FSSAI approvals.

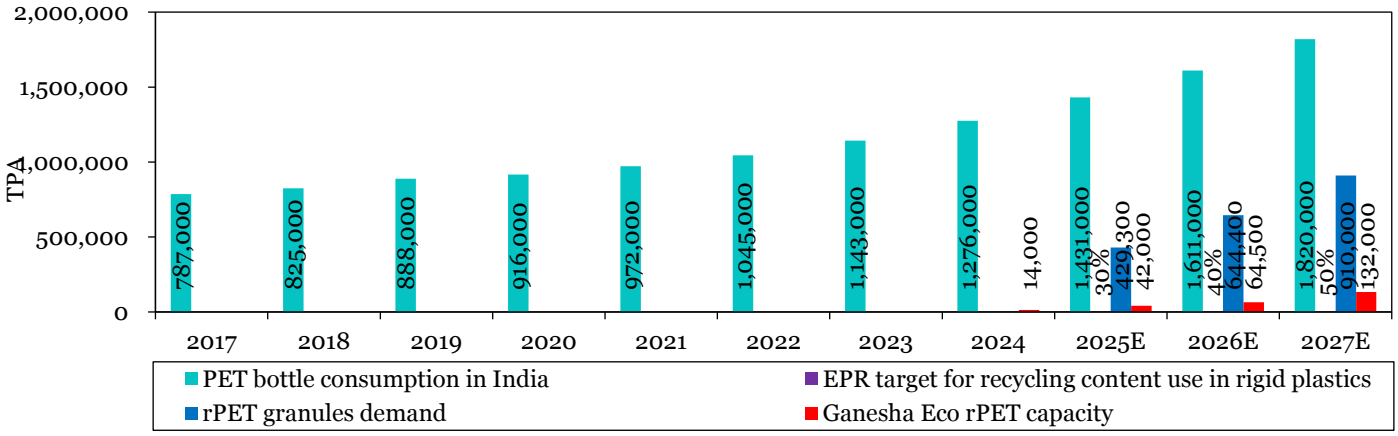
To partially address the deficit, FSSAI recently approved seven additional manufacturers for a 90-day operational window, which is expected to add another 60,000-70,000 TPA, taking total capacity to ~200,000+ TPA. However, even this expanded capacity remains well below the requirement for 30% recycled-content compliance.

Recognising the supply-demand imbalance, the MoEFCC released a draft notification in June 2025, proposing that the unmet FY26 recycled-content obligation can be carried forward for three years (until FY29). This provides recyclers additional time to ramp-up capacities and install new capacities to meet the demand and allows FMCG and packaging companies to gradually integrate recycled plastics into their supply chains.

Following this draft notification, several large FMCG companies deferred or paused orders to GNPL, given the uncertainty around near-term compliance timelines. As of today, there is no formal clarification on the recycled-content requirement for FY27; however, under the existing PWMR framework, mandated levels remain 40%/50%/60% for FY27/28/29E, respectively.

We view the draft notification as a supply-constraint-driven extension, not a dilution of long-term EPR intent. Accordingly, we have factored in the FY26 deferment into our near-term estimates. Even if the minimum mandated levels were revised to 30%/40%/50% for FY27-29E, we expect GNPL's entire rPET-granules capacity to operate at optimum utilisation, fully backward integrated, early-mover advantage, and FSSAI-approved food-grade capability. Moreover, competitive capacity additions are still likely to lag demand, supporting strong offtake for GNPL as recyclers race to bridge the structural supply gap.

PET bottle demand versus GNPL's rPET granules capacity



Source: Company, B&K Research

Key triggers for upward movement of stock

- EPR for plastic waste management remain unchanged.
- Commencement of rPET granules plant in Warangal and Odisha.
- Pick in textile demand and exports.

Key downside risk

- Delay in EPR for plastic waste management.
- Weakness in textile demand.
- Delay/cancellation of key client orders.
- Increase in capacity of competitors.
- Volatile prices of PET flakes.

SWOT analysis

Strength

- India's largest plastic recycler with ~15% market share.
- Robust supplier network, JV with Race Eco to strengthen the raw material supply network.
- Diversifying from rPSF/Yarn to rPET granules.

Weakness

- Delay in ramp-up of new facilities or delay in commencement of new facilities.
- Cancellation/delay in key customer orders.

Opportunity

- EPR for plastic waste management to remain unchanged.
- Stability in PET flakes prices.
- Pick in textile demand, standalone business getting back to normal.

Threat

- Delay in EPR for plastic waste management.
- Weakness in textile demand.
- Volatile raw material prices (PET flakes).

ESG

A. Environment

Ganesha Ecosphere demonstrates a comprehensive environmental stewardship strategy integrating circularity, renewable energy transition, sustainable resource management, and large-scale recycling to reduce ecological footprint. The company positions environmental responsibility as a core operational principle, emphasizing waste reduction, decarbonization, and efficient resource utilisation across its facilities. Ganesha Ecosphere discloses that it is ISO 14001 certified, reflecting structured environmental management systems. It reports Scope 1+2 carbon intensity of 7.4 $tCO2_e$/Rs mn, substantially higher than industry reference (~3.9), indicating opportunities to improve energy efficiency and decarbonization processes. Commitment to renewable energy is demonstrated through large-scale solar deployment, including 16.53 MWp rooftop solar capacity, and 17.43 MW of solar power purchased for captive use, resulting in ~40% of electricity consumption powered by solar energy. Under its water management its Warangal facility operates with Zero Liquid Discharge (ZLD), recycling ~90% of process water, supported by rainwater harvesting systems across facilities.

B. Social

The company's efforts focus on creating a safe workplace, empowering people, and supporting communities through long-term development initiatives. The Occupational Health and Safety Management System has been implemented which includes ISO 45001:2018 (OHSAS) certification. The CSR initiatives broadly focus on promoting education, Ensuring environmentally sustainable social infrastructure, Promoting health care and sanitation and Rural development.

C. Governance

The company's Risk Management Committee has been tasked with decision-making authority on all aspects related to sustainability issues. The Company is in the process of re-evaluating its materiality and consequently will be formalising targets at the Company level. The board comprises 50% Independent directors and 12.5% women board members. The company has secured multiple certifications which includes OEKO-TEX Standard 100, Global recycled standard, Bureau of Indian Standards (BIS), Ocean Bound Plastic (OBP) and Sedex 4 Pillar.

Management details

Sr. No	Name	Designation	Remuneration FY25 (Rs mn)
1	Shyam Sundar Sharma	Non-Executive Director	3.1
2	Sharad Sharma	MD& CEO	4.1
3	Vishnudutt Khandelwal	Executive Vice Chairman	4.1
4	Rajesh Sharma	Joint MD	4.1
5	Pradeep Kumar Goenka*	Independent Director	0.5
6	Abhilash Lal*	Independent Director	0.5
7	Shobha Chaturvedi	Independent Director	1.1
8	Narayanan Subramaniam	Independent Director	0.6
9	Akshay Kumar Gupta#	Independent Director	0.5
10	Jagat Jit Singh#	Independent Director	0.5
11	Gopal Agarwal	Chief Financial Officer	4.2
12	Bharat Kumar Sagnani	Company Secretary	1.5

*Ceased as Director w.e.f. 04 September 2024. #Appointed as Director w.e.f. 05 September 2024.

Ganesha Ecosphere

Financial Summary (Consolidated)

Income Statement

Y/E Mar (Rs mn)	FY25	FY26E	FY27E	FY28E
Net sales	**14,655**	**13,405**	**16,226**	**23,035**
Growth (%)	*30.5*	*(8.5)*	*21.0*	*42.0*
Raw material	(9,130)	(8,968)	(10,190)	(14,120)
Gross profit	**5,525**	**4,437**	**6,036**	**8,915**
Employee cost	(882)	(891)	(990)	(1,336)
Other expenditure	(2,537)	(2,386)	(2,839)	(3,778)
Other operating income	-	-	-	-
EBITDA	**2,106**	**1,160**	**2,207**	**3,801**
Growth (%)	*52.7*	*(44.9)*	*90.3*	*72.2*
Depreciation	(550)	(580)	(870)	(974)
Other income	179	194	195	230
EBIT	**1,735**	**774**	**1,531**	**3,057**
Finance cost	(381)	(445)	(565)	(565)
Exceptional income/(expense)	-	-	-	-
Profit before tax	**1,355**	**329**	**966**	**2,492**
Tax (current + deferred)	(323)	(82)	(242)	(623)
Profit/(loss) for the year	**1,032**	**247**	**725**	**1,869**
P/L of JV/A, minority interest	0	-	-	-
Reported profit/(loss)	**1,031**	**247**	**725**	**1,869**
Adjusted net profit/(loss)	**1,041**	**247**	**725**	**1,869**

Balance Sheet

Y/E Mar (Rs mn)	FY25	FY26E	FY27E	FY28E
Share Capital	255	268	268	268
Reserves & surplus	11,252	12,858	13,583	15,452
Shareholders' funds	**11,507**	**13,126**	**13,851**	**15,720**
Minority interest	-	-	-	-
Long-term borrowings	3,684	3,684	5,184	5,184
Other non-current liabilities	790	790	790	790
Total non-current liab.	**4,474**	**4,474**	**5,974**	**5,974**
Short-term borrowings	1,878	1,878	1,878	1,878
Trade payables	807	860	977	1,354
Other current liabilities	676	676	676	676
Total current liabilities	**3,361**	**3,414**	**3,531**	**3,908**
Total (Equity & Liab.)	**19,342**	**21,014**	**23,356**	**25,602**
Fixed assets (net block)	9,680	8,591	12,521	11,847
Non-current investments	298	228	208	178
Other non-current assets	905	1,070	1,556	605
Non-current assets	**10,884**	**9,889**	**14,285**	**12,630**
Cash and cash equivalents	1,217	3,816	2,118	4,809
Inventories	3,554	3,685	3,071	3,869
Trade receivables	1,716	1,653	1,912	2,524
Other current assets	1,971	1,971	1,971	1,771
Current assets	**8,458**	**11,125**	**9,071**	**12,972**
Total (Assets)	**19,342**	**21,014**	**23,356**	**25,602**

Cash Flow

Y/E Mar (Rs mn)	FY25	FY26E	FY27E	FY28E
Profit before tax	1,355	329	966	2,492
Depreciation	550	580	870	974
Change in working capital	(1,542)	(15)	473	(1,034)
Total tax paid	(321)	(82)	(242)	(623)
Others	201	251	370	335
CF from operations (a)	**243**	**1,062**	**2,438**	**2,144**
Capital expenditure	(1,812)	510	(4,800)	(300)
Change in investments	56	-	-	200
Others	(271)	99	(271)	1,212
CF from investing (b)	**(2,027)**	**609**	**(5,071)**	**1,112**
Free cash flow	**(1,569)**	**1,572**	**(2,362)**	**1,844**
Equity raised/(repaid)	1	13	-	-
Debt raised/(repaid)	1,574	-	1,500	-
Dividend (excl. tax)	114	20	58	150
Others	(219)	894	(623)	(714)
CF from financing (c)	**1,469**	**928**	**935**	**(565)**
Net change in cash (a+b+c)	**(315)**	**2,598**	**(1,698)**	**2,691**

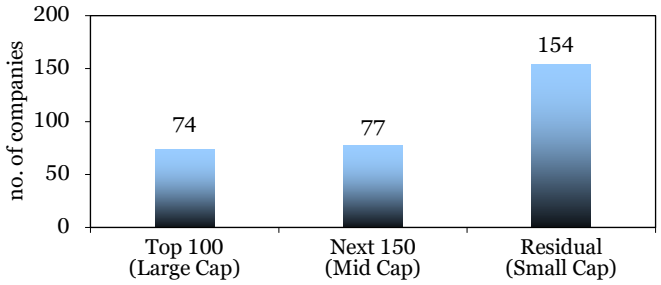
Key Ratios

Y/E Mar (%)	FY25	FY26E	FY27E	FY28E
Adjusted EPS (Rs)	41.1	9.3	27.2	70.1
Growth	*126.7*	*(77.5)*	*193.6*	*158.0*
Book NAV/share (Rs)	454.6	492.6	519.7	589.9
Dividend payout ratio	11.0	8.0	8.0	8.0
Gross margin	37.7	33.1	37.2	38.7
EBITDA margin	14.4	8.6	13.6	16.5
EBIT margin	11.8	5.8	9.4	13.3
Tax rate	23.7	25.0	25.0	25.0
RoCE	10.6	4.1	7.4	13.5
RoE	9.5	2.0	5.4	12.6
RoIC (post-tax)	9.1	3.7	6.7	12.2
Net debt/equity (x)	0.4	0.1	0.3	0.1
Net debt/EBITDA (x)	1.9	1.3	2.1	0.6
Fixed asset turnover (x)	0.8	0.7	0.7	0.9
Net working capital days	126.9	210.0	124.6	143.6

Valuations

Y/E Mar (x)	FY25	FY26E	FY27E	FY28E
P/E	20.3	90.2	30.7	11.9
P/B	1.8	1.7	1.6	1.4
Dividend yield (%)	0.5	0.1	0.3	0.7
OCF yield (%)	1.2	4.8	11.0	9.6
EV/EBITDA	12.0	20.5	12.2	6.4
EV/Sales	1.7	1.8	1.7	1.1

B&K Universe Profile – by AMFI Definition



B&K Investment Ratings

	LARGE CAP (Market Cap > US$ 2 bn)	MID & SMALL CAP (Market Cap < US$ 2 bn)
BUY	>+15%	>+20%
HOLD	+15% to -10 %	+20% to -15 %
SELL	<-10%	<-15%

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